

# CONSULTING CASEBOOK

*5<sup>th</sup> Edition (2025-26)*



**MDI**  
GURGAON

Management  
Development  
Institute



# Preface

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**Strategist – The Strategy and Consulting Club**  
**MDI Gurgaon**

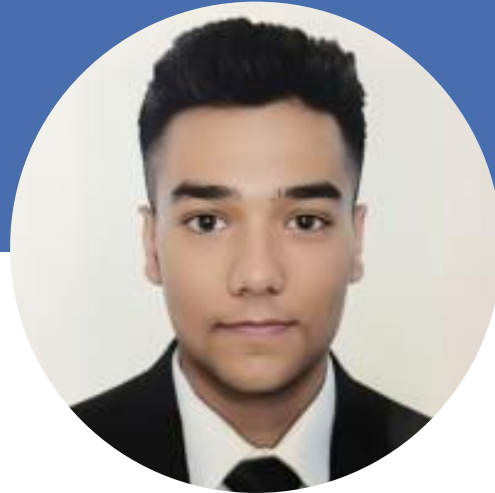
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# Industry Primer

# Content

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# Automotive

## Value Chain



- 1) **Inbound Logistics:** Sourcing raw materials, components, and electronics; global supply chain integration; just-in-time delivery; increased focus on digital tracking and supplier collaboration
- 2) **Operations:** Smart factories, automation (Manufacturing 4.0), robotics, AI-driven quality control, and sustainable production practices
- 3) **Outbound Logistics:** Final Inspection, Warehousing, Distribution
- 4) **Sales & Marketing:** Pricing, Promotion, Advertisement, Channel selection
- 5) **Service:** Repair and maintenance, Warranty, Setting up service centres – Leading to customer retention and brand recognition

## Drivers

| KPIs                                                                                                                                                   | Cost Drivers                                                                                                                                                                                  | Growth Drivers                                                                                                                                                                                                                                       |
|--------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>Sales</li><li>EBITDA</li><li>Inventory Turnover</li><li>Avg. Downtime</li><li>Cycle Time</li><li>AP/AR</li></ul> | <ul style="list-style-type: none"><li>Raw Material</li><li>Direct Labour</li><li>Logistics</li><li>R&amp;D</li><li>SG&amp;A</li><li>Dealer Margin</li><li>Marketing and Advertising</li></ul> | <ul style="list-style-type: none"><li>Rural Demand</li><li>Government Support through Schemes like PLI, Automotive Mission Plan and NATRip, PM E-Drive</li><li>Easy Financing</li><li>EV Potential &amp; FAME Scheme</li><li>Rising Income</li></ul> |

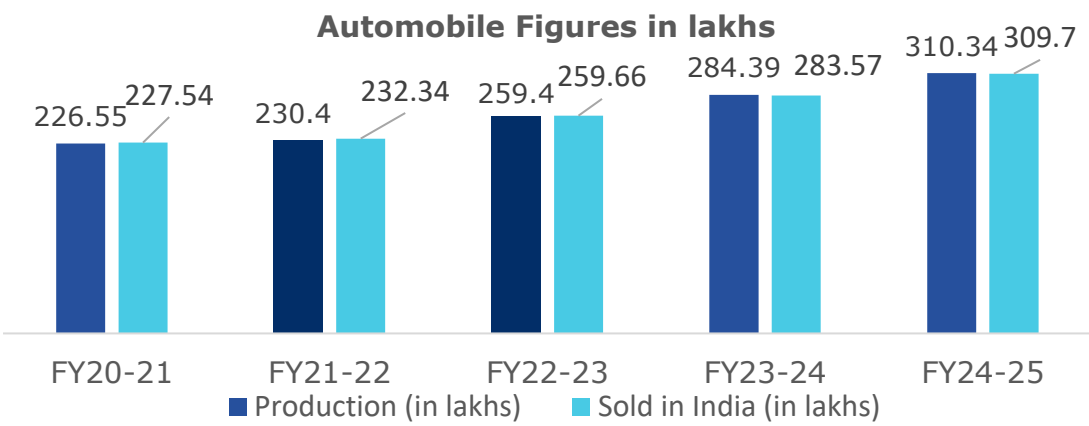
## Porter’s Five Forces

| Force                                       | Description/Analysis                                                                                                                                                                                                                             |
|---------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Industry Competition<br>(High)              | <ul style="list-style-type: none"><li>Presence of large-scale incumbents</li><li>Strong brands such as Maruti Suzuki, Hero, Bajaj in their respective domains</li><li>Highly price sensitive market</li></ul>                                    |
| Threat of Substitutes<br>(Moderate)         | <ul style="list-style-type: none"><li>Rising fuel prices</li><li>Availability of cheap and beneficial public transport</li><li>Growth in the shared mobility provided by players such as Uber and Ola</li></ul>                                  |
| Threat of New Entrants<br>(Low to Moderate) | <ul style="list-style-type: none"><li>Huge capital investment</li><li>Economies of scale and distribution network achieved by the incumbents</li><li>Brand identity &amp; established reputation</li><li>Price sensitive market</li></ul>        |
| Buyer’s Bargaining Power<br>(Moderate)      | <ul style="list-style-type: none"><li>Low product differentiation</li><li>Low switching cost</li><li>Availability of multiple options</li><li>However, the industry remains marginally powerful due to high customer to producer ratio</li></ul> |
| Supplier’s Bargaining Power<br>(Low)        | <ul style="list-style-type: none"><li>Huge number of local suppliers leading to a stiff competition</li><li>Low switching cost for the OEMs</li><li>But high-cost contribution to cost and quality</li></ul>                                     |



# Automotive

## Industry Statistics

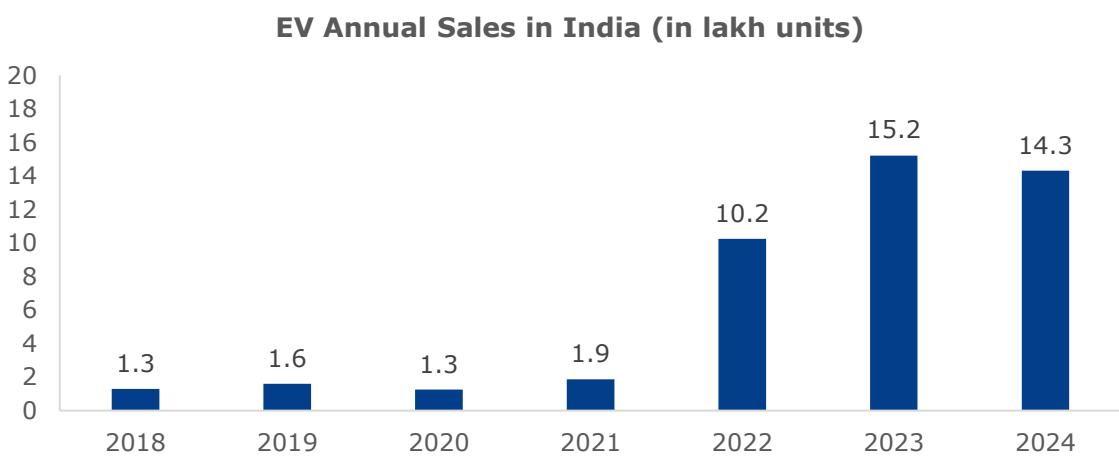


Source: SIAM

## Industry Trends

- Industry Structure as per Total sales of FY 2024-25 – 2 wheelers (76.86%), Passenger Vehicles (16.37%), Commercial vehicles (3.35%) and Three wheelers (3.39%) and quadricycles (0.03%).
- Automotive sector contributes **7.1%** to **India's GDP** and **49%** to manufacturing GDP.
- Integration of AI, robotics, digital twins, Internet of Things (IoT), and 3D printing is driving efficiency.
- Cumulative electric vehicle (EV) sales in India reached **61.66 lakh units** by the end of financial year 2024-25, with over **20 lakh units sold** during the year (Source: Annual India EV Report Card: FY2025 released by JMK Research).
- India's EV production faces disruption as rare-earth magnet stocks, mostly from China, may deplete by mid-July 2025 due to export curbs.

## Electric Vehicle market in India



## Policy Support and Government Initiatives

- Initiatives like **Make in India, the Automotive Mission Plan 2026** will give a huge boost to the sector. The PLI scheme for the auto sector is expected to bring in investments of over Rs 42,500 crore by 2027 and lead to incremental production of over Rs 2.3 lakh crore.
- FAME II** ended on March 31, 2024, and was replaced by the Electric Mobility Promotion Scheme 2024 with a Rs 500 crore budget to subsidize electric two- and three-wheelers.
- The **PM E-DRIVE** Scheme, with a budget of Rs.10,900 crore, will subsidize electric two- and three-wheelers, trucks, buses, and ambulances (excluding cars) and support charging infrastructure from October 2024 to March 2026.
- The **Automotive Mission Plan 2016-26** is a mutual initiative by the Government of India and the Indian automotive industry to lay down the roadmap for the development of the industry.





# Aviation

## Value Chain



- (1) **Inbound Logistics:** Route Selection, Scheduling, Crew Scheduling, Passenger Service, Facilities Planning
- (2) **Operations (Ground operations, flight operations, customer facing operations):** Ticket Counter, Aircraft Operation, Onboard Services, Ticketing, Baggage Handling
- (3) **Outbound Logistics:** Baggage Handling, Flight Connection, Rentals and Hotel tie-ups
- (4) **Sales & Marketing:** Advertising, Promotion, Travel Agent Program, Group Sales, Loyalty Programs, Digital Promotion
- (5) **Service:** In-flight Hospitality, Lost Baggage, Complaints and Feedbacks

## Drivers

### KPIs

- Revenue passenger miles
- Available Seat Miles (ASM)
- Load factor
- Total cost per ASM

### Cost Drivers

- Aircraft & Accessories
- Fuel
- Labor
- Maintenance
- Airport Fees
- Marketing

### Growth Drivers

- Growing Demand
- Mobile Penetration
- Increased M&A
- Convenience, Cost, and Variety
- Payment Liberation (UPI)

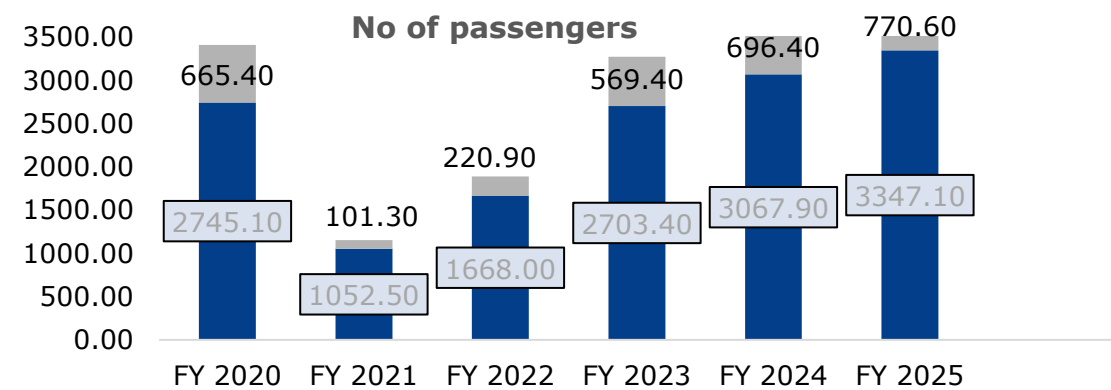
## Porter's Five Forces

| Force                                         | Description/Analysis                                                                                                                                                                                                                                                            |
|-----------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Industry Competition<br><b>(High)</b>         | <ul style="list-style-type: none"> <li>▪ High no. of large competitors</li> <li>▪ Low industry growth</li> <li>▪ Low product differentiation and switching cost for the buyers</li> <li>▪ High barriers to exit due to high fixed cost and asset specialization</li> </ul>      |
| Threat of Substitutes<br><b>(Low)</b>         | <ul style="list-style-type: none"> <li>▪ Substitutes available such as road, rail &amp; water travel, depending upon the route in question and varies according to cost &amp; benefit of the alternative but not preferred for long distances</li> </ul>                        |
| Threat of New Entrants<br><b>(Low)</b>        | <ul style="list-style-type: none"> <li>▪ High initial capital requirements for buying &amp; leasing planes and fixed cost for purchase &amp; maintenance of slots</li> <li>▪ Supply and demand side economies of scale</li> <li>▪ Low product differentiation</li> </ul>        |
| Buyer's Bargaining Power<br><b>(Moderate)</b> | <ul style="list-style-type: none"> <li>▪ High no. of buyers but mostly individuals with low financial muscle</li> <li>▪ Low switching cost if multiple airlines fly the same route</li> <li>▪ Highly price sensitive market leading to increase in low-cost carriers</li> </ul> |
| Supplier's Bargaining Power<br><b>(High)</b>  | <ul style="list-style-type: none"> <li>▪ Low number of suppliers</li> <li>▪ High supplier switching cost</li> <li>▪ Lack of substitutes</li> <li>▪ High contribution of Supplier to cost &amp; quality</li> </ul>                                                               |



# Aviation

## Industry Statistics



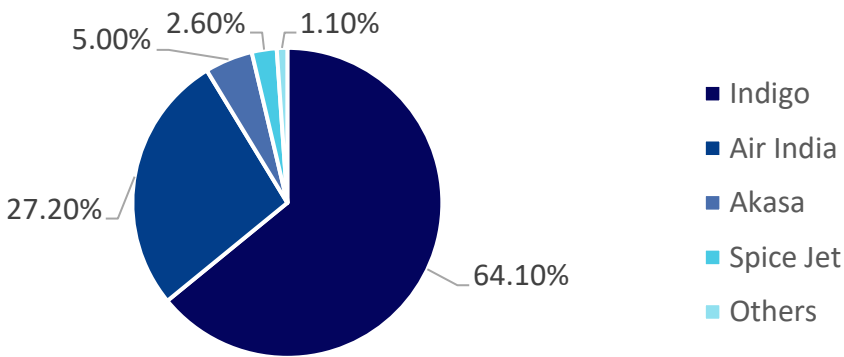
Source: DGCA

■ Domestic Passengers ■ International Passengers

## Industry Trends

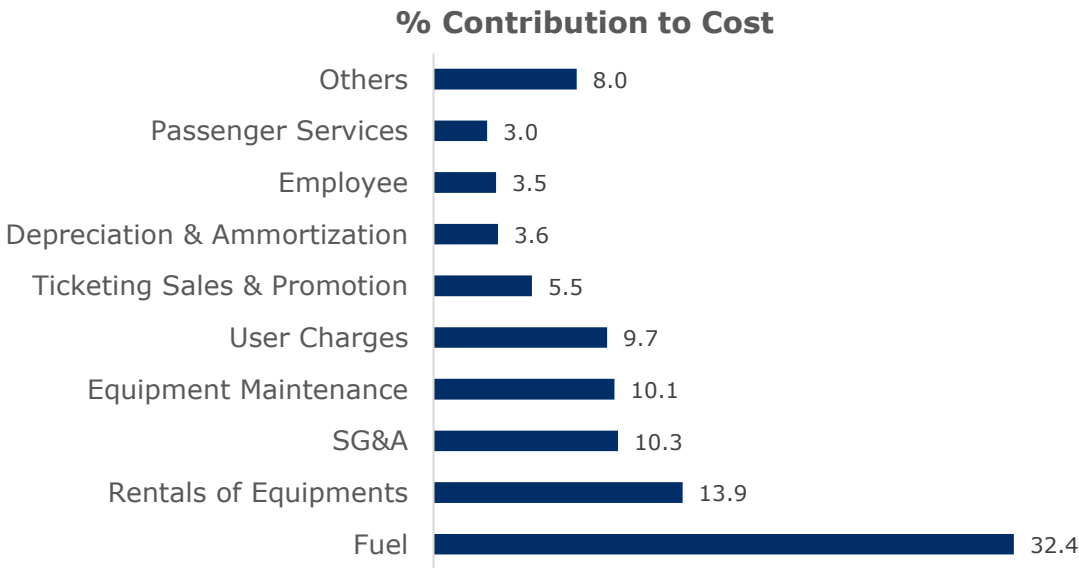
- India's aviation sector has become the **third largest** domestic aviation market in the world in terms of handling domestic traffic.
- The Indian Maintenance, Repair, and Overhaul ('MRO') industry is expected to see **revenue grow 50% in 2026** to approximately Rs. 45 billion rupees (approximately \$518 million) (*Crisil*).
- India plans to add 50 more airports in the next five years, aiming to scale up to over 350 airports by 2047 as part of the Viksit Bharat vision.
- FDI inflow into India's air transport sector (including air freight) continues to rise, supported by 100% FDI allowed in most aviation segments through the automatic route.
- IndiGo is the only Indian carrier among world's top 10 airlines, runs 15,768 flights weekly. It briefly became world's most valuable airline by market capitalization in April 2025.

## Market Share Apr' 25 – Domestic Airline Operators



Source: DGCA

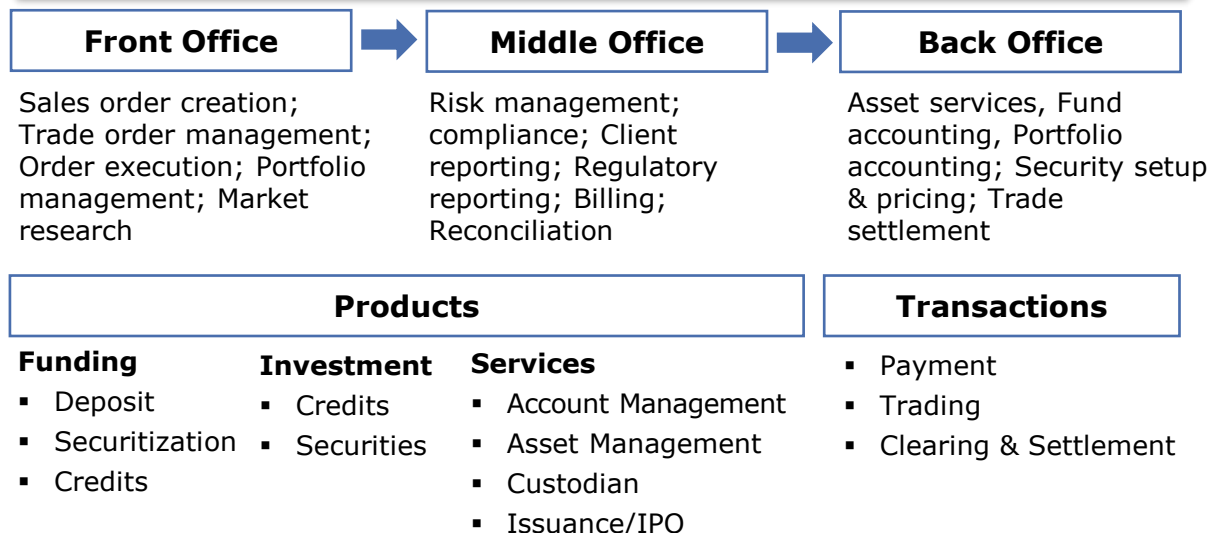
## Cost Breakdown of Airline Operations





# Banking and Financial Services

## Value Chain



## Drivers

| KPIs                                                                                                                                                                                                                                                                             | Cost Drivers                                                                                                                                                                                                              | Growth Drivers                                                                                                                                                                                                                                           |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>▪ Assets Under Management</li> <li>▪ Volume Of Accounts</li> <li>▪ AUM Per employee</li> <li>▪ Net Interest Margin</li> <li>▪ CASA (Current Account and Savings Account)</li> <li>▪ GNPA/NNPA (Gross/Net Non Performing Asset)</li> </ul> | <ul style="list-style-type: none"> <li>▪ Cost of Borrowing</li> <li>▪ Operating Expenses</li> <li>▪ Risk management &amp; compliance cost</li> <li>▪ Provisions &amp; write-offs</li> <li>▪ Marketing expenses</li> </ul> | <ul style="list-style-type: none"> <li>▪ Digital Transformation</li> <li>▪ Data &amp; Analytics</li> <li>▪ Customer Experience</li> <li>▪ Disruptive Technologies</li> <li>▪ Cyber Security</li> <li>▪ Geopolitical shifts</li> <li>▪ M&amp;A</li> </ul> |

## Porter's Five Forces

| Force                                          | Description/Analysis                                                                                                                                                                                                                                                               |
|------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Industry Competition<br><b>(High)</b>          | <ul style="list-style-type: none"> <li>▪ PSU banks hold about 52% of the market share in India in banking sector</li> <li>▪ Rivalry is much aggressive in metropolitan areas</li> <li>▪ Issuing of new licenses will increase competition in rural areas over long term</li> </ul> |
| Threat of Substitutes<br><b>(Low)</b>          | <ul style="list-style-type: none"> <li>▪ For deposit, substitutes are investment in gold, real estate, equity etc.;</li> <li>▪ For advances, substitutes are bonds, IPOs and FPOs</li> </ul>                                                                                       |
| Threat of New Entrants<br><b>(Low)</b>         | <ul style="list-style-type: none"> <li>▪ High entry barriers, as RBI (Central Bank) controls the issuance of licenses</li> <li>▪ New licenses may reduce market share of public banks</li> </ul>                                                                                   |
| Buyer's Bargaining Power<br><b>(Low)</b>       | <ul style="list-style-type: none"> <li>▪ High switching cost; Nascent debt market &amp; volatile stock market, are less opted</li> <li>▪ Internet penetration is however reducing the switching cost</li> </ul>                                                                    |
| Supplier's Bargaining Power<br><b>(Medium)</b> | <ul style="list-style-type: none"> <li>▪ Largely, customers prefer banks for its reliability</li> <li>▪ Gradually, customers have hedged investments by embracing other riskier avenues</li> </ul>                                                                                 |



# Banking and Financial Services

## Industry Statistics

**13**

Public Sector  
Banks

**21**

Private Sector  
Banks

**44**

Foreign  
Banks

**12**

Small Finance  
Banks

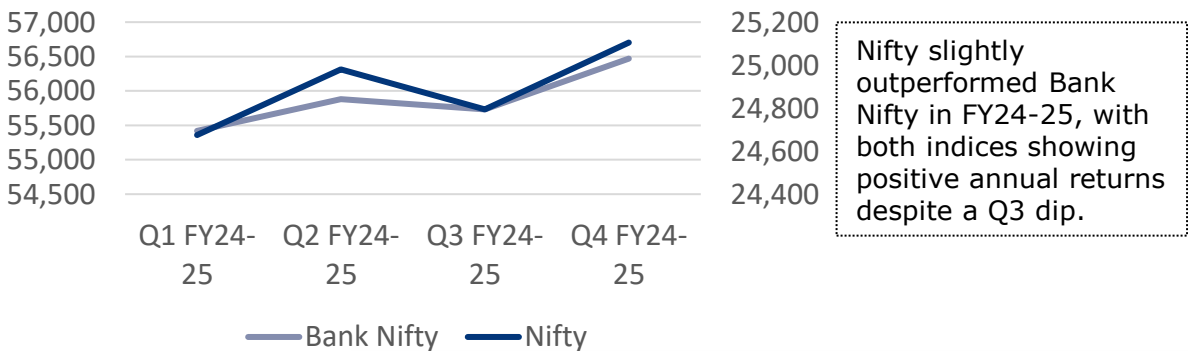
- Indian Fintech industry is estimated to be at Rs. 12,99,450 crore (US\$ 150 billion) by 2025.
- In FY 2024-25, retail digital payments grew **34.9%** in volume and **16.1%** in value. Unified Payments Interface (UPI) led the growth, clocking a 41.7% rise in volume and 30.3% in value. It accounted for 84% of total retail digital payment volumes. BCG predicts that the proportion of digital payments will grow to **65%** by 2026.

## Industry Trends

- Monetary easing & credit push:** The RBI cut the repo rate by a total of 50 bps (now 5.5%) in June '25 and proposed phased reduction of the CRR by 100 bps from Sep '25 to inject liquidity-boosting lending, especially to MSMEs, retail borrowers, and mortgage.
- Public sector banks regain dominance:** For the first time in 14 years, **PSU banks outperformed private banks** in loan growth, with **13.1 % YoY** versus 9 % for private banks. PSBs also delivered record profits (Rs. 3.71 lakh cr) driven by lending, treasury income, and lower NPA provisioning.
- Improved asset quality & reduced NPAs:** Gross NPA ratios hit **multi-year lows (~2.5–3 %)**, with Moody's expecting stability between 2–3 % and noting some stress in unsecured retail loans.
- AI, fintech partnerships & CBDC rollout:** Indian banks accelerated AI and GenAI usage in lending, credit risk, fraud detection, and customer service. Collaborations with fintechs grew, while the RBI piloted the Digital Rupee (CBDC) across ~15 banks.

## Indian Banking and Financial Services Industry Classification

| RBI                  |                        |                     |                            |                           |
|----------------------|------------------------|---------------------|----------------------------|---------------------------|
| Commercial Bank      | Specialized Bank       | Institutional Banks | NBFCs                      | Cooperative Banks         |
| Nationalized Banks   | Land Mortgage          | IFCI                | Asset Finance              | Primary Credit Societies  |
| SBI & its Associates | Rural Credit           | SFC's               | Investment                 | Central Cooperative Banks |
| Private Sector       | Industrial Development | IRBI                | Loan                       | State Cooperative Banks   |
| Foreign Banks        | Housing Finance        |                     | Infrastructure Finance     |                           |
| RRBs                 | EXIM bank              |                     | Infrastructure Debt Fund   |                           |
| Small Banks          | NABARD                 |                     | Micro Finance Institutions |                           |
| Payment Banks        | SIDBI                  |                     |                            |                           |







# E-Commerce

## Value Chain



- (1) Incoming inventory, supplier management, and channel control. B2B and co sourcing, modular shipping, mass customization propositions
- (2) Inventory handling, warehouse operations, segregation, and packaging. Consolidation, pickup, and grouping. Inventory turn and availability
- (3) Targeted marketing, dynamic content, promotion, payment, sales, engagement, unified experience, queries, and feedback
- (4) Order handling, preparation, invoicing, assignment, dispatch, routing, and delivery. Omnichannel considerations and distribution partners (B2B). Customer experience, complaints and reviews

## Drivers

### KPIs

- Avg. Order Size
- Cart Abandonment Rate
- Revenue Per Visit
- Hit and Bounce Rate
- First Response Time
- Churn & Time on Site
- Session Duration and CTR

### Cost Drivers

- Technology – Development & Maintenance Costs
- Marketing & Promotion Costs
- Inventory Costs
- Logistic Costs
- SGA Costs

### Growth Drivers

- Growing Demand
- Mobile Penetration
- Increased M&A
- Convenience, Cost and Variety
- Payment Digitalization (Wallets and UPI)

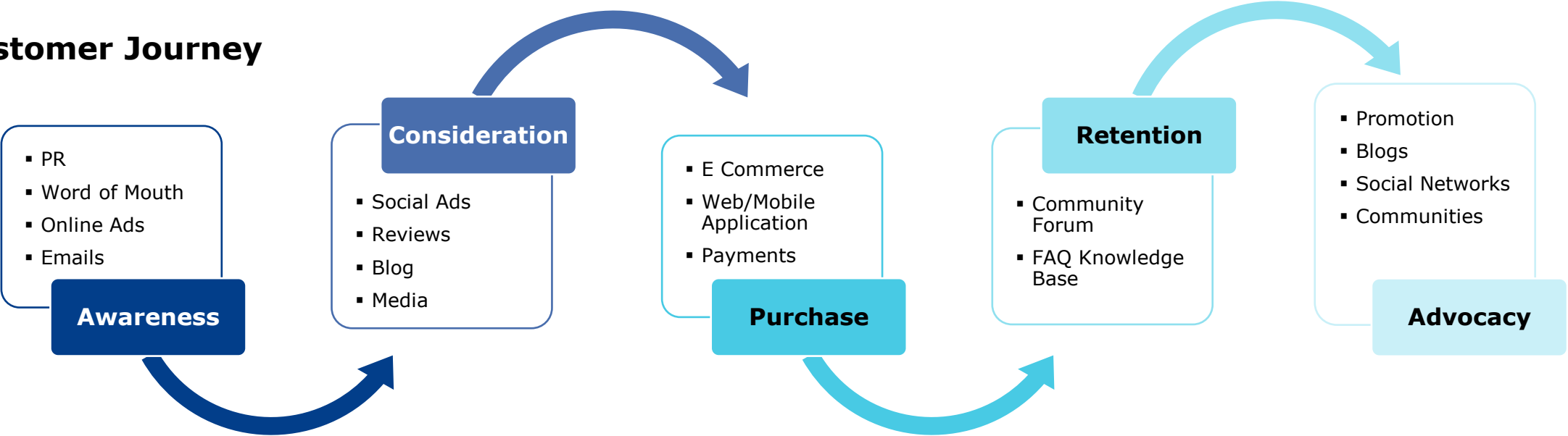
## Porter’s Five Forces

| Force                                             | Description/Analysis                                                                                                                                                                                                                                            |
|---------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Industry Competition<br><b>(High)</b>             | <ul style="list-style-type: none"><li>▪ Domestic and international Organizations</li><li>▪ Niche and all encompassing service providers</li><li>▪ Cross platform partnerships and integrations</li></ul>                                                        |
| Threat of Substitutes<br><b>(Moderately High)</b> | <ul style="list-style-type: none"><li>▪ Inhouse E-retail capabilities of manufacturers and producers</li><li>▪ Physical outlets and dedicated engagement and delivery centres</li></ul>                                                                         |
| Threat of New Entrants<br><b>(Moderate)</b>       | <ul style="list-style-type: none"><li>▪ Due to high initial investments and operational complexities, entry barriers are strong</li><li>▪ M&amp;A activities and the growth of Super Apps may however pose a challenge to pureplay E commerce players</li></ul> |
| Buyer’s Bargaining Power<br><b>(High)</b>         | <ul style="list-style-type: none"><li>▪ With a multitude of options and low switching costs, buyers have a distinctive advantage</li></ul>                                                                                                                      |
| Supplier’s Bargaining Power<br><b>(Moderate)</b>  | <ul style="list-style-type: none"><li>▪ Brand decisions, high competition, and regulatory policies generally limit the aggregator’s freedom of pricing and operational decisions</li></ul>                                                                      |



# E-Commerce

## Customer Journey

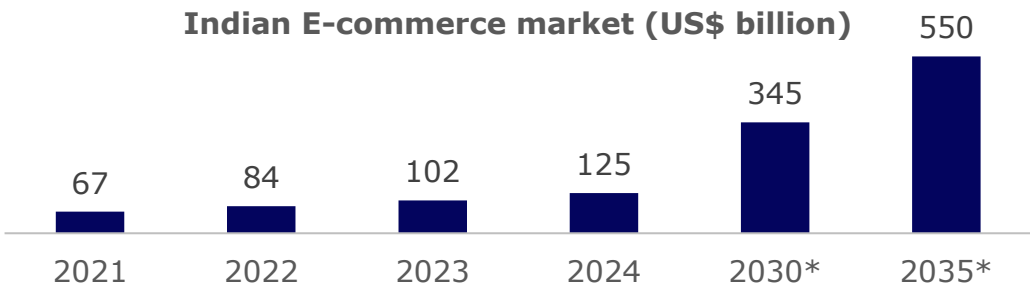


| Stage         | Points of Interaction                                          | Organizational Goals                                                                           |
|---------------|----------------------------------------------------------------|------------------------------------------------------------------------------------------------|
| Awareness     | Organic Search, Search Ads, PR Feature, Social Media           | Information Dissemination, Building Trust, Justification                                       |
| Consideration | Customization, Re-targeted Ads, Direct Sites, and Review Sites | Positioning, Narrative Development, Development of Interest                                    |
| Purchase      | Website/Mobile App, Email, Customer Care Centre                | Timely Information, Selection, Follow Through, Cross Selling Customer Satisfaction, and Recall |
| Retention     | Review Requests, Re-targeted Ads, Email, Communities           | Suggestions and Feedback, Engagement, Stimulation                                              |
| Advocacy      | Chat Tools, References, Communities and Social Media           | Customer Integration, Rewards, Customer Content                                                |



# E-Commerce

## Industry Statistics



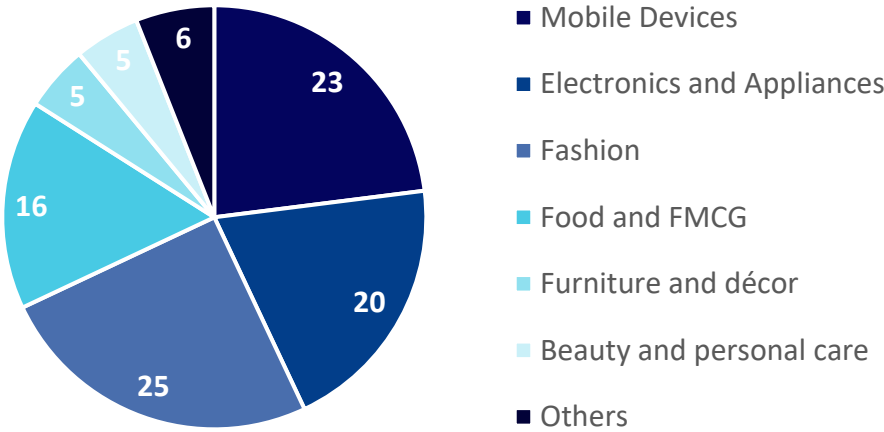
Source: Statista

- The competition in the e-commerce business in India is fierce. The market is filled with many local and foreign companies trying to hold the maximum market share.
- India's e-commerce industry, valued at Rs. 10,82,875 crore (US\$ 125 billion) in FY24, is projected to grow to Rs. 29,88,735 crore (US\$ 345 billion) by FY30, reflecting a compound annual growth rate (CAGR) of 15%.

## Industry Trends

- After China and the US, India had the third-largest online shopper base of 150 million in FY21 and is expected to be **350 million by FY26**
- For the 2021 festive season, Indian e-commerce platforms generated sales with a Gross Merchandise Value (**GMV**) of **US\$ 9.2 billion**, a 23% increase from last year's US\$ 7.4 billion
- **100% FDI** is allowed in B2B e-commerce. 100% FDI under the automatic route is permitted in the marketplace model of E-commerce
- Heavy investment made by the Government in rolling out fiber network for 5G will help boost E-commerce in India

## Share of online retail spending (%)



Source: Brickwork Ratings report – Oct 2024

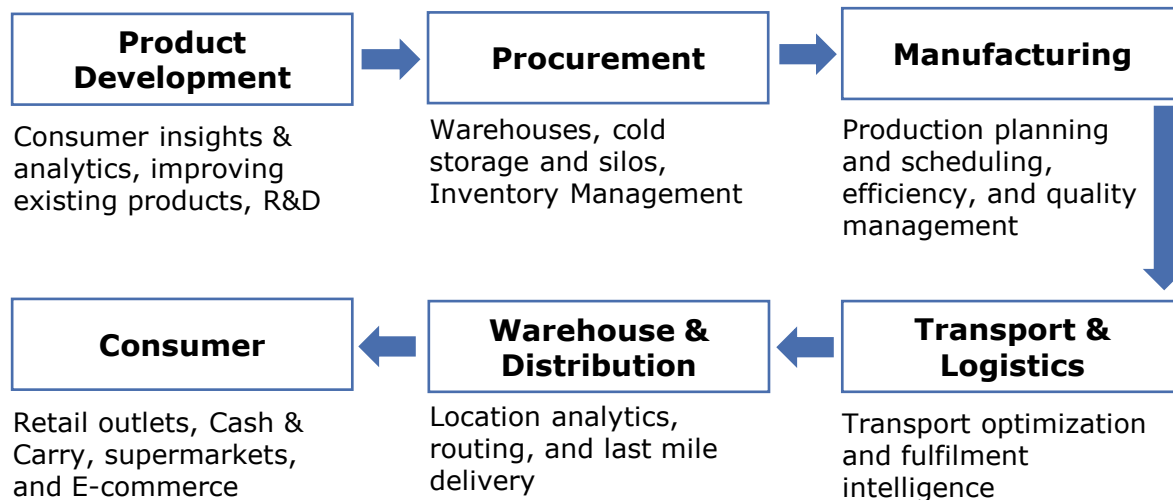
## Key Developments

- Flipkart's logistics arm Ekart joined ONDC, integrating with India's open e-commerce network to democratize logistics for smaller sellers.
- The quick commerce segment (led by Blinkit, Swiggy Instamart, Zepto) captured over two-thirds of e-grocery orders in 2024 (~\$6–7 billion market share), expected to grow ~40% annually till 2030.
- The **Digital India Act 2024**, drafted to replace the outdated IT Act of 2000, aims to **regulate online platforms** more effectively by enhancing consumer protection, platform accountability, and setting up a robust framework for e-commerce grievance redressal.



# Fast Moving Consumer Goods (FMCG)

## Value Chain



## Drivers

### KPIs

- Out of stock rate
- On-time delivery
- Avg. time to sell
- Cash-to-cash cycle time
- Supply chain cost vs sales
- On-shelf availability

### Cost Drivers

- Inventory cost of production
- Storage costs
- Marketing & advertising
- Transportation Cost
- Labour cost for production

### Growth Drivers

- Rising income levels
- Growth of e-commerce and digitalization
- Changing lifestyle
- Shifting economic power
- Premiumization
- Rising rural consumption

## Porter's Five Forces

| Force                                       | Description/Analysis                                                                                                                                                                                                                                        |
|---------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Industry Competition<br><b>(High)</b>       | <ul style="list-style-type: none"> <li>▪ Private label brands that are priced at a discount to mainframe brands increase competition within the market</li> <li>▪ Highly fragmented industry as more MNCs and disruptors are entering the market</li> </ul> |
| Threat of Substitutes<br><b>(High)</b>      | <ul style="list-style-type: none"> <li>▪ Presence of multiple brands – local and global</li> <li>▪ Narrow product differentiation across brands and products</li> <li>▪ While not very evident, strong price wars impact the industry</li> </ul>            |
| Threat of New Entrants<br><b>(Medium)</b>   | <ul style="list-style-type: none"> <li>▪ Huge investments in setting up distribution networks and promoting brands</li> <li>▪ Spending on advertisements is aggressive</li> </ul>                                                                           |
| Buyer's Bargaining Power<br><b>(High)</b>   | <ul style="list-style-type: none"> <li>▪ Low switching cost augments the customers' product shift tendencies</li> <li>▪ Strong influence of marketing strategies</li> <li>▪ Availability of same or similar alternatives</li> </ul>                         |
| Supplier's Bargaining Power<br><b>(Low)</b> | <ul style="list-style-type: none"> <li>▪ Big companies are capable of dictating the prices through local sourcing from a fragmented group of key commodity suppliers</li> </ul>                                                                             |



# Fast Moving Consumer Goods (FMCG)

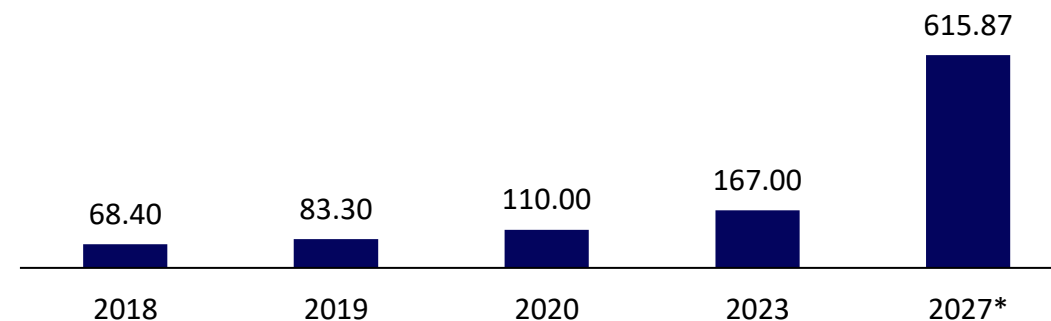
## Industry Statistics

- The fast-moving consumer goods (FMCG) sector is India's fourth-largest sector and comprises **three segments** - household and personal care, healthcare, and food & beverages constituting **50%, 31% and 19%** share of the sector respectively.
- In 2024, India's FMCG market size was **USD 245.39 billion**, a significant increase from the previous year. The FMCG market was estimated to reach over **USD 615 billion** in 2027.
- The urban segment accounts for **55% of FMCG sales** while the rural segment is **45%**
- CRISIL forecasts **7-9% revenue growth** for the FMCG sector in the current FY25, driven by increased volume and rural demand recovery.

## Industry Trends

- **Sustainability:** Brands are focusing on reducing their carbon footprint, using eco-friendly materials, and creating more sustainable packaging; companies are making commitments to net-zero emissions
- **Health and wellness:** Post COVID-19, this remains a priority for consumers; brands are focusing on natural and organic products
- **Convenience:** Easy to prepare and on the go products on the rise with a significant increase in investments in the e-commerce space
- **Personalization:** Companies are using data analytics and AI to offer more customized products and experiences; they are also partnering with social media influencers to create targeted campaigns
- **Digitalization:** With the world moving towards a digital era, companies have started technology to improve the customer experience and streamline their operations

## Market size of FMCG in India (USD Bn)



## Themes of Omni-channel Retail Strategy

| Capability                      | Benefits                                                                                                            |
|---------------------------------|---------------------------------------------------------------------------------------------------------------------|
| Single view of product          | Create single repository of product related data                                                                    |
| Single view of inventory        | Enable strategic placement of inventory across the supply chain to meet expected demand                             |
| Single view of customer         | Ensure targeted messaging and offerings                                                                             |
| Seamless customer experience    | Enable capturing customers' orders consistently across channels and provide order visibility                        |
| Convenience and Personalization | Leverage analytics and ensure consistent communication with customers across channels                               |
| Digitally empowered store staff | Enable convergence of digital and store experience driven by associate engagement and enabled by store connectivity |





# Information Technology

## Value Chain



- (1) Infrastructure Setup, Capability Development, Employee Operations
- (2) Customer Pitches, Client Acquisitions, Cross Selling, Value Realization
- (3) Requirements Analysis, Augmentation, Feature Translation, Methodology
- (4) Product/Service Development, Testing & Validation, Delivery & Deployment
- (5) Update Handling, Technology Support, Relationship Management and Recurring Sales/Purchase

## Drivers

### KPIs

- Total Contract Value
- Customer Lifetime Value
- Annual/Monthly Recurring Revenues (ARR/MRR)
- Revenue and Cost Growth Rate
- Product/Service KPIs
- Net Promoter Score

### Cost Drivers

- Employee Costs
- Infrastructure Costs
- SGA Costs
- Customer Acquisition Costs
- Licensing Costs
- Overheads

### Growth Drivers

- Global Demand
- Policy Support
- Talent Pool
- Infrastructure
- Domestic Consumption

## Porter's Five Forces

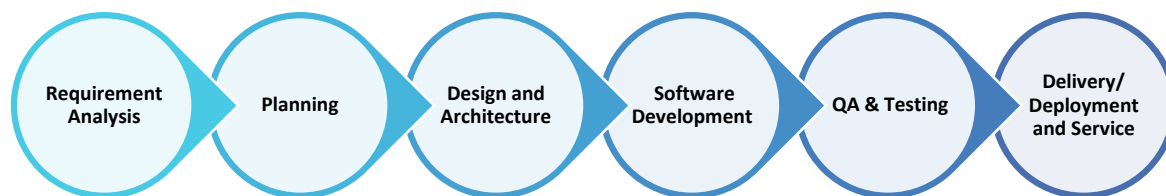
| Force                                       | Description/Analysis                                                                                                                                                                                                                                                                                |
|---------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Industry Competition<br><b>(Very High)</b>  | <ul style="list-style-type: none"> <li>▪ Traditional IT Services – Fierce Competition</li> <li>▪ Next Gen Services – Strong Competition</li> <li>▪ Industry Commoditization</li> <li>▪ Minimal Differentiation</li> </ul>                                                                           |
| Threat of Substitutes<br><b>(Low)</b>       | <ul style="list-style-type: none"> <li>▪ Technology (IT) is integral to organizations today and not replaceable</li> <li>▪ Organizations' internal IT capabilities can be real threats to the service segment</li> </ul>                                                                            |
| Threat of New Entrants<br><b>(Moderate)</b> | <ul style="list-style-type: none"> <li>▪ Traditional services are commoditized and threat of new entrants is very low</li> <li>▪ Disruptive areas are still open to change due to low entry barriers</li> </ul>                                                                                     |
| Buyer's Bargaining Power<br><b>(High)</b>   | <ul style="list-style-type: none"> <li>▪ Due to availability of alternatives, buyers have large bargaining power for both traditional and niche (SMAC) services.</li> </ul>                                                                                                                         |
| Supplier's Bargaining Power<br><b>(Low)</b> | <ul style="list-style-type: none"> <li>▪ With low differentiation and marginal value addition (if any) the suppliers have little to offer and consequently little to bargain over.</li> <li>▪ However niche products and service providers may still have higher bargaining capabilities</li> </ul> |



# Information Technology

## SDLC - Processes

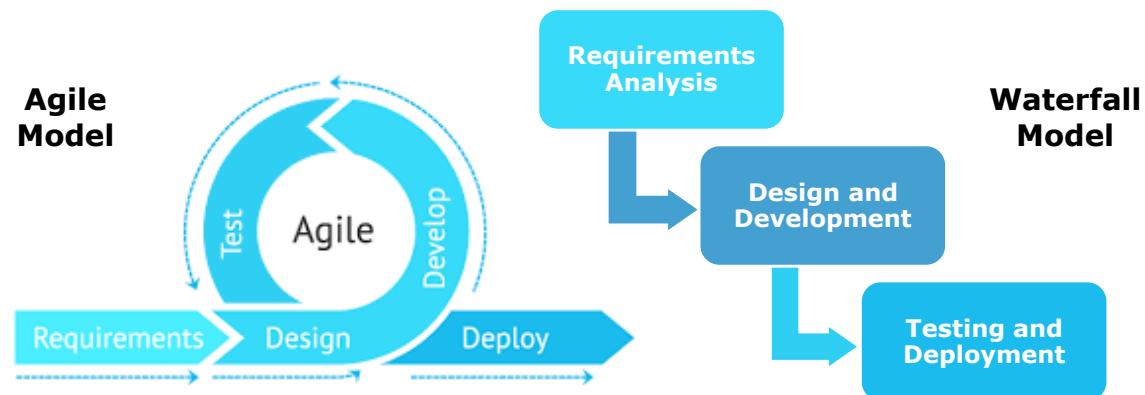
The **Software Development Life Cycle (SDLC)** refers to a methodology with clearly defined processes for creating **high-quality software solutions**. The general SDLC flow is represented below.



- **Requirements Analysis:** This stage of the SDLC process deals with understanding the requirements of the clients, taking in inputs from all stakeholders and translating them into software features.
- **Planning:** The planning stage seeks to answers questions of what needs to be done and how. Selection of methodologies happens at this stage of the SDLC.
- **Design and Architecture:** High level design and technical architecture of the solution is developed in conjecture with architects and experts.
- **Development:** The actual developmental work of writing code and integrating it.
- **QA & Testing:** Code and functionality testing, NFR (Non-functional requirements) and FEMA (Foreign Exchange Management Act) analysis, and quality assurance.
- **Delivery/Deployment:** Cutover/deployment of the software and/or delivery to the client and service maintenance.

## Software Development Methodologies

**Waterfall** and **Agile** are two of the most popularly used methodologies in the software development and management possesses. The Waterfall method is a traditional **unidirectional flow method** while Agile is a more **adaptive** and **outcome-oriented incremental process** with implementations such as **Scrum**, **Kanban**, **Lean**, **Scrumban**, and Extreme Programming.



## Organizations' (Non-Tech) Internal IT Value Chain



- (1) Drive the **IT portfolio** to **business needs** and **innovation targets**
- (2) Address **accurate business** in a timely fashion – the **what** and **when**
- (3) **Catalogue, fulfil, deliver**, and **manage service** and **product usage**
- (4) Anticipate and proactively resolve customer facing **production issues**



# Information Technology

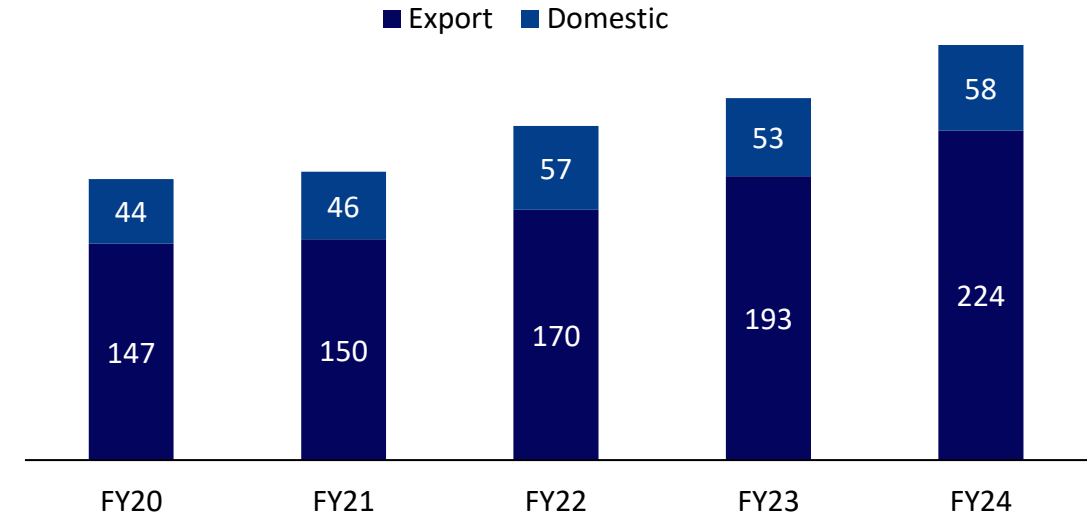
## Industry Statistics

- The IT industry accounted for **7% of India's GDP in FY24**, and it is expected to contribute **10% to India's GDP** by 2026..
- The IT spending in India is estimated to record double-digit growth of **11.1%** in 2024, totaling **USD 138.6 billion** up from **USD 124.7 billion** last year.
- India's IT industry is likely to hit the **USD 350 billion** mark by **2026** and achieve **USD 500 billion** in revenue by **2030**. The **USD 268.8 billion** Indian IT industry directly employed nearly 5.3 million people in FY 24.
- India's IT services exports reached a record high of **USD190 billion** in FY 2023, a growth of **17.5%** over FY 2022. The Indian information technology services export market is expected to grow at a CAGR of **11%-13%** over the next five years.
- The **US** is expected to **remain the largest export market** for Indian IT services, followed by the UK and the Eurozone.

## Industry Trends

- Companies of all sizes have begun to introduce **Gen AI solutions** into their operations, gaining tangible benefits such as improved customer experiences, streamlined business processes, reduced production issues, and higher revenues. **AI agents** are increasingly being deployed across industries to automate complex workflows, enhance decision-making, and enable autonomous task execution with minimal human intervention.
- The cloud computing market is projected to be valued at **USD 0.68 trillion** in 2024, with an anticipated growth to **USD 1.44 trillion** by 2029, exhibiting a CAGR of **16.40%** during the forecast period.
- In 2024, **blockchain technology** is poised to advance significantly, driven by trends such as increased adoption in enterprise solutions and a focus on sustainability.

## Revenue growth of Indian IT-BPM sector (USD Bn)



Source: NASSCOM

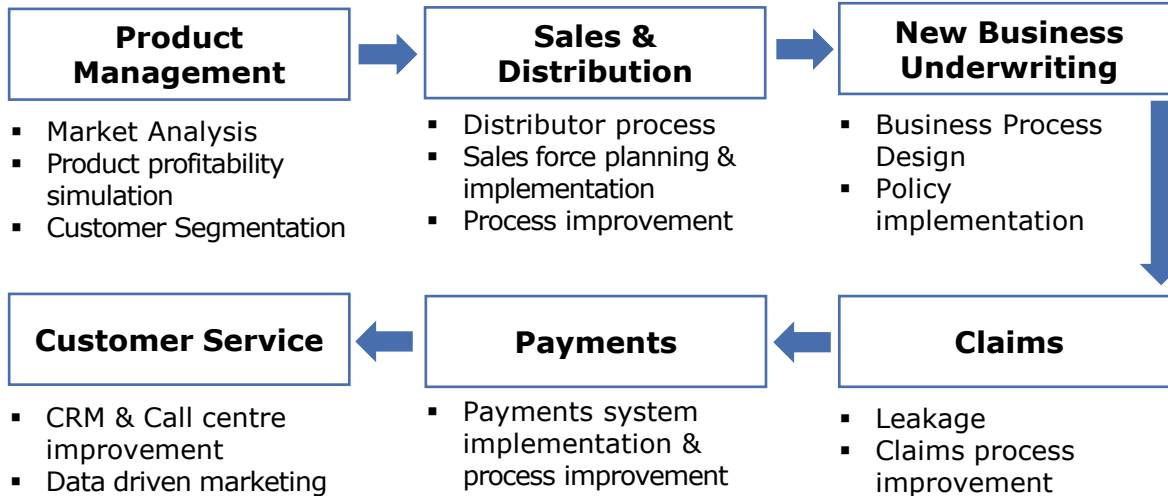
## Policy Support and Government Initiatives

- In the Union Budget 2025-26, the allocation for IT and telecom sector stood at **Rs. 97,579.05 crore (US\$ 11.77 billion)**.
- The government introduced the STP Scheme, which is a **100% export-oriented scheme** for the development and export of computer software, including export of professional services.
- Tata Electronics will invest **Rs. 91,000 crore** in Dholera, Gujarat to set up India's first **AI-enabled semiconductor fabrication facility** in partnership with PSMC. A new Rs. 13,000 Cr. SEZ plant has also been approved.



# Insurance

## Value Chain



## Drivers

### KPIs

- Revenue
- EBITDA
- Cost per claim
- Time to settle claim
- Retention ratio
- Underwriting speed
- Strike rate

### Cost Drivers

- Insurance Product
- Information Technology
- Marketing
- Human Resources
- SG&A

### Growth Drivers

- Rural Demand
- Government Support
- Custom made micro insurance products
- Rising financial literacy
- Rising Income

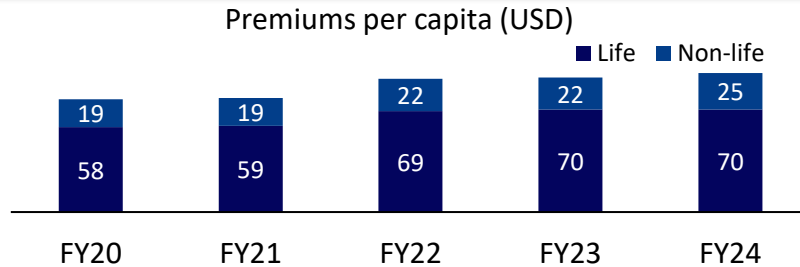
## Porter's Five Forces

| Force                                         | Description/Analysis                                                                                                                                                                                                                                                                                      |
|-----------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Industry Competition <b>(High)</b>            | <ul style="list-style-type: none"> <li>Presence of large-scale incumbents</li> <li>Strong brands such as HDFC Standard, SBI Life, ICICI Prudential</li> <li>Low exit barriers in the industry due to strong regulation</li> </ul>                                                                         |
| Threat of Substitutes <b>(Low)</b>            | <ul style="list-style-type: none"> <li>No real substitutes for some products like motor insurance</li> <li>Cheaper alternatives like savings &amp; investments offer low returns with high risks</li> </ul>                                                                                               |
| Threat of New Entrants <b>(Moderate)</b>      | <ul style="list-style-type: none"> <li>Huge capital investment</li> <li>Strict regulatory environment</li> <li>Brand identity &amp; established reputation</li> <li>Foreign ownership cap in non-life insurance increased from 74% to 100%</li> </ul>                                                     |
| Buyer's Bargaining Power <b>(Moderate)</b>    | <ul style="list-style-type: none"> <li>High volume of customers reflects customer diversity which impacts bargaining power</li> <li>Large businesses hold higher power than individuals</li> <li>Low customer loyalty &amp; high price sensitivity</li> <li>High switching costs for customers</li> </ul> |
| Supplier's Bargaining Power <b>(Moderate)</b> | <ul style="list-style-type: none"> <li>Suppliers include ICT companies &amp; re-insurers</li> <li>Large size &amp; moderate number of suppliers</li> <li>Reinsurers possess proprietary knowledge</li> </ul>                                                                                              |



# Insurance

## Industry Statistics



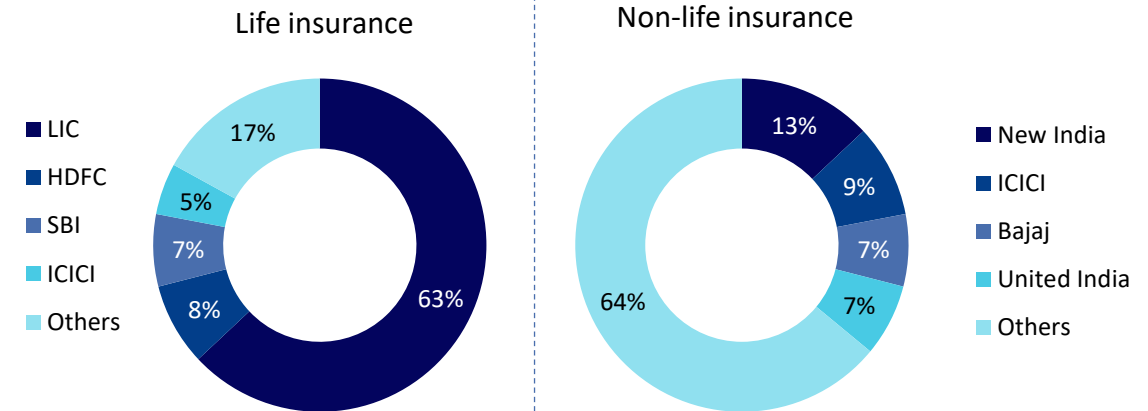
Source: IBEF, IRDAI

- Insurance market in India is expected to reach **US\$ 222 billion** by 2026.
- In FY 24, non-life players' saw a premium income increase by 19.5% year-over-year to **Rs. 1,14,972 crore** (US\$ 13.8 billion) due to strong demand for health and motor policies.
- Globally, India remains the fifth largest insurance market by total premium volume.

## Industry Trends

- The insurance industry in India is at the start of an insurance penetration S-curve, with the potential for rapid growth and profitability.
- Insurance cover for **50 crore individuals** under PM Suraksha Bima Yojana in the last decade.
- Premiums from India's life insurance industry is expected to reach Rs. **24 lakh crore** (US\$ 317.98 billion) by FY31.

## Major Players



Source: IRDAI

## Key Developments

- From April 1, 2023, maturity proceeds from life insurance policies with annual premiums over **Rs.5 lakh** (except on death) are taxable.
- Ayushman Bharat – PMJAY** continues to offer Rs.5 lakh cover per family, now extended to senior citizens (70+) under a separate scheme.
- PMFBY crop insurance premiums continue growing, with higher non-loanee farmer participation and capped premium rates for all crop categories.
- Life insurance sector added **2.76 lakh new agents in FY24**, taking the total to **nearly 29 lakh**



# Media and Entertainment

## Value Chain

**Content Creation**



**Distribution**



**Consumption**

- (1) Content Creation:** Production & creation of content, Transformation of content from original format to distribution ready formats, Protection from illegitimate consumption, Enable different viewing modes. Includes: Artists, Podcasters, Sports, Studios, Journalists, Advertisers,
- (2) Distribution:** Facilitate content discovery by managing content metadata, Distribute content to a wide userbase. Includes: Print, Broadcasters, OTT, Social media.
- (3) Consumption:** End-user consumption, Authorise and authenticate users, Continuous monitoring to ensure performance, Obtain financial returns. End-users includes division by demographics and format

## Drivers

### KPIs

- CPC (Cost per click)
- Unique Reach
- ROI/ROAS
- CLV (Customer Lifetime Value)
- Sales Conversion
- Site Visits
- Viewable Impressions

### Cost Drivers

- Content Creation
- Website Maintenance
- Platform Maintenance
- IT Systems
- Salaries
- Licensing & Copyrights

### Growth Drivers

- Proprietary Content
- Affordable Subscription
- Personalisation
- Expanding Middle-Class
- Cheaper Internet

## Porter's Five Forces

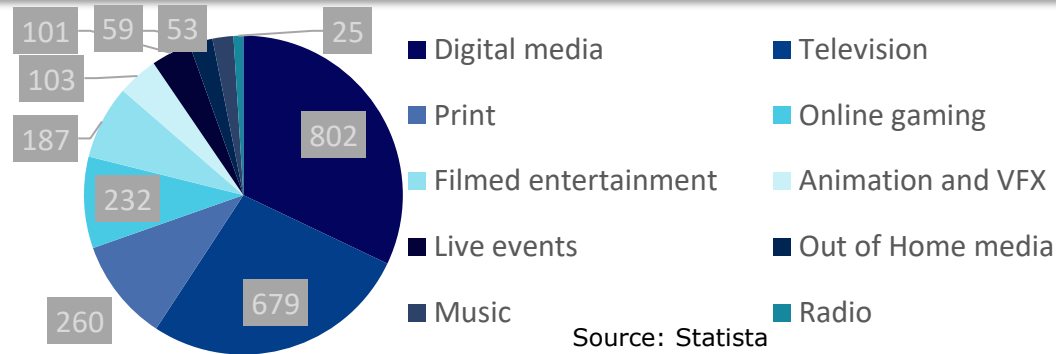
| Force                                            | Description/Analysis                                                                                                                                                                                                                                                                                                             |
|--------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Industry Competition<br><b>(Moderate)</b>        | <ul style="list-style-type: none"> <li>▪ Public TV vs Subscription Services</li> <li>▪ Print Media faces the issue of storage costs</li> <li>▪ Ease of transferring assets reduces barriers to exit market</li> </ul>                                                                                                            |
| Threat of Substitutes<br><b>(High)</b>           | <ul style="list-style-type: none"> <li>▪ Online Piracy is a threat across platforms</li> <li>▪ Legal Online alternatives to Cable TV</li> <li>▪ In-house marketing departments</li> <li>▪ Social media Advertising</li> <li>▪ Cheaper alternatives with low switching costs</li> </ul>                                           |
| Threat of New Entrants<br><b>(Moderate)</b>      | <ul style="list-style-type: none"> <li>▪ Subscription tends to lock customer loyalty</li> <li>▪ High differentiation &amp; fixed costs</li> <li>▪ Lower regulation &amp; accessible distribution makes entry easier</li> </ul>                                                                                                   |
| Buyer's Bargaining Power<br><b>(Low)</b>         | <ul style="list-style-type: none"> <li>▪ Advertising agencies' clients (MNCs to Govts) have higher power due to its dispensability</li> <li>▪ Patronage of brands reduce power in the publishing industry</li> <li>▪ Shift from cinema to streaming services</li> <li>▪ Yearly contracts of advertisers with Cable TV</li> </ul> |
| Supplier's Bargaining Power<br><b>(Moderate)</b> | <ul style="list-style-type: none"> <li>▪ Major events like Olympics &amp; World-cups give more power than a new entertainment series</li> <li>▪ Backward integration with production companies reduces their power</li> </ul>                                                                                                    |





# Media and Entertainment

## Size of Media & Entertainment Industry (in INR billion)



- The Indian M&E sector grew 3.3% in 2024, reaching Rs. 2.5 trillion (US\$29.4 billion).
- Digital media in India became the largest segment, contributing 32% of M&E sector revenues.
- New media, including digital media and online gaming, grew 12% and now make up 41% of the M&E sector's revenues.

## Industry Trends

- The industry is well known for its extremely high volumes and rising Average Revenue Per User (**ARPU**)
- Indian M&E industry is on the cusp of a strong phase of growth, backed by rising consumer demand and improving advertising revenue. According to a FICCI-EY report, the **M&E** sector contributed **0.73% to the GDP** in 2024.
- India has also experienced growing opportunities in the VFX sector as the focus shifted globally to India as a preferred content creator

## Major Players

|                 |                         |                   |                             |
|-----------------|-------------------------|-------------------|-----------------------------|
| Television      | Star India              | ZEE Entertainment | Multi-Screen Media (Sony)   |
| Print           | Bennett, Coleman and Co | HT Media          | Living Media India          |
| Films           | Yash Raj Films Studio   | Eros Int'l Media  | Red Chillies Entertainments |
| OTT             | JioHotstar              | Eros Now          | Amazon Prime                |
| Gaming          | Nazara                  | MPL               | Dream11                     |
| Music Streaming | Gaana                   | Spotify           | Wynk                        |

## Key Developments

- The rapid growth of OTT channels, increased emphasis on animated **intellectual property (IP)** content and larger investments in VFX by studios has provided animation and VFX studios with opportunities in both domestic and international markets
- The Government of India has increased the FDI limit from **74% to 100%**
- The government is working towards creating a **National Centre of Excellence for AVGC** (Animation, Visual Effects, Gaming and Comics)



# Telecommunication

## Value Chain



- (1) **Physical Infrastructure:** Tower Setup and Operations Deployment, Infrastructure Sharing, Switches, Routers, and Firewalls, Integration, and Deployment. Service Portfolio – Voice, Data, Hybrid, and OTT. SIM Operations, Network Protocols, QoS, and Regulatory Compliance
- (2) **Device Manufacturers:** Wireless Technologies and On Device Capabilities, Other Wired and Wireless Devices (IoT/Wearable)
- (3) **Service and Content Providers:** Social Media, Messaging Services, Audio and Video Content, and OTT Services
- (4) **End Users:** Data and Voice, Recharge Plans, Usage Patterns, Promotion & Engagement Portfolio, and Customer Care Centres

## Drivers

### KPIs

- Average Revenue Per User
- Acquisition Cost
- Minutes of Usage
- Network Operating Cost
- Churn
- Tele Density
- Availability and Utilization

### Cost Drivers

- Spectrum Auctions
- Commission Charges
- Network Investments
- Op-Ex
- Customer Costs

### Growth Drivers

- Growing Demand
- Mobile Penetration
- The Rise of OTT
- Content Democratization
- FDI Relaxation

## Porter's Five Forces

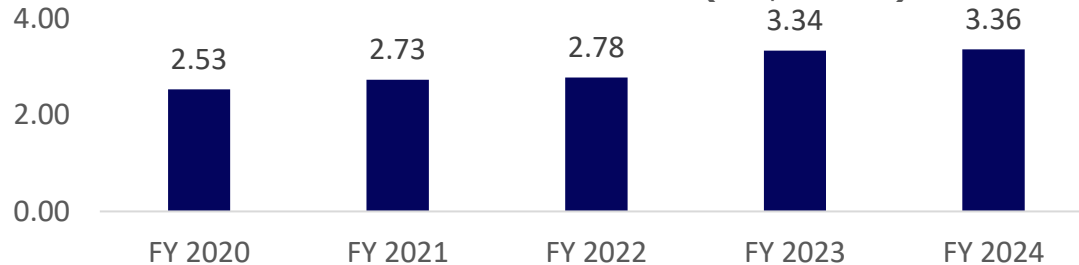
| Force                                            | Description/Analysis                                                                                                                                                                                                                                |
|--------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Industry Competition<br><b>(High)</b>            | <ul style="list-style-type: none"> <li>▪ Fiercely competed industry with a few players</li> <li>▪ Both private and state owned entities exist</li> <li>▪ Predatory Pricing has augmented competition</li> </ul>                                     |
| Threat of Substitutes<br><b>(Moderate)</b>       | <ul style="list-style-type: none"> <li>▪ Mobile and Telecom connectivity is not replaceable and hence enjoys dominance</li> <li>▪ However, cable TV and satellite operators, and are developing their own telecom infrastructure rapidly</li> </ul> |
| Threat of New Entrants<br><b>(Low)</b>           | <ul style="list-style-type: none"> <li>▪ High Entry Barriers – Investment and Regulation</li> <li>▪ Well financed and well structured companies may pose serious threats (Jio, for example)</li> </ul>                                              |
| Buyer's Bargaining Power<br><b>(Very High)</b>   | <ul style="list-style-type: none"> <li>▪ With a variety of options and negligible switching costs, the buyers enjoy a distinctive advantage.</li> </ul>                                                                                             |
| Supplier's Bargaining Power<br><b>(Very Low)</b> | <ul style="list-style-type: none"> <li>▪ With an oligopolistic structure, the suppliers' freedom is hamstrung by competitors willing to offer similar services at lower price points.</li> </ul>                                                    |



# Telecommunication

## Industry Statistics

Telecom sector Gross Revenue (US\$ billion)



Source: Statista

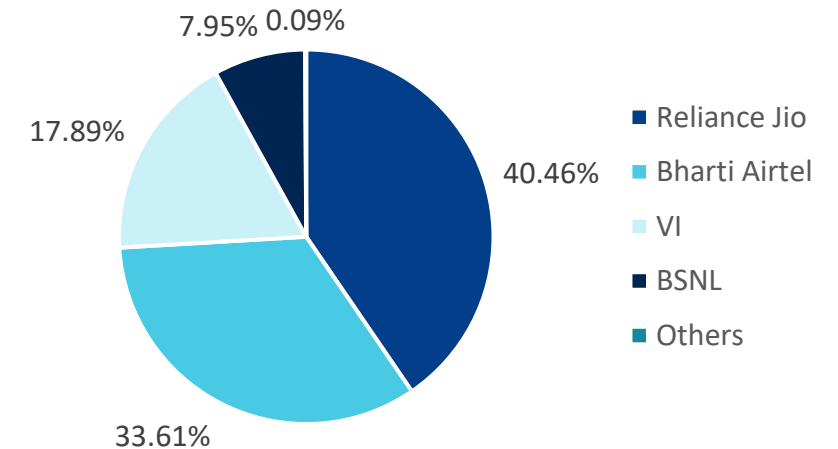
- India is the world's **second-largest** telecommunications market. As of Feb '25, wireless **tele-density stood at 82.23%**.
- Gross revenue of the telecom sector stood at Rs. 91,426 crore (US\$ 10.46 billion) in Q2 FY25.
- By 2025, India will need **~22 million** skilled workers in 5G-centric technologies such as Internet of Things (IoT), Artificial Intelligence (AI), robotics and cloud computing.

## Industry Trends

- India (as on Feb '25) has close to 94.4 crore broadband subscribers with 4.12 crore wireline and 90.28 crore wireless subscribers.
- Companies like JioSatellite, OneWeb (Bharti-backed), and Starlink are accelerating deployment to bridge rural-urban connectivity gaps by obtaining **Satcom** licenses, in a major policy shift of Indian Government.
- The central government unveiled the **Bharat 6G Vision Document** in March 2023, outlining the nation's ambitious plan to design, develop, and deploy 6G network technologies by **2030**.

## Major Players and Market Shares

Market Share – Indian Telecom Service Providers (Apr '25)



Source: TRAI

## Policy Support and Government Initiatives

- The **Telecom Act, 2023** came into effect, replacing colonial-era laws and introducing a modern regulatory framework for spectrum management, right of way, and consumer protection.
- To revive **Vodafone Idea** and **support industry stability**, the government **waived interest and penalties** on AGR dues, offered deferred payment options, and enabled equity conversion-signaling its commitment to preserving competition and telecom sector health.
- The government approved an **outlay of Rs.12,195 crore** for the Telecom & Networking PLI scheme in February 2021. As of **Jan '25**, the scheme recorded **Rs.4,081 crore** in investment, Rs.78,672 crore in total sales.



# Pharmaceuticals

## Value Chain



- (1) **R&D:** Research, Pre-clinical Trials, Clinical Trials, Approval, Government Mandates, Regulation and Price Control
- (2) **Active Pharmaceutical Ingredients (APIs)/Chemicals:** Procurement, Suppliers, Inventory Management, and Cold Storage Units
- (3) **Manufacturing & Packaging:** Manufacturing Infrastructure, Technology, License to Produce, Production Planning and Scheduling, Packaging, and Quality Control
- (4) **Storage & Shipping:** Warehousing, Distribution Network, and Out-bound Logistics
- (5) **Marketing & Distribution:** Sales Force, Channels, Stockists, Strategy

## Drivers

### KPIs

- R&D expenses for new drugs
- Number of new drugs
- TAKT time
- Phase 1/2/3 survival rate

### Cost Drivers

- R&D
- Sales and Distribution
- Manufacturing
- Capital Cost

### Growth Drivers

- Healthcare & technology convergence
- Rising exports
- Low production cost
- Strategic alliances
- Biotechnology
- Growing urbanization

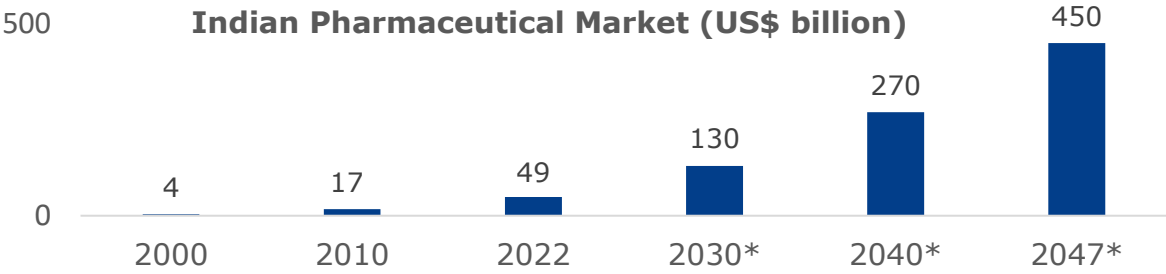
## Porter's Five Forces

| Force                                | Description/Analysis                                                                                                                                                                                                                                                                                                                                                               |
|--------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Industry Competition<br>(High)       | <ul style="list-style-type: none"> <li>▪ Presence of large-scale &amp; established players as well as numerous small players</li> <li>▪ Trend of M&amp;A deals absorption of small players by large players – leading to consolidation</li> <li>▪ Technological advancement in biotechnology &amp; generics – leading to rapid development of niche markets and players</li> </ul> |
| Threat of Substitutes<br>(Medium)    | <ul style="list-style-type: none"> <li>▪ Production of generic drugs once the patents expire is not profitable</li> <li>▪ Alternative medicines &amp; treatments such as Ayurveda and Homeopathy are popular</li> <li>▪ Emergence of biotech/genomic industries</li> </ul>                                                                                                         |
| Threat of New Entrants<br>(Low)      | <ul style="list-style-type: none"> <li>▪ Huge up-front costs in R&amp;D, manufacturing, talent and technology know-how</li> <li>▪ Strong government regulations &amp; complicated process of approvals</li> <li>▪ High risk of no ROI if the company fails</li> </ul>                                                                                                              |
| Buyer's Bargaining Power<br>(Medium) | <ul style="list-style-type: none"> <li>▪ Hospitals &amp; other health organizations which buy in bulk, possess certain bargaining power</li> <li>▪ High power of manufactures to dictate price until patent expires balances this skew</li> <li>▪ High cost of switching for dealerships</li> </ul>                                                                                |
| Supplier's Bargaining Power<br>(Low) | <ul style="list-style-type: none"> <li>▪ Several suppliers are willing to supply raw materials, limiting their bargaining prowess</li> <li>▪ Lower switching cost for manufacturers</li> <li>▪ Threat lowered owing to backward integration</li> </ul>                                                                                                                             |



# Pharmaceuticals

## Industry Statistics



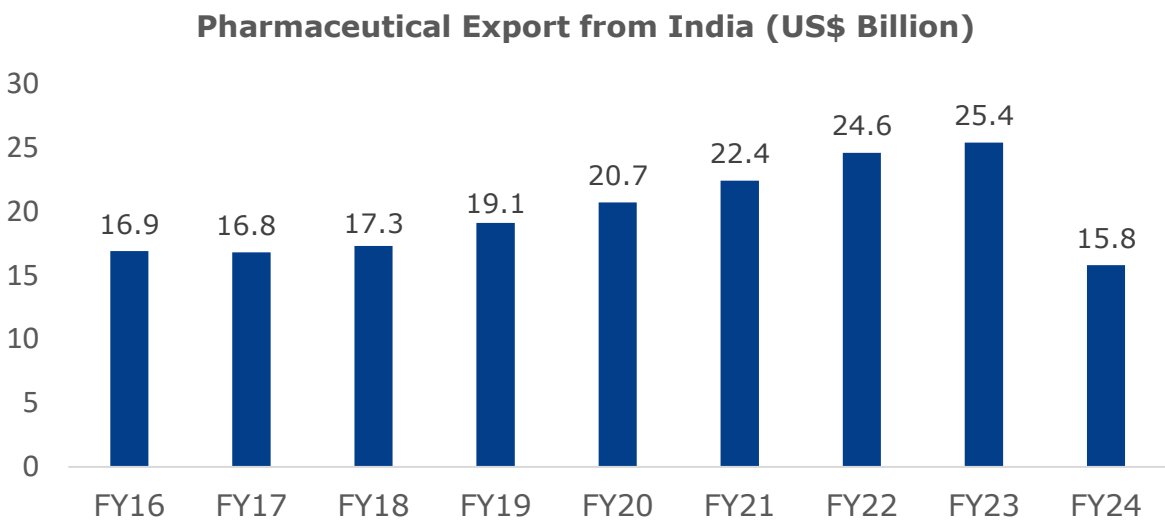
Source: Statista

- India is among the **top 12 destinations** for biotechnology worldwide and 3rd largest destination for biotechnology in Asia Pacific. The country holds **3-5%** of the global biotechnology industry pie.
- The Indian pharmaceutical industry has seen a massive expansion over the last few years and is expected to reach about **13% of the size of the global pharma market** while enhancing its quality, affordability, and innovation.

## Industry Trends

- The total market size of the Indian Pharma Industry is expected to reach **US\$ 130 billion** by 2030
- Widespread use of AI and ML models to accelerate target identification, molecule design, and clinical trial optimization.
- Post-COVID and geopolitical tensions (e.g., China-US, India-EU) have led to reshoring and **'China+1'** sourcing strategies.
- Blockbuster **weight-loss** and **diabetes drugs** like Ozempic and Mounjaro (GLP-1 agonists) have driven unprecedented growth.

## Pharmaceuticals Export Trend: Indian Lens



Source: Statista

## Major Players in India

- |                  |                   |                  |
|------------------|-------------------|------------------|
| ▪ Sun Pharma     | ▪ Aurobindo Pharm | ▪ Lupin          |
| ▪ Cipla          | ▪ Cadila Health   | ▪ Alembic Pharma |
| ▪ Dr Reddy's Lab | ▪ Glenmark        | ▪ Divis Labs     |

# Casebook



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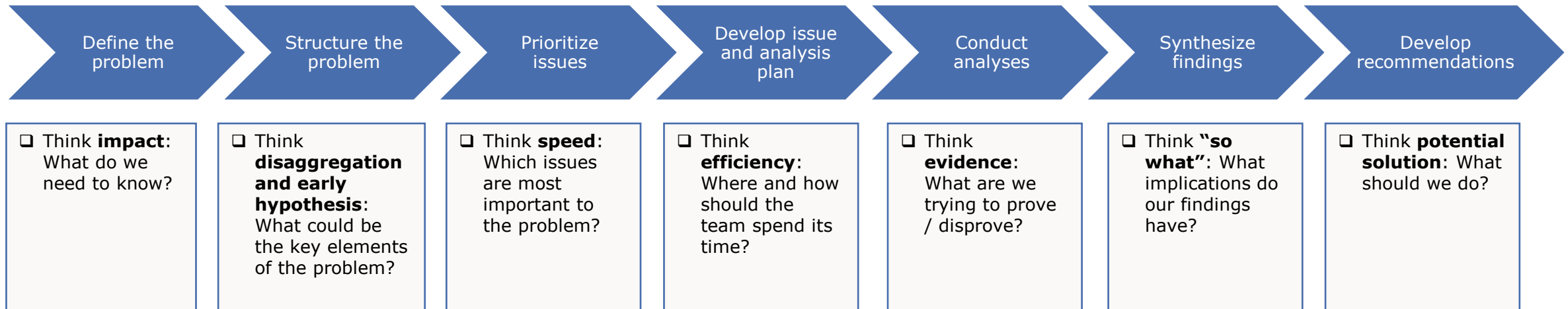


# Consulting Overview

## What is Consulting?

- Consulting means being “**engaged in the business of giving expert advice and recommending solutions to people working in specific fields**”
- Typical focus areas of consulting include business strategy, project and product management, organizational processes, operations management, and technology enablement

## Problem solving process for a business case



### How to ace consulting?

To excel in consulting, focus on expertise, problem-solving, communication, client-centricity, teamwork, adaptability, time management, innovation, presentation skills and networking

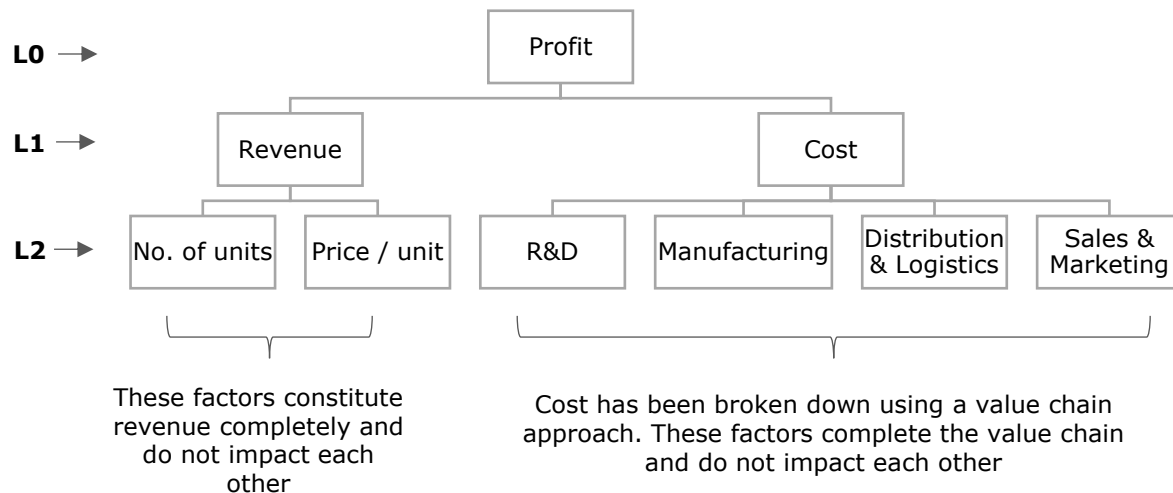




# Frequently Used Concepts

## MECE (Mutually Exclusive, Collectively Exhaustive)

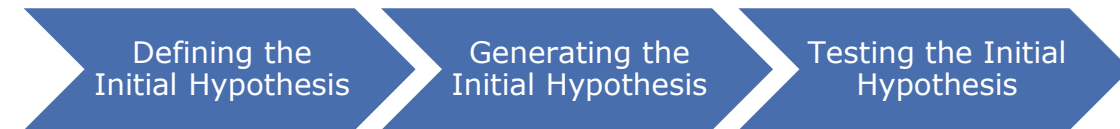
- “*Mutually Exclusive*” means that one factor does not overlap with the other and “*Collectively Exhaustive*” means that several components together complete a larger factor
- In a business case, at every level, the factors should be MECE. They should constitute (n-1) level completely & do not impact each other
- For e.g., While dividing profit, revenue and cost are the MECE factors



**Tip:** While segmenting, try to ensure that the number of segments is neither less than 2 nor more than 5 (3 or 4 is ideal)

## Initial Hypothesis based Problem Solving

- Once the problem is structured leveraging MECE ideas, Initial Hypothesis (IH) is used
- Once the IH is verified, you can then move deeper in the analysis to focus on one (or multiple) area(s) the IH was pointing to
- If it turns out to be wrong, you would have acquired ample knowledge to arrive at the correct hypothesis



3-step process to proceed with Initial Hypothesis

## 80/20 Rule – The Pareto Principle (Rule)

- According to 80/20 rule (also known as the **Pareto Rule**), 20% of the factors result in the 80% of the results
- In business, it is used to identify the big fish and helps consultants filter through noise and identify high impact areas
- For e.g., 80% of the profits come from 20% of the customers

*It is important to have a good understanding of these principles as these help develop an initial hypothesis and structure the problem.*





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# The 3C-P Framework

## 3C-P



### Customers

- Identifying the Customer -
  - ✓ Customer Segments and Personas
  - ✓ Compare current customer metrics with the past
- Customer Needs
- Price Sensitivity and Willingness to Pay
- Bargaining Powers



### Company

- Core Competencies – Business Line, Products and Services
- Vertical Capabilities – Sourcing and Selling
- Capital Allocation – Core Activities, R&D, CSR
- Financial Situation and Key Metrics (Ratios)
- Organizational Structure and Culture



### Competition

- Number and Market Share of Competitors
- Industry Structure, Trends, Behaviour, and Best Practices
- Minimum Viable Product (MVP) and Unique Selling Propositions (USPs) of competitors and the company
- Power of Suppliers and Distributors
- Regulations & Governance



### Product

- Product Specifications
- Product Positioning
- Product Differentiation – Blue Ocean, Red Ocean, or Whitespace
- Power of Substitutes
- Brand Equity of the Product – risk of brand dilution
- Product Lifecycle



# The 4P Framework

## 4P's



### Product

- Product Specifications
- Product Positioning
- Product Differentiation – Blue Ocean, Red Ocean, or Whitespace
- Power of Substitutes
- Brand Equity of the Product – risk of brand dilution
- Product Lifecycle



### Price

- Price Elasticity (sensitivity) of the product
- Target consumers and their willingness to pay
- Customers' perceived value of the product
- Customers' intention to switch and ease of switching
- Historical pricing & price of the substitutes



### Place

- Distribution Channels (retail, wholesale, online, omnichannel)
- Alignment of channels with company's strategy and capabilities
- Role of each of the intermediaries in the value chain
- Company's control over its distribution channel



### Promotion

- Objective of Promotion – message to consumers
- Promotion Strategy: Pull vs Push
- Metrics to identify the effectiveness of campaigns
- Building long term relationships with customers
- Barriers to communication
- Budget allocated to promotion



# Porter's Five Forces

Porter's Five Forces tool was created by Harvard Business School professor Michael E. Porter, to analyze an **industry's attractiveness** and likely **profitability**. The forces (as mentioned below) are used to assess market attractiveness both for **new entrants** and **existing companies/incumbents**. In general, the stronger the five forces are, the less attractive is the industry.

| Each of Porter's Forces <b>increases</b> as the following factors become more prominent                                                                                                                                                                            |                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                            |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Industry Rivalry                                                                                                                                                                                                                                                   | Threat of Substitutes                                                                                                                                                                                                          | Barriers to Entry                                                                                                                                                                                                                                                                                 | Buyer's Bargaining Power                                                                                                                                                                                                                                                             | Supplier's Bargaining Power                                                                                                                                                                                |
| <ul style="list-style-type: none"><li>▪ Number of competitors</li><li>▪ Size of competitors</li><li>▪ High fixed cost</li><li>▪ Lower product differentiation</li><li>▪ Brand recognition</li><li>▪ Highly specialized assets</li><li>▪ Barriers to exit</li></ul> | <ul style="list-style-type: none"><li>▪ Availability of substitutes</li><li>▪ Low switching cost</li><li>▪ Relative benefits of substitutes</li><li>▪ Higher buyer's propensity to adopt/experiment with substitutes</li></ul> | <ul style="list-style-type: none"><li>▪ Economies of scale</li><li>▪ High capital requirement</li><li>▪ Product differentiation</li><li>▪ Regulatory constraints</li><li>▪ Brand recognition</li><li>▪ Hard to access distribution channels</li><li>▪ High switching cost for customers</li></ul> | <ul style="list-style-type: none"><li>▪ Less number of powerful buyers</li><li>▪ Lower switching cost for buyers</li><li>▪ Substitutes' availability</li><li>▪ Low product differentiation</li><li>▪ Buyers' ability to integrate backward</li><li>▪ High price elasticity</li></ul> | <ul style="list-style-type: none"><li>▪ Contribution to quality</li><li>▪ Contribution to cost</li><li>▪ High switching costs for the company</li><li>▪ Suppliers' threat of forward integration</li></ul> |

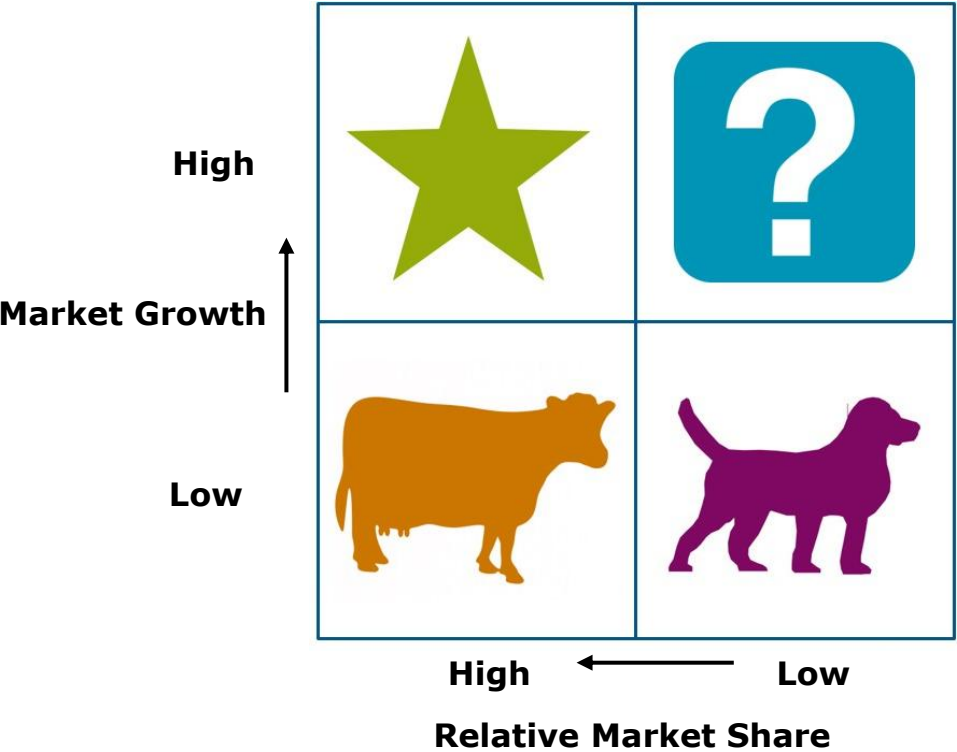


**Tip:** Don't use Porter's Five Forces analysis as a forced approach to solving a specific case. Instead, you should resort to the forces with a bigger, more general framework (e.g., cost benefit analysis, market entry analysis and so on)



# The BCG Matrix

Created by the Boston Consulting Group, the BCG matrix – also known as the **growth share matrix** – provides a **strategy for analyzing products according to their growth potential and relative market share**.



**Tip:** Use the BCG Matrix to analyze product portfolios and strategic decisions. The application can also be extended to cost analysis and new product development.

| Matrix Element | Description                                                   | Strategy To Be Adopted/Action Plan    |
|----------------|---------------------------------------------------------------|---------------------------------------|
| Stars          | Monopolies and First to Market Products                       | Invest, Innovate, Improve             |
| Cash Cows      | Currently doing well with limited opportunities in the future | Strengthen and Leverage               |
| Dogs/Pets      | Weak in the markets and difficult to turn around              | Liquidate and Exit                    |
| Question Marks | Uncertainties that can either becomes Stars or Dogs           | Invest and push to Stars/Exit as Dogs |

### Example

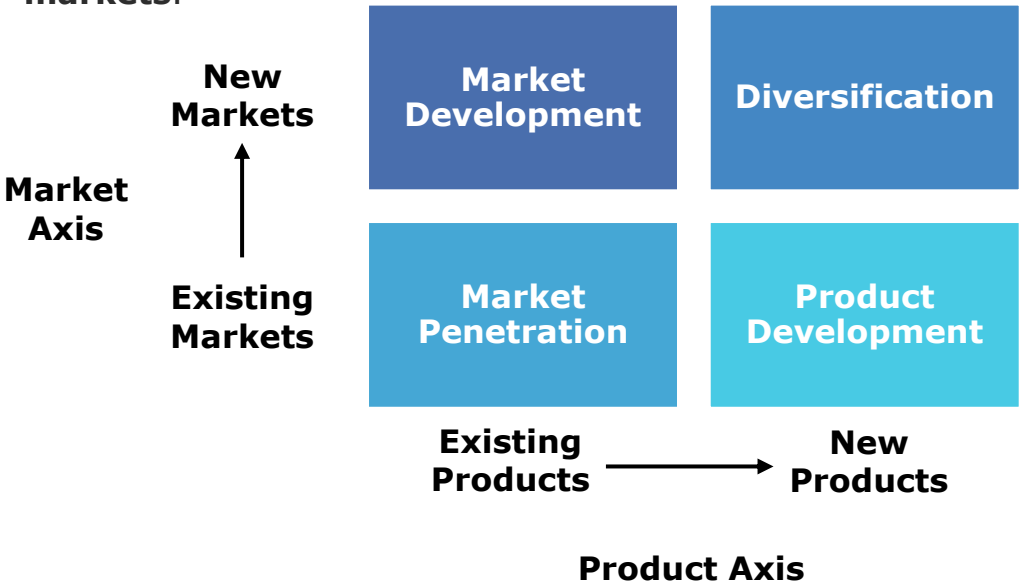
Apple Inc. would classify the **iPhone** as a **Star**, **iWatch** and **Apple TV** as **Question Marks**, the **iPad** as a **Cash Cow**, and the **iPod** as a **Dog/Pet**.





# The Ansoff Matrix

The Ansoff Matrix, also known as the **product/market expansion grid**, helps lay out **strategies for organizational growth**. The matrix posits a cost – benefit tradeoff analysis highlighting **whether the company should focus on new products or on new markets**.



## Examples

- **Market Penetration:** Selling new iPhone models to existing Apple customers
- **Product Development:** Launching the Apple Watch for its existing customer base
- **Market Development:** Offering the iPhone in a new country for the first time
- **Diversification:** Creating Apple TV+ to enter the video streaming market

| Matrix Element      | Description                                                                 | Strategy To Be Adopted/Action Plan                                              |
|---------------------|-----------------------------------------------------------------------------|---------------------------------------------------------------------------------|
| Market Penetration  | Increasing sales volumes to existing customers                              | Price Cuts, Increased Promotion, Acquisitions                                   |
| Market Development  | Entering new markets and selling to new customers with existing products    | New Market Entry (Domestic and International), Market and Customer Segmentation |
| Diversification     | Identifying new lines of business                                           | R&D, Investment, M&A (Related or Unrelated)                                     |
| Product Development | Develop and introduce new products into existing markets and customer bases | R&D, Development, Collaboration and Partnerships, Inorganic Growth              |



**Tip:** Use the Ansoff Matrix to critically identify growth opportunities for the organization. Based on the organization's priorities, focus either on market or product strategies.





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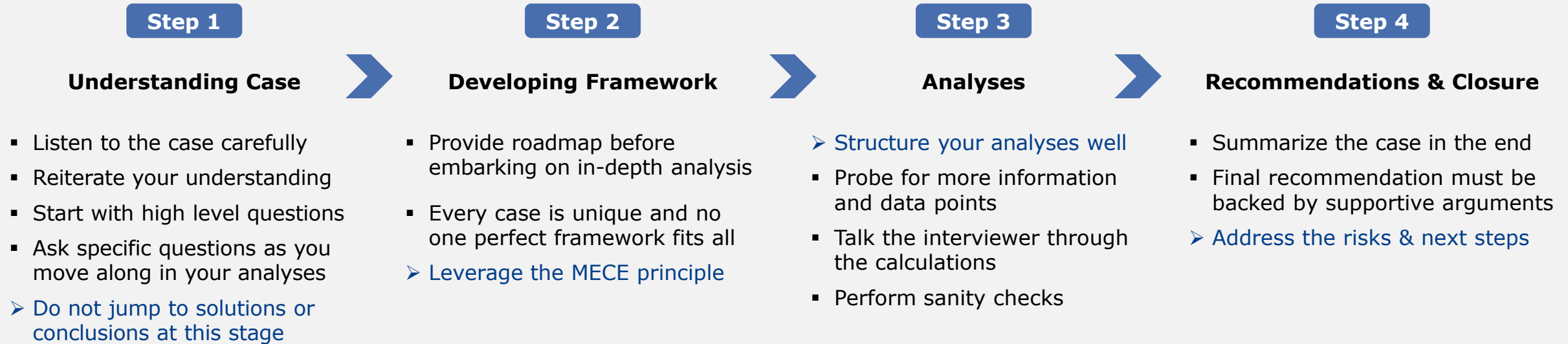
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# Approaching Case Interviews



## Dos

- Make sure to explain the reasons behind the choices
- Take time to organize your thoughts and ideas
- Be transparent about the thought process
- Make quick calculations to form & guide decisions
- Conversational skills matter - Engage with the interviewer

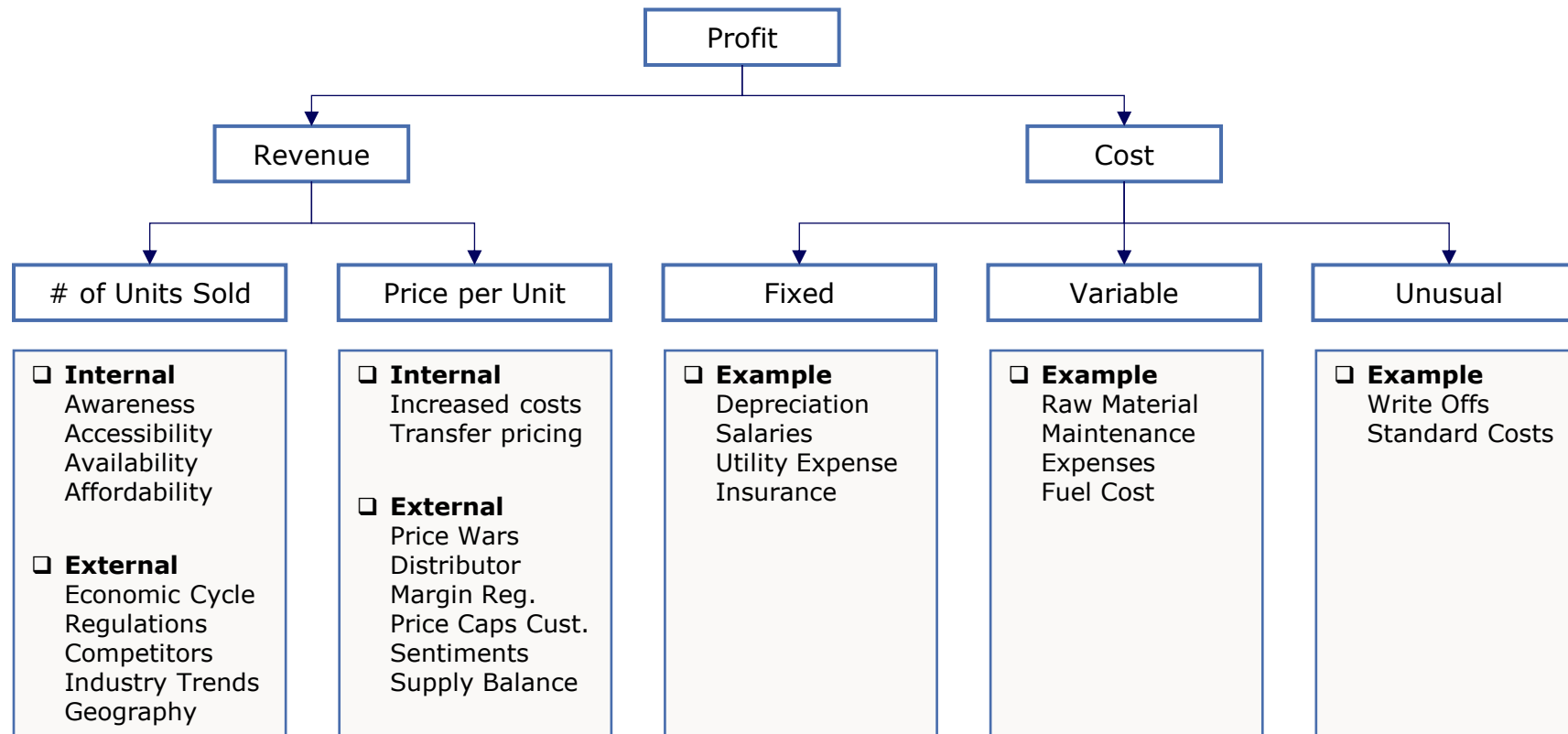
## Don'ts

- Don't rush into the analysis
- Don't stick to a standard framework at all times
- Don't defend your solution at all costs; be accommodative
- Don't assume that a case that sounds familiar



# Profitability Framework

## Framework



● Split Profit into Revenues and Costs as per the framework and dig deeper into each driver

● For Costs, clearly lay out the value chain of the process to ensure you do not miss out on any factor

● For Revenue, in addition to volume & price, also look at the product mix

● Fixed and variable cost based approach might not be MECE, leverage the value chain analysis in such cases

● Basic accounting principles of costing and allocations might come in handy while analyzing costs in detail

## High Level Analysis

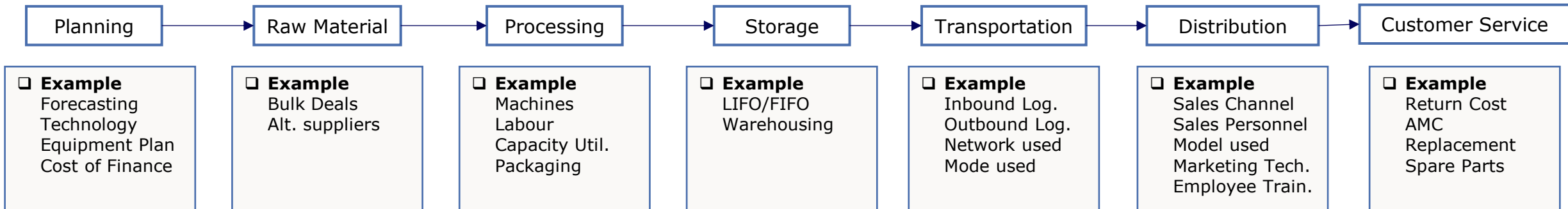
- ☐ Reiterate the problem to have a clear understanding of the case
- ☐ Use the 3C-P framework to develop ideas about the customer, the company and its capabilities, the competitive landscape and product/product portfolio
- ☐ Understand the timelines and context better – Since when is the company facing these issues? Is it an industry wide trend or is it specific to the company?



# Profitability Framework

## Value Chain Approach

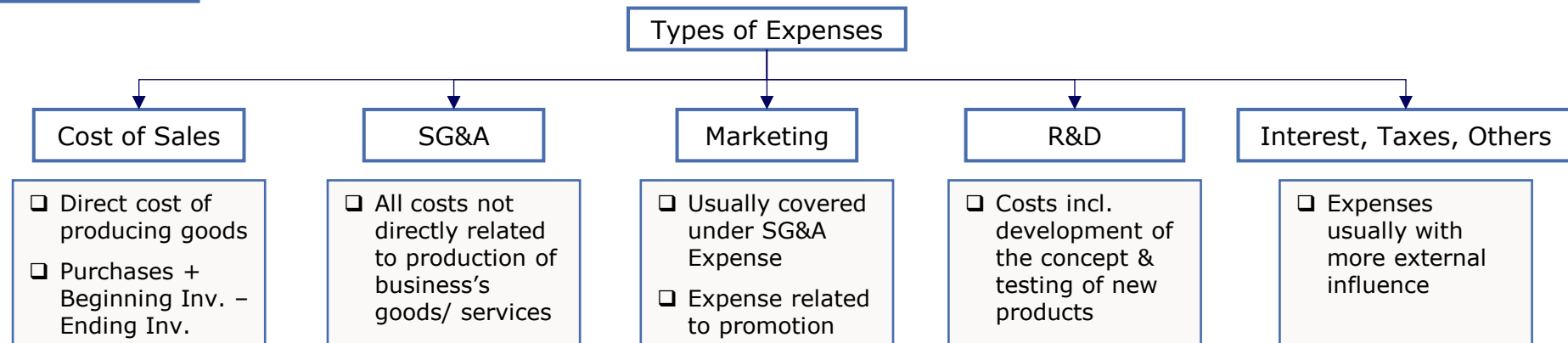
The Value Chain Approach provides a framework for deconstructing a business into its key activities to analyze precisely **how and where costs are incurred**.



## High Level Analysis

- Value chain approach is an exhaustive way of looking at costs involved in a product/service
- The idea is to split costs from the time of Raw material procurement to Customer service.
- This level of analysis can be done for both products & services.

## P&L Approach





# Profitability Case 1: Toy Manufacturing Company

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Beginner      |

**Prompt:** Your client is the owner of a toy manufacturing company. Over the past three years, they have been experiencing a decline in revenues. Figure out the reasons and suggest possible solutions.

Sure! I'd like to start by understanding more about the client. Can you tell me how big the company is and which markets it operates in?

The company operates in North America and Europe. It manufactures a mix of traditional toys, like action figures and dolls, as well as educational toys.

Got it. Is this revenue decline affecting the entire business, or is it specific to a particular category of toys?

The decline is more pronounced in traditional toys, while educational toys have seen slight growth.

Understood. Since when has this problem started?

We have observed this declining trend over the past three years, with an overall revenue drop of 20%.

To further analyze the issue, I'd like to break down profitability into revenue and costs. Do you have a preference on which to start with?

Costs have largely remained the same or grown as per expectations. It's the revenues that have seen a decline.

Let's focus on revenue, then. Revenue can be split into volume and price, and we will also analyze the product mix. Can you clarify if the decline is driven by lower sales volume, price reductions, or a shift in product preferences?

The main issue seems to be a decline in the volume of sales for traditional toys, while educational toys have not grown fast enough to compensate for the loss.

Okay, we are seeing a reduction in the volume of traditional toy sales. Now let's see why. First, looking at customer demand-have we seen any major shifts in consumer preferences, such as a move toward digital entertainment or mobile gaming?

Yes, digital games and mobile apps have been growing in popularity, taking a significant market share from traditional toys

That makes sense. Have we also observed a decline in customer retention? Are former customers switching to competitors' products instead of ours? Are brands offering interactive, app-connected toys, which seem to be more attractive to children??

Yes, there has been increasing competition from other toy brands that have incorporated technology into their products.

Got it. Now, let's also consider distribution channels. Have there been any challenges with getting our products to customers, such as retail partnerships, e-commerce performance, or supply chain issues?

No major distribution issues. However, sales through traditional toy stores have slowed, while e-commerce channels have seen some growth.

Understood. Based on this, the primary issues seem to lie externally. Internally, the company appears stable, with no significant concerns regarding costs or operations. However, externally, several factors are contributing to the decline:

- **Industry Trends:** A clear consumer preference shift toward digital entertainment and mobile gaming is reducing demand for traditional toys.
- **Competition:** Competitors are outperforming by offering tech-integrated toys that combine physical and digital play, making traditional toys feel outdated.
- **Geography:** Sales are slowing in mature markets like North America and Europe, where digital alternatives dominate.
- **Distribution Channels:** The shift toward e-commerce is promising, but the company hasn't fully optimized this channel to offset declining retail sales.

That's a great breakdown. Well done!





# Profitability Case 1: Toy Manufacturing Company

**Prompt:** Your client is the owner of a toy manufacturing company. Over the past three years, they have been experiencing a decline in revenues. Figure out the reasons and suggest possible solutions.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Approach                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area</b><br/>Decline in revenues, especially in traditional toys.</li><li>❖ <b>Timeline</b><br/>Last three years</li><li>❖ <b>Revenue Trend</b><br/>Decline in sales volume of traditional toys; slight growth in educational toys.</li><li>❖ <b>Cost Trend</b><br/>Costs stable or growing as expected.</li><li>❖ <b>General Observations</b><ul style="list-style-type: none"><li>○ Consumer shift toward digital entertainment.</li><li>○ Competition from tech-integrated toys.</li><li>○ Slower sales in traditional retail.</li></ul></li></ul> | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ Clear breakdown of revenue drivers.</li><li>○ Identified external factors (industry trends, competition, distribution).</li><li>○ Proposed actionable short- and long-term solutions.</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>○ Could have quantified e-commerce growth impact more precisely.</li><li>○ Needed more specific examples of hybrid toys (e.g., AR or app-connected).</li></ul></li></ul> | <pre>graph TD; Profit[Profit] --&gt; Revenue[Revenue]; Profit --&gt; Cost[Cost]; Revenue --&gt; Price[Price]; Revenue --&gt; Quantity[Quantity]; Quantity --&gt; Internal[Internal]; Quantity --&gt; External[External]; Internal --&gt; Awareness[Awareness]; Internal --&gt; Availability[Availability]; Internal --&gt; Accessibility[Accessibility]; Internal --&gt; Affordability[Affordability]; External --&gt; Geography[Geography]; External --&gt; Competitors[Competitors]; External --&gt; Industry[Industry];</pre> |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> Revenue decline driven by external factors: digital shift, competition, and slow retail sales.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Launch campaigns highlighting traditional toys' benefits; Boost e-commerce visibility and bundle traditional with educational toys.</li></ul></li><li>❖ <b>Long-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Innovate hybrid toys (e.g., AR or app-connected); Expand into Asia and South America.</li></ul></li></ul>                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |





# Profitability Case 2: Airport Profitability

|          |          |
|----------|----------|
| Industry | Travel   |
| Level    | Beginner |

**Prompt:** Your client is the owner of an airport in a Tier 1 city. Despite significant passenger traffic, they have been experiencing a decline in profitability. Figure out the reasons and suggest possible solutions to address this problem.

Sure! I would like to start by understanding more about the client. How many airports does the client own, and is the problem on an overall level or specific to this airport?

The client owns one major airport in the city. The problem is specific to this airport.

Okay, can you tell me some more facts about the airport? What is its passenger profile, and are there any particular trends?

The airport caters to both domestic and international passengers. It serves a mix of business travellers and tourists, with a slight lean toward the business segment. The declining trend has been observed over the last two years.

Understood. We know that profits are a function of revenues and costs. Can I get an idea of whether the issue is due to revenue, costs, or both?

The costs have largely remained stable or grown slightly as expected. The major issue seems to lie with the revenues.

Okay, I would like to divide the revenues into two- Aeronautical like landing fees, passenger service fees or and security fees and non-aeronautical. Which one do you want me to analyze first?

The aeronautical revenues have remained constant. Can we focus on non-aeronautical revenues and break them down further?

Sure, non-aeronautical revenues include the following streams: Retail revenue from stores, food & beverage outlets, advertising spaces, parking for passengers, real estate leasing, lounges and premium services. Can you let me know where the issue lies?

The issue lies specifically with the revenue from retail stores, which has seen a noticeable decline. Can you deep dive into why retail revenue from stores is declining?

Sure, to understand this, let's analyze the customer journey in three phases:

- 1. Pre-store:** Factors affecting customers before they enter the stores. This includes the time customers spend navigating through the airport before reaching the retail stores.
- 2. During-store:** Factors impacting customer behavior while they are in the stores. This includes the time customers spend browsing and shopping inside the retail stores. Factors such as planogram, store layout, product variety, pricing, and the ease of finding desired items can influence the time spent.
- 3. Post-store:** Factors after the store visit that could influence future purchases. After-sales services and grievance redressal are some of the factors that might influence this.

The problem seems to be in the pre-store phase. Customers are spending less time in the stores compared to earlier. Why?

There could be several factors: Long queues at check-in counters, lengthy security checks causing delays, poor signage or navigation leading to confusion or insufficient dwell time due to flight schedules.

Okay, so the key reason identified is long queues at check-in and security checkpoints, which reduces the time customers have to spend in the stores. What recommendations would you suggest to reduce queue times and increase time spent in stores?

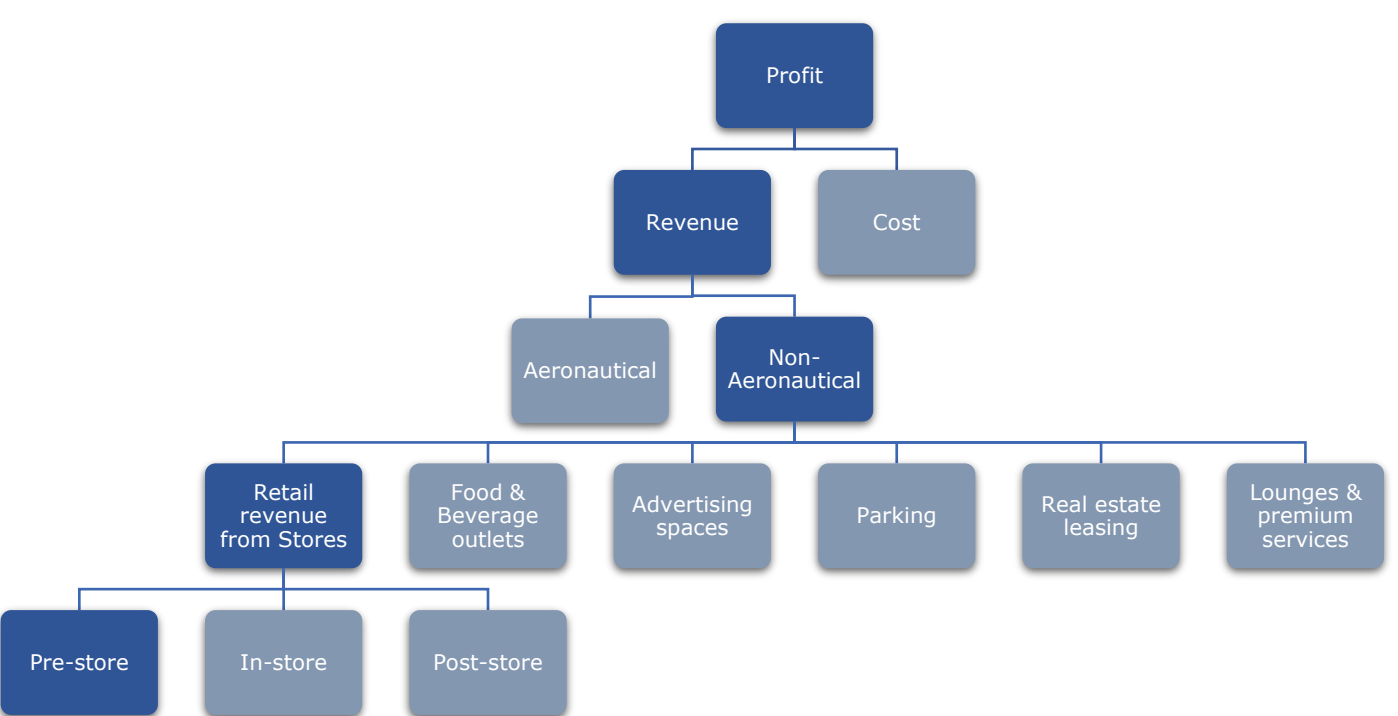
To reduce queue times, I'd start with quick wins like optimizing staffing during peak hours and promoting online check-ins to ease congestion immediately. In the medium term, investing in self-service kiosks, automated security systems like DigiYatra, and better signage would enhance efficiency and passenger experience. Retail engagement can be improved by partnering with popular brands and introducing exclusive promotions. For long-term impact, reconfiguring infrastructure to expand security lanes and positioning the airport as a customer-friendly retail hub would be key.

That's a great breakdown. Well done!



# Profitability Case 2: Summary

**Prompt:** Your client is the owner of an airport in a Tier 1 city. Despite significant passenger traffic, they have been experiencing a decline in profitability . Figure out the reasons and suggest possible solutions to address this problem.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Approach                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area</b><br/>Decline in profitability at a Tier 1 city airport</li><li>❖ <b>Timeline</b><br/>Last 2 years</li><li>❖ <b>Revenue Trend</b><br/>Aeronautical revenues stable; non-aeronautical revenues (especially retail) declining.</li><li>❖ <b>Cost Trend</b><br/>Costs stable or growing as expected.</li><li>❖ <b>General Observations</b><ul style="list-style-type: none"><li>○ Airport serves both domestic and international passengers, with a focus on business travellers.</li><li>○ Long queues at check-in and security checkpoints reduce passenger dwell time in retail stores.</li></ul></li></ul>                                                         | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ Structured analysis of non-aeronautical revenue streams.</li><li>○ Identified pre-store phase (long queues) as the key issue.</li><li>○ Proposed actionable solutions with clear prioritization.</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>○ Could have explored specific data on retail revenue decline (e.g., percentage drop).</li><li>○ Could have asked if there are any specific type of retail stores we are facing problems with.</li><li>○ Could have analysed revenue model of the airport from these retail stores. One can suggest fixed rental agreements if demand for rental spaces in airport is robust</li></ul></li></ul> |  <pre>graph TD; Profit[Profit] --&gt; Revenue[Revenue]; Profit --&gt; Cost[Cost]; Revenue --&gt; Aeronautical[Aeronautical]; Revenue --&gt; NonAeronautical[Non-Aeronautical]; NonAeronautical --&gt; Retail[Retail revenue from Stores]; NonAeronautical --&gt; Food[Food &amp; Beverage outlets]; NonAeronautical --&gt; Advertising[Advertising spaces]; NonAeronautical --&gt; Parking[Parking]; NonAeronautical --&gt; RealEstate[Real estate leasing]; NonAeronautical --&gt; Lounges[Lounges &amp; premium services]; Retail --&gt; PreStore[Pre-store]; Retail --&gt; InStore[In-store]; Retail --&gt; PostStore[Post-store];</pre> |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> Profitability decline driven by reduced retail revenue due to long queues at check-in and security, limiting passenger dwell time in stores.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Optimize staffing during peak hours.</li><li>○ Promote online check-ins and baggage drop services.</li></ul></li><li>❖ <b>Long-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Install self-service kiosks and automated security systems.</li><li>○ Reconfigure infrastructure to expand security lanes.</li><li>○ Explore fixed rental arrangements or renegotiation of existing contracts</li></ul></li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |



# Profitability Case 3: Chemical Manufacturer

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Beginner      |

**Prompt:** Your client is a chemical manufacturer company which produces chemical used in food preservation. The client has been observing decline in profits since the past 3 years. How can you help them identify the root cause & recommend next steps?

Okay. I would start with enquiring about the overall industry. How many competitors are there in the industry? What market share does the client hold? Is the problem of declining profits specific to the client or is it across the entire industry?

The client has increased their market share from 30% to 40% over the last 2 years. The number of competitors have been on a decline as the issue of declining profitability is across the entire industry.

Great! Profitability is defined as the difference of revenue and cost. I would focus on the revenue first.

Go ahead.

Revenue further can be split as average revenue per order multiplied by the volume of orders. Do we have any information about the change in these 2 metrics?

The revenue per order has declined whereas the total volume of orders have increased recently. The overall market including the client's business is on a downwards trend due to changing consumer behaviour.

Got it. So the entire market is declining but we are declining at a lower pace than the market, hence the rise in our market share as compared to competitors.

Yes. That is correct.

Alright, next I would like to understand about the costs. Have the costs changed for the client?

The costs have remained constant.

Okay. So let's go back to the revenue. You mentioned that the overall industry is on a decline due to changing consumer behaviour. Could this be due to the rising awareness of healthier food alternatives which has caused consumers to shift away from foods which use alternative preservatives?

Yes, that is correct.

Since the market is on a decline, what about the makers of such food? Have they also experienced a decline? If yes, have they been forced to lower prices?

Yes, the revenue of food manufacturers is also declining. Since they hold a strong leveraging power, they have been able to renegotiate a new contract with reduced prices of raw materials.

Okay. So due to renegotiated prices, the revenue per order of the client has declined and the costs have remained same. This has contributed to the decline in profitability.

That is correct. What would you recommend to the client?

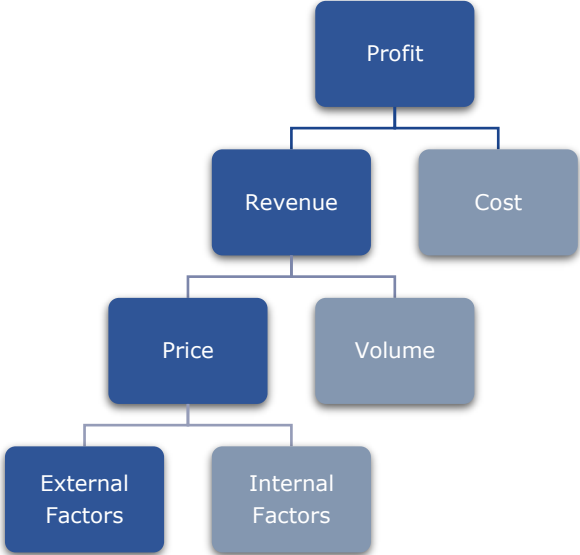
So, my recommendations would be to analyze the costs first. If there is any possibility to further reduce costs, that would help the client increase their profitability. If not, the client should work with other competitors to renegotiate contract prices to raise prices of chemical products.

The client can also diversify their product portfolio and reduce the over-reliance on food preservatives industry. The client can look for synergies in other industries which require such chemicals and venture into those possibilities.



# Profitability Case 3: Summary

**Prompt:** Your Client is a chemical manufacturer company which produces chemical used in food preservation. The client has been observing decline in profits since the past 3 years. How can you help them identify the root cause & recommend next steps?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Approach                                                                                                                                                                                                                                                                                                                 |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area</b><br/>Industry Specific</li><li>❖ <b>Market share</b><br/>Increased market share from 30% to 40% over last 2 years</li><li>❖ <b>Revenue Trend</b><br/>Decline in revenue</li><li>❖ <b>Cost Trend</b><br/>Constant costs</li><li>❖ <b>General Observations</b><ul style="list-style-type: none"><li>• Total number of orders have increased</li><li>• Rising awareness of healthier food alternatives</li><li>• Food manufacturers have renegotiated to reduce prices of raw materials</li><li>• Client's decline rate is slower than industry rate</li></ul></li></ul> | <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>▪ Comprehensive questions</li><li>▪ Quickly asking about revenue and cost sides</li><li>▪ Relating the increase in market share to client's decline rate being slower than industry rate</li></ul> <p><b>Common Mistakes</b></p> <ul style="list-style-type: none"><li>▪ Not splitting price into different branches</li><li>▪ Quickly jumping on possible reasons without evaluating all the options</li></ul> |  <pre>graph TD; Profit[Profit] --&gt; Revenue[Revenue]; Profit --&gt; Cost[Cost]; Revenue --&gt; Price[Price]; Revenue --&gt; Volume[Volume]; Price --&gt; External[External Factors]; Price --&gt; Internal[Internal Factors];</pre> |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                          |
| <p><b>Conclusion:</b> Food manufacturers due to decreased revenue have renegotiated to reduce prices of raw materials due to which the revenue of the client has declined</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>▪ Analyse and reduce costs to increase profits</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>▪ Lobby with competitors to raise the prices of chemical preservatives</li><li>▪ Diversify portfolio and look out for opportunities in other industries</li></ul>                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                          |



# Profitability Case 4: Fresh Produce Company

|          |            |
|----------|------------|
| Industry | Processing |
| Level    | Beginner   |

**Prompt:** Your client is a leading fresh produce company that processes and sells seasonal fruits across the country. They have been experiencing a decline in profitability over the past few months. They have approached you to analyze the situation and recommend strategies to improve their financial performance.

Thank you for the overview. I'd like to begin by clarifying a few details about the problem. Could you tell me more about the company's main products and their target customers?

They process and package seasonal fruits like strawberries and mangoes, selling to both retail and wholesale markets.

Got it. Since profitability is declining during peak season, when I'd expect demand to be strong, I'd like to understand if this issue is unique to the company or if it's affecting the broader industry as well. Also, since when is the Company facing this issue?

It's specific to the company; the industry overall is doing fine. Also, the Company is facing this issue from past 3 months.

That suggests something internal is driving this. To dig into it, I'd like to look at the company's value chain step-by-step. Based on what I know about the fresh produce business, I'd think about it in terms of sourcing fruits from suppliers, transporting them to the processing facility, handling the processing and packaging, storing the products, and then distributing them to customers. Does that match how the company operates, or are there other steps involved?

That's spot on. The steps are: sourcing fruits from farmers-> inbound logistics to processing plants-> processing, including cleaning, sorting, and packaging-> distribution to retailers and wholesalers.

Thanks for confirming. To figure out what's impacting profitability, I'd like to look at it from two angles: revenues and costs. Could you tell me if there's been any noticeable change in revenues recently?

No, revenues have held steady, in line with what we'd expect for the season.

Okay, so if revenues are stable, costs might be the issue. Could you tell me if there have been any recent shifts in costs across those operational steps we discussed?

Yes, they introduced a new packaging format for bulk buyers, which changed the processing and packaging approach. They also switched to a new logistics partner for inbound transportation to lower costs.

Those sound like key changes worth exploring. Let's start with the new packaging format. Could you tell me how its costs stack up against the old format, and whether they've adjusted pricing to account for any differences?

The new format uses better materials and more experienced labor, which has increased processing costs by 15%. They only raised prices by 5% to stay competitive.

Interesting-so the cost increase isn't fully covered by the price adjustment. That could be putting pressure on margins. Now, about the logistics switch: Could you tell me why they changed partners and whether it's affected product quality or delivery in any way?

They switched to save 10% on transportation costs. But the new partner takes longer to deliver, and spoilage rates have gone up.

That could be a big factor. Could you tell me how much spoilage rates have increased since the change?

Spoilage has doubled over the past few months.

That's a significant jump. Based on what we've discussed, it looks like two main issues are hitting profitability:

- The new packaging format's higher costs aren't being fully offset by pricing
- The new logistics partner's longer transit times are doubling spoilage, which likely increases waste and costs

You've nailed it. Can you suggest some solutions?



# Profitability Case 4: Fresh Produce Company

|          |            |
|----------|------------|
| Industry | Processing |
| Level    | Beginner   |

Great. Based on this, I'd like to suggest a few ways to address these:  
For the packaging, I'd recommend revisiting pricing to better align with the 15% cost increase-maybe through a price sensitivity study to find the sweet spot between margins and competitiveness. For logistics, I'd suggest evaluating the new partner's performance. They could push for faster delivery times or consider going back to the old partner if spoilage savings outweigh the 10% cost cut. On top of that, adding stronger quality control checkpoints during processing and distribution could help catch spoilage issues earlier.

Those sound like practical steps.

Glad to hear that. Before wrapping up, one last question: Has the company looked into demand forecasting to better manage operations during peak season?

Not yet, but it's worth considering.

In that case, I'd also recommend building out forecasting to match sourcing and processing with demand-it could help avoid overproduction or waste down the line. I think that covers the key points for now.

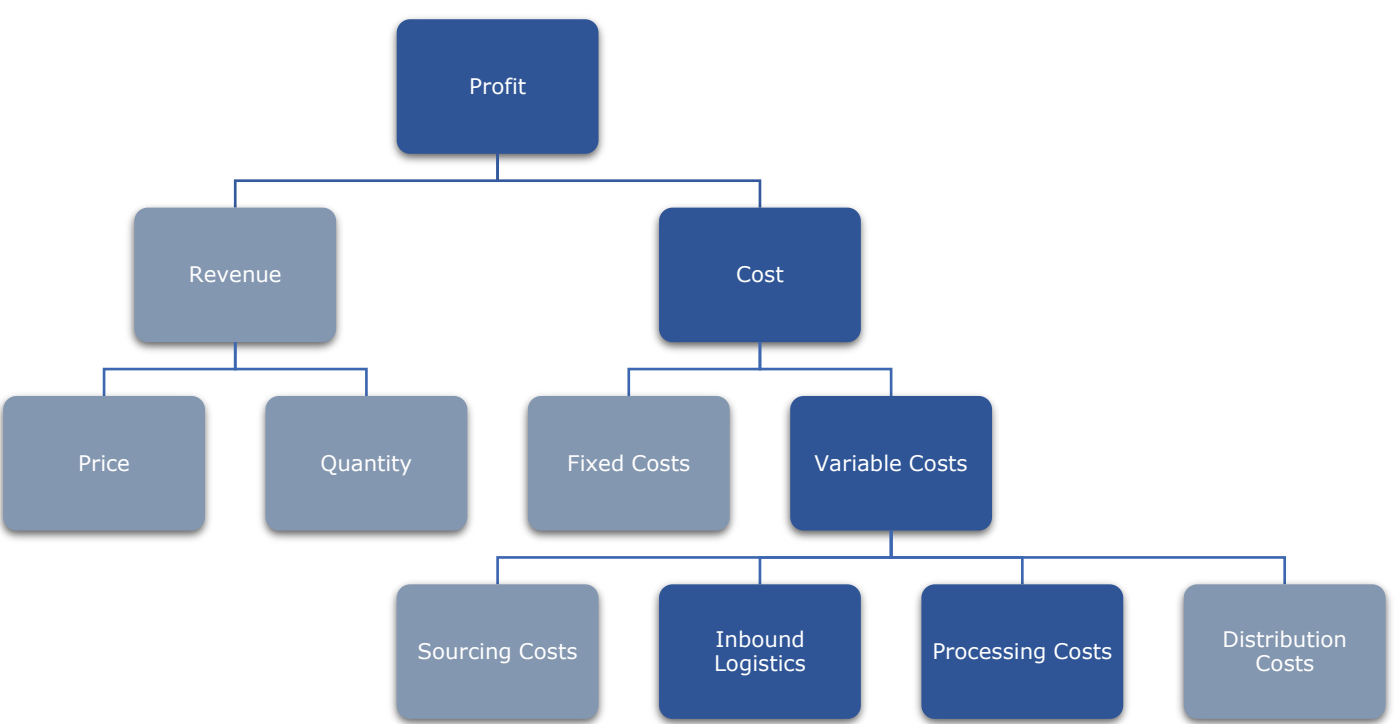
Good, we can close this case now.





# Profitability Case 4: Summary

**Prompt:** Your client is a leading fresh produce company that processes and sells seasonal fruits across the country. They have been experiencing a decline in profitability over the past few months. They have approached you to analyze the situation and recommend strategies to improve their financial performance.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Approach                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area</b><br/>Decline in profitability during the peak season.</li><li>❖ <b>Timeline</b><br/>Past 3 months.</li><li>❖ <b>Market Position</b><br/>Leading fresh produce company with a strong brand presence.</li><li>❖ <b>General Observations</b><ul style="list-style-type: none"><li>○ Issue is company-specific, not industry-wide.</li><li>○ High demand during peak season.</li><li>○ Recent introduction of a new packaging format for bulk buyers</li><li>○ Increased spoilage due to a new logistics partner</li></ul></li></ul>                                                                                                                                                                                                                      | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ 3C-P approach, then delved deeper into the value chain</li><li>○ Quickly zeroed in on spoilage and cost mismanagement as primary drivers of decreased profitability</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>○ Didn't ask for specific numbers or metrics (e.g., spoilage rates before and after logistics change, cost differences for new packaging) to quantify the impact</li><li>○ Didn't consider if competitors are offering similar new packaging or if there's any competitive pricing pressure.</li></ul></li></ul> |  <pre>graph TD; Profit[Profit] --&gt; Revenue[Revenue]; Profit --&gt; Cost[Cost]; Revenue --&gt; Price[Price]; Revenue --&gt; Quantity[Quantity]; Cost --&gt; FixedCosts[Fixed Costs]; Cost --&gt; VariableCosts[Variable Costs]; VariableCosts --&gt; SourcingCosts[Sourcing Costs]; VariableCosts --&gt; InboundLogistics[Inbound Logistics]; VariableCosts --&gt; ProcessingCosts[Processing Costs]; VariableCosts --&gt; DistributionCosts[Distribution Costs];</pre> |
| <b>Recommendations</b> <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> The client's profitability decline is due to increased spoilage from a new logistics partner and inadequate pricing for a new, higher-cost packaging format.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Revise the pricing for the new packaging format to reflect higher processing costs.</li><li>○ Implement stricter quality checks to minimize spoilage.</li></ul></li><li>❖ <b>Long-Term Recommendations</b><ul style="list-style-type: none"><li>○ Implement activity based costing to accurately allocate costs for charging appropriately to consumers</li><li>○ Develop forecasting &amp; procurement strategies to manage seasonal demand fluctuations</li></ul></li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |



# Profitability Case 5: Consumer Electronics

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Beginner      |

**Prompt:** Your client is a consumer electronics manufacturer experiencing a steady decline in profitability over the past 18 months, totaling a 12% reduction. Analyze the situation and recommend strategies to improve their financial performance.

Thank you for the overview. To begin, I need to understand the company’s key products and target market.

They design, manufacture, and distribute consumer electronics such as smartphones, laptops, and home appliances. Their manufacturing plants are in Shenzhen, Hanoi, and Bangalore, with primary material sourcing from East Asia. Their target customers are middle to high-income for smartphones and laptops, and a broader demographic for home appliances.

Understood. The profitability decline is 12% over 18 months, and it’s specific to the company, not the industry. To analyze this, I’ll start by breaking down profitability into its components: revenue and costs.

That’s a sound approach.

First, let’s examine revenues. Have there been any changes in revenue during this period?

Revenue has remained stable, in line with expectations.

So, the decline must be due to increased costs. Could you tell me about the main cost components?

Primary costs include R&D, raw material procurement, logistics, and marketing. Secondary costs are warehousing, inventory management, and after-sales services.

Have there been any recent changes in these costs?

Yes, they’ve shifted some procurement to Vietnam, which has led to changes in logistics costs.

Let’s start with procurement. Has the cost of raw materials changed significantly?

Procurement costs have decreased by about 10% due to the shift to Vietnam.

Notably, procurement costs have decreased by 10%. What about logistics? Has that been affected?

Logistics costs have increased by 15% since the shift.

So, while procurement costs are down, logistics costs have increased by 15%, leading to a net increase in overall costs. I need to find ways to optimize logistics to reduce these costs.

That’s one aspect. Are there other cost areas that might be impacted by this shift to Vietnam?

Let me consider this. Longer transit times from Vietnam could lead to higher inventory carrying costs due to more stock in transit.

That’s a valid point. Have you looked into after-sales service costs?

Not yet. Have there been any changes in after-sales service costs?

Yes, after-sales service costs have increased, particularly for smartphones, due to more service requests.

So, more service requests could indicate higher defect rates in the products. Is sales volume up?

Sales have been stable, so it’s likely that the increase is due to higher defect rates.

This is a significant issue. Perhaps there’s a quality problem with the products. Is there a connection between the procurement shift and these quality issues? Is there a possibility that the new suppliers in Vietnam are providing lower quality components, leading to more defects?



# Profitability Case 5: Consumer Electronics

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Beginner      |

Yes, that's a possibility. If the company prioritized cost over quality when selecting new suppliers in Vietnam, that could be the root cause of the quality problems.

Exactly. So, the shift to Vietnam for cost savings has had unintended consequences: higher logistics costs, increased inventory carrying costs due to longer transit times, and higher after-sales service costs due to quality issues from new suppliers.

To summarize, the main problems are:

1. Increased logistics costs due to longer transit times from Vietnam.
2. Increased inventory carrying costs from longer lead times.
3. Higher after-sales service costs due to quality issues from new suppliers.

All of these stem from the decision to shift procurement to Vietnam to reduce costs.

That's accurate. Now, how would you address these issues?

## **For short-term solutions:**

- Optimize logistics by renegotiating shipping contracts to reduce transit times and costs.
- Implement stricter quality checks with current suppliers to lower defect rates.
- Improve inventory management through better forecasting and just-in-time practices to reduce carrying costs.

## **For long-term strategies:**

- Reassess the supplier selection process to balance cost and quality, possibly looking for local suppliers or those closer to manufacturing plants.
- Invest in supplier development programs to improve quality over time.
- Consider near-shoring or other supply chain strategies to reduce logistics and inventory costs.
- Consider PLI schemes offered by countries of manufacture to improve profitability further

Those recommendations seem well-thought-out. Is there anything else to consider?

It's worth checking if there are any external market factors or regulatory changes that could be affecting costs, such as new trade policies or tariffs.

That's a good point, but for now, let's close the case here.



# Profitability Case 5: Summary

**Prompt:** Your client is a consumer electronics manufacturer experiencing a steady decline in profitability over the past 18 months, totaling a 12% reduction. Analyze the situation and recommend strategies to improve their financial performance.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Approach                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area</b><br/>Decline in profitability.</li><li>❖ <b>Timeline</b><br/>Past 18 months.</li><li>❖ <b>Market Position</b><br/>Among top 5 players in consumer electronics, competing with brands like Samsung &amp; Apple.</li><li>❖ <b>Key Products</b><br/>Smartphones (60% of revenue), laptops (30%), home appliances (10%).</li><li>❖ <b>General Observations</b><br/>Revenue stable; decline driven by supply chain shift to Vietnam, impacting logistics, inventory, and quality.</li></ul>                                                                                                                                                                                                                                                                                                                                    | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ Probed into specific cost areas affected by the procurement shift to Vietnam, showing in depth analysis.</li><li>○ Connected the dots between the procurement shift and quality issues leading to higher after-sales service costs, indicating strong analytical skills.</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>○ Initially missed the connection between the procurement shift and quality issues, requiring the interviewer to prompt for that connection</li><li>○ Did not explore potential external market factors or regulatory changes that might be affecting costs, such as new trade policies or tariffs</li></ul></li></ul> | <pre>graph TD; Profit[Profit] --&gt; Revenue[Revenue]; Profit --&gt; Cost[Cost]; Revenue --&gt; Price[Price]; Revenue --&gt; Quantity[Quantity]; Cost --&gt; FixedCosts[Fixed Costs]; Cost --&gt; VariableCosts[Variable Costs]; VariableCosts --&gt; RnD[R&amp;D]; VariableCosts --&gt; Procurement[Procurement]; VariableCosts --&gt; Logistics[Logistics]; VariableCosts --&gt; Inventory[Inventory]; VariableCosts --&gt; AfterSalesService[After-Sales Service]</pre> |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> The profitability decline is primarily due to increased logistics, inventory, and after-sales service costs resulting from a cost-focused supplier shift to Vietnam, which has compromised product quality.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Optimize logistics by renegotiating shipping contracts to reduce transit times and costs</li><li>○ Implement stricter quality checks with current suppliers to lower defect rates.</li></ul></li><li>❖ <b>Long-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Reassess the supplier selection process to balance cost and quality, possibly looking for local suppliers or those closer to manufacturing plants.</li><li>○ Consider availing PLI schemes for boosting profitability</li></ul></li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |



# Profitability Case 6: Grocery Chain

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|----------|-----------|
| Industry | Retailing |
| Level    | Beginner  |

**Prompt:** The client is a leading grocery chain operating 500 stores across India. Over the past two years, their market share has declined from 30% to 22%, while competitors have gained traction. The client seeks to identify the reasons behind this drop and develop strategies to reclaim their market position and bolster their standing in the industry.

Thank you for presenting this case. To analyze the client's declining market share in what appears to be a highly competitive grocery market, I'd like to structure my approach by examining the key external forces shaping the industry. Understanding the dynamics around market entry barriers, supplier and customer relationships, potential substitutes, and the level of competitive intensity will help identify where pressure is building on the client's position. I'll start with a few clarifying questions to better understand the business context, followed by a structured deep dive into each of these external dimensions, using targeted questions to guide my analysis.

That sounds like a solid plan. Please proceed with your clarifying questions.

Certainly. First, could you clarify the geographic distribution of the client's 500 stores? Are they concentrated in specific regions or spread evenly across India?

The stores are primarily in urban and semi-urban areas, with a stronger presence in northern and western India. Rural areas remain largely underserved.

Thank you. Next, who are the client's primary customer segments? Are they targeting a specific income group or a broader mix?

They mainly target middle-income households, which account for about 70% of their customer base. The remaining 30% includes lower-income and premium customers.

Understood. Regarding competitors, who has been gaining market share, and what are their key strengths?

Competitors include large national chains and regional players. National chains have been aggressive with pricing and have heavily invested in e-commerce. Regional players excel with localized product assortments.

Has the market share decline been gradual or abrupt? Were there any significant external events, such as economic shifts or new regulations, that might have contributed?

It's been a gradual decline over two years. No major external shocks, but the rise of e-commerce and quick-commerce platforms like BlinkIt and Zepto has shifted customer expectations.

Finally, has the client made any notable changes to their operations, pricing, or offerings during this period?

No, they've largely stuck to their traditional store-based model with minimal investment in e-commerce or digital transformation.

Thank you for the context. I'll now proceed with analyzing how the newer competitors enter in this space.

To assess this, I'd like to understand how easy it is for new companies to enter the Indian grocery market. What are the primary barriers to entry, such as capital requirements, regulatory constraints, or brand loyalty? Additionally, have there been any significant new entrants in the past two years that might be affecting the client's market share?

Barriers to entry are low, particularly for e-commerce and quick-commerce players who don't require a large physical presence. Traditional stores face higher startup costs, but digital platforms encounter fewer obstacles. Several quick-commerce startups have emerged in the last two years, gaining traction with their emphasis on speed and convenience.



# Profitability Case 6: Grocery Chain

|          |           |
|----------|-----------|
| Industry | Retailing |
| Level    | Beginner  |

Next, I'll be analyzing the behaviour of suppliers. I'd like to explore the client's supplier relationships. Do they depend on a small group of suppliers, or is their supplier base diversified? Have there been recent changes in supplier pricing or terms that might be impacting the client's costs? Also, how feasible is it for the client to switch suppliers if necessary?

The client has a diversified supplier base but relies on key suppliers for staples. There have been slight price increases due to inflation, though this is consistent across the industry. Switching suppliers is possible but could cause short-term operational disruptions.

That's helpful. Now, I'll be analyzing the behaviour of Buyers. How price-sensitive are the client's customers, particularly the middle-income segment? What alternatives do they have, both offline and online? Are there any shifts in customer preferences-such as a demand for faster service or better pricing-that the client might not be addressing?

Middle-income customers are highly price-sensitive. They have numerous options, including national chains, regional stores, local kirana shops, and online platforms. There's a noticeable shift toward convenience, with customers favoring quick delivery and digital access-areas where online players excel.

Understood. Next, I'll be analyzing the Threat of Substitutes. What are the main alternatives to the client's stores, such as local shops or online services? How do customers perceive these substitutes in terms of convenience, price, or quality? Does the client offer any distinctive value that these substitutes can't easily replicate?

Local kirana stores are strong substitutes for quick, small purchases due to their proximity and service. Online and quick-commerce platforms compete for larger purchases with delivery and competitive pricing. The client's strength lies in a wide product range in physical stores, but they lag in convenience and digital offerings.

Thank you. Finally, I'll be analyzing Competitive intensity. How intense is the competition among existing grocery players in India? What strategies are competitors employing to attract customers-such as pricing, technology, or unique offerings? Is the overall market expanding, or are players vying for a fixed pool of customers?

Competition is extremely intense. National chains are lowering prices and building e-commerce platforms, while regional players leverage localized assortments and community ties. The market is growing, but the client is losing share as competitors capture more of that growth.

Thank you for the detailed responses. Based on this analysis, the client faces significant challenges from new entrants, particularly quick-commerce platforms, and intense rivalry from both national and regional competitors. Customers wield considerable bargaining power due to abundant alternatives, and substitutes like local kirana stores and online platforms pose a strong threat. Supplier power appears moderate and not a primary concern. Do we have some specific information about revenue and cost numbers?

That's a comprehensive breakdown and we do not have any numerical information for this one. What strategies would you recommend to address these challenges?

To regain market share and strengthen their position, I suggest the following strategies:

1. Invest in digital transformation by launching a mobile app for online ordering and delivery to compete with e-commerce platforms.
2. Enhance the customer value proposition with private-label products and loyalty programs to boost retention.
3. Optimize operations using data analytics for inventory management and supply chain efficiency to reduce costs.
4. Strengthen brand positioning through targeted marketing emphasizing quality and affordability.
5. Expand into underserved rural markets with tailored offerings to tap into long-term growth opportunities.

This is a well-thought-out approach. Thank you for your insights.





# Profitability Case 6: Summary

**Prompt:** The client is a leading grocery chain operating 500 stores across India. Over the past two years, their market share has declined from 30% to 22%, while competitors have gained traction. The client seeks to identify the reasons behind this drop and develop strategies to reclaim their market position and bolster their standing in the industry.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Approach                                                                                                                                                                                                                                                                                       |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area</b><br/>Market share declined from 30% to 22% over two years.</li><li>❖ <b>Store Distribution</b><br/>Concentrated in urban and semi-urban areas, primarily in northern and western India; limited presence in rural regions.</li><li>❖ <b>Customer Segments</b><br/>70% middle-income households, 30% split between lower-income and premium customers.</li><li>❖ <b>Competitors</b><br/>National chains leveraging aggressive pricing and e-commerce; regional players focusing on localized offerings.</li><li>❖ <b>External Factors</b><br/>Growth of e-commerce and quick-commerce platforms (e.g., BlinkIt, Zepto).</li></ul>                                    | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ Applied Porter's Five Forces effectively to structure the analysis and pinpoint key decline drivers.</li><li>○ Posed insightful questions that uncovered critical competitive pressures.</li><li>○ Delivered a well-prioritized set of recommendations addressing both short and long-term needs.</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>○ Should have delved deeper into how quick-commerce platforms specifically affect customer behavior.</li><li>○ Overlooked potential strategic partnerships (e.g., with e-commerce platforms) to enhance digital capabilities.</li><li>○ Could have dived deep on delivery convenience offered by the chain</li></ul></li></ul> | <pre>graph TD; A[Market Share Decline] --&gt; B[Internal Factors]; A --&gt; C[External Factors]; C --&gt; D[Threat of New Entrants]; C --&gt; E[Bargaining Power of Suppliers]; C --&gt; F[Bargaining Power of Buyers]; C --&gt; G[Threat of Substitutes]; C --&gt; H[Industry Rivalry];</pre> |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                |
| <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> The decline in market share stems from significant threats from new entrants (quick-commerce), high buyer power, substitute options, and intense industry rivalry.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Collaborate with existing online ordering and delivery platforms to counter digital competitors</li><li>○ Use data analytics to optimize inventory management and supply chain efficiency.</li></ul></li><li>❖ <b>Long-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Expand into underserved rural markets with customized product offerings to tap new growth areas.</li></ul></li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                |



# Profitability Case 7: Chinese Footwear Retailer

|          |              |
|----------|--------------|
| Industry | Retailing    |
| Level    | Intermediate |

**Prompt:** Your Client, CSM Sports, is a Chinese footwear retailer attempting to establish a profitable presence in the European market. Since they arrived six years ago, they have struggled to achieve their profitability goals. How can you help them identify the root cause and recommend next steps?

Sure! To reiterate my understanding of the case, a Chinese footwear company is struggling to achieve its profitability goals in the European Market and we have to find the reason for the same and advice on how to go about achieving the desired profitability results. Is my understanding correct?

Yes, absolutely.

I would like to understand more about the products the client sells.

Sports shoes are the client's major source of revenue. They also sell flip flops and sandals.

Where are these products manufactured?

They are manufactured in China itself.

Okay. How are the sport shoes priced? Are they premium products?

The footwear is sold in the European market at an average price of around €50. It is in line with the mid-tier competitors.

I would also like to understand the external factors a little. How is the footwear market doing and if there have been any disruptions in the industry/market?

The market is stable and in recent times there has not been any economic downturn. There hasn't been any disruption in the industry either.

Since we know the average price, I would first like to look at the revenue. Do we have information on how the footwear is sold? Is it sold in online or offline stores?

The footwear is sold only in the offline stores. There are six stores across different cities. Out of the six stores, 4 are located in the malls/supermarkets. The other two stores are flagship stores, located in prime locations with higher footfall. You can do market sizing for the footwear sales. You need not go into the details of the exact locations of these stores.

Average Sales in the Mall/Supermarket based Stores – 1000 items/day

Average Sales in the Flagship stores – 4000 items/day

Based on these data points we can calculate the yearly revenue for the company.

Total Revenue =  $365 \times 50 \times (4 \times 1000 + 2 \times 4000) = \text{€}219 \text{ Million}$

Ok, that's good. We already have a number for total yearly cost. It was €225 Million for the previous year. Can you look at the drivers for the cost and revenue one by one to identify the scope for improvement?

I would like to start my analysis with the costs. Per my understanding, manufacturing cost is one of the primary cost. Do we have information if manufacturing processes are efficient? Is there scope for improvement?

The company is manufacturing at the cheapest possible rate. What next?

How about the labour cost? Can we reduce that?

No. Labour in China is already cheap and cannot be reduced further. What next?

Next is the shipping cost. How are we shipping the products from China to Europe?

Currently we are shipping through air.

Can we look at alternative option like shipping through sea routes?

Yes, shipping through waterways will bring down the cost. However, that is not a concern for the company. Can you look at other costs?



# Profitability Case 7: Chinese Footwear Retailer

|          |              |
|----------|--------------|
| Industry | Retailing    |
| Level    | Intermediate |

Yes. Next I would like to look at the rent. Since the flagship stores are located in prime locations, the rent must be high. Is this the case? If so, is it possible to shift them to different locations to reduce this fixed expense?

No that is not possible. Those are required for marketing purposes.

Talking about the mall stores, since the sales are lower can we get away with them and have more flagship stores?

No, the mall stores are strategically functioning with expansion plans. We have almost covered the cost. Let's see if we can do anything on the revenue front.

Okay, sure. Revenue consists of price and sales volume. Can we change our price? How price sensitive is the European customer?

No, the company does not want to change the price point. Increasing prices will reduce the sales, while reducing price will not solve the profitability issue.

Looking at the sales volumes, can we have online channels for increasing sales?

The company does not want to invest in online channel, at this point in time.

Alright. How does customer perceive our products? Do they consider them trendy? Since the company is based out of China, there is a possibility that it might not be producing at per the latest trends in Europe.

Yes, recently the company has identified that the European customers feel that the footwear colours are very basic and lack variety.

So this can be a primary reason for not meeting profitability goals. Product innovation needs to be looked at. Another important factor could be the in-store experience of customers. Can the staff be better trained to deal with customers.

They are already well trained. It is the product that needs work. You have nearly covered all the aspects. Can you summarize your findings and recommendations?

Sure. Currently the client is making an yearly loss of €6 Million. To address this, we looked at the costs and revenue. On cost side, I would recommend changing the shipping mode from air to water. Sea routes are less expensive and allow each shipment to carry larger product volumes compared air-routes.

On the revenue front, I would recommend rigorous customer study, R&D and product development. This would help the client increase its sales volume and achieve profitability. The client can also look at online selling and hope to reach a wider customer base.

Excellent! Thank you for your recommendations. We can close the case here.



# Profitability Case 7: Summary

**Prompt:** Your Client, CSM Sports, is a Chinese footwear retailer attempting to establish a profitable presence in the European market. Since they arrived six years ago, they have struggled to achieve their profitability goals. How can you help them identify the root cause and recommend next steps?

Case Facts

- ❖ **Problem Area**  
Company Specific
- ❖ **Timeline**  
6 Years
- ❖ **Affected by Internal/External factors**  
Both, but mainly internal
- ❖ **Cost Trend**  
Constant but higher than Revenues
- ❖ Cost sides have remained constantly high and the current revenue is unable to match up
- ❖ European Customers feel product is not up to the mark and can be improved

Feedback

- ❖ **What Went Well?**
  - Focus on numbers, calculation of yearly revenue figures
  - Thinking on the go, once the interviewer asked for more reasons
- ❖ **Common Mistakes**
  - No clear structure of segregation of costs, eventually it was the value chain approach, however the back and forth could have been avoided
  - When product was identified as the problem, a sales recommendation wasn't in line with the discussion

Approach

```
graph TD; Profit[Profit] --> Revenue[Revenue]; Profit --> Cost[Cost]; Revenue --> Price[Price]; Revenue --> Quantity[Quantity]; Cost --> Manufacturing[Manufacturing]; Cost --> Labour[Labour]; Cost --> Distribution[Distribution]; Cost --> Retail[Retail]; Distribution --> Air[Air]; Distribution --> SeaRoutes[Sea Routes]; Retail --> Online[Online]; Retail --> Offline[Offline];
```

Recommendations

- ❖ **Conclusion:** CSM sports is currently making a loss of 6Mn, which is attributed to lack of product innovation, quality & features.
- ❖ **Short Term Recommendation**
  - Change the marketing strategy of the product focusing on the minimalist audience where something basic might appeal to the customer base
- ❖ **Long Term Recommendation**
  - Invest in R&D, Consumer surveys & Product development
  - Shipping mode change from air to water, since sea routes are cheaper

Revenue Calculation

| Type        | Avg. Price | Avg. Units | No. of Stores | Yearly Revenue | Yearly Cost |
|-------------|------------|------------|---------------|----------------|-------------|
| Supermarket | 50         | 1,000      | 4             | 219 Mn         | 225 Mn      |
| Flagship    | 50         | 4,000      | 2             |                |             |

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# Profitability Case 8: Electric Motors

|          |            |
|----------|------------|
| Industry | Automotive |
| Level    | Advanced   |

**Prompt:** The client is an Indian conglomerate which manufactures electric motors. Since the last 3-4 years, profitability is below the industry average. Diagnose the problem and recommend solutions.

Sure! First, I would like to reiterate the problem to make sure that I am understanding it correctly. So the prompt is that the client is an Indian conglomerate which manufactures electric motors. Since the last 3-4 years, profitability is below the industry average. I need to diagnose the problem and recommend solutions. Is profitability the only problem for the firm?

Yes, that is correct.

I would like to start by asking a few initial questions. Which geography is the company situated in?

The company has 3 manufacturing plants - 2 in North India and 1 in West India.

Which part of the value chain does the company operate in?

The client's firm is only involved in manufacturing.

Do we have any data regarding the competition and the market share of the company?

You can assume that the client is one of the top players.

What does the product portfolio look like?

The client manufactures electric motors used in heavy motors (40%), engineering parts (40%) and in power plants (20%).

Since the profitability is going down, we can start by looking at the revenue and cost. Do we have any data about either of these?

The revenue has not changed but the cost has increased.

Since the cost has increased, I would like to look at the different heads under cost. We can do this by looking at the value chain. Cost can be broken down as R&D -> Procurement -> Production -> Storage & transportation.

That looks good.

We can further segment it as: Under R&D, there would be tech support and training support. Under procurement, it would be supplier and cost of raw materials. Under production, it would be machine efficiency and labour costs. Under storage & transportation, it would be inventory costs, transportation and wastage during transportation. Should we look at these one by one?

No, this looks good. The problem is with cost of raw material going up.

We can look at some external and internal factors in that case. Would you recommend going down this path?

You can look at what constitutes the major raw material for electric motors.

The major raw materials for electric motors would primarily be steel and copper wires. Do we have any information regarding the costs for these?

Yes, the cost for copper wires has gone up by 30-35%. Can you come up with some recommendations?

We can use aluminium wires which are a cheaper alternative and better predict the demand for our product and accordingly buy copper when it is cheaper.

Alright. Any financial instruments that can be used in this case?

Candlesticks and charts.

Sounds good. We can close the case here.



# Profitability Case 8: Summary

**Prompt:** The client is an Indian conglomerate that manufactures electric motors. Since the last 3-4 years, profitability is below the industry average. Diagnose the problem and recommend solutions.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Approach                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area</b><br/>Industry Specific</li><li>❖ <b>Timeline</b><br/>Last 3-4 years</li><li>❖ <b>Revenue Trend</b><br/>Constant revenue</li><li>❖ <b>Cost Trend</b><br/>Increase in cost</li><li>❖ Client has 3 manufacturing plants in India</li><li>❖ Client's firm is only involved in manufacturing</li><li>❖ Product portfolio – motors used in heavy motors (40%), engineering (40%) and power plants (20%)</li><li>❖ Cost of raw material has increased by 30-35%</li></ul>                                             | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ Comprehensive questions</li><li>○ Quickly asking about revenue and cost sides</li><li>○ Dividing the cost into different branches and sub-branches</li></ul></li><li>❖ <b>Common Mistakes</b><ul style="list-style-type: none"><li>○ Not listing down recommendations in points and not splitting them as short-term and long term</li></ul></li></ul> | <pre>graph TD; Profit[Profit] --&gt; Revenue[Revenue]; Profit --&gt; Cost[Cost]; Cost --&gt; RnD[R&amp;D]; Cost --&gt; Procurement[Procurement]; Cost --&gt; Production[Production]; Cost --&gt; Storage[Storage &amp; transportation]; RnD --&gt; Tech[Technical support]; RnD --&gt; Training[Training support]; Procurement --&gt; Raw[Raw materials]; Raw --&gt; Supplier[Supplier]; Production --&gt; Machine[Machine efficiency]; Machine --&gt; Labor[Labor]; Storage --&gt; Inventory[Inventory]; Inventory --&gt; Wastage[Wastage during transportation];</pre> |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <p><b>Conclusion:</b> Increase in costs due to an increase in the cost of copper wires which is one of the major raw materials for electric motors.</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Use aluminium wires since they are a cheaper alternative to copper wires</li><li>○ Better demand forecasting and buying copper according to demand</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Use financial instruments like candlesticks &amp; charts to purchase copper</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |





# Profitability Case 9: Hospital Chain

|          |            |
|----------|------------|
| Industry | Healthcare |
| Level    | Advanced   |

**Prompt:** Your Client is the owner of a Hospital chain. Lately there has been a decline in their profits. Figure out the reasons and suggest possible solutions

Sure! I would like to start by understanding more about the client. How many hospitals does our client own and is the problem on an overall level or with a particular hospital?

The client owns 4 multi-speciality hospitals across the country. The problem is with just one of the hospitals.

Okay, can you tell me some more facts about the hospital. Where is it located and what type of population segment does it cater to?

It is located in a semi-urban area of Delhi and caters mostly to the middle to high income population segment

Understood. Also, can I get an idea since when has this problem started?

We have seen this declining trend for the past 2 years.

Got it. To further deep dive on the issue, I'd like to split profitability into revenue & costs. Any particular head that you would like me to start with?

Costs have largely remained the same or grown as per expectations. It's the revenues that have seen a decline.

Sure, delving into revenues first, which can be divided into revenues from patients which would include surgery, medical check-ins etc and revenue from non-patient driven activities like Research & academic activities.

It's the patient driven revenue which has declined. Can you briefly discuss what you mean by this segmentation?

Sure. Surgical revenue includes the charges on performing surgeries, which mostly forms the bigger chunk of revenues. Medical patients are the ones who undergo regular check ups and stays in the hospital. Others include food, medicine revenue

Okay we are seeing a reduction in the first two buckets. 3<sup>rd</sup> one is largely self explanatory.

First, starting with the surgical revenues, these can be divided into No. of Surgeries x Cost/surgery. Do we know if either of the metrics has seen a decline? And secondly, in terms of medical patients, it depends on no. of days of stay.

We are seeing a decline in the No. of surgeries that have happened in our hospital and on the second point, try thinking deeper

For the decline in surgeries there, we can then analyze the awareness, accessibility, affordability & customer experience factors of our hospital in terms of medical patients, it could also depend on occupancy rate.

So there has been lately some negative reviews regarding our post-op care, which has led to patients either getting their surgeries done in other hospitals & clinics.

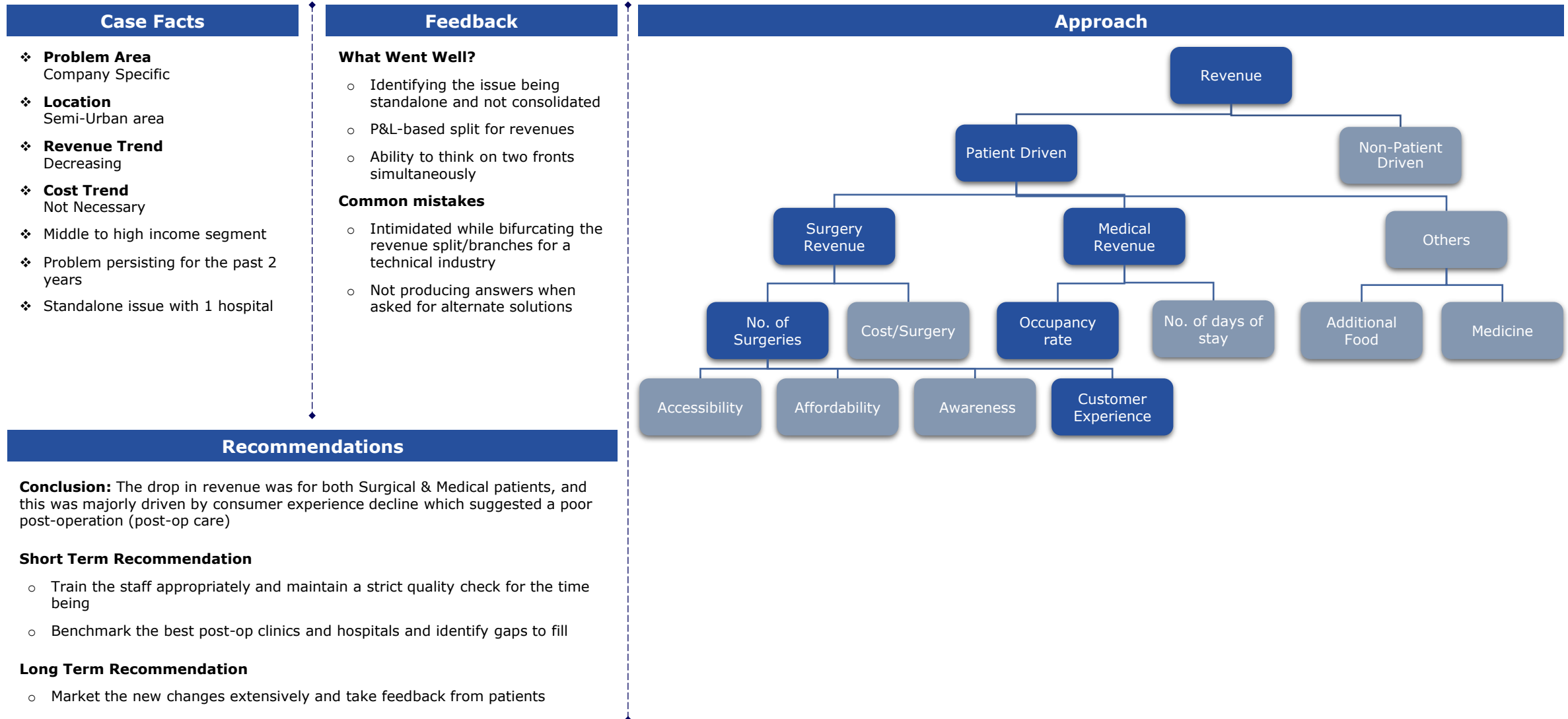
This actually might also be the reason why there is a decline in occupancy rate of beds given that the industry has a high word of mouth effect. There can be couple of ways to counter this. Internally we can work on improving our own Post-op care team, by identifying potential gaps and seeing where there has been an issue. Externally, we can market the positives and conduct surveys over social media to highlight this change more emphatically.

Thanks. You can close the case now.



# Profitability Case 9: Summary

**Prompt:** Your Client is the owner of a Hospital chain. Lately there has been a decline in their profits. Figure out the reasons and suggest possible solutions.





# Profitability Case 10: Private Sector Bank

|          |          |
|----------|----------|
| Industry | Banking  |
| Level    | Advanced |

**Prompt:** The client is a private sector bank operating in India. It has seen a drop in profitability in the past 3-4 quarters and are keen to turn around the numbers to achieve their goal. Identify the root causes and recommend solutions

Sure. Just so I have understood the problem correctly, the client is a private sector bank and has seen a drop in profitability in the past 9-12 months. Our objective is to identify the causes and recommend solutions.

Yes, that's correct.

Before I proceed, I need to understand the business and industry a bit better, so would like to ask few preliminary question for clarity.

Sure, Go ahead.

I'd like to start by understanding where the client is located at and where all do they serve geography wise? Also is the problem being faced in any particular branch or on an overall level.

The client is based out of Mumbai, but has operations Pan-India. It has a strong presence in the southern and western markets. The problem is not from a branch perspective. You can look at the company as a whole.

Do we have any data on how the competitors have faired in the similar time period?

All major players have taken a hit however the client has seen more drop in profits than any competitor.

Okay, so to start with, we can split profitability drivers into Revenue and costs and I can move forward with the Revenue analysis.

Before you do that, could you list out the typical revenue and cost heads for a bank?

Sure. For a bank, revenue is typically earned from Interest income and other income and the major cost heads include Interest expense, Operating expense and Provisions & Contingencies.

Good, you can proceed with the revenue-side analysis.

Since we have already broken the revenue into interest income & other income, do we have any data or indication as to what may have declined?

The interest income has grown according to projections. It's the share of other income which has decreased. Could you first list down some of the ways in which banks generate this income?

That would be transaction based fees and charges, advisory services charges, commission charges for selling other financial products

What exactly do you mean by commission charges?

Banks usually provide services but they also act as distributors for financial products like mutual funds & insurance products, on which they earn commissions. For e.g., in the mutual fund industry, Banks have to register with AMFI separately as a distributor and disclose commission amounts, which is usually a % of the AUM.

The commission revenue has declined for the bank.

Do we have split of product type, so as to ascertain where the commissions have declined?

The decline is evenly spread out across products. What else could be the reason?

If the product is fine, then there might be an issue with the way the product is being sold. Do we know of the cross selling techniques being used by the client?

We do not have that particular information, however we know that the client recently shifted from a 100% in house cross selling team, to a 50% in-house and 50% outsourced team.

- AMFI (Association of Mutual Funds in India) is the trade association for India's mutual fund industry that sets standards and registers distributors.
- AUM (Assets Under Management) is the total market value of the investments a financial institution manages on behalf of its clients.



# Profitability Case 10: Private Sector Bank

|          |          |
|----------|----------|
| Industry | Banking  |
| Level    | Advanced |

This could be one of the reasons for decreased cross-selling. The newer teams might be taking more time to adjust to the working methods and there might also be a lack of follow-ups on cross-selling.

Those seem like fair reasons. How would you solve them?

I'd look into the training programs of our in-house team as well as the outsourcing team. Usually with vendors, the onus on training is on them, but if we can train them according to a systematic plan and divide the manpower capacity. It can help adjust to the problem quickly. Also have a set of protocols to be followed by each distributor.

Good. You can move to the cost side analysis.

Sure. As previously mentioned, the cost of a bank can be divided into Interest expense, operating expense & provisions. Any indication which metric has gone up?

Before moving ahead, could you briefly tell me what all these cost factors are?

Interest expense is the interest being paid out by the bank (on deposits), operating expense includes your rent, power, electricity, marketing expenses, admin expenses, employee expenses & Provisions included the money kept aside for non-performing assets.

Okay, Operating expenses have actually decreased and interest expense have remained similar to previous years.

Sure, then the problem narrows down to Provisions and Contingencies for the client. Has there been any regulatory ruling regarding the increase in the % to be set aside for provisions?

You are correct about the Provisions part, but is it merely a mandatory requirement?

Oh, yes I missed the management discretion angle for determining the provisions.

That's alright, we have seen for the past few quarters all banks have been a little more safe with their loans, considering a high default rate expected.

That's probably the reason why management of not just the client but also competitors felt the same and increased provisions leading to a cost hit.

Suggest some ways to counter this cost increase.

This can be looked at purely from Risk management perspective. The client needs to split its portfolio across products, across geographies, across customer types to minimize risk of default. There can also be investment in the collections side to support the risk management initiatives for the client.

Sure, Thank you. You can close the case here.



# Profitability Case 10: Summary

**Prompt:** The client is a private sector bank operating in India. It has seen a drop in profitability in the past 3-4 quarters and are keen to turn around the numbers to achieve their goal. Identify the root causes and recommend solutions

## Case Facts

- ❖ **Problem Area**  
Company Specific
- ❖ **Timeline**  
Last 3-4 Quarters
- ❖ **Revenue Trend**  
Declining
- ❖ **Cost Trend**  
Increasing
- ❖ Client has pan India operations with strong foothold in southern & western markets
- ❖ Competitors also faced similar issue of margins however client had a bigger hit
- ❖ Both revenue and cost being affected

## Feedback

### What Went Well?

- Interviewee seemed to have some level of comfort with the banking sector
- Ability to quote examples
- Maintaining composure even when missed out on an obvious answer (Management based discretion on Provisions)

### Common mistakes

- Could have asked more preliminary questions to understand the case better
- Recommendations could be split into short- and long-term solutions

## Recommendations

**Conclusion:** The decrease in revenue was due to a fall in cross-selling and the increase in costs was due to increased provisions made by management

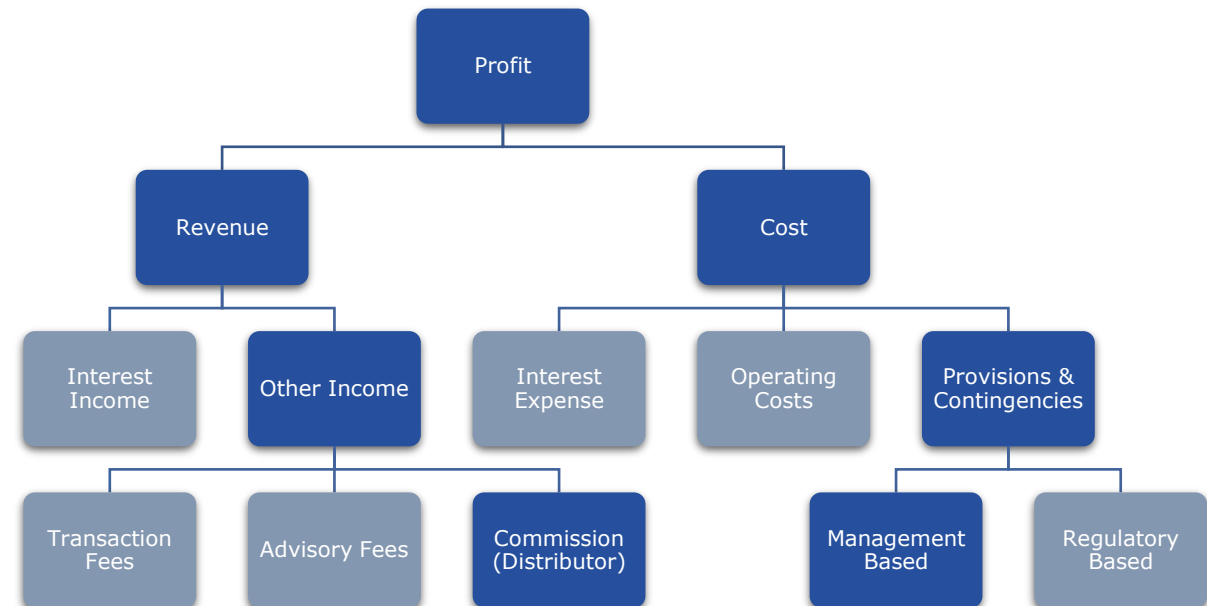
### Short Term Recommendation

- Train the cross-selling agents for a short-term solution.
- Assess the need for high provisions every quarter and accordingly manage risks.

### Long Term Recommendation

- Design a training program to ensure a smooth transition between agents

## Approach

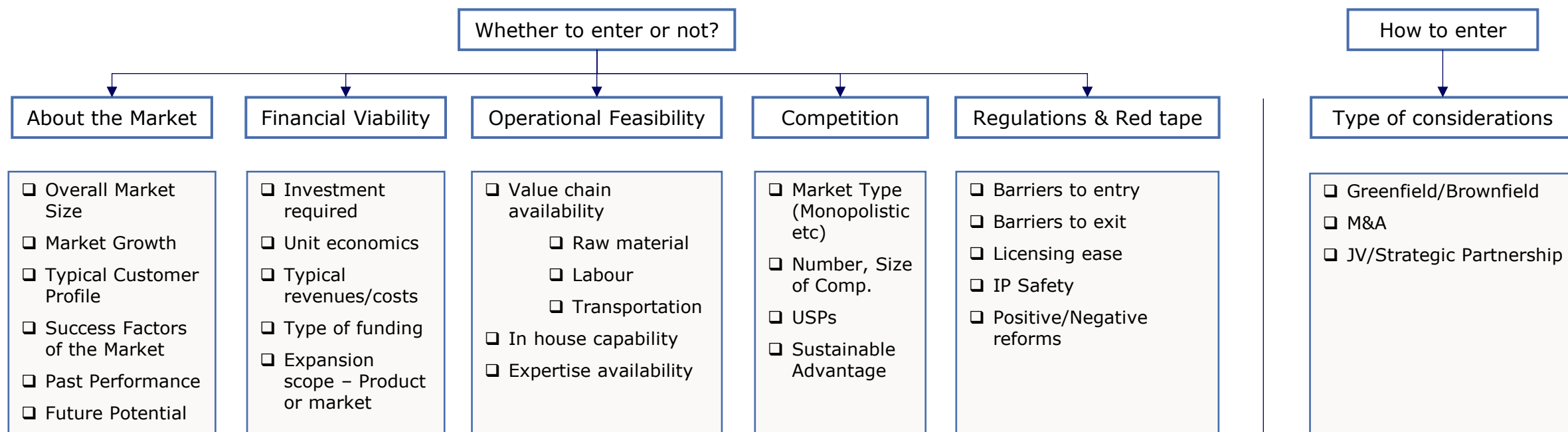




# Market Entry Framework

## Framework

Application of MECE principle on Market entry cases is dependent on answering 2 major questions- Can you enter the new market? and if yes, then how?



## High Level Analysis

- Reiterate the problem to have a clear understanding of the case
- Understand the motives of the market entry and keep them in mind throughout the case – essentially reaching the market entry target is important
- Additional considerations whilst deciding whether to enter or not, should also include company's internal resources as well as past expansions
- Candidates can use the framework – Industry, Company, Customer & Competition framework





# Market Entry Case 1: E-Commerce

|          |            |
|----------|------------|
| Industry | E-commerce |
| Level    | Beginner   |

**Prompt:** Your Client is a US based E-commerce giant and as part of their expansion strategy, they are looking to enter the same business in the Philippines market. You are advising them on this activity. How should they go about it?

Just to reiterate the case understanding, our client is US based E-commerce giant, and they are looking to enter the same business in the Philippines market, and we have to advise them on how to go about it?

Yes, precisely.

Alright. I would like to begin by asking a couple of clarifying questions before I get into the analysis and recommendations.

- 1) What is our client's business model?
- 2) Why Philippines?
- 3) What are their objectives post entering this new market?

Well they are like any other E-commerce chain and have been in business for the last 15 years. Why Philippines, because the market has shown a tremendous growth of 40% in the last 2 years. However not all players have seen the same kind of growth. The primary objective is to breakeven in the first year & then grow in the subsequent years.

Alright, understood. I would break this problem into 3 parts. First, I would check if the entry into the Philippines market makes economical sense or not. Next, if it does, I would like to explore the different entry modes looking at our client capabilities and the country's dynamics. Finally, I would be looking at the go to market strategy for our client.

Alright, that sounds good. So you can begin with your first analysis then.

Sure. So, for assessing whether the entry makes business sense or not, I would like to look at the current market size of Philippines and also the competitive landscape. Do we have some data on that?

Yes, we do have some data related to that (Refer Annexure)

After performing the financial analysis it seems that it does make economic sense to enter the market.

Alright, that's good. You can proceed and discuss about the modes of entry.

So broadly we could look at 3 ways of entry. Standalone, Merger/Acquisition or a Joint Venture. Has the client performed some primary analysis related to the market dynamics of Philippines?

Yes. So based on the client's primary analysis there are two major barriers to entry. 1) Stiff Competition 2) Govt orders to levy more taxes on non-indigenous companies to give local firms greater operational flexibility.

Alright, that would make a standalone entry difficult to pursue, since we would be at a disadvantage compared to the existing firms and higher tax rates would eat into our profits. Moreover, the client does not have any experience of marketing in Philippines. Do we have data on the possibility of an acquisition or a JV?

Yes. Company PQR is not eager to go into any partnership. They have launched physical e-stores with cashless payments facility and goods takeaway capabilities. Company XYZ has not done much in terms of marketing. It had gained a lot of market share at the time of its advent in Philippines owing to the lower prices offered as compared to Company PQR. However, now they are bleeding money due to lower margins and are open to joint business options.

Alright, so based on the facts you provided it seems that going with company XYZ either through a Merger/Acquisition or JV route makes more sense. They have a strong position in the market with 40% market share but they are bleeding money at the same time and are open to a joint business opportunity. By partnering with XYZ, we can gain a significant market share right away and achieve the breakeven in the first year as we have planned.



# Market Entry Case 1: E-Commerce

|          |            |
|----------|------------|
| Industry | E-commerce |
| Level    | Beginner   |

Alright, point taken. So, what should the go-to-market strategy for our client be?

Okay, sure.

- 1) First, as discussed, our client should go with either an M&A or a JV based strategy. Company XYZ is an ideal partner for this.
- 2) Figure out what the consumer needs are and if customers are experiencing any problems/gaps with the existing players' capabilities. The client needs to focus on addressing these pain points.
- 3) We can market using similar strategies as Company XYZ had done 4 years ago. Leverage 15 years of experience in the business while marketing.
- 4) Innovate in terms of offerings which are different and better than Company XYZ and any other offerings of any other companies. Market that innovation strongly.
- 5) Perform cost benefit analysis of opening e-stores similar to those of Company PQR and if it makes sense then subsequently open the stores to grow in the later years.

Alright, good. So, what are your final recommendations for our client, based on all the analyses done so far?

- 1) Based on the cost-benefit analyses, it is clear that our client will break even within the first year. So the client should go ahead with the launch (as financial break-even is one of the top objectives).
- 2) Further we looked at various mode of entries and conclude that going with a joint business operating model with the company XYZ is the best possible option at hand. There we would need to further look at integration challenges and other gaps that could arise.
- 3) Finally, talking about the go-to-market strategy, our client should leverage their 15 years of E-commerce business experience and innovate in terms of offerings so as to gain competitive advantage over PQR and other players.

Okay that's good. We can end the case discussion here. Thank you.



# Market Entry Case 1: Calculations

## Annexure 1

### Potential Market Size

Philippines has a population of about of 100 Million and an internet penetration of 60%

### Market Size of the competitors in the industry

| Competition | Market Size (in revenue terms) | Competitor Origin | Operation duration in Philippines | Remarks            |
|-------------|--------------------------------|-------------------|-----------------------------------|--------------------|
| PQR         | 60%                            | Philippines       | 8 years                           | Rise in Profits    |
| XYZ         | 40%                            | China             | 4 years (Total 12)                | Decline in Profits |

### Revenue & Profit margin of the competition in this industry

| Competition | Annual revenue (\$) | Avg. Profit margin (Last year) |
|-------------|---------------------|--------------------------------|
| PQR         | 600 Million         | 30%                            |
| XYZ         | 400 Million         | 20%                            |

The overall market (in revenue terms) is expected to **grow by 40% in the next year**. And the client is expecting to capture **20% market share** this year

Price of products across all goods segments has been same for both competitors. For a start, the client can operate with a minimum of **20% profit margin**. Fixed investment cost for the client is **\$50 Million**.

|          |            |
|----------|------------|
| Industry | E-commerce |
| Level    | Beginner   |

## Candidate's Calculations

Since the current market size in terms of revenues is \$ 1000 Million and it is expected to increase by 40% in the next year.

Therefore, **total revenue** for the next year =>  $1000 \times 1.4 = \$1400$  Million

Client's expected market share = 20%

Client's expected revenue in the next year =  $1400 \times 20\% = \$ 280$  Million

Now to calculate the breakeven :

Fixed cost = \$ 50 Million

Variable cost (Considering 20% profit margin) =  $280 \times (100\% - 20\%)$   
= \$ 224 Million

**Total Cost** = Fixed cost + Variable Cost

= \$ 50 Million + \$ 224 Million

= \$ 274 Million

Since the **Total Revenue is greater than the Total Cost in the first year**, the client would be able to achieve breakeven in the first year itself.



# Market Entry Case 1: Summary

**Prompt:** Your Client is a US based E-commerce giant and as part of their expansion strategy, they are looking to enter the same business in the Philippines market. You are advising them on this activity. How should they go about it?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Feedback                                                                                                                                                                                                                                                                                                                                                                    | Approach     |                                   |                          |                         |                        |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|-----------------------------------|--------------------------|-------------------------|------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Reason for market entry</b><br/>Growing market</li><li>❖ <b>Target objective</b><br/>Breakeven in the first year &amp; grow in the following years</li><li>❖ <b>Barriers to entry</b><br/>Stiff competition and excess tax for non-indigenous firms</li><li>❖ <b>Market size &amp; growth:</b> \$1000 million &amp; 40%</li><li>❖ <b>Client's expected market share:</b> 20%</li><li>❖ <b>Costs:</b> \$274 million</li><li>❖ PQR uninterested in partnership; XYZ gained market share but bleeding money &amp; looking for JV</li></ul>                                                                | <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>○ Concentrated and to the point clarifying questions</li><li>○ Quickly identifying points to calculate market attractiveness, feasibility and the go to market strategy</li></ul> <p><b>Common Mistakes</b></p> <ul style="list-style-type: none"><li>○ Recommendations could be more concise</li></ul> | Market Entry | Market attractiveness             | Financial feasibility    | Operational feasibility | Strategy for entering  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                             | Reason       | Market size                       | Costs incurred by client | Regulations             | Standalone             |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                             | Objective    | Market growth potential           | Break-even point         | Resource availability   | Joint Venture          |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                             |              | Client's expected market share    |                          |                         | Mergers & Acquisitions |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                             |              | Increase in market share per year |                          |                         |                        |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                             |              |                                   |                          |                         |                        |
| <p><b>Conclusion:</b> Based on the cost-benefit analyses, since the client will break even within the first year it should go ahead with the launch as a joint business operating model with the company XYZ</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Invest in innovation and marketing of new product offerings</li><li>○ Leverage experience in marketing to produce different schemes</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Analyze the cost-benefit relationship for the possibility of opening e-stores to grow in the future years</li></ul> |                                                                                                                                                                                                                                                                                                                                                                             |              |                                   |                          |                         |                        |



# Market Entry Case 2: Luxury Yacht Manufacturer

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Beginner      |

**Prompt:** Your Client is an Italy based multi billion-dollar luxury yacht manufacturer. Their business is majorly based in Italy, but they are seeing a decline in profitability over the past 3 years. The client has been planning to enter a new market for a while and now with this profitability problem, they have decided to enter one of the following countries: Netherlands, France, or Taiwan. The client would like you to evaluate which of these countries it should enter. How would you assist them with this exercise?

Just to reiterate the case understanding, our client is an Italy based luxury yacht giant and they are looking to enter a new market – either Netherlands, France or Taiwan owing to a decline in profitability in their domestic market, and we have to advice them on how to go about it?

Yes, that's right. Please proceed.

Alright. I would like to have a few clarifications first.

1) Why are our client seeing a decline in profitability in the Italian market? 2) What is the basis for choosing these 3 specific countries? 3) What are their objectives post entering this new market?

Well as far as the decline in profitability is concerned,

1. The overall economic downturn in Italy has caused the luxury yacht market to shrink from €4B to €2.5B over the last five years.
2. Italy implemented a new tax on luxury boats 2 years ago that has increased the costs for the client.

Each of the 3 proposed countries has a huge market for luxury yachts, similar to that of Italy, and they show good growth prospects.

Coming to objectives, there are no fixed objectives, the client just wants to increase their overall revenue as well as profitability.

Alright, understood. I would like to analyze the three potential markets both from a quantitative as well as qualitative point of view. Quantitatively speaking, I would like to analyze the market size as well as potential revenues that our client could generate in these 3 markets, and on the qualitative front I would like to analyze these 3 markets in terms of barriers to entry and the competitive landscape.

Alright, that sounds good. Go on!

Do we have any data on the market size in these 3 countries, the growth potential and what percentage the client is likely to capture?

Yes, we do have some data on this. (Refer Annexure 1)

So upon calculating the revenue over 3 years we see that France has the biggest luxury yacht market (€3B), the client's potential market share is highest in the Netherlands, and the overall revenues are highest in France (€1.73B).

Alright, that's good. So would you recommend that the client enter the France market then?

Not yet, now since we are done with the economical analysis, I would like to analyze the market entry scenario based on the qualitative aspects.

Yes, sure. Go ahead.

Alright, so I would break down the qualitative analysis in 3 aspects for each of the target countries.

- 1) I would analyze any barriers to entry from regulatory and legal points of view.
- 2) I would like to look at the competitive landscape and map out the players.
- 3) I would analyze the labour market in each of the countries, since the auto industry requires both highly skilled as well as cheap semi-skilled labour

# Market Entry Case 2: Luxury Yacht Manufacturer

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Beginner      |

Alright, that’s good enough for now. Do you have anything else to add?

Well, our primary analysis tells us that the client should enter the French luxury yacht market for two main reasons: first, the client’s potential revenues in France are higher than either of the other two countries.

Next, on the qualitative side, we can also look at geographical factors like - Taiwan is geographically isolated from Italy, increasing operational complexity and adding to costs. Cultural imbalance is a challenge too. So, at this point if I were to make a recommendation, the client should target the French market.

And once if we have established that entering France makes the most sense, then we could look at various modes of entry and how operational efficiency can be established.

That’s a very good analysis. Alright, I think we can stop the case here. Well done!

## Calculation Methodology

**How the 3-Year Revenue is Calculated:**  
The total revenue figure is the sum of the projected revenues for Year 1, Year 2, and Year 3.

- **Revenue Year 1:** (Initial Market Size) x (Initial Potential Market Share)
- **Revenue Year 2:** (Market Size after 1 yr of growth) x (Market Share after 1 yr of increase)
- **Revenue Year 3:** (Market Size after 2 yrs of growth) x (Market Share after 2 yrs of increase)

**Example using France:**

- **Year 1 Revenue:** €3B \* 10%
- **Year 2 Revenue:** (€3B \* 1.10) \* (10% + 7%)
- **Year 3 Revenue:** (€3B \* 1.10 \* 1.10) \* (17% + 7%)

## Annexure 1

| Market      | Luxury Yacht Market Size | 3 year CAGR predictions | Potential Market share | Increase in market share/yr. (Absolute) |
|-------------|--------------------------|-------------------------|------------------------|-----------------------------------------|
| Netherlands | €2B                      | 5%                      | 15%                    | 5%                                      |
| France      | €3B                      | 10%                     | 10%                    | 7%                                      |
| Taiwan      | €2B                      | 10%                     | 10%                    | 6%                                      |

## Candidate’s Calculations

| Market      | Market Size * Growth Rate * Potential Market Share     | Revenue (3 years) |
|-------------|--------------------------------------------------------|-------------------|
| Netherlands | €2B * 15% + €2B * 1.05 * 20% + €2B X 1.05 * 1.05 * 25% | €1.271B           |
| France      | €3B * 10% + €3B * 1.10 * 17% + €3B * 1.10 * 1.10 * 24% | €1.732B           |
| Taiwan      | €2B * 10% + €2B * 1.10 * 16% + €2B * 1.10 * 1.10 * 22% | €1.084B           |





# Market Entry Case 2: Summary

**Prompt:** Your Client is an Italy based multi billion-dollar luxury yacht manufacturer. Their business is majorly based in Italy, but they are seeing a decline in profitability over the past 3 years. The client has been planning to enter a new market for a while and now with this profitability problem, they have decided to enter one of the following countries: Netherlands, France, or Taiwan. The client would like you to evaluate which of these countries it should enter. How would you assist them with this exercise?

Case Facts

- ❖ **Reason for market entry**  
Declining profitability in domestic market
- ❖ **Target objective**  
Choose 1 out of Netherlands, France and Taiwan to enter
- ❖ **Reason for declining profitability**
  - Economic downturn in Italy
  - New tax on luxury boats
- ❖ **Market size, growth & potential market share**  
Annexure 1
- ❖ **Qualitative Analysis**  
Geographical location, operational complexity and cultural balances need to be analysed

Feedback

**What Went Well?**

- Tried to understand the reason for declining profitability in the domestic market and the respective objective in the new market
- Ability to calculate the market size based on the given data of market share and future projections
- Also touched on the qualitative aspects

**Common Mistakes**

- Focusing only on calculations and not considering other qualitative aspects

Approach

Market Entry

Reason

Objective

Market attractiveness

Market size

Market growth potential

Client's expected market share

Increase in market share per year

Financial feasibility

Costs incurred by client

Break-even point

Operational feasibility

Regulations

Resource availability

Strategy for entering

Standalone

Joint Venture

Mergers & Acquisitions

Recommendations

**Conclusion:** Enter the market of France as it is providing the maximum benefits both quantitatively and qualitatively

**Short Term Recommendation**

- Explore the various modes of entry (JV/organic) basis the competitive landscape of France
- Decide how well the operational efficiencies could be established

**Long Term Recommendation**

- Analyze if the client could enter in the remaining markets/other new markets after getting established in France

| Market      | Market Size * Growth Rate * Potential Market Share     | Revenue (3 years) |
|-------------|--------------------------------------------------------|-------------------|
| Netherlands | €2B * 15% + €2B * 1.05 * 20% + €2B X 1.05 * 1.05 * 25% | €1.271B           |
| France      | €3B * 10% + €3B * 1.10 * 17% + €3B * 1.10 * 1.10 * 24% | €1.732B           |
| Taiwan      | €2B * 10% + €2B * 1.10 * 16% + €2B * 1.10 * 1.10 * 22% | €1.084B           |

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# Market Entry Case 3: Media Streaming Company

|          |              |
|----------|--------------|
| Industry | Media        |
| Level    | Intermediate |

**Prompt:** Your client is a US-based media streaming company planning to enter India. Could you help them build a comprehensive market entry strategy and give some valuable recommendations?

This sounds interesting. Before I begin, I'd like to clarify if the streaming company has already decided to enter India and we are to develop a "Go-to-Market" strategy or if we are to first evaluate whether the company should enter India or not.

Why don't you come up with key metrics the company should look at while determining whether it should enter the country or not?

Great. I'd first like to know what the primary objective of the client is. Are they eyeing increased profits, a larger market share, or a social endeavor?

The client would like to maximize profits.

Okay. Does the client have any prior experience when it comes to entering a foreign market?

No, India would be the first.

Sure. Now, I'd like to understand the client a little better. Can you tell me a bit more about our client's business and where do they lie in the value chain? Also, when would they like to enter the market?

Our client handles all parts of the media streaming value chain. They are looking at a time-frame of 2-3 years for entering the country.

How is our client performing in the US market?

Our client is one of the leading media streaming platforms with a large subscriber base in the US.

Great. I'd like to walk you through my approach, keeping in mind that the present Indian Media & Entertainment industry is dominated by a few major players like Netflix, Jio Hotstar, Prime Video, etc. I'd like to look at Financial feasibility, Operational feasibility, and Risks.

Under financial feasibility, I want to analyze the total revenue potential, which would be equal to  $(\text{Market size} * \text{Market share} * \text{ARPU}) - (\text{Fixed costs})$ . Then I would evaluate it to see if it is lucrative enough. Under Operational feasibility, I'd evaluate the various steps of the value chain and analyze whether to set up the operation on our own, partner with an existing platform, or acquire a local player. Lastly, under risks, I'd evaluate the various risks associated with such a venture.

That sounds comprehensive! So, why don't you tell me the various parameters you would consider for arriving at the market size and share?

Sure. I'd look at the following metrics to determine market size: the population, broadband and mobile internet penetration rate in urban and rural areas, disposable income levels, current streaming service adoption, and the time spent consuming digital content. To estimate market share, I'd look at how competitive the industry is, switching costs, pricing strategy, and content quality compared to competitors. Basis this, we will estimate our fixed and variable costs to ensure sustainable profitability. Do you want me to perform the calculations?

No, that's not needed. What parameters would you consider when calculating the average revenue per user?

We can calculate ARPU (Average Revenue Per User) based on subscription fees, ad-supported revenue, and licensing opportunities.

Alright. Can you elaborate on how you would assess the competitiveness of the industry?

Certainly. To assess industry competitiveness, I would like to conduct Porter's Five Forces analysis, looking at: Threat of new entrants – Barriers such as regulatory requirements, content acquisition costs, and brand loyalty; Bargaining power of suppliers – Content providers, production houses, and licensing costs;..



# Market Entry Case 3: Media Streaming Company

|          |              |
|----------|--------------|
| Industry | Media        |
| Level    | Intermediate |

Bargaining power of buyers – Customer willingness to pay, availability of free or low-cost alternatives; Threat of substitutes – Presence of social media, YouTube, and traditional TV as competing forms of entertainment; Industry rivalry – Competition from Netflix, Amazon Prime Video, JioHotstar, and regional OTT players.

Good, how would you price our services?

For pricing strategy, we would need to decide between a subscription-based, ad-supported, or freemium model. Some of the factors that we should ponder while deciding could be the price sensitivity of urban vs. rural consumers, matching or undercutting existing players to gain market share, justifying premium pricing through exclusive/localized content, and providing free trials and bundled offers with telecom/internet providers

That sounds comprehensive. What options can we consider for entry?

We can evaluate the following options: Building our platform, Partnering with telecom/OTT providers, Acquiring an existing local player, or Outsourcing content production. These options can be selected based on factors such as content licensing costs, infrastructure investments, brand positioning, and regulatory feasibility. Do you want me to analyze which option is best suited for the client?

No, this sounds good. Why don't you quickly sum up the risk factors involved too?

Sure, some of the key risks that cross my mind are adjusting to Indian consumer preferences and navigating a price-sensitive market, ensuring compliance with India's strict digital streaming regulations and censorship laws, overcoming existing dominant players like Netflix, Amazon Prime Video, and Disney+ Hotstar, along with regional streaming services.

Perfect. That should be all. We can close the case.



# Market Entry Case 3: Summary

**Prompt:** Your client is a US-based media streaming company planning to enter India. Could you help them build a comprehensive market entry strategy and give some valuable recommendations?

## Case Facts

- ❖ **Problem Area**  
Evaluating the feasibility of entering the Indian market with a media streaming platform.
- ❖ **Reason for market entry:**  
Expand the reach of a successful commercial venture.
- ❖ **Target objective:**  
Evaluate the potential of launching the media streaming platform in India.
- ❖ **Market size, growth & potential market share:**  
Indian Population: Large and growing digital consumer base.
- ❖ **General Observations:**
  - Competition from established players like Netflix, Amazon Prime Video, and Jio Hotstar
  - Potential resistance from traditional TV networks.

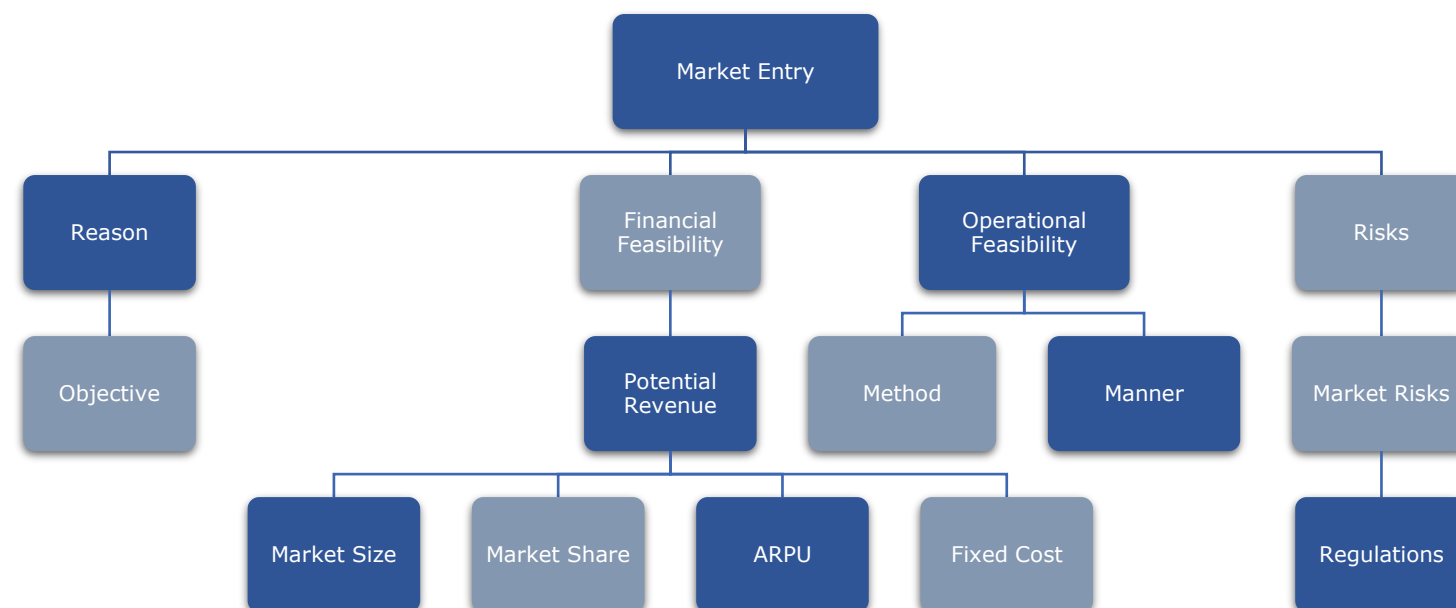
## Feedback

- ❖ **What Went Well?**
  - Clear identification of the need for digital content consumption.
  - Recognized urban areas and youth demographics as key target audiences.
  - Addressed infrastructure, distribution, and regulatory feasibility.
- ❖ **Could be better**
  - Need for a detailed analysis of adoption rates and pricing strategies across different customer segments.
  - More focus on localization strategies for better market penetration.
  - Subscription could be tiered for instance based on number of logins or additional charges for access to exclusive content such as K dramas.

## Recommendations

- ❖ **Conclusion:** Enter the Indian market as it offers a strong digital user base and potential for streaming service adoption, despite regulatory and infrastructure challenges.
- ❖ **Short-Term Recommendations:**
  - Partner with telecom providers for bundled data-streaming packages.
  - Conduct localized promotional campaigns and user engagement initiatives.
- ❖ **Long-Term Recommendations:**
  - Position the platform as a complementary service to traditional television and regional content.
  - Expand into other markets after establishing a strong foothold in India.

## Approach





# Market Entry Case 4: Li-Ion Batteries

|          |              |
|----------|--------------|
| Industry | Energy       |
| Level    | Intermediate |

**Prompt:** Your Client is an Indian renewable energy company that primarily operates in Solar and Wind Energy. They are the fastest growing private player in this market and to further expand their portfolio they are thinking of entering the Li-ion battery business. Should they enter this business and if yes, how should they go about it?

Just to clarify my understanding of the case, our client is an Indian renewable energy company that primarily operates in Solar and Wind energy. They are the fastest growing private player in this market & they are thinking of entering the Li-ion battery business. So, we need to advise them on whether they should enter this business or not?

Yes. And also if they do decide to enter, then how should they do about that.

Alright, understood. I would like to begin by asking a few clarifying questions

- 1) What is the client's current business model?
- 2) Why are they thinking of entering the Li-ion battery business ?
- 3) What are their objectives & success criteria post entering this new market?

Our client builds, owns and operates utility scale solar and wind projects that generate energy for commercial and industrial customers. As far as diversifying into the Li-ion business is concerned, our client believes that Li-ion storage solutions are the future with high integration capabilities with EVs. Their objective is to gain considerable market share (at least 20%) in the next 5 years.

Alright, understood. So, to begin with I would like to understand more about the current Li-ion market in India. There, I would look at the areas where Li-ion batteries are being used, market size, market growth and competitive landscape. Further, after assessing whether this is a good market to enter or not, I would like to explore the various modes of entry and see which would make the most sense in order to achieve the targets set by our client. Does this sound right to you? Or would you like me to explore any more domains?

Alright, that sounds good. We can proceed with this.

As I understand, in India Li-ion batteries are primarily used in EVs and as a storage solution for renewables energy such as wind & solar. Do we have data regarding the current market size of Li-ion batteries in India and its growth rate?

Yes, you're right and we do have some data regarding that. I would like you to calculate the addressable market size of Li-ion for the year 2021 based on the following data. ([Refer Annexure 1](#))

As per my calculation, the addressable market size for the year 2021 is approximately US \$ 4.7 Billion & 39 GWH. (Refer to Annexure 2 for candidate's calculation)

The growth prospects looks promising. The renewable energy market is expected to grow by 10% Y-o-Y and the expected growth in the share of EV mix is 75%. Therefore, this look like a promising market to enter and if our client can strategically enter and expand in this market, it could turn out to be a profitable venture in the long run.

Alright, now that we have established the addressable market size and proposed that the client should enter the Li-ion battery market, what would the client strategy be for this exercise?

To analyze different entry strategies, I would like to know more about the current capabilities of our client in the battery space and what part of value chain they are looking to enter?



# Market Entry Case 4: Li-Ion Batteries

|          |              |
|----------|--------------|
| Industry | Energy       |
| Level    | Intermediate |

Our client does not have any know-how related to Li-ion battery business as of now, and Li-ion batteries being a relatively complex business in terms of technology capabilities required, our client is looking to enter the final battery pack assembly stage of the value chain to start with, and not the cell manufacturing or RM formulation business.

Has our client performed any market study to assess the entry strategies in terms of a greenfield venture or strategic alliances/JVs?

Yes, based on the primary analysis done by our client we have two observations:

1. If they decide to enter the market organically, it will take 3 years to develop the expertise and then 1 year after that to set up an assembly plant.
2. If they decide to enter the market through an acquisition or a strategic alliance, they can essentially hit the ground running based upon the partnership.

Okay. According to me, there are 3 ways the client could enter this new business.

**Option 1** – Enter organically through developing own expertise and manufacturing plant. This is going to have a long gestation period for the business.

**Option 2** – They can acquire a company with the required expertise & capabilities and hit the ground running after the deal finalization.

**Option 3** – They could go through with Joint Venture and look for a partner having the technical know-how, with our client providing their expertise in renewables and a strong brand name in the market.

Right. What are the advantages and risks associated with each of these options?

Sure, so we can discuss these three options one by one and see which one makes the most sense.

**Option 1 (Organic Growth):** The client would have the most control over their operations and better understanding of the on-ground issues. But, because it would take our client 4 years to start selling in the market, it could lead to a substantial market share loss, as we had seen previously that the market is growing rapidly.

**Option 2 (Acquisition):** The client would get the head start by leveraging the target's capabilities, knowledge and supplier base and would be able to enter the market right away, thus reducing the risk of losing the market share. But initial capital cost might be high, and there are possibilities of a buying the liabilities of the target company. Other risks associated M&A are also significant.

**Option 3 (Joint Venture):** The client could join hands with an international player with technical expertise on Li-ion batteries and save on the 3 years development time. But, acquiring the technology and recalibrating it to the Indian market would require time and capability building exercises. Moreover, there are possibilities of conflicts in operation, and growth would be slower compared to the acquisition route.

That is a comprehensive analysis. Which option would you recommend?

Looking at the potential and growth prospects of the Li-ion battery business, waiting for another 3-4 years and losing out on the market would not be advisable. Our client should therefore go with the acquisition route in my opinion.

And what should be the go-to-market strategy and what would the roadmap look like for next 10 years if the client decides to go through the acquisition route?

Going with the acquisition route, it could take one year to look for a potential target, finalize the deal, and implement it. The client could then start the production. For the initial 4-5 years, they should leverage their own expertise in the renewable energy sector, being the leaders, and focus primarily on renewable integration to gain market share and a competitive advantage. At the same time, since we have seen massive growth in the 2 & 3 wheeler EV segment in recent times, the client could focus on providing battery solution for that segment.

After gaining enough market share and brand recognition in 5 years or so, the client should expand their portfolio and enter into other applications such as the 4 Wheeler market, telecom, IOT devices and so on.

Finally in the long run, the client should look at the possibility of backward integration and develop expertise in the cell manufacturing stage as well.

That's a very good analysis. Alright, I think we can stop the case here. Well done!





# Market Entry Case 4: Li-Ion Batteries

|          |              |
|----------|--------------|
| Industry | Energy       |
| Level    | Intermediate |

## Annexure 1 – Key Data Points

| Renewables integration market                                            |            |
|--------------------------------------------------------------------------|------------|
| Large-scale renewable energy capacity in India as of January 2021 (GW)   | 150        |
| Annual growth of renewable energy capacity starting January 2022         | 10%        |
| Percentage of renewable energy capacity linked to 2-hour battery systems | 10%        |
| Per kWh rate of battery, capex, in 2021 (USD/kWh)                        | \$120      |
| Annual per kWh price reduction in battery capex                          | 10%        |
| Electric Vehicles market                                                 |            |
| Number of automobiles manufactured in India                              | 30 million |
| Percentage of automobiles that are 2 and 3-wheelers                      | 80%        |
| Percentage of automobiles that are 4-wheelers <sup>1</sup>               | 20%        |
| Average battery size of 2 and 3-wheelers (kWh)                           | 10 kWh     |
| Average battery size of 4-wheelers (kWh)                                 | 35 kWh     |
| Annual growth in the automobile manufacturing sector in India            | 3%         |
| Percentage EV sales in 2021                                              | 2%         |
| Annual growth of EV share of automobile mix                              | 75%        |

## Annexure 2 – Candidate's Calculations

| Renewables integration market                                                         | Unit         | 2021                    |
|---------------------------------------------------------------------------------------|--------------|-------------------------|
| Renewable Energy Capacity                                                             | (GW)         | 150                     |
| Percentage of renewable energy capacity linked to 2-hour battery systems (10% of 150) | (GW)         | 15                      |
| <b>Renewables' integration battery storage market size (15GW * 2Hr)</b>               | <b>(GWH)</b> | <b>30.00</b>            |
| Per kWh rate of battery, capex, in 2021                                               | (USD/kWh)    | \$120.00                |
| <b>Renewables' integration battery storage market size (30 GWH*120\$/KWH)</b>         | <b>(\$)</b>  | <b>\$3,60,00,00,000</b> |
| Electric Vehicles market                                                              | Unit         | 2021                    |
| Number of automobiles manufactured in India                                           | (million)    | 30                      |
| No. of 2 and 3-wheelers (80% of 30M)                                                  | (million)    | 24.00                   |
| No. of 4-wheelers (20% of 30M)                                                        | (million)    | 6.00                    |
| Share of EV in the automobile mix                                                     |              | 2%                      |
| No. of EV 2 and 3 wheelers (2% of 24M)                                                | (million)    | 0.48                    |
| No. of EV 4 wheelers (2% of 6M)                                                       | (million)    | 0.12                    |
| Battery storage market 2&3 wheelers (0.48M*10KWH)                                     | (GWH)        | 4.80                    |
| Battery storage market 4 wheelers (0.12*35KWH)                                        | (GWH)        | 4.20                    |
| <b>Electric Vehicles' Battery storage market size</b>                                 | <b>(GWH)</b> | <b>9.00</b>             |
| Per kWh rate of battery, capex, in 2021                                               | (USD/kWh)    | \$120.00                |
| <b>Electric Vehicles' Battery storage market size</b>                                 | <b>(\$)</b>  | <b>\$1,08,00,00,000</b> |
| Total addressable market size                                                         | (GWH)        | 39.00                   |
| Total addressable market size                                                         | (\$)         | \$4,68,00,00,000        |



# Market Entry Case 4: Summary

**Prompt:** Your Client is an Indian renewable energy company that primarily operates in Solar and Wind Energy. They are the fastest-growing private player in this market and to further expand their portfolio they are thinking of entering the Li-ion battery business. Should they enter this business and if yes, how should they go about it?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Approach                 |                                                                                                                              |                                                   |                                                                        |                                                                 |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------|------------------------------------------------------------------------|-----------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>About client</b><br/>Builds, owns &amp; operates utility scale solar and wind projects that generate energy for commercial and industrial customers</li><li>❖ <b>Reason for market entry</b><br/>High growth prospects in Li-ion storage solutions with high integration capabilities with EVs</li><li>❖ <b>Target objective</b><br/>Gain market share (at least 20%) in the next 5 years</li><li>❖ <b>Market size &amp; growth</b><br/>Annexure 2- candidate's calculation</li></ul>                                                                                                             | <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>○ Quickly identifying points to calculate market attractiveness, feasibility and the go to market strategy</li><li>○ Comprehensive analysis of the different mode of entry options and deciding the suitable option as per the client objective for the entry</li></ul> <p><b>Common Mistakes</b></p> <ul style="list-style-type: none"><li>○ Focusing only on calculations and not considering other qualitative aspects</li></ul> | Market Entry             | Market attractiveness                                                                                                        | Financial feasibility                             | Operational feasibility                                                | Strategy for entering                                           |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Reason<br>↓<br>Objective | Market size<br>↓<br>Market growth potential<br>↓<br>Client's expected market share<br>↓<br>Increase in market share per year | Costs incurred by client<br>↓<br>Break-even point | Value chain analysis<br>↓<br>Regulations<br>↓<br>Resource availability | Standalone<br>↓<br>Joint Venture<br>↓<br>Mergers & Acquisitions |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                          |                                                                                                                              |                                                   |                                                                        |                                                                 |
| <p><b>Conclusion :</b> Client should enter the market by acquiring a company with the required expertise &amp; capabilities</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ For the initial years, they should leverage their own expertise in the renewable energy sector, and focus primarily on renewable integration to gain market share and a competitive advantage</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Client should look at the possibility of backward integration and develop expertise in the cell manufacturing stage as well</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                          |                                                                                                                              |                                                   |                                                                        |                                                                 |



# Market Entry Case 5: Service Delivery Centre

|          |              |
|----------|--------------|
| Industry | IT Services  |
| Level    | Intermediate |

**Prompt:** Your client, a multinational company, is looking to open a Service Delivery Centre, or SDC, but they're unsure which country to choose. They've hired you as a consultant to help them decide. How would you approach this problem?

Good morning! That's an interesting challenge. To start, I'd like to ensure I fully understand the situation. The client wants to set up an SDC, but I'd like some clarification before diving in. Could you tell me what type of services the SDC will provide? For example, is it IT services, customer support, back-office operations, or something else? Knowing this will help me tailor the analysis.

Fair question. Let's assume the client is a tech company, and the SDC will primarily focus on IT services, like software development, tech support, and data analytics. Does that help?

Perfect, thank you. The goal is to identify the best location by analyzing a few key dimensions: operational feasibility, financial viability, market attractiveness, and the regulatory environment. I'll walk through each one systematically, but I'll start with operational feasibility since it's foundational-if we can't deliver the services effectively, the rest won't matter. Does that sound like a reasonable approach?

Yes, it does. Go ahead and break it down.

Great. Starting with operational feasibility, I'd assess whether a country has the resources and capabilities to support an IT-focused SDC. The first factor here is talent availability. Since this is IT-related we need a skilled workforce with technical expertise. Countries like India immediately come to mind because they have a large pool of STEM graduates, with over 2.5 million students graduating in science and engineering fields annually, according to recent estimates. India also has a strong IT ecosystem, with cities like Bangalore and Hyderabad known as tech hubs. I'd also consider other options like the Philippines for tech support due to its English-speaking population, or Eastern European countries like Poland, which have growing IT sectors and proximity to Western markets. Shall I continue?

Yes, continue your analysis.

Next, I'd look at infrastructure-reliable internet, power supply, and office facilities are critical for an SDC. India, for instance, has improved its digital infrastructure significantly, with average broadband speeds in urban areas exceeding 50 Mbps, which is sufficient for IT operations. I'd compare this to other countries like Vietnam or Mexico to ensure we're not missing emerging players with solid infrastructure. Does that cover operational feasibility sufficiently, or would you like me to dig deeper into any specific aspect?

That's a good start. You mentioned talent and infrastructure-what else might you consider under operational feasibility?

I'd also evaluate scalability and cultural fit. Scalability means assessing whether the country can support growth. India, for example, has a massive labor pool, so scaling up wouldn't be an issue. Cultural fit is about work culture and language compatibility. Since this is a tech company, likely based in the U.S. or Europe, countries with strong English proficiency-like India or the Philippines-would align well for communication with headquarters. In Poland, English is widely spoken in the IT sector, though not as universally as in India. I'd weigh these factors to ensure smooth operations. Does that round out the operational side?

Yes, it does. What's your next step?

Next, I'd move to financial viability. The goal of an SDC is often cost optimization, so I'd conduct a cost-benefit analysis. First, I'd look at labor costs. In India, an entry-level software developer earns around \$8,000-\$12,000 per year, compared to \$60,000+ in the U.S. The Philippines offers similar savings, with IT salaries around \$10,000-\$15,000 annually, while Poland is higher at \$20,000-\$30,000, though still cheaper than Western Europe. I'd also factor in real estate and operational costs-office rents in Bangalore are about \$15-\$20 per square foot per year, versus \$30+ in Warsaw, Poland..



# Market Entry Case 5: Service Delivery Centre

|          |              |
|----------|--------------|
| Industry | IT Services  |
| Level    | Intermediate |

..On the benefit side, I'd estimate revenue potential indirectly-higher quality talent might improve service delivery, leading to client satisfaction and retention. Developing countries like India or Vietnam often offer a sweet spot: low costs with decent quality. I'd calculate a rough ROI by comparing setup costs-say, \$5 million for an SDC with 500 employees-against annual savings versus an onshore option. Does that financial lens make sense?

It does. How would you quantify "quality" in this context?

Good question. Quality is trickier to quantify, but I'd use proxies like educational attainment-e.g., percentage of IT graduates with advanced degrees-or industry reputation, like India's established outsourcing track record with firms like Infosys and TCS. I could also look at client feedback metrics from existing SDCs in those countries, if available, or productivity benchmarks like lines of code written per developer per day. It's imperfect, but it gives a directional sense. Should I move to the next dimension?

Yes, go ahead.

Alright, next is market attractiveness. This isn't about selling a product but about the country's appeal as an SDC hub. I'd look at economic stability-countries with volatile currencies or political unrest, like Ukraine recently, might pose risks. India's GDP growth has been steady at 6-7% annually, making it attractive. I'd also consider competition for talent - are there too many SDCs already? India has a crowded market, but its talent pool is deep enough to absorb demand. In contrast, smaller markets like Costa Rica might face shortages as more firms enter.

That sounds solid. What's your final piece of analysis?

The last piece is the regulatory environment. We need to ensure the country supports foreign investment and SDC operations. I'd check FDI policies-India allows 100% foreign ownership in IT services under its automatic route, which is favorable. The Philippines has similar openness, though with some bureaucratic hurdles. Poland, as an EU member, offers stability but comes with stricter labor laws, like mandatory benefits. I'd also investigate incentives-tax breaks or subsidies. For example, India's SEZ offer tax holidays for IT firms, reducing effective costs. I'd flag risks like data privacy laws - Poland follows GDPR, which is stringent, while India's data protection framework is less mature but evolving.

That's pretty comprehensive. How would you tie it all together to recommend a country?

To wrap up, I'd synthesize these factors into a decision matrix, scoring countries like India, the Philippines, Poland, and maybe Vietnam on a 1-5 scale across operational feasibility, financial viability, market attractiveness, and regulatory environment. Individual weighting might depend on client priorities. But basis a preliminary analysis, India seems a frontrunner: it has abundant, skilled talent, low costs, a stable IT market, and favorable FDI rules with incentives. The Philippines could be a strong alternative for tech support due to language skills, while Poland suits European firms needing quality and proximity. I'd recommend India unless the client has specific needs. How does that sound?

That's a thorough analysis. Well done! We'll stop here.



# Market Entry Case 5: Summary

**Prompt:** A multinational technology company is looking to open a Service Delivery Centre (SDC) and needs assistance in selecting the best country. As a consultant, you must evaluate and recommend an optimal location.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Approach                                                                                                                                                                                                                                                                                                                                                                                                |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area</b><br/>Evaluating the best country for setting up a Service Delivery Centre (SDC) for IT services (software development, tech support, data analytics).</li><li>❖ <b>Reason for market entry:</b><br/>Establishing a cost-effective and high-quality offshore IT service center.</li><li>❖ <b>Reason for decline in profits:</b><br/>Identify the most operationally feasible, financially viable, market-attractive, and regulatory-friendly location.</li><li>❖ <b>Potential Countries Considered:</b><ul style="list-style-type: none"><li>○ India</li><li>○ Philippines</li><li>○ Poland</li><li>○ Vietnam</li></ul></li></ul>                                                                                                        | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ Identified India as a leading choice due to skilled workforce, strong IT ecosystem, and cost-effectiveness.</li><li>○ Compared labour costs, operational expenses, and tax incentives across multiple countries.</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>○ Understanding how regulations like GDPR (Europe) or evolving data protection laws in India impact the SDC.</li><li>○ Analysing workforce scalability, economic stability, and government policy changes over time.</li></ul></li></ul> | <div><div>Market Entry</div><div><div>Market Attractiveness</div><div>Financial Feasibility</div><div>Operational Feasibility</div><div>Regulatory Environment</div></div><div>Compare Potential Countries</div><div>Decision Making Process</div><div><div>Assess Talent Availability</div><div>Cost Benefit Analysis</div><div>Regulatory Check</div><div>Infrastructure Compliance</div></div></div> |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                         |
| <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> India is the preferred choice due to its large talent pool, strong IT infrastructure, low costs, and favourable FDI policies.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Conduct pilot projects in top-choice countries before full investment.</li><li>○ Negotiate tax incentives and regulatory benefits before entry.</li></ul></li><li>❖ <b>Long-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Diversify by setting up multiple SDCs for risk mitigation (e.g., India + Poland).</li><li>○ Monitor government policy changes affecting data privacy and FDI.</li><li>○ Focus on scalability &amp; automation to maintain cost advantages over time.</li></ul></li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                         |



# Market Entry Case 6: Music company

|          |          |
|----------|----------|
| Industry | Music    |
| Level    | Advanced |

**Prompt:** Our client, a prominent music company with an annual revenue of \$250 million, is considering a strategic expansion into the theatre industry. Could you guide us through this?

Just to clarify my understanding, our client is a prominent music company with an annual revenue of \$250 million. They are thinking of a strategic expansion into the theatre industry.

That is correct.

Let's begin with an in-depth market analysis. Do we have specific data on the size, growth trends, segmentation, and customer demographics of the theatre industry?

Yes, the theatre industry is currently valued at \$12 billion with an expected annual growth rate of 5%. The key segments include traditional theatre goers, making up 50% of the market, and a growing segment interested in tech-driven, immersive experiences, accounting for 30%. The primary age group is 25-45 years.

Noted. Now, let's move to financial feasibility. What's the client's budget for this venture and their revenue targets?

The client is willing to invest \$60 million initially. They aim for a \$20 million revenue in the first year, projecting a 20% annual increase in subsequent years.

Interesting. Regarding operational feasibility, what's the plan for resource allocation, infrastructure, and staffing for theatre operations?

They intend to invest \$25 million in infrastructure, including a state-of-the-art theatre. Staffing and initial productions are estimated to cost another \$15 million. They'll hire experienced theatre personnel and leverage their existing music production team.

Let's delve into unit economics. What are the expected ticket prices, average attendance, and frequency of shows?

The average ticket price is set at \$100. They aim for a 70% occupancy rate in a 500-seat theatre. Initially, there will be 5 shows per week.

So, the weekly revenue potential is  $\$100 \times 500 \text{ seats} \times 70\% \text{ occupancy} \times 5 \text{ shows} = \$175,000$ . Annually, that would be around \$9.1 million, considering operational weeks. This is below the \$20 million target. It highlights the need for additional revenue streams such as merchandise, sponsorships, or special performances.

Precisely. Now, what's your take on the competitive landscape?

With major players dominating 60% of the market through traditional productions, our client's focus on innovative, tech-enhanced theatre could differentiate them. However, they need to be wary of the competitive response to their entry.

And the regulatory aspect?

Licensing costs and compliance with regulations could add up to \$3 million in the first year. Ongoing compliance costs should be around 5% of the operational costs annually.

Based on this, what's your recommendation?

The venture is challenging yet promising. The client has the financial capability, but the initial revenue target seems optimistic given the unit economics. A more realistic approach would be to start with a lower revenue expectation, focusing on building a strong brand presence in the market. They should explore additional revenue streams to meet financial goals. A pilot production could validate the concept and provide valuable market insights.

Any final thoughts?

The client should proceed cautiously. They need to monitor market response closely and be ready to adapt their strategy. Building partnerships with established theatre companies could offer critical insights and aid in navigating the competitive and regulatory landscape. It's also vital to continuously analyze and adjust unit economics to ensure long-term profitability.





# Market Entry Case 6: Summary

**Prompt:** Our client, a prominent music company with an annual revenue of \$250 million, is considering a strategic expansion into the theatre industry. Could you guide us through this?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                       | Feedback                                                                                                                                                                                                                                                                                                                                                                                                    | Approach                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                      |  |  |  |              |                       |                       |                         |                       |                                        |                                                                                                                                                       |                                                                 |                                                                        |                                                                                      |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|--|--|--|--------------|-----------------------|-----------------------|-------------------------|-----------------------|----------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|------------------------------------------------------------------------|--------------------------------------------------------------------------------------|
| <div><div>❖ Reason for market entry</div><div><div>1. Theatre industry valued at \$12 billion with an expected annual growth rate of 5%.</div><div>2. Opportunity to differentiate with innovative, tech-enhanced theatre productions.</div></div></div> <div><div>❖ Market size &amp; growth potential</div><div>\$12 billion industry size. 5% annual growth rate. Expected revenue: \$20 million in the first year with 20% annual increase.</div></div> <div><div>❖ Cost and Pricing</div><div>Initial investment: \$60 million, Infrastructure: \$25 million, Staffing and productions: \$15 million, Ticket price: \$100, Occupancy rate: 70%, Show frequency: 5 shows per week</div></div>                       |                                                                                                                                                       | <div><div>What Went Well?</div><div><div>Identified market size, segmentation, and growth trends.</div><div>Calculated break-even analysis.</div><div>Considered additional revenue streams (merchandise, sponsorships).</div></div></div> <div><div>Common Mistakes</div><div><div>Underestimating competitive response.</div><div>Not fully considering licensing costs and compliance.</div></div></div> | <table><tr><th>Market Entry</th><th>Market attractiveness</th><th>Financial feasibility</th><th>Operational feasibility</th><th>Strategy for entering</th></tr><tr><td><div>Reason</div><div>Objective</div></td><td><div>Market size</div><div>Market growth potential</div><div>Client's expected growth in revenue</div><div>Increase in market share per year</div></td><td><div>Costs incurred by client</div><div>Break-even point</div></td><td><div>Regulations</div><div>Resource availability and allocation</div></td><td><div>Standalone</div><div>Joint Venture</div><div>Mergers &amp; Acquisitions</div></td></tr></table> |                                                                                      |  |  |  | Market Entry | Market attractiveness | Financial feasibility | Operational feasibility | Strategy for entering | <div>Reason</div> <div>Objective</div> | <div>Market size</div> <div>Market growth potential</div> <div>Client's expected growth in revenue</div> <div>Increase in market share per year</div> | <div>Costs incurred by client</div> <div>Break-even point</div> | <div>Regulations</div> <div>Resource availability and allocation</div> | <div>Standalone</div> <div>Joint Venture</div> <div>Mergers &amp; Acquisitions</div> |
| Market Entry                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Market attractiveness                                                                                                                                 | Financial feasibility                                                                                                                                                                                                                                                                                                                                                                                       | Operational feasibility                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Strategy for entering                                                                |  |  |  |              |                       |                       |                         |                       |                                        |                                                                                                                                                       |                                                                 |                                                                        |                                                                                      |
| <div>Reason</div> <div>Objective</div>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <div>Market size</div> <div>Market growth potential</div> <div>Client's expected growth in revenue</div> <div>Increase in market share per year</div> | <div>Costs incurred by client</div> <div>Break-even point</div>                                                                                                                                                                                                                                                                                                                                             | <div>Regulations</div> <div>Resource availability and allocation</div>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | <div>Standalone</div> <div>Joint Venture</div> <div>Mergers &amp; Acquisitions</div> |  |  |  |              |                       |                       |                         |                       |                                        |                                                                                                                                                       |                                                                 |                                                                        |                                                                                      |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                      |  |  |  |              |                       |                       |                         |                       |                                        |                                                                                                                                                       |                                                                 |                                                                        |                                                                                      |
| <div><div><b>Conclusion:</b> Proceed cautiously with a focus on innovative productions and additional revenue streams. Monitor market response and adjust strategy accordingly.</div><div><div><b>Short Term Recommendation</b></div><div><div>Start with a lower revenue expectation and build a strong brand presence.</div><div>Explore additional revenue streams (merchandise, sponsorships).</div><div>Pilot productions to validate the concept.</div></div><div><div><b>Long Term Recommendation</b></div><div><div>Continuously analyze and adjust business strategies to ensure long-term profitability.</div><div>Build partnerships and navigate competitive market dynamics.</div></div></div></div></div> |                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                      |  |  |  |              |                       |                       |                         |                       |                                        |                                                                                                                                                       |                                                                 |                                                                        |                                                                                      |



# Market Entry Case 7: Hotel chain

|          |          |
|----------|----------|
| Industry | Hotel    |
| Level    | Advanced |

**Prompt:** Your client is a hotel chain based in Gurugram, looking to expand into a new city. They've narrowed it down to three prospects: New Delhi, Pune, and Hyderabad. They need a recommendation on which city to choose for expansion.

To start, we should evaluate each city based on a set of criteria such as market demand, competition, cost of expansion, and potential return on investment. Could we begin by discussing the current performance of our client's hotels in Gurugram?

Of course. In Gurugram, their occupancy rate averages 75% with an average daily rate (ADR) of Rs.10,000. They are known for excellent service and have a strong brand presence in the luxury segment. They expect to replicate this success in the new city.

Good to know. Let's look at the market size and growth potential in each target city. Do we have data on the number of tourists and business travellers visiting New Delhi, Pune, and Hyderabad?

Yes, New Delhi sees approximately 2 million tourists annually, Pune 1.2 million, and Hyderabad 1.5 million. All cities are expected to grow at a rate of 5-7% per year.

Let's consider the competition. What is the current saturation of luxury hotels in these cities?

New Delhi is highly competitive with a luxury hotel occupancy rate of about 70%, Pune is moderately competitive at 65%, and Hyderabad is less so at 60%.

Now, regarding the cost of expansion, we'd need to factor in the cost of acquiring land or a building, construction or renovation costs, and the cost of obtaining necessary permits and licenses. Any insights on these?

Preliminary estimates suggest a total expansion cost of Rs.150 crore for New Delhi, Rs.100 crore for Pune, and Rs.120 crore for Hyderabad, given real estate and construction costs.

With those figures, we can calculate expected returns based on our client's performance in Gurugram. Assuming they can achieve a similar occupancy rate and ADR in the new location, the annual revenue potential for each city would be the product of the ADR, occupancy rate, and number of rooms. Shall we use a hypothetical number of 200 rooms for our calculations?

Assuming they can achieve a similar occupancy rate and ADR in the new location, the annual revenue potential for each city would be the product of the ADR, occupancy rate, and number of rooms. Shall we use a hypothetical number of 200 rooms for our calculations?

Yes, let's proceed with that assumption.

Taking New Delhi's competitive market into account, a conservative estimate of a 60% occupancy rate might be realistic, resulting in potential annual revenue of Rs.43.8 crore. For Pune, with a moderate competition, let's estimate a 65% occupancy rate, which would lead to Rs.47.45 crore in revenue. Hyderabad, with the least competition, could potentially achieve a 70% occupancy rate, resulting in Rs.51.1 crore.

Interesting. And how would you suggest we weigh these revenue potentials against the costs and risks?

We should perform a break-even analysis. For instance, if New Delhi's high cost of expansion means it would take 10 years to break even, while Pune and Hyderabad would take 7 and 8 years respectively, Pune presents the most attractive option from a financial perspective.

And what about the qualitative factors, such as brand alignment and market potential?

Brand alignment is crucial. New Delhi offers the prestige of the capital city, but the high competition might dilute our client's brand. Pune, being an educational and IT hub, has a growing market with a younger demographic that could be a good brand fit. Hyderabad, with its mix of tourism and business travel, also aligns well with our client's luxury positioning.

Taking all this into account, which city would you recommend for expansion and why?

Considering the balance between cost, competition, and market potential, I would recommend Pune. It has a favorable market for luxury services, a growing economy, and the cost and time to break even are the most attractive. It offers a strong opportunity for brand growth without the intensity of competition found in New Delhi.



# Market Entry Case 7: Summary

**Prompt:** Hotel chain known for excellent service and strong brand presence in the luxury segment, with an average occupancy rate of 75% and an average daily rate (ADR) of Rs.10,000 in Gurugram.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |  | Approach     |                                   |                          |                         |                        |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--------------|-----------------------------------|--------------------------|-------------------------|------------------------|
| Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  | Market Entry | Market attractiveness             | Financial feasibility    | Operational feasibility | Strategy for entering  |
| <p>❖ <b>Reason for market entry</b></p> <ul style="list-style-type: none"><li>Expanding brand presence in new markets.</li><li>Leveraging growth potential in major Indian cities.</li></ul> <p>❖ <b>Market size &amp; growth potential</b></p> <ul style="list-style-type: none"><li>New Delhi: 2 million tourists annually; Pune: 1.2 million tourists annually; Hyderabad: 1.5 million tourists annually; Growth rate for all cities: 5-7% per year.</li></ul> <p>❖ <b>Cost and Pricing</b></p> <ul style="list-style-type: none"><li>Expansion cost: New Delhi: Rs.150 crore; Pune: Rs.100 crore; Hyderabad: Rs.120 crore.</li><li>Occupancy rate: New Delhi: 60% Pune:65%; Hyderabad: 70%.</li></ul> <p>❖ <b>ADR:</b> Rs.10,000.</p> <p>❖ <b>Hypothetical number of rooms:</b> 200</p> |  | Reason       | Market size                       | Costs incurred by client | Regulations             | Standalone             |
| <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>Evaluated market size and growth potential.</li><li>Considered competition and cost of expansion.</li><li>Conducted break-even analysis for each city.</li></ul> <p><b>Common Mistakes</b></p> <ul style="list-style-type: none"><li>Not weighing revenue potentials against costs and risks.</li><li>Overlooking qualitative factors like brand alignment and market potential.</li></ul>                                                                                                                                                                                                                                                                                                                              |  | Objective    | Market potential                  | Break-even point         | Resource availability   | Joint Venture          |
| <p><b>Recommendations</b></p> <p><b>Conclusion:</b> Considering the balance between cost, competition, and market potential, Pune is recommended for expansion</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>Focus on capturing a moderate market share in Pune.</li><li>Leverage existing brand strength and service quality.</li><li>Conduct market research to refine strategy.</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>Continuously analyze market response and adjust strategy.</li><li>Explore further expansion opportunities based on initial success.</li></ul>                                                                                                                                 |  |              | Client's expected market share    |                          |                         | Mergers & Acquisitions |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |  |              | Increase in market share per year |                          |                         |                        |



# Market Entry Case 8: Bell's Telephone

|          |          |
|----------|----------|
| Industry | Telecom  |
| Level    | Advanced |

**Prompt:** Assume it is the year 1876. The inventor Alexander Graham Bell has recently been granted a patent for the telephone and is considering launching it in the United Kingdom. He has consulted you to advise him on whether he should do so or not. How would you assist him with this exercise?

Interesting! I would like to start by understanding Bell's motivation behind this move. Is he looking for any specific financial target or some wider personal mission from this venture?

This invention is revolutionary, and Bell primarily seeks to advance communication technology as widely as possible. However, he also aims to establish a successful commercial venture and generate profits.

Understood. Given that telegraphy is the dominant form of communication, my guess is that Bell's telephone is a device that allows real-time voice communication over a distance. Are there any other key features I should be aware of?

That's correct! Additionally, the telephone requires dedicated wiring for transmission and is expected to be used initially for business and governmental purposes.

Alright. Is there any specific reason for Bell to consider the United Kingdom?

The United Kingdom has one of the most developed industrial economies and a significant business hub in Europe, making it a prime location for a communication revolution.

Okay, one final question-does Bell have any prior experience in market entry?

He does not, in fact, this is his first commercial venture beyond securing patents.

I have enough background information to proceed. My overall approach would be to break the problem into two parts-first, I would assess the market size and demand for telephones. Second, I would evaluate the feasibility of setting up and operating the telephone network. Does this seem like a fair approach?

Yes, you may proceed with the market sizing.

Alright. I am going to estimate the potential demand in the United Kingdom by filtering from the total population. The filters I have in mind are urbanization, literacy, affordability, and business reliance on communication.

Why would urbanization be relevant? Also, how will you find the percentage of people interested in telephones?

Telephones will initially be used in cities for business and governmental communication, so a focus on urban areas makes sense. Could you provide me with an estimate on the number of people who would have been residing in urban areas UK back in 1800s, or would you like me to take a guess?

Assume the population composition is similar to that of a metropolitan city in India, such as Mumbai. Estimate that around 50% of the UK's 30-35 million people live in urban areas.

Alright, so I assume that businesses and government offices would be early adopters, while general public adoption would be slow due to the high cost and need for infrastructure. Considering the telephone's high setup costs, the primary customer base would be businesses, banks, and government offices. I estimate that around 10-15% of urban businesses and government institutions could afford and benefit from the telephone. Does this sound right to you?

Alright, that sounds like a fair approach. For the purposes of this case, you may ignore the filter of literacy, but affordability remains a key factor. Now let's determine how you would assess the feasibility of the venture.

Sure. I will break feasibility into three parts: infrastructure setup, because a telephone would require new wiring, distribution of telephones, and regulatory barriers from the government and existing telegraph firms.

That's a good breakdown. Can you quickly assess each feasibility factor?



# Market Entry Case 8: Bell’s Telephone

|          |          |
|----------|----------|
| Industry | Telecom  |
| Level    | Advanced |

Yes, in infrastructure, a telephone requires dedicated wiring, which is expensive and time-consuming to set up. Bell might need partnerships with railway companies or telegraph firms with an existing infrastructure. The telephone will likely be sold directly to businesses and government offices at first, with gradual expansion into public usage. Hence, Bell might need demonstrations and exhibitions to showcase its advantages to facilitate successful distribution. The biggest barrier could be resistance from telegraph companies, which may lobby against the telephone’s expansion. For this, securing government endorsements will be crucial.

Noted. What do you foresee as post-entry risks?

The biggest risks are competition from European rivals developing similar technology and slow adoption rates due to high costs. Additionally, telegraph firms may attempt to block market access.

Can you think of any solutions to tackle this risk?

Yes. Bell can position the telephone as a complementary technology rather than a competitor to the telegraph. He can also secure partnerships with key industries such as banking and the press to showcase real-world advantages. Government support will also be critical.

Alright, that will be all. Thank you for your inputs!



# Market Entry Case 8: Summary

**Prompt:** Assume it is the year 1876. The inventor Alexander Graham Bell has recently been granted a patent for the telephone and is considering launching it in the United Kingdom. He has consulted you to advise him on whether he should do so or not. How would you assist him with this exercise?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Approach                                                                                                                                                                                                                                                                                                                                 |  |  |  |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--|--|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area</b><br/>Evaluating the feasibility of entering the UK market with the telephone</li><li>❖ <b>Reason for market entry:</b><br/>Expand the reach of a successful commercial venture</li><li>❖ <b>Target objective:</b><br/>Evaluate the potential of launching the telephone in UK</li><li>❖ <b>Market size, growth &amp; potential market share:</b><br/>UK population: 30-35 million with 50% urbanization</li><li>❖ <b>General Observations:</b><ul style="list-style-type: none"><li>○ Dedicated wiring is needed, unlike the telegraph, which uses existing networks.</li><li>○ Telegraph companies (e.g., Western Union) may resist adoption.</li></ul></li></ul>              |  | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ Understood Bell's dual motivations: advancing technology and generating profit</li><li>○ Accurately identified urban areas and business sectors as primary markets</li><li>○ Addressed infrastructure, distribution, and regulatory feasibility</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>○ Could have explored detailed adoption rates and pricing strategies for different customer segments.</li></ul></li></ul> | <div><div>Market Entry</div><div><div>Reason</div><div>Objective</div></div><div><div>Market Attractiveness</div><div>Market Size</div><div>Demand</div></div><div><div>Operational Feasibility</div><div>Infrastructure</div><div>Distribution</div><div>Regulations</div></div><div><div>Risks</div><div>Competition</div></div></div> |  |  |  |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                          |  |  |  |
| <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> Enter the UK market as it offers a strong industrial base and potential for technological adoption, despite regulatory and infrastructure challenges.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Partner with railway companies or telegraph firms for infrastructure</li><li>○ Conduct demonstrations and exhibitions to promote telephone's advantages</li></ul></li><li>❖ <b>Long-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Position the telephone as complementary to the telegraph to mitigate competition</li><li>○ Explore entry into other European markets after success in the UK</li></ul></li></ul> |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                          |  |  |  |

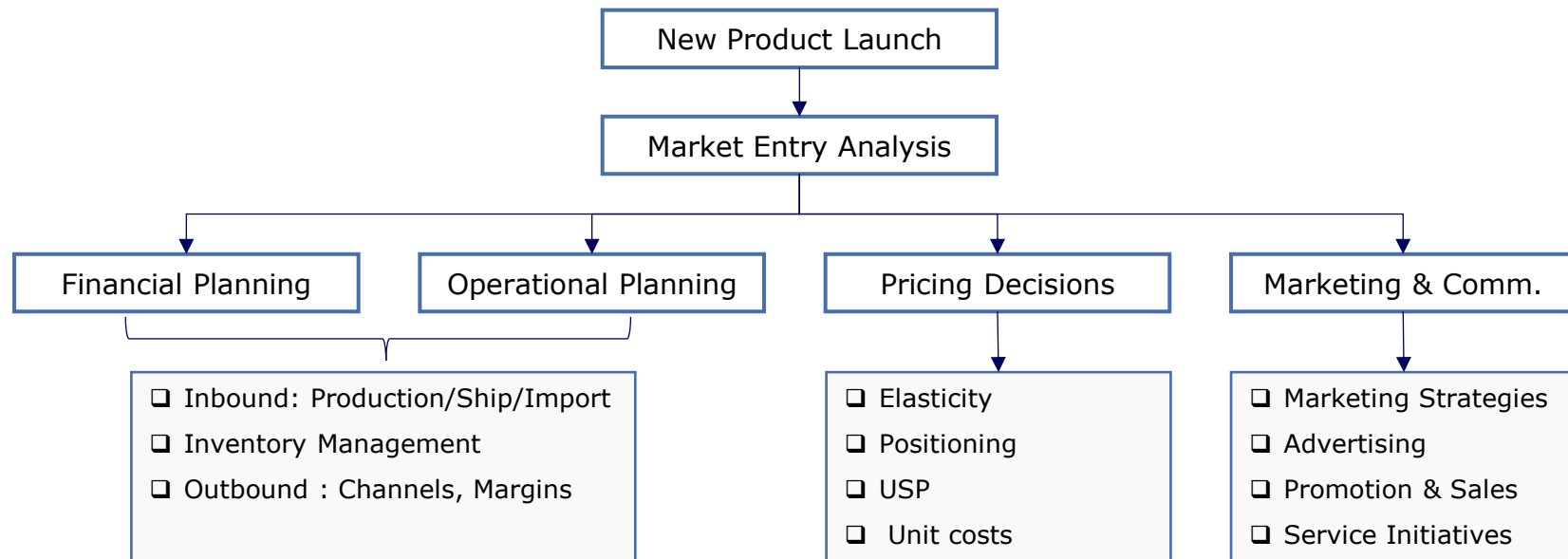




# New Product Launch Framework

## Framework

Extension of Market Entry where in you developing an analysis and implementation plan for introducing product lines in new markets. Brings together the market entry framework, the pricing framework, and conceptual business considerations.



- Similar to mapping in market entry, there will be some overlaps
- Key Considerations

## High Level Analysis

- ❑ Reiterate the problem to have a clear understanding of the case.
- ❑ Start off with a market entry framework to understand whether the product can be launched or not
- ❑ Use the NPL framework post the ME decision to go ahead with
- ❑ Focus more on the product and target audience. Segregation can be done using geography, income levels, demography etc
- ❑ For the product – use features, SKUs & Packaging features



# New Product Launch Case 1: Autonomous E Bike

|          |            |
|----------|------------|
| Industry | Automotive |
| Level    | Beginner   |

**Prompt:** Your Client is a manufacturer of novel Autonomous Self-balancing Electric Bikes. A functional prototype is ready, and they want you to help develop a product launch strategy for the right markets. How would you go about it?

That's a very interesting product. Can you please tell me a little more about the Autonomous Self-balancing Electric Bike? What is this product? And what are its features?

The Autonomous E Bike is a novel 2 wheeled, self balancing vehicle that users can ride on (standing). It is a dock based electric commute option that serves users on- demand, through a mobile application. It has an expected range of 2 km, and can navigate independently from and to its closest dock stations.

That's very interesting. Per my understanding, the product would serve requirements in last mile commute and micro mobility. However, the range limitations and autonomous features greatly limit the product's applicability and we may have to look at niche use cases. Is the client willing to change some of the product features, and build a model that supports operations similar to that of Yulu, Bounce, or Vogo, for example?

Yes. Micro-mobility is the client's focus area. Autonomy and Electric Drives are the key differentiators for the client's product and these features can not be compromised upon.

Okay, I understand. So, I'm assuming that the prototype has been promising, and the client wants to know where and how to introduce the product. Is that right? Are there any other technology or business constraints that I should consider?

Yes. The prototype has been promising. However, the autonomy of the bike is not advanced enough for it to navigate open urban environments. The bike can navigate through fairly complex environments where there are no sudden disruptions. Besides, remember the fact that the bike is a dock based commute option.

Okay. Let me get my thoughts together and develop a framework.

Sure, go ahead.

I would like to look at this like a new product launch and analyze 3 segments –

- a) the markets to enter – if and how,
- b) the business operating model and scalability, and finally
- c) supporting financial and marketing strategies for the client.

That sounds like a good approach. Please go ahead.

I'd like to start with the suitable markets to enter, and see if they have enough financial and growth potential. Given the product's capabilities, use would be restricted to controlled residential and commercial environments, where micro mobility has significant potential. Some applications that I can think of include large apartments, gated housing communities, SEZs and technology parks, large corporate and academic campuses. Would you like me to do a numeric analysis of one of these segments?

That's a good start. The client is indeed keen on starting with gated communities and large campuses. Can you estimate the number of such bikes needed to serve the community at MDI Gurgaon?

Sure. The average batch size at MDI is about 650 across the all programs. At any given time the number of students on campus is approximately 800. Given the size of MDI's campus, there would less than 10% unique users from the student community. Among the 30 faculty members and 20 administrative and support staff, there are likely to be less than 1% unique active users at any given time. In all, I would say 70 bikes would suffice for the MDI campus here in Gurgaon.



# New Product Launch Case 1: Autonomous E Bike

|          |            |
|----------|------------|
| Industry | Automotive |
| Level    | Beginner   |

However, to have maximum usage and on-demand availability of the E-bikes, it would be important to strategically place the docking stations. Based on mobility between commonly visited locations on campus, I recommend that 4 docking stations be installed – one each at the entrance, the hostel block, the academic block, and the canteen/mess area.

Okay. That's a good analysis. Can you recommend an integrated communication and pricing strategy for the product? How should the client go about selling the offering and how should it be priced?

Sure. Again, I would like to highlight the importance of launching the product in a controlled environment, and offering an integrated service portfolio with it. Marketing and communication efforts need to be directed towards commercial and retail builders, with a focus on developing an integrated technology hub/township/apartment complex that has state of the art capabilities in micro mobility. Further, large corporate and academic campuses should be targeted with the central idea of providing convenience, and making these campuses eco friendly with zero vehicular emissions. Extensive opportunities exist across the spectrum. IIT and IIM campuses, the Infosys campus in Mysore, and TCS campus in Siruseri offer great potential for such products.

Yes. That sounds right. Can you talk me through your approach for helping the client determine and adopt a pricing strategy ?

Definitely. I would like to look at the 3 standard pricing models and suggest the right strategy based on which model makes financial and strategic sense – a) Cost +Margin Model, b) Value Model, and c) Competitive Pricing Model. Based on our targeted selling markets, competition is a critical factor. Providers like Yulu and Ofo, have alternatives such as pedal bikes and electric scooters. To be able to sell our products and services, we will need to price them competitively. So, I recommend that we adopt a competitive pricing strategy, even if it means that we will have thin (or even negative) margins initially. Do you want me to conduct further analysis of such a strategy?

That's a good suggestion. No, let's stop here. It was good interacting with you.



# New Product Launch Case 1: Summary

**Prompt:** Your Client is a manufacturer of novel Autonomous Self-balancing Electric Bikes. A functional prototype is ready, and they want you to help develop a product launch strategy for the right markets. How would you go about it?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                             | Approach                                                                                                                                                                                                                                                                                                                                                                       |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Product differentiator</b><br/>Novel 2-wheeled, self-balancing dock based electric vehicle with an expected range of 2kms</li><li>❖ <b>Category</b><br/>Micro mobility</li><li>❖ <b>Target segment</b><br/>Large apartments, gated communities, SEZs &amp; technology parks &amp; campuses</li><li>❖ The bike can navigate through fairly complex environments where there are no sudden disruptions</li><li>❖ Not advanced enough to navigate open urban environments</li></ul>                                                                                                                         | <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>○ Ability to use the relevant data for market sizing of potential customer base</li><li>○ Understanding of the Limitations of an electric mobility vehicle</li><li>○ Knowledge of Different Pricing strategies</li></ul> <p><b>Common mistakes</b></p> <ul style="list-style-type: none"><li>○ Not asking relevant preliminary questions to understand the case better</li></ul> | <pre>graph TD; A[Market Entry Analysis] --&gt; B[Go]; A --&gt; C[No Go¹]; B --&gt; D[Pricing planning]; B --&gt; E[Operational planning]; B --&gt; F[Marketing &amp; Communication]; B --&gt; G[Financial planning]; D --&gt; H[Cost Based]; D --&gt; I[Value Based]; D --&gt; J[Competitive Based]; F -.- K[Commercial buyers like corporates, educational institutes];</pre> |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                |
| <p><b>Conclusion:</b> The client should go ahead and launch the product in a controlled environment and offer integrated services with it.</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Large corporate and academic campuses should be targeted</li><li>○ The products and services should be priced competitively even if it means that we will have thin (or even negative) margins initially</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Continue to innovate the product prototype to be able to navigate even in sudden disruptions environment</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                |



# New Product Launch Case 2: Anti-Depressant

|          |              |
|----------|--------------|
| Industry | Healthcare   |
| Level    | Intermediate |

**Prompt:** Your Client is the US pharmaceutical division of an MNC. In 2 months, the division expects to receive the FDA's approval to launch an anti-depressant drug. The division, however, has concerns over the market potential for this drug and its ability to reach the key prescribers in this therapeutic category. We have been asked to help determine whether they should – a) launch independently, b) co-market with a partner, or c) sell, license or swap the drug. How would you go about it?

Sure. Sounds quite interesting. Before I proceed, I would like to understand what the client's primary apprehensions are. Any specific aspects that the client is concerned with?

The concerns over market potential center on whether the drug can gain adequate competitive advantage in a market having two dominant, patent-protected competitors and nearly 100 generic competitors. Additionally, a higher technology antidepressant, which appears to offer therapeutic advantages, was recently introduced by a competitor.

Alright, noted. To understand profitability potential, I'd like to explore the market attractiveness and our competitive position within that market in order to determine the market size we can target. Next, I'll explore the major cost drivers and how they impact the entry decision.

Alright. That sounds fair. Please proceed.

Starting with the revenue, I'd want to understand first what the overall market revenue opportunities are for this type of drug and for our product specifically. The client has expressed concern over the market potential for this drug. How big is the market and what is its potential growth rate?

The overall antidepressant drug market is relatively attractive at \$1.1 Billion per year and is growing well in excess of the population growth rate.

So, the overall antidepressant market is attractive at \$1.1 Billion, but within that market, there are segments based on different types of technology that may or may not be attractive. Does that sound right? What is the technology associated with our client's product? And how fast is this segment growing?

Yes, that's right. The client's technology is based on tricyclic formulations. The existing competitive environment in this segment is very intense and will only increase if the segment shrinks – which is likely to happen.

That drives me towards concluding that the overall segment is not very attractive. What percentage of the market share by volume do the competitors have?

In our own technology segment, the leader has approximately 10% and the number two player has about 4%. The rest of the 100 competitors each has less than a 2% market share. By comparison, the new technology has captured a 20% market share of the total antidepressant market.

Sure, noted. How much will our client's product be able to differentiate itself within our technology segment?

Not much. In a market research study we commissioned, the product was perceived to be very similar to the next best product in our technology segment, slightly inferior to the number one product, and slightly better than the generic products. The new technology introduced by the competitor was viewed as far better due to a lower level of sedation.

So, to summarize the market environment, although the anti-depressant market is attractive, the segment that we would be participating in is relatively unattractive and runs the risk of becoming smaller and more competitive over time. Additionally, within this unattractive segment, we have limited ability to differentiate ourselves relative to our competitors, and thus, will not be able to charge a premium price.



# New Product Launch Case 2: Anti-Depressant

|          |              |
|----------|--------------|
| Industry | Healthcare   |
| Level    | Intermediate |

Yes, that is right. So, what next?

I would think that this unattractive market and relatively undifferentiated position within that market would translate to a low market share. I would estimate that our share might be lower than either of the branded products given our new presence in the market, say maybe a 2-4% share and this, like the rest of the segment, would probably decline over the next couple of years.

Okay, that makes sense.

Knowing that our revenue potential is relatively low puts more pressure on minimizing the costs if we were to market the drug. I would want to see what area within the cost structure impacts profitability the most. What percent of net sales is COGS? Further, who would we be selling to?

COGS is about 20% of net sales, and most other expenses are SG&A. Good point on the customer. For such a drug, we would be selling directly to doctors – Psychiatrists and General Practitioners. It is the Psychiatrists that determine the success or failure of such a drug.

Sure. COGS seems to be reasonable and is not of concern at this point. SG&A are regular expenses and would be at realistic levels. I'd now like to focus on the people we sell to – the physicians. Do we have expertise in pharmaceutical sales? Do we have good relations with doctors?

Yes, that's right. No, we do not have any experience with pharmaceutical sales. We neither have relations with the doctors nor a trained salesforce that can do it. We will have to build those capabilities ground up.

Okay, noted. In undertaking this exercise, there would be significant costs that would have to be incurred. Further, pharmaceutical sales work based on good relationships between manufacturers and prescribers. This would take time and efforts to work, and given the already bleak state of the market segment, the client does not have the leg room to incur higher costs or the benefit of building relations over long time periods. They need to act now if all their R&D is to yield some tangible benefit to the company.

Yes, that's absolutely right.

So, that eliminates the option of directly launching the product. Co-marketing and branding with a partner in the space would be a good option for the client.

Okay. Can you walk me through that thought process?

Sure. By entering a co-marketing agreement, the costs of the sales force is spread across several products of the two companies. As we would choose a partner who does not have a competing product, our drug would get the appropriate selling attention warranted. The partner is likely to have existing relationships with the psychiatrists and doesn't need to take time to further establish these relationships. This might help the sales of our product might peak sooner. So, all in all, I would think that if we were to market this product, it would be a less costly and higher value option to enter into a co-marketing agreement rather than go at it alone.

That makes sense. So, is that your final recommendation?

Not yet, I'd like to look at the final option of selling/licensing or swapping out the drug. Do we have any information pertaining to this? Are there companies who we can potentially sell to, or those that would want to use our formulations?

What in your opinion would be the reasons to go for any of these alternatives?

The client would want to choose the option that is the most value creating. There could be several reasons for going with this alternative. a) We might sell our drug patent because the sum of the promotional or overhead costs may make it unprofitable for us to market whereas a company having a similar product line might be able to carry this product at a very small incremental cost. b) We might license it which would help companies with the expertise to actually sell the drug. c) We might swap it if we could find a company in need of this type of drug while having an innovation that might fit more with our existing infrastructure.

To evaluate these options, we might look at projected cash flows and discount them backwards to see which of them is the most value creating alternative.

Perfect. That's good. We can stop here. Thank you for your time.



# New Product Launch Case 2: Summary

**Prompt:** Your Client is the US pharmaceutical division of an MNC. In 2 months, the division expects to receive the FDA’s approval to launch an anti-depressant drug. The division, however, has concerns over the market potential for this drug and its ability to reach the key prescribers in this therapeutic category. We have been asked to help determine whether they should – a) launch independently, b) co-market with a partner, or c) sell, license or swap the drug. How would you go about it?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Approach                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |  |  |  |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--|--|
| <ul style="list-style-type: none"><li>❖ <b>Industry attractiveness</b><br/>The overall antidepressant market is worth \$1.1B</li><li>❖ <b>Competitors</b><br/>2 dominant patent-protected competitors and 100 generics</li><li>❖ <b>Market share</b><br/>In the client’s segment, the market share of competitors is 10% and 4% while the rest have less than a 2% share</li><li>❖ <b>Current cost structure</b><br/>COGS is 20% of net sales &amp; the rest expenses are SG&amp;A</li><li>❖ Client does not have any experience with pharma sales &amp; will have to build those capabilities ground up</li></ul> | <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>○ Clear thought structure throughout the discussion with to-the-point questions</li><li>○ Ability to identify various cost drivers for a pharmaceutical business</li><li>○ Assessing market potential and determining market share within the client's category</li></ul> <p><b>Common mistakes</b></p> <ul style="list-style-type: none"><li>○ Mistaking the market share for the overall antidepressant market as the prospective share in the client category</li></ul> | <div><div>Market Entry analysis</div><div><div>Go</div><div>No Go</div></div><div><div>Pricing planning</div><div>Operational planning</div><div>Marketing &amp; Communication</div><div>Financial planning</div></div><div><div>Low product differentiation; low pricing</div><div>Sell directly to the doctors and the Practitioners</div><div>COGS = 20% of Net Sales and the rest SG&amp;A</div></div></div>                                                                                                                                                                                                                                                                        |  |  |  |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | <p><b>Conclusion:</b> Since the client currently doesn’t have experience with pharmaceutical sales and would incur high costs if they decide to launch the product independently, Co-marketing and branding with a partner in the space would be a good option for the client</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>▪ Apart from co-marketing, consider other options of selling/licensing or swapping out the drug</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>▪ Invest in R&amp;D to work on new technologies that could help acquire more market share of the antidepressant market</li></ul> |  |  |  |





# New Product Launch Case 3: In-Flight Connectivity

|          |              |
|----------|--------------|
| Industry | Travel       |
| Level    | Intermediate |

**Prompt:** Your firm is a low cost US domestic airline carrier considering In Flight Connectivity technology. With competitive pressures rising, Wi-Fi in the sky is becoming a basic offering. Your client has yet to enter the game, but they know it's something they need to consider to stay competitive. What are some of the key considerations for their client as they launch their Wi-Fi in the Sky product?

Sure. Before I proceed, I would like to understand what all the client refers to as In Flight Connectivity.

IFC includes only Wi-Fi connectivity.

Alright, noted.

To understand the case a little better I would like to know our client's operational routes and competitors.

The airline flies primarily domestic routes within the continental US, as well as select flights to Canada, Mexico, and the Caribbean.

The information on competitors has been drawn up by analysts and can be found in Annexure 1. What do you think can be inferred from this competitor data?

Looking at Competitor 1:

-Pros: less operational cost burden, potential for customer experience continuity

-Cons: limited control over pricing, brand fit considerations

Looking at Competitor 2:

-Pros: control over pricing, control over user experience, potential for better ROI, easier to integrate with airline's other products like IFE

-Cons: more operational burden on airline, higher costs

That is a reasonable conclusion regarding the competitors.

After some initial analysis, the client has decided to partner with a IFC vendor to outfit all 90 of its planes. An investment of \$250k per plane is required which the airline and vendor will share 40-60, and then the airline will pay the vendor a per-session fee to cover operating expenses. The airline wants you to figure out what percentage of their passengers need to purchase a session for the airline to break even in 2 years at \$10 per session. Use the data given in Annexure 2.

Analyzing the data, I can come to the following conclusions:

-The Airline will require a total investment of \$9m including all the aircrafts

-We will have a total of 7M passengers in 2 years assuming 100% occupancy

-Using the above data, we will need a take rate of about 13% across our flights.

Do we have any market research data that would point at this figure being attainable?

Market research tells us that take rates are only between 5 and 10% today for paid connectivity, so our client is concerned about being able to hit the break-even targets. What do you think are the key drivers of IFC take rate?

Some factors I can think that would drive the IFC take rates are:

-Flight characteristics: duration, flight time (night vs daytime), other entertainment systems

-Product characteristics: price, speeds available, quality of service

-Passenger characteristics: age, gender, income, cabin class, business/leisure

Based on these factors and data how do you think the client should proceed with their go to market?

Firstly my recommendation would be the client try to create a branding with the best of the both competitor models by partnering with a IFC vendor wholesale for the technology while having a control on the pricing and avoid going down the free connectivity solution being a low cost carrier.

The client should also begin with pilot projects on routes that is expected to have more demand based on the above mentioned factors of take rate and will help us understand how we can bridge the gap in required take rate.

Can you identify the risks associated with the key decisions in this implementation?



# New Product Launch Case 3: In-Flight Connectivity

|          |              |
|----------|--------------|
| Industry | Travel       |
| Level    | Intermediate |

Due to large upfront investment, contract is likely to be 10+ years long, so smart vendor selection is very critical. Since we are trying to have a model where we have control over the session rates there might be a trade-off with technology. Difficult to strike balance between maximizing revenue and maintaining sufficiently low take rate to ensure higher speeds.

I think that is satisfactory and we can close the case here.

## Annexure 1

|                     | Competitor 1                                                         | Competitor 2                                          |
|---------------------|----------------------------------------------------------------------|-------------------------------------------------------|
| Airline Description | Major domestic and international carrier with 65% fleet IFC coverage | Domestic discount carrier with 90% fleet IFC coverage |
| IFC Branding        | Vendor-branded                                                       | Airline-branded                                       |
| Pricing             | Determined by vendor, average \$25/session                           | Determined by airline, Free                           |
| Revenue Model       | Revenue share                                                        | Wholesale                                             |

## Annexure 2

|                         | Wide Body | Narrow Body |
|-------------------------|-----------|-------------|
| Fleet Size              | 10        | 80          |
| Passengers Per Aircraft | 300       | 100         |
| Flights Per Year        | 2,500     | 27,500      |

## Candidate Calculations

### To calculate the initial investment:

- Airline share of investment =  $\$250K \times 40\% = \$100K$  per plane
- Wide body =  $10 \text{ planes} \times \$100K/\text{plane} = \$1M$
- Narrow body =  $80 \text{ planes} \times \$100K/\text{plane} = \$8M$
- Total investment =  $\$1M + \$8M = \$9M$

### To determine total passengers in 2 years:

- Wide body =  $300 \text{ seats} \times 2,500 \text{ flights/yr.} \times 2 \text{ yrs.} = 1.5M$  passengers
- Narrow body =  $100 \text{ seats} \times 27,500 \text{ flights/yr.} \times 2 \text{ yrs.} = 5.5M$  passengers
- Total =  $1.5M + 5.5M = 7M$  passengers in 2 yrs.

### To determine % take rate needed:

- Set up the following equation and solve for [take rate]:
- $7M \text{ passengers} \times [\text{take rate}] \times \$10/\text{session} = \$9M$
- [Take rate] = 12.9%



# New Product Launch Case 3: Summary

**Prompt:** Your firm is a low-cost US domestic airline carrier considering In Flight Connectivity technology. With competitive pressures rising, Wi-Fi in the sky is becoming a basic offering. Your client has yet to enter the game, but they know it’s something they need to consider to stay competitive. What are some of the key considerations for their client as they launch their Wi-Fi in the Sky product?

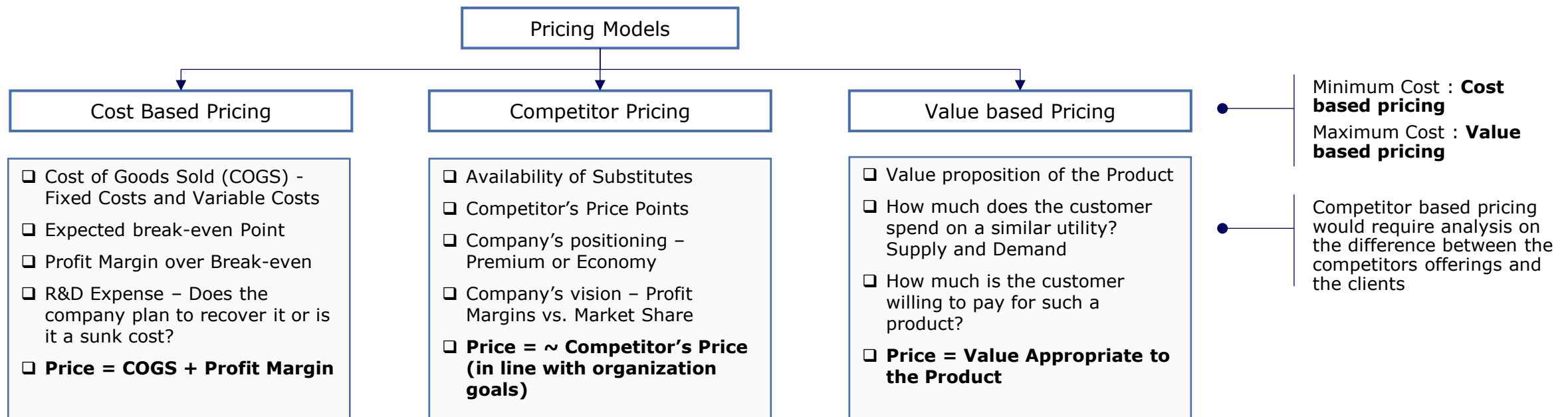
| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Approach                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |  |  |  |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--|--|
| <ul style="list-style-type: none"><li>❖ <b>About client</b><br/>The client operates domestic routes within the continental US, as well as select international flights to Canada, Mexico, and the Caribbean</li><li>❖ <b>Competitor 1:</b> Major domestic and international carrier with 65% fleet IFC coverage, vendor branding, an average price of \$25/session, and a revenue share model</li><li>❖ <b>Competitor 2:</b> Domestic discount carrier with 90% fleet IFC coverage, airline branding, price determined by the airline itself, and a wholesale revenue model</li></ul> | <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>○ Ability to understand the cost drivers of an airline business</li><li>○ The candidate was also quick enough to understand the Key factors driving take rates in a business</li><li>○ Understanding of pricing flexibility and pros &amp; cons with respect to partnering with vendors</li></ul> <p><b>Common mistakes</b></p> <ul style="list-style-type: none"><li>○ Focusing only on short term gains and not having a long term strategic goal in the mind while deciding on the recommendations</li></ul> | <div><div>Market Entry analysis</div><div><div>Go</div><div>No Go</div></div><div><div>Pricing planning</div><div>Operational planning</div><div>Market planning</div><div>Financial planning</div></div><div><div>Domestic as well as International</div><div><div>\$9M investment<br/>7M passengers x<br/>[take rate] x<br/>\$10/session = \$9M<br/>[Take rate] = 12.9%<br/><b>Annexure 2</b></div></div></div></div>                                                                                                                                                         |  |  |  |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | <p><b>Conclusion:</b> Create a branding by partnering with a IFC vendor wholesale for the technology while having a control on the pricing.</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Begin with pilot projects on routes that are expected to have more demand and will help to understand how to bridge the gap in required take rate</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Based on the results of pilot projects, determine routes and strategy for future expansion</li></ul> |  |  |  |



# Pricing Framework

## Framework

Types of cases where in you are to price a product, commodity or service. The idea is to reach an optimal range of price points using the pricing models



## High Level Analysis

- ❑ Reiterate the problem to have a clear understanding of the case. Understand the motives of the pricing
- ❑ Start with a cost based pricing in order to get the minimum cost that the product, commodity or service would require. Pricing would need to be greater than this cost. CBP method is heavy on guesstimate and can be a make or break
- ❑ Between competitor and Value based pricing, choose the one appropriate to the case in order to get the required upper limit



# Pricing Case 1: Multipurpose Furniture

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Beginner      |

**Prompt:** Your Client is a major steel manufacturer. The company plans to expand its business and move into the home furnishing space. It wishes to launch a multipurpose furniture – a bed cum sofa and a workstation, all in one. At what price point should the company launch this product?

Sure. I'd like to ask a few preliminary questions to understand the situation and the requirements better. How exactly does the product function? What other utility does it have?

It is a modular system. It is a sofa with workstation capabilities that can be extended to form a single bed. The value proposition is that it is multipurpose and provides space saving. The product is made up of 70% steel and 30% wood.

That's interesting. What geographies is the client targeting?

Our client is based out of India and we are targeting Indian market. Since it is a premium product our target customer belongs to tier 1 cities in India.

Okay. Who are the competitors? Does this kind of multipurpose furniture exist in the market?

The furniture industry is 20% organised retail and while 80% of it is unorganised. We have one major competitor who enjoys a market share of ~60% in organized retail. The others are small players. No one among the major players have introduced this kind of furniture. However, furniture makers in the unorganised sector have made such product based on customer's demand.

Alright. There are three ways we can approach the pricing exercise – cost-based pricing, competitor driven pricing, and values-based pricing. I would first like to start with the cost-based pricing because it will give me a minimum price point. Can I get an idea about the COGS?

The cost of the product is Rs. 10,000 for one set. The company has spent Rs 1,00,00,000 on R&D and Product Development.

Does the company plan to recover the R&D cost through its pricing? If so over how many years?

Yes. The client wants to recover the product development costs. They wish to do so in 2 years or earlier. You can assume break-even as both necessary and sufficient.

Alright, thank you. So there are both fixed and variable costs that have to be recovered. However, since break-even is sufficient over two years, only the fixed costs will have to be recovered over this time period. I'm assuming the contribution margin to be zero. Do you have any data points on how many such sets the client is expected to sell this year and the one that follows?

For the first two year, the client will only be selling in the NCR region. Initial research shows that the client will be able to sell about 150 of these units in the first. Assume a 10% Y-O-Y on the sale volume for the subsequent year.

Okay. That's helpful. I've assumed the Contribution Margin (Selling Price/Unit – Variable Cost/Unit) to be zero. Year 1 Sales = 150 Units. Year 2 Sales (@10% growth) = 165 Units. Total = 315 Units. Cost to be Recovered = 1,00,00,000.

Per Unit Selling Price = Rs. 32,000. Per Unit Variable Cost = Rs. 10,000. Total Sale Price for a 2-year Break-even = Rs. 42,000

So, the client can look at pricing the product between Rs. 40,000 and 45,000. I'd like to do a sanity check at this point. What are the price points at which our competitors sell their products?



# Pricing Case 1: Multipurpose Furniture

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Beginner      |

Our major competitor sells single metallic bed for Rs. 20,000 and the sofa set for Rs 25,000.

Alright, that helps. We have a multi-purpose convertible product. Basis the competitor’s price we can price the product between the price of the more expensive product (the sofa set) and sum of both products. So, we should consider pricing it between Rs. 25,000 and Rs. 45,000.

However, there are two reasons why the price should be on the higher end of the price range. First, it is offering a unique value proposition (saving space) which the competitor is not offering. Further, it is a premium product targeted only towards the tier 1 city customers. This pricing is also in alignment with the price points we arrived at to recover the R&D costs.

Yes, that makes sense. Good. What is your final recommendation? Anything you’d like to call out explicitly?

The client can look at pricing the product between Rs. 40,000 and 45,000. This is in line with both the analyses – recovering R&D costs and value based pricing. However the client needs to run an initial analysis to understand the willingness of the customer to pay this amount for such a product. Off the bat, it seems reasonable, but further analysis will be needed. Accordingly, recovery periods and profit margins may have to be adjusted. The client can also look at other selling opportunities and use cases for this product – such as hotel chains, airport lounges, SPAs and so on. These B2B sales may have higher revenue generating potential for the client.

Great. That’s a good analysis. We can stop here. Thank you!



# Pricing Case 1: Summary

**Prompt:** Your Client is a major steel manufacturer. The company plans to expand its business and move into the home furnishing space. It wishes to launch multipurpose furniture – a bed cum sofa and a workstation, all in one. At what price point should the company launch this product?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Feedback                                                                                                                                                                                                                                                                                                                                                                                                | Approach                                                                                                                                                                                                                                                                                                                                                                                                            |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Product Portfolio:</b> Bed cum sofa and a workstation</li><li>❖ <b>Targeted Market Segment:</b> Tier 1 cities only since it is a premium product</li><li>❖ <b>Industry:</b> 20% organized retail &amp; 80% unorganized and one major competitor with a market share of ~60% in organized retail</li><li>❖ <b>Competitor Price:</b> Metallic bed for Rs 20,000 &amp; Sofa set for Rs 25,000</li><li>❖ <b>COGS/set</b> = Rs 10,000, R&amp;D = Rs 1,00,00,000</li><li>❖ <b>Expected Sales:</b> 150 for the first year, 10% YoY increase in sale volume, the subsequent year</li></ul> | <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>▪ Asked all the important preliminary questions</li><li>▪ Interviewee was able to start with cost-based pricing and then factor in competitor-based pricing and value-based pricing</li></ul> <p><b>Common mistakes</b></p> <ul style="list-style-type: none"><li>▪ The questions throughout the case can be more pointed</li></ul> | <pre>graph TD; Pricing --&gt; CostBased[Cost based]; Pricing --&gt; CompetitorBased[Competitor based]; Pricing --&gt; ValueBased[Value based]; CostBased --&gt; RD[R&amp;D]; CostBased --&gt; OtherFixed[Other fixed costs]; CostBased --&gt; VariableCosts[Variable costs]; CompetitorBased --&gt; Price[Price]; CompetitorBased --&gt; Efficiency[Efficiency]; ValueBased --&gt; SpaceSaving[Space saving];</pre> |
| <p><b>Recommendations</b></p> <p><b>Conclusion:</b> As per R&amp;D recovery and value-proposition analysis, the pricing of the product can be between Rs 40,000 and Rs 45,000</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Space-saving value proposition and alignment with the price calculated to recover the R&amp;D costs</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ B2B opportunities such as hotel chains, airport lounges, SPAs, and so on need to be explored since they may have a high revenue-generating potential</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                     |





# Pricing Case 2: Pharmaceuticals Company

|          |              |
|----------|--------------|
| Industry | Healthcare   |
| Level    | Intermediate |

**Prompt:** Your client is a United States based Pharmaceutical company who has just developed a drug for AIDS. You have been tasked to help the client identify the correct pricing strategy for this drug in Emerging Markets.

Thank you. I'll start with clarifying a few aspects about the client. Is our client the first corporation to have developed such a drug? Is the drug covered under US FDA Copyright laws? Which all geographies does the client cater to? What is the client's objective?

The client is the largest pharmaceutical company of the world with presence in over 200 countries. The AIDS drug is a novel drug and covered under the US FDA Copyright laws as well. The client wants to ensure that the drug is easily available to everyone as soon and easily as possible.

Thank You! As the goal is to develop a pricing strategy for Emerging Markets, I'll first break down Emerging Markets into relevant clusters with similar sociographic trends. Also, since the aim is to ensure quick and maximum reach of drugs, we should go with a cost based pricing approach.

Makes sense. Which countries do you think fall under Emerging Markets?

Emerging Markets can be classified into : Emerging Asia, Latin America, Africa And Middle East. Could you please confirm if we are aligned on the geographies?

First, I would like to understand what all countries you are considering under Emerging Asia.

Sure! So Emerging Asia should have all the Asian countries except Australia, New Zealand, South Korea and Japan. These markets have grown significantly and don't follow trends of the remaining developing countries.

Okay, great! The overall alignment is correct. However, for this example, let's just exclude Middle East from the calculation.

Sure! First, I would like to understand the R&D cost associated to this drug and the time taken to develop the drug.

Consider the total R&D cost as \$5B and the client wants to recover 40% of the cost from Emerging Markets. Also, it has been 10 years since the patent was issued.

So, the aim is to recoup the \$2B investment from Emerging Markets. And since the drug patent limit is 20 years, the client has only 10 more years before generic drugs flood the market. Do we have any information on the dosage taken by a patient?

This drug is taken by a patient once a year. Assume only adult population.

Let's start with Emerging Asia first. The adult population would be ~ 3B. Since education and access to healthcare is low in these countries, we can consider 0.2% people who have verified AIDS cases. Of this, our targetable audience should be 50% to give us the addressable market size as  $3B \times 0.2\% \times 50\% = 3M$

Correct. Let's move on to the other two. And let's assume 70% attainable market and 300M adult population in Africa and 40% attainable market with 600M adult population in Latin America.

Sure! For Africa, taking adult population of 300M with 9% AIDS patients and 70% attainable market, we get the total market size as  $300M \times 9\% \times 70\% = 18.9M$

For Latin America, taking adult population of 600M with 0.4% AIDS patients and 40% attainable market, we get the total market size as  $600M \times 0.4\% \times 40\% = 960K$ .

This gives us total addressable market across all regions as  $3M + 18.9M + 0.96M = 22.8M$

The addressable market is correct. Let's move ahead.

Okay! Considering 1 dose given per year to a patient, the break even cost in the 10 years life cycle would be around \$8.75 per dose. As the purchasing power in Emerging Markets is low, what is the profit % client is aiming for?



# Pricing Case 2: Pharmaceuticals Company

Client would get the majority of profits from the Developed Markets. From Emerging Markets, they are aiming for only 10% profits.

Alright. So based on this assumption, The client should price this drug at \$9.6. This pricing is reasonable for the developing countries as well as this is being paid once an year. Also, for the very poor population, the governments would be easily able to include this cost in their welfare schemes.

Great! Can you summarize the case?

The client is looking to launch a novel AIDS drug and required our assistance in pricing it in Emerging Markets. Since the objective for the client is to get maximum profits from the Developed market and ensure maximum reach in Emerging Markets, we decided to choose a cost-based pricing model with 10% profits for the client. This results in a final cost of around \$9.6 per dose which fits in the economical situation of these countries.

Thank you! We are done here.

|          |              |
|----------|--------------|
| Industry | Healthcare   |
| Level    | Intermediate |

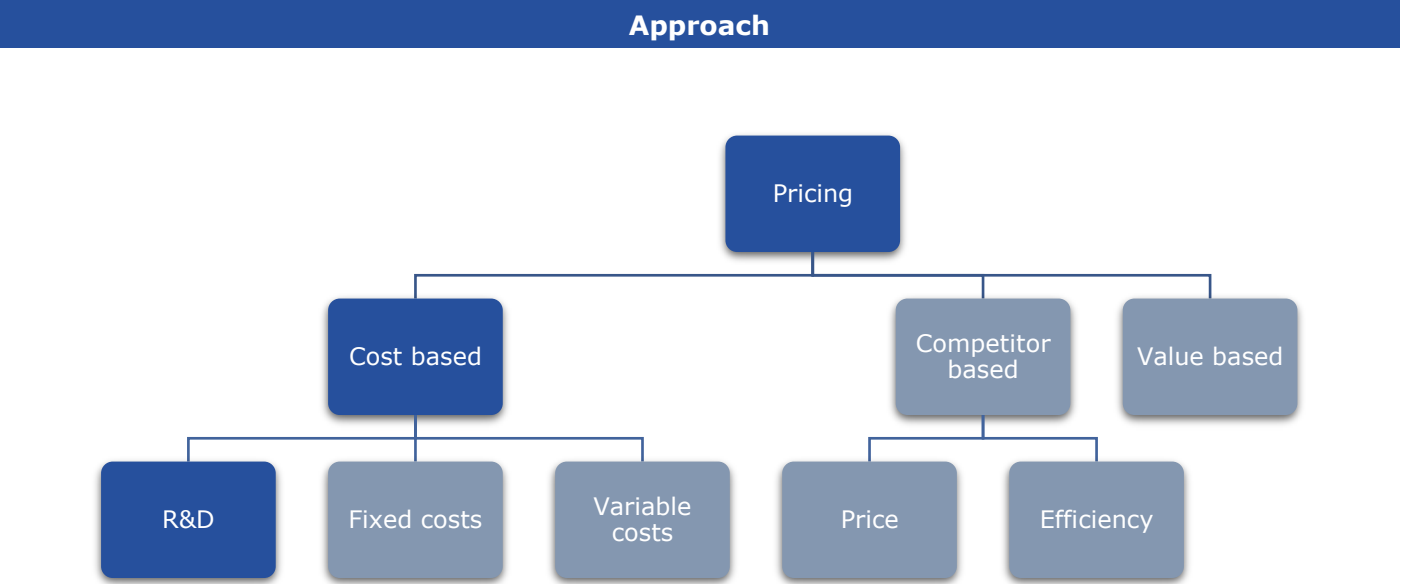


# Pricing Case 2: Summary

**Prompt:** Your client is a United States based Pharmaceutical company who has just developed a drug for AIDS. You have been staffed to help the client identify the correct pricing strategy for this drug in Emerging Markets.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>About the client:</b> US-based pharma company with a newly developed novel drug for AIDS needing a pricing point for emerging markets</li><li>❖ <b>Drug:</b> Drug is covered under the US FDA Copyright laws; it has been 10 years since the patent was issued; dose is taken once annually</li><li>❖ <b>Target market:</b> Exclude Middle east from emerging market category; attainable markets - 40% in Africa, 20% in Latin America</li><li>❖ <b>R&amp;D cost:</b> \$5B, estimated recovery from Emerging Markets: 40%</li><li>❖ Aiming only for 10% profits from Emerging Markets</li></ul> | <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>○ Interviewee was able to narrow down the target markets and produce an appropriate price</li></ul> <p><b>Common mistakes</b></p> <ul style="list-style-type: none"><li>○ Could have asked more preliminary questions to understand the case better</li><li>○ Interviewee could have covered the competitive and value-based pricing aspects as well for more comprehensiveness</li></ul> |

| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Conclusion:</b> As per the cost-based pricing model, taking the client's requirements into consideration, the drug should be priced at \$9.60 per dose</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ The drug should be priced at an economical price which would also help the government include it in welfare schemes</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Keep the price lower than the competitive price so that the demand for the drug is more (since it is priced economically)</li></ul> |





# Pricing Case 3: Lunar Express

|          |              |
|----------|--------------|
| Industry | Aerospace    |
| Level    | Intermediate |

**Prompt:** Our client has just developed Lunar Express-a cutting-edge rocket that can take passengers to the moon and back in just 24 hours. They’re based in Cape Canaveral and need our help figuring out how to price this experience. How would you go about this?

Thanks! This sounds incredible. Before jumping into pricing, I’d love to understand some basics -how many seats does the rocket have, how often can it fly, and who’s the target audience?

Great questions. The rocket has 10 seats per trip-3 luxury "Celestial Class" and 7 standard "Stellar Class." After each 24-hour journey, it needs 48 hours of maintenance, so it can fly about 12 times a year. Demand is sky-high, but supply is tight.

Got it. Since this is a one-of-a-kind experience, I think we should focus on two things: what the value to customers is, meaning how much they would pay for this once-in-a-lifetime trip, and what the alternatives are, like the cost of similar experiences today. Does that sound like a good approach?

Perfect. Let’s start with the value to customers. How would you estimate what people are willing to pay?

For Celestial Class, we’re likely targeting billionaires, celebrities, and CEOs-people who might otherwise charter private spaceflights. If their time is worth, say, \$10,000 per hour based on their income and opportunity cost, and this trip saves them weeks compared to traditional space travel, the value could be in the millions.

And how would you price for Stellar Class?

For Stellar Class, we’re looking at wealthy adventurers-maybe tech executives or serious travellers who currently pay \$500K for suborbital flights. Since this is a full moon trip, they might pay significantly more.

Makes sense. Now, what about competitor pricing? What benchmarks should we consider?

Currently, a quick suborbital joyride like Virgin Galactic costs around \$450K, while a multi-day SpaceX lunar mission goes for \$50M or more. Since Lunar Express is faster than SpaceX but way more exclusive than Virgin, we could position it in between.

What prices would you suggest based on that?

I’d propose Celestial Class at \$20M, which is half of SpaceX but with speed as a differentiator, and Stellar Class at \$2M, much more than Virgin but for a far bigger experience.

Interesting. But if we price Stellar Class at \$2M, won’t we lose customers who can’t afford that?

It might be possible, but with only 7 seats per trip and 12 flights a year, scarcity works in our favor. Moreover, we could introduce payment plans or corporate sponsorship, with a tagline like “This trip brought to you by Rolex!”

Do you have any other creative pricing ideas?

Definitely! We could auction the first few seats to create hype, something like Elon Musk has previously done, bundle the offering with extras like a VIP moonwalk or a custom spacesuit, and use dynamic pricing to raise prices as demand grows.

Brilliant. What’s your final recommendation?

I’d start with Celestial Class at \$15M to \$25M, flexible based on bidding wars, and Stellar Class at \$1.5M to \$2.5M, with early-bird discounts to fill seats. Then we can adjust based on demand.

Thanks for your insights, we can close the case here!



# Pricing Case 3: Summary

**Prompt:** Our client has just developed Lunar Express-a cutting-edge rocket that can take passengers to the moon and back in just 24 hours. They’re based in Cape Canaveral and need our help figuring out how to price this experience. How would you go about this?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |  | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Approach                                                                                                                                           |  |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|--|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area:</b><br/>Strategic pricing of a scarce, luxury space tourism experience with 10 total seats (3 Celestial, 7 Stellar).</li><li>❖ <b>Business Model:</b><br/>Revenue from individual passengers purchasing either luxury or standard-class tickets on 12 yearly flights.</li><li>❖ <b>Constraints &amp; Details:</b><ul style="list-style-type: none"><li>○ <b>3-day cycle per trip</b> (24-hour journey + 48-hour maintenance).</li><li>○ <b>Target Market:</b> Ultra-high-net-worth individuals (UHNWIs), celebrities, wealthy adventurers.</li><li>○ <b>Current Benchmark:</b><br/>Virgin Galactic suborbital: ~\$450K<br/>SpaceX lunar mission: ~\$50M+</li></ul></li><li>❖ <b>Goal:</b><br/>Maximize revenue using value-based, benchmarked, and creative pricing methods.</li></ul> |  | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ Broke down the case into market analysis, financial evaluation, acquisition, and post-deal strategy.</li><li>○ Considered fleet dynamics, load factors, ancillary revenue, and customer loyalty for profitability.</li><li>○ Used comparable, and precedent transactions thoughtfully.</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>○ Can this be marketed as a series of space experiences? Or does it remain a one-time luxury?</li><li>○ What barriers exist around space tourism in terms of government approvals or liability?</li><li>○ Factor in rocket development costs, infrastructure, and recurring maintenance over the lifecycle of the spacecraft.</li></ul></li></ul> | <div><div>Pricing Strategy</div><div><div>Value Based</div><div>Cost Based</div><div>Competitor Based</div><div>Creative Pricing</div></div></div> |  |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                    |  |
| <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> Adopt a value-based and scarcity-driven pricing model. Use benchmarks &amp; creative techniques to drive demand and revenue. Price Celestial Class at a premium to match exclusivity.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Offer bundled upgrades to enhance perceived value</li><li>○ Secure sponsors to subsidize pricing and boost prestige</li></ul></li><li>❖ <b>Long-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Adjust pricing based on demand elasticity and brand strength</li><li>○ Explore recurring revenues from brand licensing &amp; merchandise</li></ul></li></ul>                                                                                                                              |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                    |  |



# Pricing Case 4: Polyfilm Manufacturer

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Intermediate  |

**Prompt:** Your client is an Asian polyfilm manufacturer looking to enter the North American market with a new line of high-performance agricultural films. You are required to determine the optimal price point for the product. How would you go about it? What are your considerations?

I would like to start by gathering some background information. Could you share details on the client’s current business and product offerings?

The client is a leading polyfilm manufacturer based in Asia, primarily producing packaging films, agricultural films, and industrial films. They now want to expand into the North American agricultural film market with a high-durability, UV-resistant mulch film.

Understood. Is there a specific customer segment they are targeting in North America?

Yes, they are targeting large-scale commercial farms in the U.S. and Canada that grow high-value crops such as berries, tomatoes, and peppers. Their competitors include Berry Global, RKW Group, and Ginegar Plastic Products.

Noted. To determine the pricing, I would consider three approaches: cost-based pricing, competitor-driven pricing, and value-based pricing. Cost-based pricing involves calculating the cost to manufacture and distribute the film and adding a profit margin. Competitor-driven pricing requires benchmarking against similar products in the market. Value-based pricing focuses on understanding the value proposition for farmers and pricing accordingly. Let’s start with cost-based pricing. Do we have any data on production and logistics costs?

The cost of manufacturing per roll (200 meters) is estimated at \$12, and shipping adds another \$3 per roll. Assuming a 40% post break-even profit margin, what would be the suggested price?

If we assume a 40% profit margin over the break-even cost, the price would be calculated as follows:  $(\$12 + \$3) \times 1.40 = \$21$  per roll. Now, to validate this, I’d like to conduct a competitor benchmarking exercise. What are the price points for similar agricultural films in the market?

Competitor pricing varies. Berry Global sells their products within a range of \$18 to \$24 per roll, RKW Group prices their films between \$20 and \$26 per roll, and Ginegar Plastic Products offers similar products at a price point between \$22 and \$28 per roll.

Given that our calculated cost-based price is \$21, it falls within the competitive range. However, I’d like to analyze the value our product provides. What are the key differentiating features of our polyfilm?

Our agricultural film offers enhanced UV resistance, allowing for a 30% longer lifespan compared to standard films. It has higher tensile strength, meaning it requires less frequent replacements. The film is also biodegradable, making it an environmentally friendly alternative to traditional mulch films. Additionally, it provides better heat retention, leading to higher crop yields in colder seasons.

These features create significant value for farmers. I would assess how much customers are willing to pay for these benefits. Do we have any data on willingness-to-pay studies or focus group insights?

Yes, initial market research suggests that commercial farms are willing to pay a premium of 15-20% over the average competitor price for longer durability and better yield benefits

If we take the mid-range competitor price of \$22 and add a 15-20% premium, the pricing calculation would be as follows. A 15% premium results in a price of \$25.30, while a 20% premium results in a price of \$26.40. Thus, the optimal price should be in the range of \$25.30 to \$26.40. Given our product’s superior features, I would recommend pricing it at \$26 per roll to maximize perceived value and maintain competitiveness.

That’s a solid approach. What factors should we monitor post-launch to validate this pricing strategy?



# Pricing Case 4: Polyfilm Manufacturer

Several key factors should be monitored post-launch. Sales volume should be tracked to determine whether farmers are adopting the product at the expected rate. Customer feedback is essential to verify whether they are experiencing improved durability and yield as expected. Competitor reactions should be observed to see if they are adjusting their prices or launching similar products in response. Additionally, macroeconomic trends such as commodity prices, farming subsidies, and sustainability regulations could impact demand and should be closely followed.

Great. That concludes the case. Thank you!

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Intermediate  |





# Pricing Case 4: Summary

**Prompt:** A Your client is an Asian polyfilm manufacturer looking to enter the North American market with a new line of high-performance agricultural films. You are required to determine the optimal price point for the product. How would you go about it? What are your considerations?

Case Facts

- ❖ **About Client**  
A leading Asian polyfilm manufacturer experienced in producing packaging, agricultural, and industrial films.
- ❖ **About Product / Service**  
A high-performance agricultural mulch film featuring enhanced UV resistance (30% longer lifespan), higher tensile strength, biodegradability, and improved heat retention.
- ❖ **Target market**  
Large-scale commercial farms in the U.S. and Canada cultivating high-value crops such as berries, tomatoes, and peppers.
- ❖ **Costs involved**  
Manufacturing cost per 200-meter roll is approximately \$12, with an additional \$3 per roll for shipping, resulting in a base cost of \$15.

Feedback

- ❖ **What Went Well?**
  - The candidate gathered essential background information and clarified the target market effectively.
  - The integration of competitor benchmarking and market research on willingness-to-pay was thorough.
- ❖ **Could be better**
  - The analysis could include more discussion on market risks and pricing sensitivity.
  - Additional insights on long-term cost trends and potential competitive responses would further strengthen the strategy.
  - Company's intention whether they want to gain market share quickly through cost leadership or want to pursue differentiation strategy could also be considered.

Approach

Pricing

Cost based

Base Cost (Manufacturing + Shipping)

Profit Margin

Competitor based

Price range

Benchmark price

Value based

Product differentiators

Customer willingness to pay for premium

Recommendations

- ❖ **Conclusion:** The analysis indicates that pricing the new high-performance agricultural film at approximately \$26 per roll balances production costs, competitive dynamics, and the added value from superior product features.
- ❖ **Short-Term Recommendations:**
  - Launch the product at the recommended price point through a phased market entry, supported by targeted marketing efforts.
- ❖ **Long-Term Recommendations:**
  - Continuously monitor customer feedback, sales performance, and market trends.
  - Adjust pricing and marketing strategies as necessary to maintain competitiveness and maximize profitability.

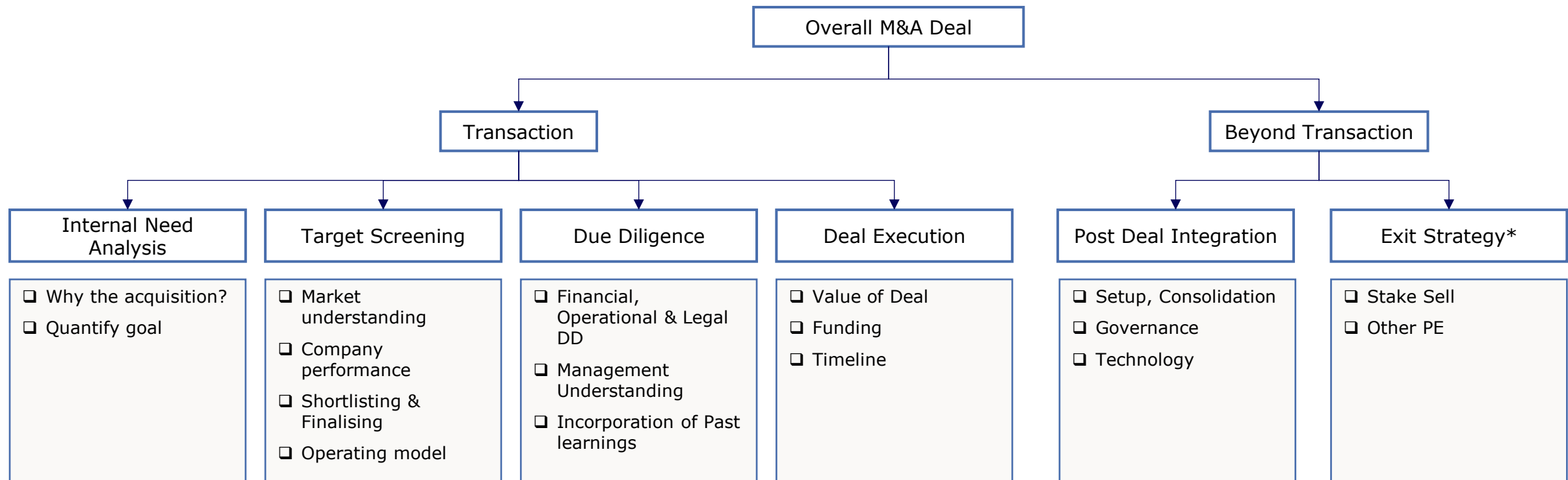
| Pricing Approach         | Calculation                                | Price Outcome               |
|--------------------------|--------------------------------------------|-----------------------------|
| Cost-Based Pricing       | (\$12 manufacturing + \$3 shipping) x 1.40 | \$21 per roll               |
| Competitor-Based Pricing | Benchmark: \$18 - \$28 per roll            | ~ \$22 per roll             |
| Value-Based Pricing      | \$22 x (1.15 to 1.20)                      | \$25.30 - \$26.40 per roll  |
| Recommended Price        | -                                          | Approximately \$26 per roll |



# Merger & Acquisition Framework

## Framework (Detailed Transactional View)

Used to solve cases pertaining to M&A transactions by detailing the entire value chain of the deal and looking at post deal integration



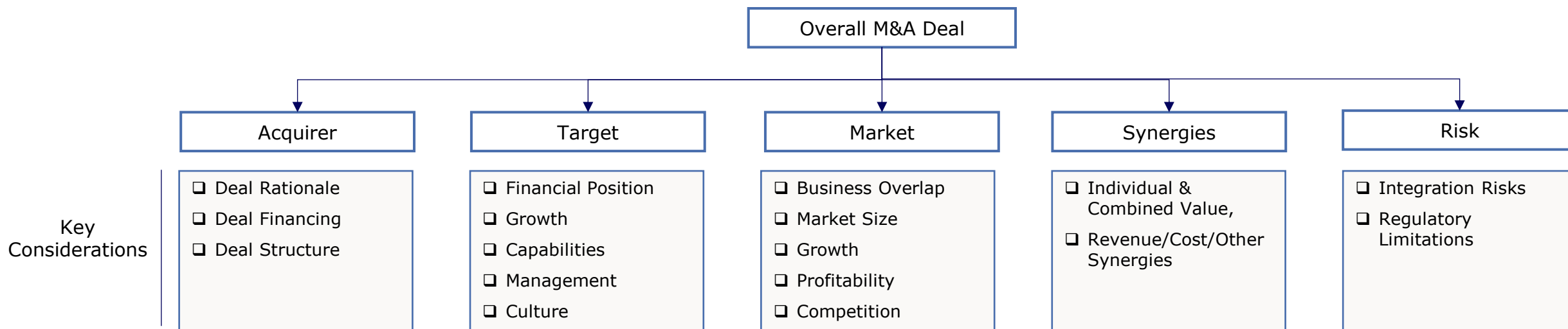
\* If Applicable



# Merger & Acquisition Framework

## Framework (Quick Environment View)

Used to solve cases pertaining to M&A transactions which involve five major components – Acquirer, Target, External Environment, Synergies & Risk



## High Level Analysis

- ❑ Reiterate the problem to have a clear understanding of the case
- ❑ Combine the two frameworks in most cases to get a holistic transaction view. Let the interviewer guide on the particular branch to proceed, whether to go transaction-based analysis (DTV) or Quick environment view (QEV)
- ❑ DTV can be used in case there is a particular focus required on 'Due Diligence', 'Target Screening', 'Post Merger Integration', or 'Exit Options'
- ❑ Use QEV when M&A is a smaller part of the case. It's usually a MECE principle to cover a deal quickly
- ❑ In case of DTV, usage of numbers would be high, and technical – be careful on the terms used
- ❑ For additional reference, know the various ways, tools & databases that are used in companies that deal in M&A transactions



# Merger & Acquisition Case 1: Airlines Acquisition

|          |          |
|----------|----------|
| Industry | Airlines |
| Level    | Basic    |

**Prompt:** Your Client is a major airline operator and has been doing well financially in the recent past. The management is looking at potential M&A activities to grow the company's business. You've been on-boarded as a consultant and they client wants you to advise them on their M&A plans.

Sure. So, the client is looking to grow their business and wants to see if M&A is the right way of going about it. When client says that they want to grow, I am assuming that focus is on augmenting revenues. Is that right?

Yes, the focus is on revenue growth.

Thank you. Now, I would like to break the analysis into two sections – a) I'd like understand if M&A is the right strategy for growth, and b) If so, what are the potential targets we can look at.

Yes, that's a good structure. Please proceed.

Okay, sure. First I'd like to understand a little about the client. What does the business look like? What are the services provided, and where does the client operate in?

The client offers passenger – economy & executive – and cargo services and operates on multiple international routes. US, Europe, and Asia-Pacific are the primary focus areas for the client. In Asia, the client primarily offers connectivity to tourist destinations from the US and Europe.

Okay. Since our focus is on improving top line for the client, I would like to breakdown the revenues and the competitive landscape by these parameters. Do we know the channel split for revenues by service (passenger/cargo) and geography? Besides, from a competitive perspective what are the clients' market shares by the same parameters?

You can ignore the service variants for now. Let's focus on geography of operations. 60% of our revenues flow in from US operations, 30% from European operations, and only 10% from operations in Asia-Pacific. You can assume a similar distribution for the market share in the three geographies.

That's helpful. Going by this, I suggest the focus for the client should be on growing the market share and correspondingly revenues in the Asia-Pacific region. An acquisition certainly would help achieve these targets quickly. Do we have any data about potential targets that can be acquired and their capabilities.

That sounds logical. Yes, the client is looking at 3 potential companies to acquire.

Target 1 is an established airline operator in Asia, and provides luxurious passenger services and operations across major Asian destinations and own 30% of the market share in Asia.

Target 2 is an emerging airline operating out of Australia and provides connectivity between Eurasia and Australia. They have a strong cultural fit with the client and would be the easiest to acquire.

Target 3 is a disruptive airline operating in Asia, and has grown rapidly and captured 20% of the Asian market over the past 3 years. This airline does not offer any luxury travel and operates between select destinations.

You can assume all of them are profitable operators and have strong finances.

Based on the client's requirements, Targets 1 and 3 look to be good options. Target 2 may however provide greater operational flexibility and ease of integration.

I would like to explore synergies and risks associated with acquiring each of these companies, and then make a suggestion.

Let's start with revenue and cost synergies. I would like to know by how much the client's revenue and cost margins would change by acquiring each of these targets. Do we see significantly different operational synergies with each of these targets?



# Merger & Acquisition Case 1: Airlines Acquisition

|          |          |
|----------|----------|
| Industry | Airlines |
| Level    | Basic    |

For the sake of simplicity, assume revenue contributions would only be marginally different in each of the cases. From an operating perspective our assets and capabilities align most with Target 1. Target 3 has a much leaner operating model, and Target 2 fits in between.

Alright. Looks like Target 1 might be an ideal acquisition at this stage. Finally, I would like to look at the Asian air travel market to understand how it's shaping up and what forms of travel are taking precedence. Insights on customer behaviour and preferences would help make a final recommendation.

Excellent point. Recent trends have revealed that air travel has been on the rise in Asia, as more people enter higher income groups. Trends also suggest that passenger traffic is the highest between a select few destinations in Asia – India and China particularly. Efficient low cost air travel is expected to grow at 13% CAGR.

Noted. This significantly changes the dynamics of our proposal. The client is already a major airline operator in the US and Europe with flights connecting major tourist destinations in Asia to both these continents.

While Target 1 seems to be a good acquisition based on overlap of operating models and cost synergies, it would appear that acquiring Target 3 would provide the client with flexible operating options, help cater to a large and rapidly growing market. Target 3's operations also complement the client's routes and help develop a more exhaustive network of operations, without any redundancies.

The lean operating model would offer several advantages that the client may carry back to their operations in US and Europe. With marginally different revenue contributions, the focus shifts to the cost of acquisition. Acquiring a new airline operator with a lean operations would seemingly cost less than acquiring an established airline with massive assets. The client can also maintain a lean workforce that overlooks operations of the acquired company, providing the client with greater managerial control. With this segment of travel up and coming, the client can also expect to grow the business rapidly with investments out of US and Europe.

That's very good. So, what is your final recommendation?

Based on the client's current revenue and market share structure across geographies, Asia should be focus area for the client.

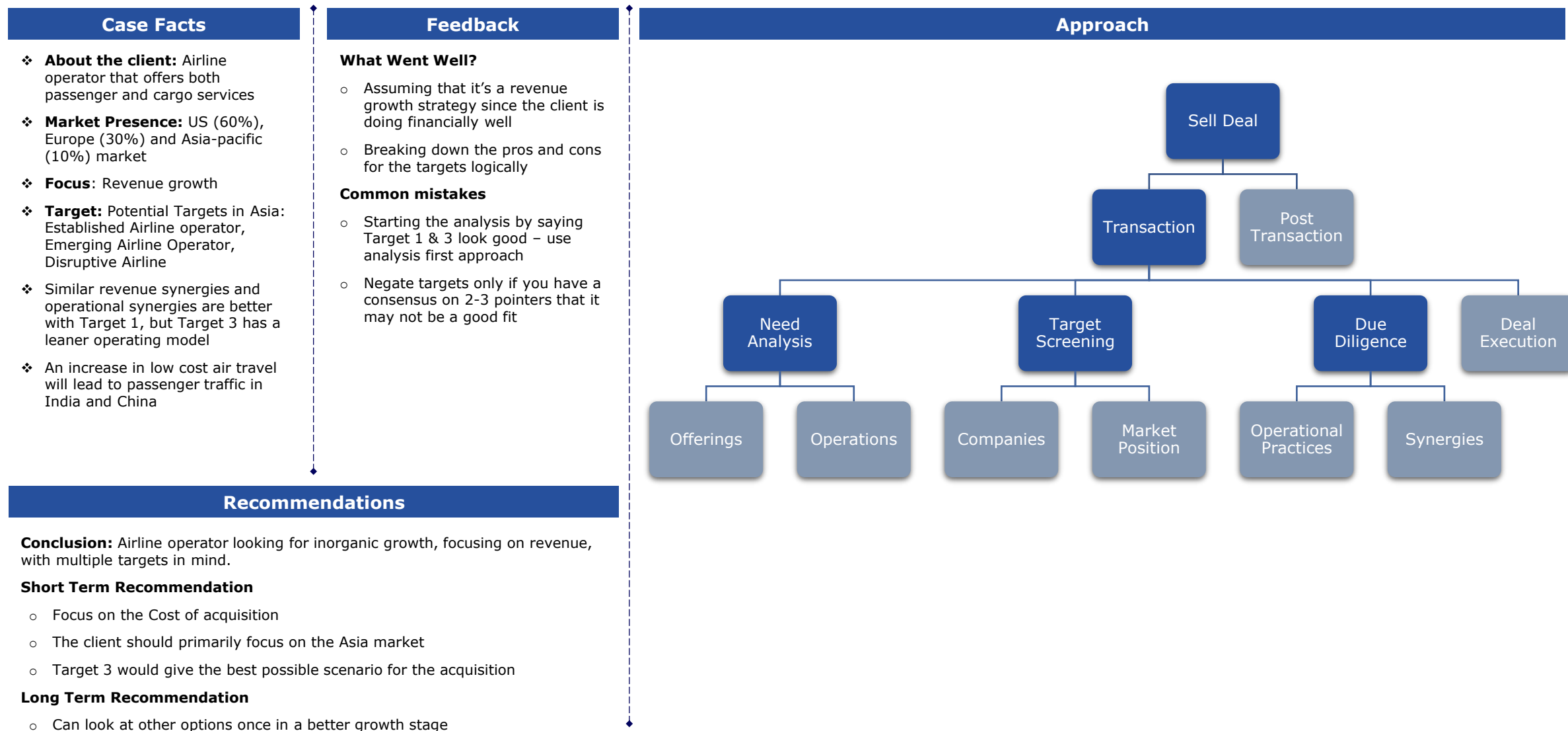
Among the proposed targets, Target 3 offers the greatest growth potential, complementing the client's current operations. While Target 1 seemed to be a good option, Target 3 offers several advantages and brings in new operational capabilities. Based on this, the client should consider acquiring Target 3.

Excellent. That will be all. Thank you.



# Mergers & Acquisitions 1: Summary

**Prompt:** Your Client is a major airline operator and has been doing well financially in the recent past. The management is looking at potential M&A activities to grow the company's business. You've been on-boarded as a consultant and they client wants you to advise them on their M&A plans.





# Merger & Acquisition Case 2: Buy-side DD

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Intermediate  |

**Prompt:** Your Client is a large PE firm, based out of India. It focuses on firms in the home utility and consumer durables' space. The client has identified a company (referred to as the Target) in the second-hand furniture space (C2B and B2B), that it wants to invest in. They want us to conduct a due diligence study of the furniture re-commerce market and the target capabilities. How would you approach this engagement? What would your considerations be?

Sure. So, to clarify the objective, the idea is to develop a structure for the due diligence activity – covering both the furniture re-commerce space and the Target. Is that right? Are we also expected to come up with recommendations on the investment strategy?

Yes, that's right. No, recommendations are not needed. I only need you to structure the due diligence activity.

Sure, understood. I'd like to breakdown the analysis into 3 sections – The Furniture Re-commerce Market, The Target, Client (PE) Capabilities and Synergies.

Let's shelve the client analysis for now. Focus on the market and target analysis.

Okay. I'd like to start with the market. There are 2 aspects that I want to look at as a part of the market analysis. a) I want to do a sizing activity to gauge the second hand furniture market size in India; b) Next, I'd like to look at the growth drivers of this market to understand how the market will grow over the next 4-5 years (typical investment period for a PE firm)

Okay. That's a good start. Go ahead. I have some data points to help you get started. All datapoints are for FY 21. You can assume a 10% CAGR on the top-line.

- Total Furniture Userbase in India ~ 450 M
- Total Annual Furniture Shipments ~ 250 M
- Average Furniture Replacement Cycle ~ 3 Years
- % of Furniture Exchanged Commercially ~ 30 (Buy Back/Exchange/Re-sale)
- % of Second-hand Furniture Exchanged in P2P Mode ~ 90

Okay, thank you. Let me take a minute to understand the data.

Sure, take some time and let me know how you would go about it.

Since we are looking at how many second hand furniture pieces are exchanged (bought/sold), I'd like to look at the number of furniture pieces shipped on an annual basis. From this total number, I would look at the number of new and second hand furniture pieces that are shipped. Finally, I would like to look at the number of second hand furniture pieces exchanged through organized C2B platforms (such as the Target and its competitors).

- Total Furniture Userbase = 450 M
- Average Furniture Replacement Cycle = 3 Years
- Number of New Furniture Sold/Shipped Annually =  $450/3 = 150M$
- Number of Second-hand Furniture Transactions =  $250 - 150 = 100M$
- Number of Second-hand Furniture Shipped Commercially =  $0.3 \times 100 = 30M$
- Number of P2P Second-hand Furniture Shipments =  $0.9 \times 30 = 27M$
- Organized Exchange of Second-hand Furniture =  $30 - 27 = 3M$  (FY '21)

So the current market size for organized second hand furniture market is about 3M units annually. Do you want me to project these numbers for a 5 year period assuming 10% CAGR on the top line?

Good! The market size estimation is indeed accurate. Well done. No, we can leave the projections be for now. Let's move ahead. What do you think would be the growth drivers for this market? Would you expect the market to grow or shrink?

Major macroeconomic factors indicate that real estate and home furnishing businesses in India will continue to be on the rise over the years to come. Growing GDP, higher per capita income, the growing demand for smart homes, IoT enabled furnishings, and rural adoption of basic furniture point towards a strong growth potential. New business models such as organized P2P renting, refurbishing, and customization will drive business in the Target's niche. As customers also realize the monetary potential of used furniture, the market is likely to boom and prospects look good over the next 5 years.





# Merger & Acquisition Case 2: Buy-side DD

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Intermediate  |

Alright. That's a fair justification. Let's move on to the analysis of the Target. What are your considerations?

In looking at the Target, I would first want to understand the core business proposition – what is it that the business does? Does it operate in a niche market or is it a general proposition? If need be I would also look at ripier international markets to understand how they have evolved, how the players have consolidated themselves and get a sense of where the Indian market may be headed.

That sounds good. So, the target primarily has capabilities in furniture repair and refurbishment and they sell primarily to businesses (OMs and Retailers). They source used furniture sets from users, undertake refurbishment activities and further sell these units. In terms of volume, the Target is the 3<sup>rd</sup> largest player in the market and handles about 23% of all second hand furniture exchanged.

I want to start with a competitive benchmarking exercise, to understand and map competitor and Target capabilities and USPs. This would help identify approximately what portion of the growth pie the Target can internalize. Creating this market map would also help identify market niches and extend the Target's business portfolio.

A thorough competitive benchmarking is indeed the next logical step that we'd adopt. Good! Let's move on. You spoke about wanting to look at international markets. Why would you do that? And if you had to pick one market that's closely related to the Indian marketplace, which would it be? And why?

The Indian market for consumer durable re-commerce is still nascent and studying a mature international market would help us understand how a transformation might occur and serve as a base for identifying the common challenges. From a PE perspective as well, it would help the client understand what they can expect over their investment period and how they can plan for suitable exit options.

In terms of market relevance, I would say China is closely related to the Indian market. The market size, structure, buying patterns, and consumer mindsets of the two countries are largely similar. Further, India's start-up revolution has been largely inspired by the Chinese market and that is good reason to believe that any transformation in India is likely to be inspired by the Chinese market.

Makes sense. Good. To bring this to a logical closure, can you list down the top 4 exit options that you think would be plausible for the client.

Sure. The most likely exit options for the client involve the buy-out of the client's stake by larger entities.

- Client stake buy-out by a larger global PE firm
- Client stake buy-out through the Target's acquisition by an Indian ecommerce giant or a large furniture manufacturer/assembler
- Client stake buy-out through the Target's acquisition by a larger global firm in the furniture re-commerce space
- Client stake buy-out through an IPO for the Target

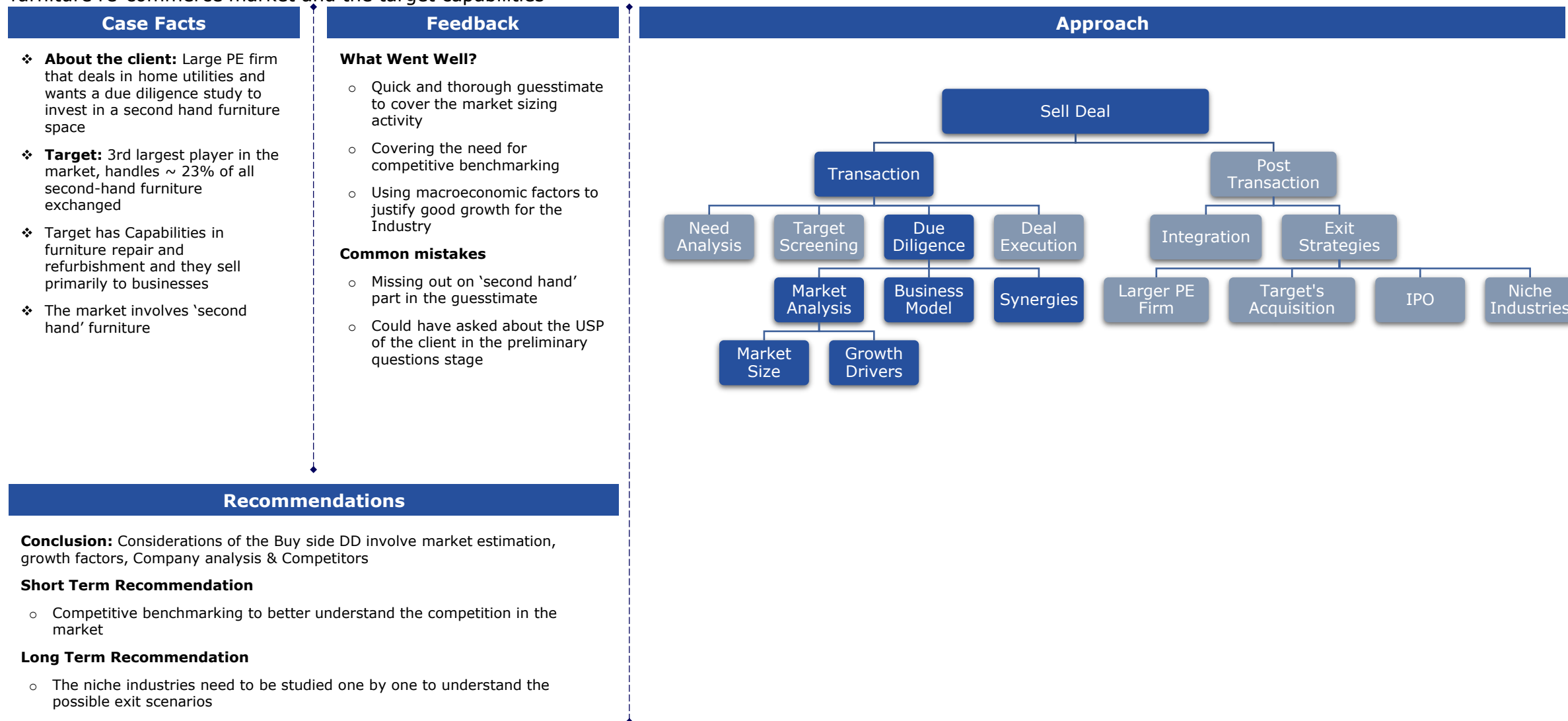
Additionally, it's also possible that strategic partnerships are formed with niche industries such as IoT, Home Automation, Insurance and Technology Services. The exit in these situations would have to be looked at on a case by case basis.

Alright. That's a very good analysis. We can stop at this point. Well done. Thank you.



# Mergers & Acquisitions 2: Summary

**Prompt:** Your Client is a large PE firm, based out of India. It focuses on firms in the home utility and consumer durables' space. The client has identified a company (referred to as the Target) in the second-hand furniture space (C2B and B2B), that it wants to invest in. They want us to conduct a due diligence study of the furniture re-commerce market and the target capabilities





# Merger & Acquisition Case 3: Sell-Side DD

|          |              |
|----------|--------------|
| Industry | IT           |
| Level    | Intermediate |

**Prompt:** Your Client is a large IT firm, based out of India. It is a global leader in the IT Services industry. The client has identified a particular arm of the business in a specific geographic location they want to sell. They want us to conduct a due diligence study. How would you approach this and what would your considerations be?

I would like to start by clarifying the objective- the client is a market leader in the IT services industry with a global presence. They are currently looking at selling off a strategic business unit in a specific geographical location and would want our end of the due diligence.

Yes, that's right. No, recommendations are not needed. I only need you to tell me about the due diligence activity.

Sure, understood. I'd like to breakdown the analysis into 3 sections – Internal Analysis, Sell Options, Deal Execution and Implementation.

Let's start by understanding the client.

Sure. I'd like to start with the internal analysis. I would like to understand what is the issue that is causing the client to sell of a business unit – is it based on external or internal factors?

So the client is looking to sell of their South American business unit. While the unit had been extremely profitable, recent government regulations have made outsourcing of contracts extremely difficult leading to new business deals drying up. Local employment policies have also prevented the company from having foreign staff working dominating on shore offices.

So I understand the major concerns are operational concerns in staffing and the lack of new business due to new regulations. Can I understand the client's assets and capabilities in the region?

The client owns multiple offices in countries like Brazil, Chile, Argentina. The client employs about 20,000 employees and owns equipment to provide infrastructure in serving various IT related business deals which can be utilised very easily in any kind of takeover.

Now that I have a clear idea of the client's reasoning behind selling and its capabilities I would like to understand the sell options the client has.

The client has multiple firms bidding on various percentages of majority stake ownership and the client needs to decide the best of option to sell.

Considering that the units have been profitable before the new regulations, the client should look at the market economics and growth potential to understand what percentage of minority ownership they would like to retain.

Outside ownership stake the client needs to consider the capabilities and assets it owned and what would provide best deal value.

We should further look to analyze the technology structure of our bidders to understand where we could have the easiest handover and reduce transfer cost.

After deciding on selling a majority stake while still holding 49% of the unit what would be the next step towards completing the sell off?

We would next come to our deal execution and implementation considerations.

We need to bucket our business critical applications(ERP, CRM, Client Databases) and non critical applications(internal accounting systems) separately to decide what needs to kept and what will be transferred.

We then need to consider the needs of the acquirer and what they require in maximizing their business benefit. Finally the staffing and organisation restructuring needs to be implemented. Emphasis needs to be on ensuring transparency for all stakeholders.

Thank you I think we can close our discussion.



# Mergers & Acquisitions 3: Summary

**Prompt:** Your Client is a large IT firm, based out of India. It is a global leader in the IT Services industry. The client has identified a particular arm of the business in a specific geographic location they want to sell. They want us to conduct a due diligence study. How would you approach this and what would your considerations be?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Approach                                                                                                                                                                                                                                                                                                                                                                                     |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>About the client:</b> Client is a market leader in the IT services industry with a global presence</li><li>❖ <b>Geography:</b> South America</li><li>❖ <b>Problem:</b> Recent govt. regulations have made winning deals and staffing offices extremely difficult</li><li>❖ <b>Current Hand:</b> Multiple bids offered with varying stake sell options. Client chooses to retain 49% in the deal</li></ul>                               | <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>○ Interviewee understood that reasons to sell needs to be understood</li><li>○ Understanding the assets &amp; capabilities of the company in the affected geography</li></ul> <p><b>Common mistakes</b></p> <ul style="list-style-type: none"><li>○ Could have asked more preliminary questions to understand the case better</li><li>○ Interviewee could have divided the case first into Pre-sell &amp; Post sell</li></ul> | <pre>graph TD; SD[Sell Deal] --&gt; T[Transaction]; SD --&gt; PT[Post Transaction]; T --&gt; NA[Need Analysis]; T --&gt; SO[Sell Options]; T --&gt; DE[Deal Execution]; PT --&gt; I[Implementation]; NA --&gt; Internal; NA --&gt; External; Internal --&gt; GR[Government regulations]; External --&gt; LP[Local Policies]; SO --&gt; ME[Market Economics]; SO --&gt; DV[Deal Value];</pre> |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                              |
| <p><b>Conclusion:</b> Considerations of the sell side DD should include reasons, assets and information on the buyer</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Streamline integration and handover to optimize continuation of current commitments</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Ensure maximum transparency for shareholders and consider requirements of acquirer</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                              |



# Merger & Acquisition Case 4: Alliance formation

|          |              |
|----------|--------------|
| Industry | IT           |
| Level    | Intermediate |

**Prompt:** Our client, GlobexCRM, is a CRM SaaS provider operating in more than 50 countries. They're considering an alliance with ProcureTech, a Procurement SaaS provider. GlobexCRM has a strong presence in North America but is looking to expand its influence in the Asian and European markets.

To start, I would like to know more about the alliance. What is the objective for the alliance with ProcureTech?

Their annual revenue growth for GlobexCRM in these regions is around 8%, but they aim to double that. They believe an alliance with ProcureTech could be the key. ProcureTech's annual revenue is \$200 million, with a solid customer base but limited growth capacity.

Thank you. Starting with the deal rationale, forming an alliance seems to be a strategic move for GlobexCRM to leverage ProcureTech's existing market penetration in Asia and Europe. With an 8% growth rate, an alliance could accelerate GlobexCRM's expansion and potentially increase market share, aiming for that 16% growth target.

Indeed. They've also seen a synergy potential of up to \$30 million in cross-sales and cost savings. How should they structure this alliance?

With that level of synergy, a joint venture could be the most beneficial structure. This would allow both companies to share resources and risks equitably. Let's say they aim for a 50-50 investment in the venture, which would mean a significant commitment from both sides but also shared governance.

Good. Also, They've had a stable 5% EBITDA margin for the past three years. How does that factor into the decision?

A 5% EBITDA margin is modest. It suggests ProcureTech has been managing its earnings prudently, albeit without much aggressive investment for growth. GlobexCRM could offer the necessary capital influx to innovate and scale ProcureTech's operations. Given ProcureTech's \$200 million revenue, the alliance could use this stable financial base to fund growth initiatives. Can you guide me more about the market conditions?

The European market is highly regulated, and the Asian market is extremely competitive, with local players dominating.

So, These conditions imply that the alliance needs to be strategic about entry points. In Europe, compliance with regulations like GDPR will be crucial, and in Asia, a localization strategy to compete with domestic players is necessary. A go-to-market strategy could involve leveraging ProcureTech's existing relationships and adapting their solutions to meet local needs.

And do you think there are any risks associated with the integration?

Integration risks are a significant concern, especially when it comes to aligning different company cultures and systems. GlobexCRM should perform a thorough cultural assessment and systems compatibility check. A risk mitigation strategy might include setting up cross-company integration teams and investing in change management programs.

Excellent analysis. Anything else you want to add to the analysis?

Yes, Due diligence should be comprehensive, covering financial audits, customer satisfaction analysis, and a detailed technology assessment. Given the synergy potential, a valuation exercise to quantify the economic impact of the alliance would be prudent. This would involve not just financial metrics but also strategic fit and potential market gains.

Thank you I think we can close our discussion.



# Mergers & Acquisitions 4: Summary

**Prompt:** Our client, GlobexCRM, is a CRM SaaS provider operating in more than 50 countries. They're considering an alliance with ProcureTech, a Procurement SaaS provider. GlobexCRM has a strong presence in North America but is looking to expand its influence in the Asian and European markets.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Approach                                                                                                                                                                                                                                                                                                                                                                                     |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>About the client:</b> Market leader in the CRM SaaS industry with a global presence. Strong presence in North America.</li><li>❖ <b>Geography:</b> Focus on Asian and European markets.</li><li>❖ <b>Problem:</b> Seeking to double the 8% annual revenue growth in these regions. Alliance with ProcureTech for market penetration.</li><li>❖ <b>Current Hand:</b> ProcureTech's annual revenue: \$200 million. Synergy potential: Up to \$30 million in cross-sales and cost savings. Aim for 16% growth rate through the alliance.</li></ul>                             | <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>○ Understood the strategic rationale behind the alliance.</li><li>○ Identified potential synergies and cost savings.</li><li>○ Recognized the importance of aligning company cultures and systems.</li></ul> <p><b>Common mistakes</b></p> <ul style="list-style-type: none"><li>○ Could have explored more about ProcureTech's financials and market conditions.</li><li>○ Missed discussing the detailed due diligence process.</li></ul> | <pre>graph TD; SD[Sell Deal] --&gt; T[Transaction]; SD --&gt; PT[Post Transaction]; T --&gt; NA[Need Analysis]; T --&gt; SO[Sell Options]; T --&gt; DE[Deal Execution]; PT --&gt; I[Implementation]; NA --&gt; Internal; NA --&gt; External; External --&gt; GR[Government regulations]; External --&gt; LP[Local Policies]; SO --&gt; ME[Market Economics]; SO --&gt; DV[Deal Value];</pre> |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                              |
| <p><b>Conclusion:</b> The alliance with ProcureTech should include thorough due diligence, financial audits, customer satisfaction analysis, and a detailed technology assessment.</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Establish a joint venture with a 50-50 investment.</li><li>○ Focus on aligning company cultures and systems.</li><li>○ Implement a risk mitigation strategy.</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Leverage ProcureTech's market presence and adapt solutions to meet local needs.</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                              |



# Mergers & Acquisitions Case 5: Purchasing Airlines

|          |              |
|----------|--------------|
| Industry | Aerospace    |
| Level    | Intermediate |

**Prompt:** Your client is a private equity (PE) firm is planning to acquire a medium-cost airline in India. As a consultant, you need to evaluate the opportunity, acquisition process, and post-acquisition strategy.

Okay, let me clarify the situation first. When you say "medium-cost airline," do you mean something between a low-cost carrier and a full-service airline, in terms of pricing and service offerings? And is there any specific goal the PE firm has-like turning it around, scaling it, or preparing it for an exit?

Good questions. Yes, a medium-cost airline sits between budget carriers and premium airlines-think decent service but not luxury, at a moderate price point. As for the PE firm's goal, they're primarily looking to acquire it, improve its profitability, and position it for a strong exit in 5-7 years. No other specifics for now.

Got it. I'd approach this in a structured way. First, I'd want to evaluate the opportunity-why this airline, why now? That means looking at the Indian aviation market, the target airline's current performance, and the PE firm's capabilities. Then, I'd think through the acquisition process itself: due diligence, valuation, and negotiation. Finally, I'd outline a post-acquisition plan to boost profitability and set up the exit. Does that sound like a reasonable framework?

It's a solid start. Let's focus on the first part-evaluating the opportunity. What would you look at in the Indian aviation market?

I'd break it down into a few key areas. First, market size and growth: India's aviation sector has been expanding with rising incomes and a growing middle class, so I'd look at passenger traffic trends and forecasts. Second, competition: I'd analyze major players-low-cost carriers like IndiGo, full-service airlines like Air India, and other medium-cost players-to understand where this airline fits. Third, regulatory environment: aviation in India has rules around foreign investment, fuel pricing, and route allocation, so I'd check how those impact a PE-owned airline. Finally, external factors like fuel costs, infrastructure constraints at airports, and economic conditions. Does that cover the key market dynamics?

It does, nice breakdown. Now, what about the target airline itself? How would you assess it?

For the airline, I'd look at both financials and operations. Financially, I'd check revenue streams-ticket sales, ancillary fees like baggage-and their cost structure, especially fuel, labor, and maintenance. I'd also look at profitability metrics like EBITDA and cash flow to see if it's bleeding money or has potential. Operationally, I'd examine their fleet size, age, and ownership-owned vs. leased planes-plus their route network. Are they flying profitable routes? What's their load factor, or how full are their planes? Oh, and customer perception-brand strength and loyalty could matter for a medium-cost player. Anything else you'd add?

That's comprehensive. Maybe one thing-how would you think about synergies with the PE firm's existing portfolio, if any?

Good point. If the PE firm has investments in travel, logistics, or even hospitality, there could be synergies-like cross-promoting with a hotel chain or optimizing supply chains. I'd ask if they have relevant holdings and factor that into the value proposition. If not, it's more about standalone value creation.

Solid. Now, how would you approach valuation?

I'd use a mix of methods. First, a discounted cash flow analysis, projecting future cash flows based on improved profitability-say, from better load factors or cost cuts-discounted back at a rate reflecting India's market risk. Second, I'd look at comparables: what are similar airlines in India or Asia trading for, using multiples like EV/EBITDA or P/E? Third, precedent transactions-recent airline deals in emerging markets could set a benchmark. The PE firm wants a deal that leaves room for upside, so I'd aim for a price that reflects current underperformance but not overpaying for potential.

Makes sense. Finally, post-acquisition-how do they improve profitability?





# Mergers & Acquisitions Case 5: Purchasing Airlines

|          |           |
|----------|-----------|
| Industry | Aerospace |
| Level    | Moderate  |

I'd focus on a few levers. Revenue-side, optimize pricing-dynamic fares to fill seats without going too low-and boost ancillary income, like meals or seat selection, which medium-cost airlines can lean into. Cost-side, renegotiate fuel contracts, streamline operations with better scheduling, and maybe right-size the fleet-sell old planes, lease newer ones. I'd also invest in digital marketing to build the brand and loyalty, targeting India's growing urban travellers. The goal is higher margins and a leaner operation for that exit in 5-7 years.

Good. Any risks they should watch out for?

Definitely. Fuel price volatility could hit hard - hedging might help. Competition's fierce; if IndiGo cuts fares, margins shrink. Regulatory changes, like stricter emissions rules, could raise costs. And execution risk-if the turnaround falters, the exit value tanks. They'd need a tight plan and strong management to pull it off.

Well thought out. That wraps it up-nice work.



# Mergers & Acquisitions Case 5: Summary

**Prompt:** Your client is a private equity (PE) firm is planning to acquire a medium-cost airline in India. As a consultant, you need to evaluate the opportunity, acquisition process, and post-acquisition strategy.

## Case Facts

- ❖ **Problem Area:**  
Acquisition and turnaround strategy of a medium-cost airline (midway between low-cost and full-service carriers).
- ❖ **Reason for M&A:**  
India's fast-growing aviation market driven by rising incomes, urbanization, and travel demand.
- ❖ **Target Objective:**  
Acquire an underperforming airline, improve operational and financial metrics, and exit at a premium valuation in 5–7 years.
- ❖ **Scope of Work:**
  - Market Evaluation
  - Airline Performance Analysis
  - Valuation
  - Profitability Improvement
  - Risk Assessment

## Feedback

- ❖ **What Went Well?**
  - Broke down the case into market analysis, financial evaluation, acquisition, and post-deal strategy.
  - Considered fleet dynamics, load factors, ancillary revenue, and customer loyalty for profitability.
  - Used DCF, comparable, and precedent transactions thoughtfully.
- ❖ **Could be better**
  - Could explore deeper links to other PE portfolio companies for added value.
  - More detailed exit plans (IPO, strategic sale, etc.) would add depth.

## Recommendations

- ❖ **Conclusion:** India offers a strong opportunity for investment in a mid-market airline. The airline must be carefully selected based on growth potential, operational scalability, and brand strength.
- ❖ **Short-Term Recommendations:**
  - Conduct detailed due diligence and financial modelling.
  - Secure experienced operational leadership post-acquisition.
- ❖ **Long-Term Recommendations:**
  - Implement operational and financial improvements.
  - Explore IPO or strategic sale as exit strategies in 5–7 years.

## Approach





# Merger & Acquisition Case 6: Jewelry acquisition

|          |              |
|----------|--------------|
| Industry | Jewelry      |
| Level    | Intermediate |

**Prompt:** Your client, Aabhushan, a well-known Indian jewellery brand specializing in traditional Indian jewellery. They have recently acquired another established jewellery brand and are now seeking advice on post-deal services, specifically on identifying and realizing possible synergies.

To start, I would like to know more about the revenue of both the brands in their respective markets.

Aabhushan's annual revenue is \$50 million, and the acquired brand has a revenue of \$20 million. Both brands have a strong presence in their respective markets.

Thank you for the context. Do we have any information about their operational characteristics?

Aabhushan has a strong online presence, while the acquired brand has an extensive network of brick-and-mortar stores, especially in Tier-2 and Tier-3 cities.

By leveraging Aabhushan's e-commerce model, we could potentially increase the acquired brand's sales in the next fiscal year.

That's a good start. With the acquisition, Aabhushan also inherits a skilled artisan base from the acquired brand, known for their craftsmanship in diamond jewellery which Aabhushan lacked. How can we capitalize on this?

This presents a fantastic opportunity for product expansion. Aabhushan can introduce a new line of diamond jewellery, combining their design expertise with the newly acquired craftsmanship skills. We could see a decent increase in their high-margin product sales.

The acquired brand has a different operating model, focusing on wholesale, while Aabhushan is largely retail-oriented.

This calls for a hybrid operating model. Aabhushan could adopt a 'best of both worlds' approach, utilizing the acquired brand's wholesale network to distribute Aabhushan's products, thereby expanding reach and improving inventory turnover. I'd estimate some cost synergy from supply chain optimization.

There's also the issue of brand positioning. Aabhushan is positioned as a premium brand, whereas the acquired brand has a value-for-money proposition. How should they approach this?

Brand differentiation is crucial. Aabhushan should maintain the acquired brand's identity to cater to a broader market segment. They can position the new product lines as "Aabhushan's Exclusive Collection" under the acquired brand, aiming to attract price-sensitive customers to higher-value offerings.

Okay do you want to add anything further?

Yes, we should also look at the cultural integration. Given the heritage and values associated with traditional Indian jewellery, preserving the cultural ethos of both brands will be essential. A unified corporate culture that respects the legacy and craftsmanship of both entities will be key to a smooth transition.

Considering potential risks, what would you say are the major ones to address?

The primary risk is the cannibalization of sales. Careful market segmentation and targeted marketing strategies will be needed to prevent this. Additionally, there's the challenge of integrating two distinct company cultures and customer bases without diluting brand equity.

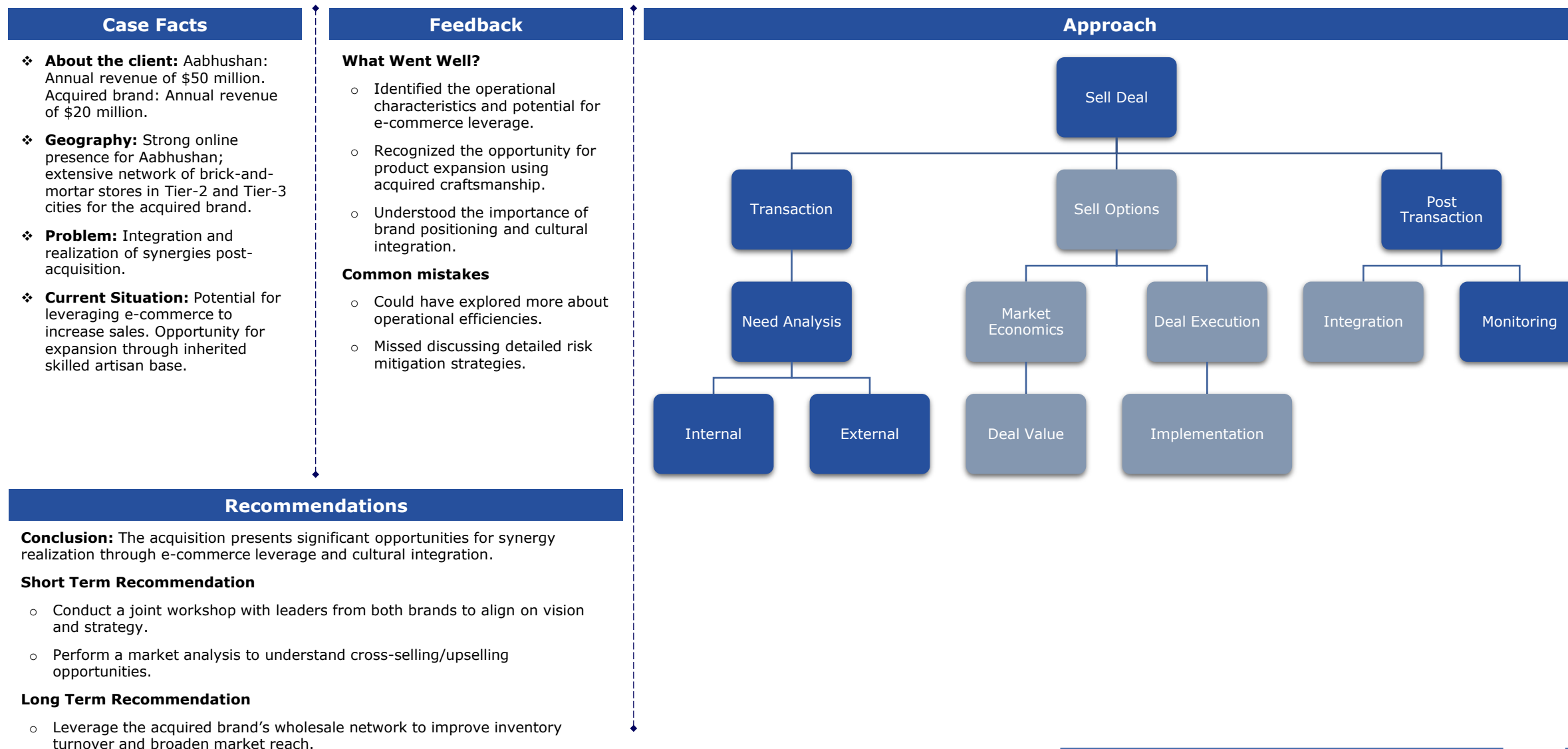
Finally, what would be your recommendation for the first steps post-deal?

The first step should be a joint workshop with leaders from both brands to align on vision and strategy. Then, we should conduct a market analysis to understand cross-selling and upselling opportunities. Lastly, a task force dedicated to integration should be established to oversee the synergy realization process.



# Mergers & Acquisitions 6: Summary

**Prompt:** Your client, Aabhushan, a well-known Indian jewelry brand specializing in traditional Indian jewellery, has recently acquired another established jewellery brand and is now seeking advice on post-deal services, specifically on identifying and realizing possible synergies.





# Merger & Acquisition Case 7: Zomato & Insider

|          |              |
|----------|--------------|
| Industry | Foodtech     |
| Level    | Intermediate |

**Prompt:** Zomato, a leading food-tech platform in India, has recently acquired Paytm Insider, a major player in the event ticketing space. The leadership is seeking a strategic plan to maximize synergies, optimize revenue potential, and ensure a smooth integration of operations. As a consultant, how would you evaluate this acquisition and provide a roadmap for its successful execution?

To start, I'd like to get a better understanding of the financial standing of both companies. Could you share their current revenue figures and key metrics?

Sure. Zomato generates about \$1.2 billion in annual revenue, with a strong presence in food delivery and dining-out services. In contrast, Paytm Insider earns roughly \$80 million per year. The idea behind this acquisition is for Zomato to diversify into the entertainment space, which is a high-growth segment.

That's useful context. How about the user bases-how do the two platforms compare in terms of their reach?

Paytm Insider has a total of 25 million users, and out of those, around 12 million are active buyers who frequently book events and movie tickets. Zomato, on the other hand, has over 80 million monthly active users, predominantly urban millennials. This significant overlap in demographics suggests strong potential for cross-selling.

I agree, that overlap is a great opportunity. Next, I'd like to understand the cost structures. Can you explain the margins and main cost drivers for each business?

Zomato operates on a contribution margin of about 7% in its food delivery and restaurant services. Paytm Insider uses a commission-based model, earning an average margin of 10% per ticket sold. For Zomato, major costs come from logistics and delivery, while for Paytm Insider, the focus is more on marketing and platform development expenses.

Understood. Let's evaluate the revenue potential with some illustrative numbers. If we assume that integrating the ticketing feature into the Zomato app leads to a 30% increase in transactions for Paytm Insider, then instead of generating \$80 million annually, the revenue could jump by 30%. Doing the math, 30% of \$80 million is \$24 million, which would bring the new total to around \$104 million in the first year.

And if we add in an extra \$10 million from increased sponsorships and brand partnerships owing to Zomato's advertising network, that would make the impact even more significant.

That's a solid analysis. What synergy opportunities do you see arising from this acquisition?

There are several areas where synergies could be created. First, by integrating Paytm Insider's ticketing system into the Zomato app, we can allow users to book events seamlessly while they are ordering food or planning a night out. This not only makes the experience more convenient but also drives additional traffic to the ticketing platform. Additionally, Zomato has a wealth of customer data that can be used to offer personalized event recommendations based on dining habits and past behavior. For example, a user who often orders dinner out on weekends might receive suggestions for live music or theater events in their area.

That makes sense. What are the main risks that we need to be cautious about with this integration?

There are a few key risks. First, there's the challenge of user adoption-Zomato's current users might not immediately engage with the new ticketing feature, so strong marketing efforts will be necessary to drive usage. Then, there's competition; for instance, BookMyShow is a well-established player in the event ticketing market, so Zomato will need to create clear differentiation in its offering. We also have to consider regulatory and licensing challenges that are unique to the event ticketing industry. Lastly, integrating two distinct brands without diluting either's identity is a critical concern.

Given these risks, what would be your recommended steps for successful post-merger integration?



# Merger & Acquisition Case 7: Zomato & Insider

|          |              |
|----------|--------------|
| Industry | Foodtech     |
| Level    | Intermediate |



I'd suggest a phased integration approach. In the short term, Zomato should start by gradually introducing the ticketing feature within its app. This can be done through pilot launches and targeted digital campaigns that highlight the convenience of booking events directly through the app. Over time, as users become more comfortable with the feature, Zomato should leverage its data analytics to offer hyper-personalized recommendations that encourage more transactions. Additionally, securing exclusive event partnerships will help differentiate the service and build a competitive edge. Throughout this process, close monitoring of key performance indicators-like user engagement rates and cross-platform transaction volumes-will be crucial to ensuring the integration delivers the expected revenue boost.

That's a comprehensive plan. Thank you, we can close this case now.

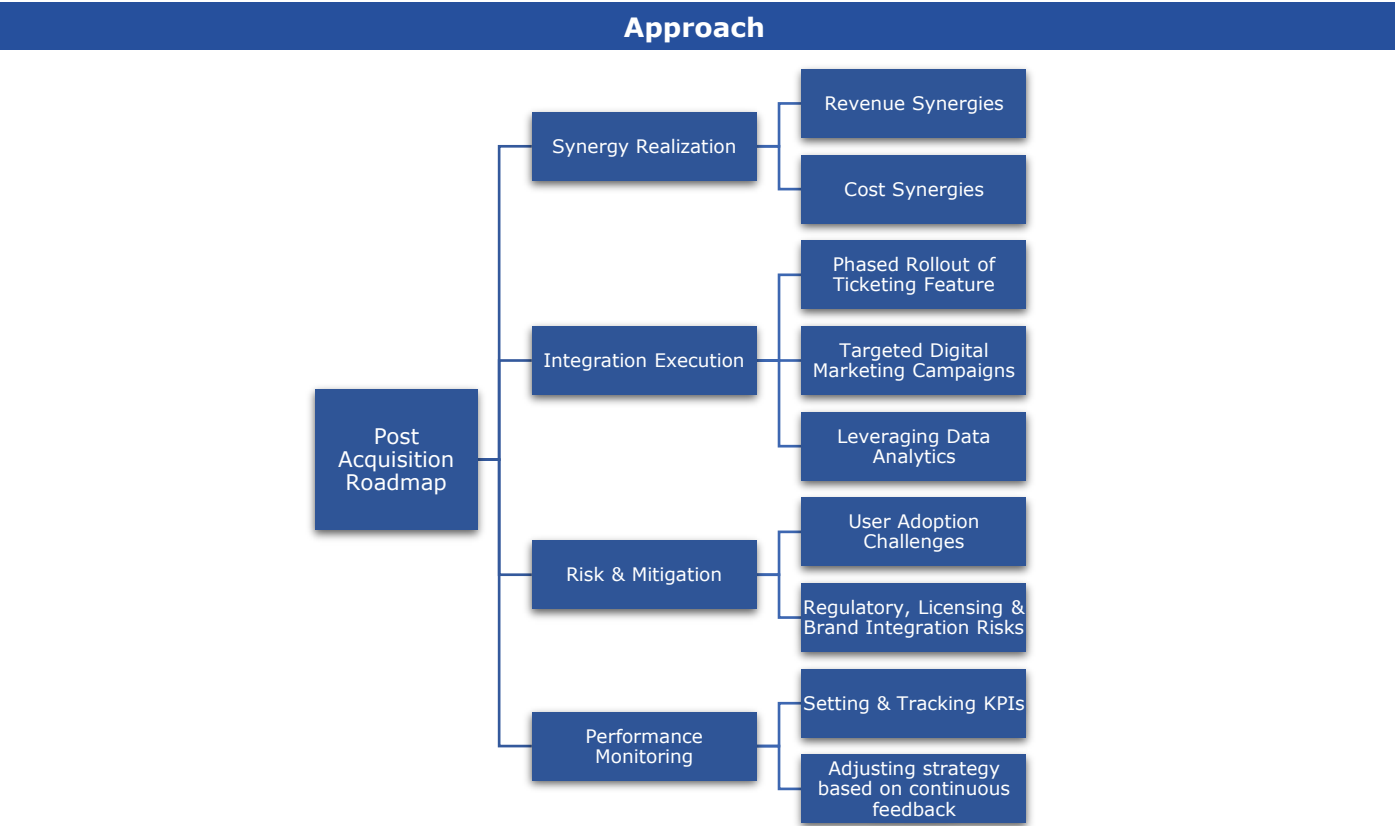


# Merger & Acquisition Case 7: Summary

**Prompt:** Zomato, a leading food-tech platform, has acquired Paytm Insider (an event ticketing player). The leadership needs a roadmap to maximize synergies, optimize revenue, and integrate operations smoothly.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>About Client</b><br/>Zomato earns ~\$1.2B annually, serving 80M+ monthly active users (urban millennials) in food delivery and dining, operating at a 7% margin.</li><li>❖ <b>Acquisition Target</b><br/>Paytm Insider generates ~\$80M in annual revenue with 25M users (12M active buyers) in event ticketing via a commission-based model (10% margin).</li><li>❖ <b>Goal</b><br/>The goal is to diversify revenue and unlock synergies. Key challenges include user adoption, competition (e.g., BookMyShow), and regulatory issues.</li><li>❖ <b>Current Situation</b><br/>A significant user overlap creates cross-selling opportunities. A phased integration is recommended.</li></ul> | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ The candidate effectively elicited and clarified financial data and user metrics, setting a solid base for analysis.</li><li>○ The integration of calculations into the conversation was clear, with a well-articulated revenue uplift scenario.</li><li>○ Synergy opportunities were thoughtfully identified, emphasizing both cross-selling and operational benefits.</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>○ The discussion could have included a deeper dive into integration execution, particularly regarding cultural alignment and detailed risk mitigation strategies.</li></ul></li></ul> |

| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> The acquisition creates significant cross-selling and operational synergy opportunities. Its success hinges on managing user adoption and competitive risks.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Initiate phased integration with a pilot launch of the ticketing feature and targeted marketing campaigns to drive early adoption.</li></ul></li><li>❖ <b>Long-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Leverage data analytics for personalized recommendations, secure exclusive event partnerships, and continuously refine the integration based on performance metrics.</li></ul></li></ul> |



| Description for Paytm Insider         | Calculation           | Result        |
|---------------------------------------|-----------------------|---------------|
| Base Annual Revenue                   | -                     | \$80M         |
| Uplift from 30% transaction increase  | 0.30 x \$80M          | \$24M         |
| New Revenue (post integration)        | \$80M + \$24M         | \$104M        |
| Additional Sponsorship Revenue        | -                     | \$10M         |
| <b>Total Projected Annual Revenue</b> | <b>\$104M + \$10M</b> | <b>\$114M</b> |

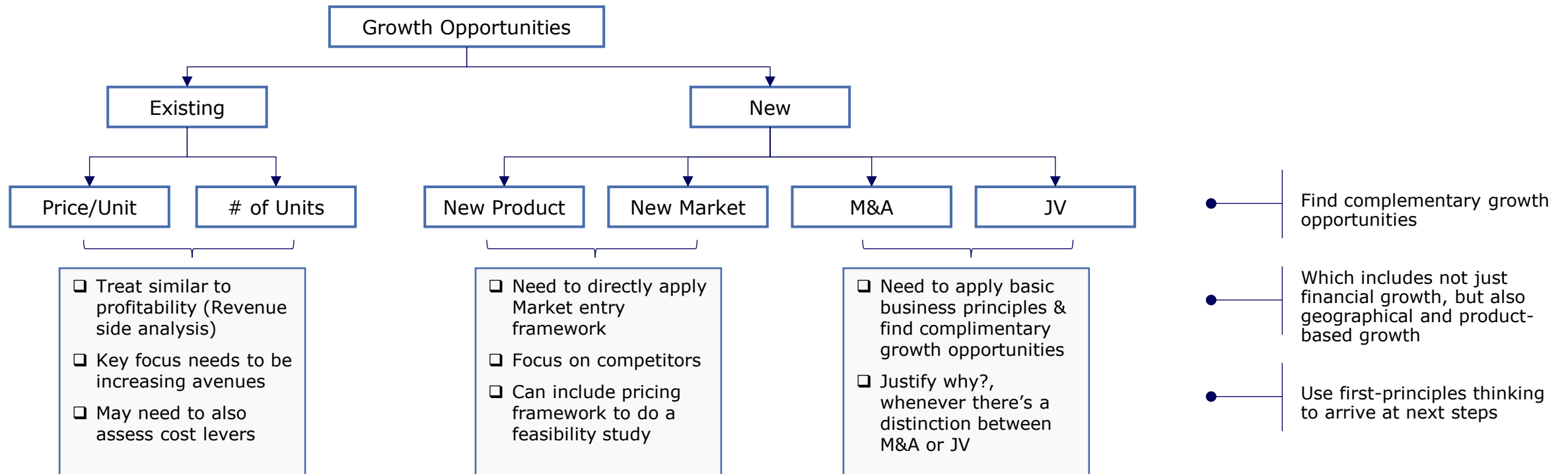




# Growth Framework

## Framework

Cases based on opportunities to grow business – which includes not just financial growth but also includes, geographical & product wise growth



## High Level Analysis

- ❑ Reiterate the problem to have a clear understanding of the case
- ❑ Feasibility & Risk are two important aspects of the framework, make sure to address these during final recommendations
- ❑ Growth is a more intuitive case, be flexible in your approach for these types of cases



# Growth Case 1: International School

|          |              |
|----------|--------------|
| Industry | Education    |
| Level    | Intermediate |

**Prompt:** Your Client is an International School which is operating in India. Client wishes to grow their business. How can you help them achieve their goal?

I would like to start by understanding the current scope of business of the client. How many schools does the client operate?

In India, the client runs 4 schools. 2 each in Delhi & Gurgaon.

Okay. What is the level of education that is imparted in the school?

The schools are senior secondary. They cater to classes 1 to 12.

What is the fee structure of the school? How does that compare to the competitors in this space?

Since the client runs an International School, the fee is towards the higher side. They cater specifically to upper-middle class & upper class people.

Alright. Since the client operates an International School, I would like to break the problem down into existing opportunities & newer opportunities. Should I start with the existing opportunities first?

Sure, Go ahead.

First, I'll segment existing business into the number of students & fee per student. Do we have any data regarding number of students per class and number of sections in a standard?

Take an average of 40 students per section & 5 sections in a standard.

So, based on these numbers there would be  $40 \times 5 = 200$  students per standard. Hence, for the entire school there would be total 2,400 students across all standards from 1 to 12. One way to increase growth of the business would be to increase the intake of students in the school. Does the school have the infrastructure to increase intake? How would the current students or their parents react to increasing the intake?

School has the infrastructure to increase the intake. However, the students & their parents won't take this news positively due to fears of drop in quality. Hence, the client is not looking to increase intake of students.

Okay. The 2<sup>nd</sup> component would be fees of students. Can the client further increase the fee they are charging to students?

Although the schools cater to affluent economic class, the client fears that increasing fees just after COVID would give them bad press. So, increasing fees is off the table for the client.

Okay. So we can then look into new opportunities for the client.

The client can diversify its services offerings. Along with providing regular classes, the client can look forward to launching different programmes or certifications which are taken over the weekend. These new programmes would not only be limited to school students and would also extend to working professionals.

Makes sense. Any other opportunities?

Yes. Client can also look at expanding their business in other cities as well. Since, currently they operate in only the NCR region, they should expand their footprint in other cities and states too.

Okay. So what will be some of the factors you will look at before choosing a city?

Since the client's operates an International school & their target audience is upper-middle & upper class, we should focus on metro cities with high per capita income & a much larger affluent class like Mumbai, Kolkata and Bangalore. Before setting up new schools in these cities, we can look for joint ventures or M&A opportunities which can help the client. Also, the competition in these cities would play a huge role before we finalize a city for expansion.

Great! We can close here



# Growth Case 1: Summary

**Prompt:** Your Client is an International School which is operating in India. Client wishes to increase the growth of their business. How can you help them achieve their goal?

## Case Facts

- ❖ **Current scope of business**  
4 schools – 2 in Delhi & Gurgaon
- ❖ Fee is on the higher side and hence caters to Upper and Upper-Middle class economic group
- ❖ Each class has 5 sections & each section has an average of 40 students
- ❖ Increasing # of students is not possible as it would lead to fears of drop in quality
- ❖ Increasing fees of students is also off the table as it would incite bad press especially after COVID

## Feedback

### What Went Well?

- Comprehensive questions
- Understanding the scope of the business
- Looking at existing and new opportunities

### Common Mistakes

- Not breaking down the opportunities into buckets before delving into each further

## Recommendations

**Conclusion:** Client can increase the growth of their business by looking at new opportunities

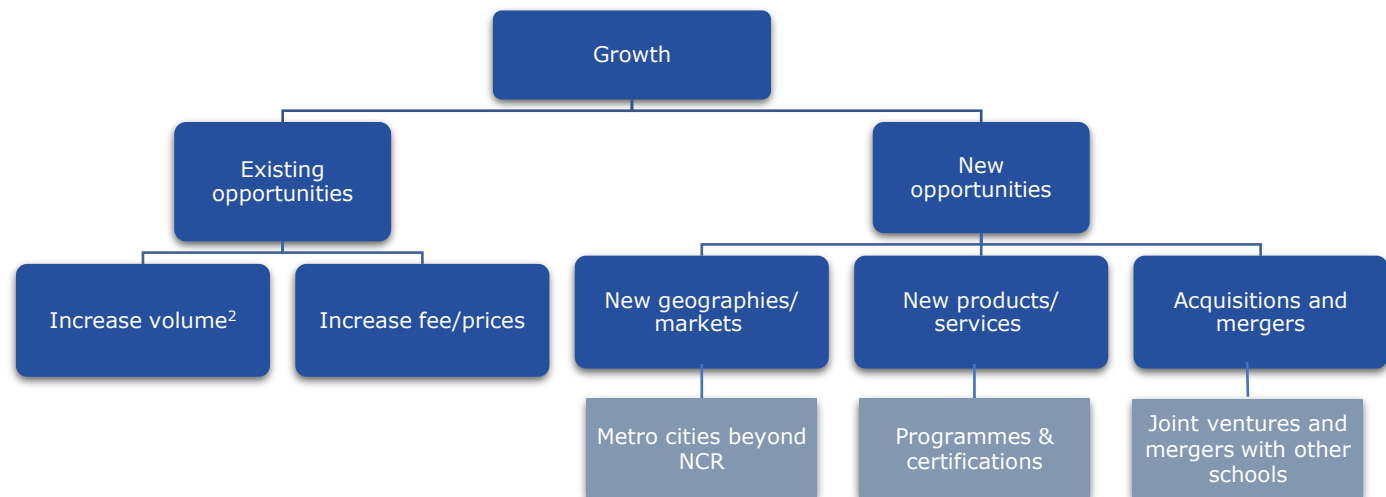
### Short Term Recommendation

- Launch new programs and certifications beyond the regular classes
- Make these available for working professionals as well

### Long Term Recommendation

- Expand in other metro cities beyond NCR and look at JV and M&A opportunities

## Approach





# Growth Case 2: Beverage Company

|          |              |
|----------|--------------|
| Industry | FMCG         |
| Level    | Intermediate |

**Prompt:** Your Client is a leading beverage company and has seen a drop in growth since the last year. You have been onboarded to help the client identify the cause of this decline and reverse the trend

Thanks. I would like to start by understanding if the revenue decline is specific only to the client or across the industry.

This issue is specific only to the client.

Okay. So since the issue is client specific, I start by analyzing the product portfolio of the client. Major products a beverage company sells are soda, water, shakes, syrups, smoothies etc. Could you confirm which products the client sells?

You have covered them all. Let's club these into 3 segments – Soda, Water & Others.

Sure. So, since revenue has been dropping, we can divide revenue into price per unit and volume sold. Does the client have any data regarding the same?

Yes. Note down the following data -

| Category | Litres (MM) |      | Price per lit. (Rs.) |      | Cost per lit. (Rs.) |      |
|----------|-------------|------|----------------------|------|---------------------|------|
|          | 2020        | 2021 | 2020                 | 2021 | 2020                | 2021 |
| Soda     | 100         | 120  | 30                   | 24   | 15                  | 15   |
| Water    | 30          | 33   | 25                   | 25   | 12                  | 12   |
| Others   | 10          | 11   | 50                   | 55   | 30                  | 30   |

Okay. Based on this data, revenue of Soda segment has dropped over the past year from Rs.3,000M to Rs.2,880M registering a loss of Rs.120M. On the other hand both Water and Others segments have increased their revenue from Rs.750M to Rs.825M and from Rs.500M to Rs.605M respectively. So the decline in growth is due to the Soda segment. Does the client have any information about the types of brands in sodas?

Yes. There are 3 brands in the Soda segment with the following data

| Category    | Litres (MM) |      | Revenue (Rs. MM) |       |
|-------------|-------------|------|------------------|-------|
|             | 2020        | 2021 | 2020             | 2021  |
| Brand A     | 50          | 30   | 1,800            | 1,080 |
| Brand B     | 25          | 30   | 650              | 780   |
| Value Brand | 25          | 60   | 550              | 1,020 |

Okay. It is clearly evident that Brand A has suffered a huge loss in volume in the current year. Also, something to note is that volume of value brand has increased to 2.4x but the revenue is still less than 2x. I would like to calculate prices next to identify the cause.

Sure. Go ahead.

So, both Brand A & Brand B have constant prices at Rs.36 & Rs.26 respectively. However, value brand's price has decreased from Rs.22 to Rs.17. So, the combination of decline in volume of A and reduced price of value brands have caused a decline in revenue.

Alright. What do you recommend to reverse this declining growth?

We should focus on the declining volume of brand A. This can be done by studying the market trends & consumer surveys to identify the reason of decline. Then appropriate promotion activities can be taken up like marketing the drink to a different demography. Also, we can explore changing the placement of the product in stores.



# Growth Case 2: Beverage Company

Also, we can adjust the price of value brand to increase the overall revenue. However, for this we need to understand the price elasticity before making the decision as we wouldn't want to alienate the value brand customers due to the price change.

Alright. Anything else?

The recommendations so far relate to the current business. We can also explore new business opportunities to increase the growth of the business. This would involve exploring new products like energy drinks & low sugar drinks which can supplement the current business by targeting the younger health conscious audience. Additionally, we can also explore untapped markets.

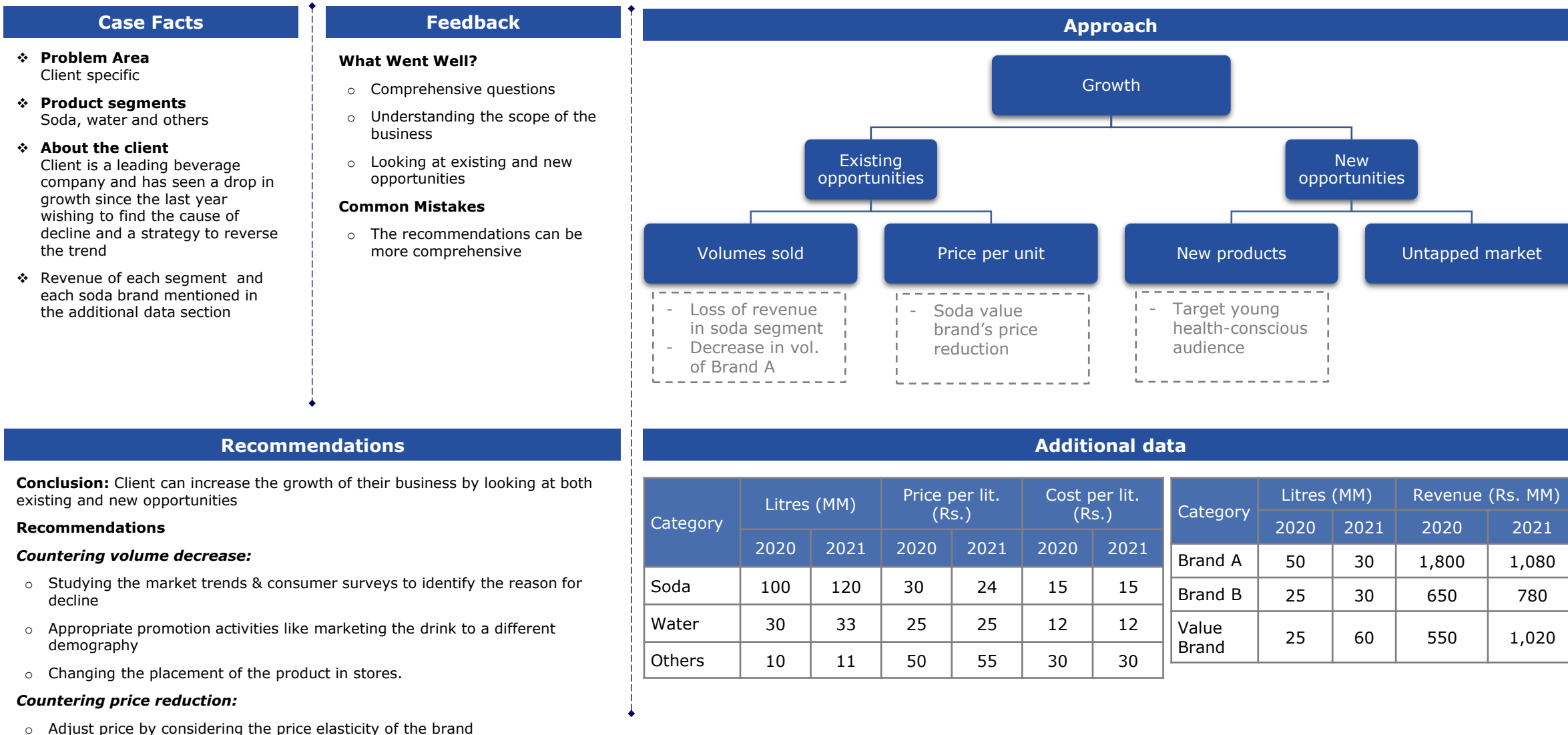
Great. Let's end here.

|          |              |
|----------|--------------|
| Industry | FMCG         |
| Level    | Intermediate |



# Growth Case 2: Summary

**Prompt:** Your Client is a leading beverage company and has seen a drop in growth since the last year. You have been onboarded to help the client identify the cause of this decline and reverse the trend





# Growth Case 3: Healthy Snacks Company

|          |              |
|----------|--------------|
| Industry | F&B          |
| Level    | Intermediate |

**Prompt:** Your client is a healthy snacks company that has been profitable over the past few years with a profitability of 7% and an industry growth rate of 10%. Now they want to increase profits and overall revenue in the next 5 years. How should they go about it?

Before I delve into solving the case, I'd like to ask some preliminary questions to understand the business better. What is the current product portfolio and target customer segment?

The company offers 4 SKUs and targets all age groups.

What distribution channels does the company use (B2B, B2C, retail, e-commerce)?

The company has a combination of retail stores and an e-commerce presence, catering to both direct consumers and bulk buyers. They operate in both B2C and B2B segments.

What are the key strengths and differentiators of the company?

The company has strong brand recognition, a diverse product portfolio, and a well-established retail and e-commerce presence.

Thanks, I think I have all the information I need. There are two ways to increase profitability: to reduce costs or to increase revenue. Shall I take these up one by one?

Let's just proceed with revenue.

Sure, since the client is targeting revenue growth, there are two ways to proceed i.e. through their existing markets and by entering new markets. Shall I proceed with these?

Sure, let's go ahead with the existing market first.

To multiply the revenue, the client can increase the price per unit or number of units sold. Since healthy snacks are a competitive market, I would recommend going ahead with the number of units sold. This can be done by: bundling the various SKUs, introducing loyalty programs, and creating more SKUs.

Additionally, brand awareness can be increased by spending more on marketing gimmicks such as by introducing sampling near the targeted demand hubs to let people try our product before they make a purchase. Do these sound comprehensive?

Yes, these are good suggestions. Our client is planning to enter the German market and has chosen three companies for acquisition. Following are some data points in terms of individual company output and profitability growth (See Annexure 1). They'd like you to help to evaluate the companies and find the best fit. The current market share of our Company is \$5B.

I'd start the analysis by creating 3 major buckets:

Hard Fit (financial): Cost/deal price and synergies.

Soft Fit (non-financial): Cultural, strategic, and organizational.

Technical: Timeline of realization, operational feasibility, and technicalities

Let's see how you'd use numbers.

To calculate which company to acquire, I'd first calculate the industry output using the 10% growth rate to project the future size of the market, which would turn out to be approximately \$8.05B in the next 5 years ( $\$5B \times 1.10^5$ ).

The projected future revenues for each target company based on individual estimated growth rates are:

- Company A: \$1.01B ( $0.5B \times 1.15^5$ ) which is 12.5% of the Company's revenue
- Company B: \$1.23B ( $0.7B \times 1.12^5$ ) which is 15.3% of the Company's revenue
- Company C: \$1.54B ( $0.8B \times 1.14^5$ ) which is 19.2% of the Company's revenue

Assessing the revenue contributions of each company, I would recommend the acquisition of Company C as it would best help maximize the revenue of the company.



# Growth Case 3: Healthy Snacks Company

|          |          |
|----------|----------|
| Industry | F&B      |
| Level    | Moderate |

At the initial stage, such detailed data is unlikely to be available to help you decide on the acquisition. What are the various sources which will help you to do so?

We can gather the data from broadly these 5 buckets:

- **If the company is publicly listed:** Annual reports, press releases, investor reports.
- **Due diligence tools:** Refinitiv, LexisNexis.
- **On-ground information:** Connecting with people over professional sites like LinkedIn, industry conferences, and webinars.
- **Employee testimonials and reviews:** Glassdoor, Indeed, and informal interviews.
- **Market analysis:** Competitive landscape, market, and industry reports.

Looks comprehensive. We can close the case now.

## Annexure 1

### Individual company output and Profitability growth of companies

| Company   | Output (Billion USD) | Estimated growth % |
|-----------|----------------------|--------------------|
| Company A | 0.5                  | 15%                |
| Company B | 0.7                  | 12%                |
| Company C | 0.8                  | 14%                |



# Growth Case 3: Summary

**Prompt:** Your client is a healthy snacks company that has been profitable over the past few years with a profitability of 7% and an industry growth rate of 10%. Now they want to increase profits and overall revenue in the next 5 years. How should they go about it?

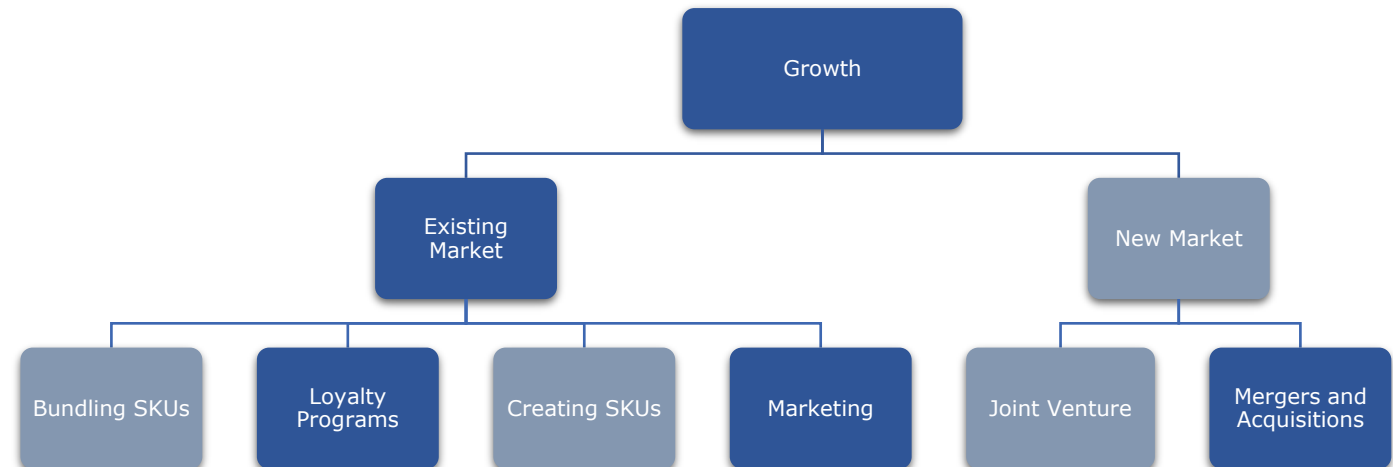
## Case Facts

- ❖ **Problem Area**  
Revenue growth strategy
- ❖ **Product Segments:**  
Four SKUs in all age groups
- ❖ **Reason for Growth:**
  - Increasing Market Demand
  - Product Innovation and Expansion
  - Geographical Expansion
  - Operational Efficiencies
- ❖ **All About Client:**
  - Operates in B2B & B2C via retail stores & e-commerce
  - Strong brand recognition and diverse product portfolio.
  - Exploring new markets and expansion strategies

## Feedback

- ❖ **What Went Well?**
  - Structured approach to identifying growth opportunities.
  - Understanding of existing vs. new market expansion
  - Comprehensive analysis of acquisition strategy
- ❖ **Could be better**
  - Recommendations can be more quantifiable
  - Need a deeper competitive analysis

## Approach



## Recommendations

- ❖ **Conclusion:** The client should focus on both existing and new growth opportunities.
- ❖ **Short-Term Recommendations:**
  - Improving and Optimising product promotions and placements.
  - Conducting market research and surveys for predicting where sales can increase.
- ❖ **Long-Term Recommendations:**
  - Expand product line to cater to evolving health trends.
  - Strengthening brand positioning in new markets



# Growth Case 4: Healthcare Company

|          |            |
|----------|------------|
| Industry | Healthcare |
| Level    | Advanced   |

**Prompt:** Your client is ABC Health, a U.S.-based company with 6 ambulatory surgical centers offering 6 healthcare services: Ortho, Neuro, Gastro, Pain Management, Urology, and Derma. These are modern, same-day surgical centers focused on diagnostic and preventive procedures. They’re profitable, but revenues have been flat, and they want to grow by 15%. How would you approach this?

Before I dive in, I’d like to ask a few clarifying questions. First, do we have any data on their current revenue or how it’s split across the 6 service areas? Second, should we consider any constraints, like capacity limits or competition?

Good questions. Let’s assume their total annual revenue is \$60 million, split roughly evenly across the 6 service areas-so about \$10 million per area for simplicity. Capacity isn’t a major constraint; they have some room to handle more patients. Competition exists but isn’t unusually intense-think typical urban/suburban U.S. markets.

Since the goal is 15% revenue growth-\$9 million more on a \$60 million base. I’d start with strategies such as increasing the number of patients, more procedures per patient, or higher pricing. I’ll start with a quick calculation to frame the target, then explore options. Does that sound reasonable?

Yes, solid structure. Go ahead and frame the target, then dive in.

Current revenue is \$60 million, so 15% is \$9 million, bringing the target to \$69 million. Revenue can be calculated as Price × Quantity, so we can grow by increasing patient visits or increasing reimbursement per patient.

Alright, what are some ways ABC Health could grow revenue through volume or other means?

I see three main levers:

1. Attract more patients via marketing, partnerships with physicians, or expanding into underserved markets.
2. Cross-sell services-like offering Pain Management to Ortho patients-or bundle diagnostics and procedures.
3. Add new high-demand procedures or extend hours, though this might increase costs.

Here’s some data on patient visits per therapy area. Use this data in your analysis to make it more quantifiable.(See Annexure 1)

Looking at the data, Gastro and Derma have high visit numbers (5,556 and 6,667) but lower reimbursement rates (\$1,800 and \$1,500). Ortho and Neuro have higher rates (\$2,500 and \$3,000) but fewer visits. I’d prioritize increasing visits in high-rate areas like Neuro. For example, a 10% increase in Neuro visits-333 more visits × \$3,000-adds \$1 million. Is this analysis fine?

That’s a good start. Neuro’s a strong candidate. What else could boost volume?

Marketing campaigns targeting local communities or referral programs with primary care doctors could drive visits across all areas. We could target something like a 5% volume increase across the board: 5% of 29,101 total visits is ~1,455 visits, assuming an average rate of \$2,000 (blended across areas), which would drive additional revenue of \$xx million.

Good analysis. Now, recommend some ways in which you can increase the reimbursement rate per service, without losing your patient base.

For pricing, I’d consider:

- Work with insurers to raise rates, especially in high-value areas like Neuro and Ortho.
- Shift toward private insurers over Medicare/Medicaid, which pay less.
- Add value (e.g., faster recovery protocols) to justify higher rates or out-of-pocket fees.

Plausible, but the insurers might push back. How would you make it work?

# Growth Case 4: Healthy Snacks Company

|          |            |
|----------|------------|
| Industry | Healthcare |
| Level    | Advanced   |

I'd benchmark rates against competitors to justify increases, highlighting ABC's modern facilities and outcomes. For premium services, maybe a 'VIP package'-same-day consults plus follow-ups-could add \$200 per visit in Ortho for 10% of patients (400 visits × \$200 = \$80,000). Scaling that up could help.

Some ideas-like marketing or new procedures-increase costs. How do you justify that?"

High initial costs can unlock long-term revenue. Since ABC is profitable, they can absorb this to set up future cash flows. I'd model a 3-year horizon to show payback. Would you like me to crunch up some numbers?

No, that's not required. Lets wrap it up-what's your recommendation?

ABC Health should target \$9M growth via: 1) Volume increase through marketing and referrals (\$4.1M), 2) Reimbursement rate hike, and offering 3) Premium services and new procedures. Initial costs of for marketing and setup are justified by a 3-year ROI exceeding the 15% goal.

Well-structured. We're done here-nice work!

## Annexure 1

### Data on different Service Areas

| Service Area    | Avg reimbursement rate | # of Patient Visits/Year |
|-----------------|------------------------|--------------------------|
| Ortho           | \$2,500                | 4,000                    |
| Neuro           | \$3,000                | 3,333                    |
| Gastro          | \$1,800                | 5,556                    |
| Pain Management | \$2,000                | 5,000                    |
| Urology         | \$2,200                | 4,545                    |
| Derma           | \$1,500                | 6,667                    |

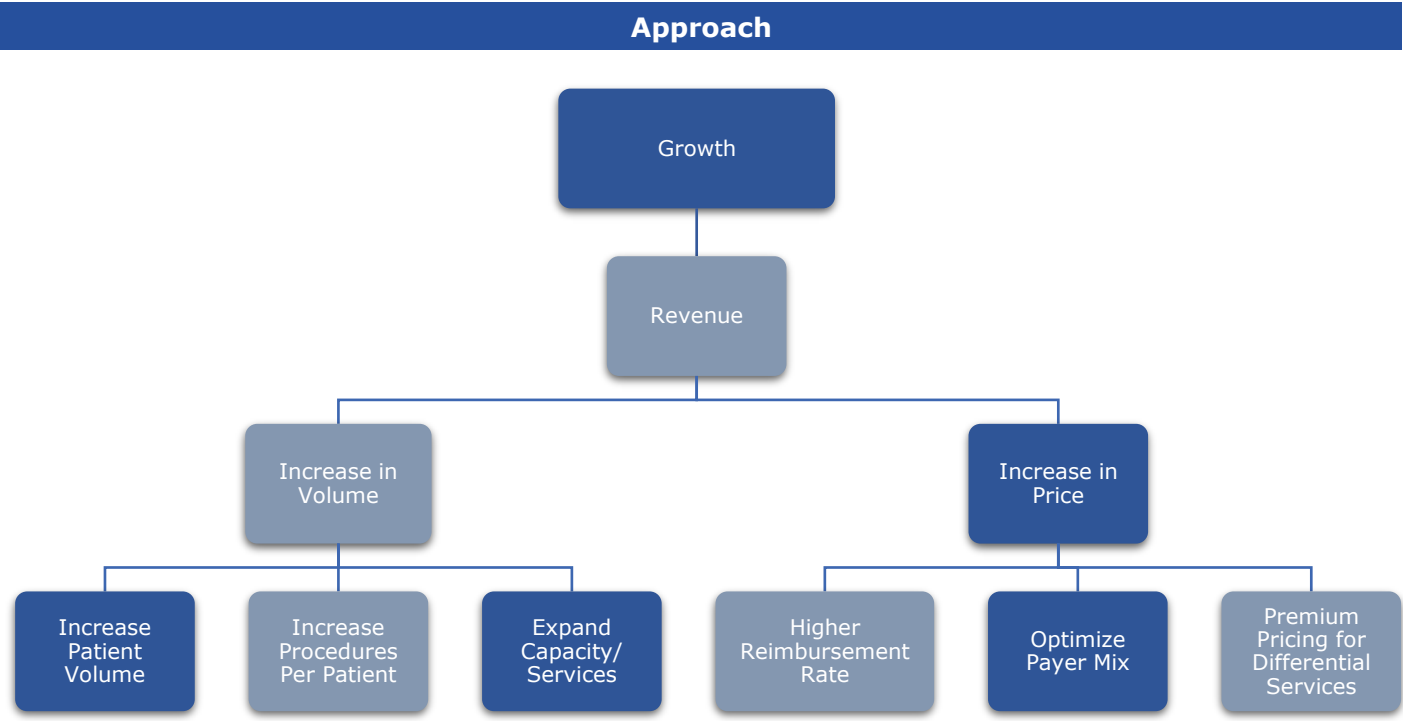


# Growth Case 4: Summary

**Prompt:** Your client is ABC Health, a U.S.-based company with 6 ambulatory surgical centers offering 6 healthcare services: Ortho, Neuro, Gastro, Pain Management, Urology, and Derma. These are modern, same-day surgical centers focused on diagnostic and preventive procedures. They're profitable, but revenues have been flat, and they want to grow by 15%. How would you approach this?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Company Overview</b><br/>ABC Health operates a chain of ambulatory surgical centers in the U.S.</li><li>❖ <b>Financials &amp; Growth Target:</b><ul style="list-style-type: none"><li>○ Annual revenue: \$60 million.</li><li>○ Target growth: 15%</li><li>○ Revenue sources: Patient volume, procedures per patient, and insurance reimbursements.</li></ul></li><li>❖ <b>Challenges:</b><ul style="list-style-type: none"><li>○ Flat revenue growth despite operational profitability.</li><li>○ Competition from hospitals and other surgical centers.</li><li>○ Insurance reimbursement constraints impacting profitability.</li><li>○ Need to balance expansion costs with revenue gains.</li></ul></li></ul> | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ ABC Health is financially stable, providing a strong foundation for growth.</li><li>○ The company already has a steady stream of patients, reducing the cost of acquisition.</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>○ Identifying high-margin or in-demand services could improve revenue per patient.</li><li>○ Streamlining insurance and payment processes could maximize collections.</li><li>○ Investing in digital health solutions or partnerships could ensure sustainable growth.</li><li>○ Awareness about ethicality and Company's image while increasing prices or moving customers towards private insurance should have been considered</li></ul></li></ul> |

| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> ABC Health, despite being profitable, faces revenue stagnation. To achieve 15% growth (\$9M), it must increase patient volume, expand services, and optimize reimbursements through short- and long-term strategies.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Partner with local employers and insurance providers to attract new patients.</li><li>○ Shift patient mix toward higher-margin services and private insurance.</li></ul></li><li>❖ <b>Long-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Introduce high-demand specialties such as cosmetic dermatology or robotic-assisted surgeries.</li><li>○ Form partnerships with technology firms to integrate telemedicine.</li></ul></li></ul> |





# Unconventional Case 1: Education of Girls

|          |          |
|----------|----------|
| Industry | Social   |
| Level    | Beginner |

**Prompt:** Your client is the Government of Haryana. They want your help in reducing the dropout rates of girls from schools. Investigate the issue and recommend solutions.

To begin, can I understand more about the problem? Is the issue concentrated at a particular education level or prevalent across all levels?

The dropout rates are most prominent during the transition phases:  
-From primary to secondary school (Grade 5–6)  
-From secondary to higher secondary school (Grade 9–10)  
The dropout rates increase significantly during these stages.

Understood. The prominent dropout rates during transition phase in Grade 5-6 may be due to economic barriers like girls being expected by their parents to assist with household chores. In Grade 9-10 one of the possible reasons could be due to safety and personal beliefs. Girls may also move to cities for better opportunities. Are there specific geographic areas or demographics where the problem is more severe?

Yes, rural areas see a higher dropout rate compared to urban areas. Families from economically weaker sections and those with cultural constraints around girls’ education are more affected.

Let’s explore the reasons behind the dropout rates generally in Haryana. We categorize the issues into broader themes-

Social and Cultural Factors  
Economic Barriers  
School Infrastructure and Environment

Let’s analyze each of these categories one by one. Can you elaborate on the social and cultural factors first?

In many rural areas, early marriages curtail girls' education, while traditional gender roles lead families to prioritize boys' schooling. Safety concerns further limit access, as parents hesitate to send daughters to distant schools. These factors collectively hinder girls' educational opportunities.

What about economic barriers?

Despite government schemes, indirect costs like uniforms, books, and transport make education unaffordable for many families. Additionally, girls are often kept at home to assist with chores or childcare, reducing household expenses but limiting their educational opportunities.

Lastly, can you explain the school infrastructure and environment issues?

The absence of clean toilets leads to absenteeism, especially during menstruation, while a lack of female teachers discourages girls from attending school. Distant secondary schools make access difficult, and poor teaching quality further reduces engagement, limiting educational opportunities for girls

Do you have some recommendations for improving the scenario?

- To improve girls’ education, I’d begin with immediate actions like launching awareness campaigns to challenge social biases, enhancing sanitation and safety in schools, and providing financial incentives to families to encourage enrollment.
- In the medium term, recruiting and training more female teachers, setting up additional secondary schools in rural areas, and introducing vocational training would make education more accessible and practical.
- For long-term impact, sustained efforts to shift societal attitudes, along with building a strong ecosystem of safety, affordability, and quality education would be crucial in ensuring lasting change.

This is a comprehensive analysis. Thank you. You can close the case now.



# Unconventional Case 1: Summary

**Prompt:** Your client is the Government of Haryana. They want your help in reducing the dropout rates of girls from schools. Investigate the issue and recommend solutions.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |  | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Approach                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |  |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area</b><br/>High dropout rates of girls during transition phases in Haryana.</li><li>❖ <b>Timeline</b><br/>Persistent issue, with significant increases during transition phases</li><li>❖ <b>Geographic Focus</b><br/>Higher dropout rates in rural areas compared to urban areas.</li><li>❖ <b>Key Demographics Affected:</b><br/>Economically weaker sections and families with cultural constraints.</li><li>❖ <b>General Observations</b><ul style="list-style-type: none"><li>Higher dropouts are reported during the transition phases.</li><li>No specific factor pertaining to Haryana or schools is the reason for dropouts. It's the general factors that is the reason.</li></ul></li></ul> |  | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>Structured analysis into social, economic, and infrastructure factors.</li><li>Focused on both immediate and systemic solutions.</li><li>Proposed actionable solutions with clear prioritization.</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>Could have quantified the dropout rates or potential impact of solutions.</li><li>Missed exploring partnerships with private sector or international organizations for funding or expertise.</li></ul></li></ul> | <div><div>Root Causes</div><div><div>Social / Cultural Factors</div><div>Early marriages</div><div>Gender bias (prioritizing boys' education)</div><div>Safety concerns (distance to schools, lack of secure transport)</div><div>Economic Barriers</div><div>Indirect costs (uniforms, books, transport)</div><div>Opportunity cost (girls assisting with household chores)</div><div>Lack of toilets and menstrual hygiene facilities</div><div>Distance to secondary schools</div><div>School Infrastructure &amp; Environment</div><div>Lack of female teachers</div><div>Poor teaching quality</div></div></div> |  |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
| <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> Dropout rates are driven by social biases, economic barriers, and poor school infrastructure.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>Launch awareness campaigns to tackle social biases.</li><li>Improve sanitation and safety infrastructure; provide financial incentives to families for girls' enrollment</li></ul></li><li>❖ <b>Long-Term Recommendations:</b><ul style="list-style-type: none"><li>Strengthen enforcement of laws against child marriage.</li><li>Establish additional secondary schools in rural areas to reduce travel distances.</li></ul></li></ul>                                                                         |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |





# Unconventional Case 2: Video Game Studio

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Beginner      |

**Prompt:** A renowned video game studio has hired you to help develop a game that is both commercially successful and critically acclaimed. They plan to use a subscription model and need to break even within three years while achieving strong reviews.

Thank you for the context. To begin, could you please clarify what "commercially successful" and "critically acclaimed" mean in this context?

Certainly. "Commercially successful" means they need to make enough money to cover their costs within 3 years. "Critically acclaimed" means the game should receive positive reviews from industry experts and high ratings on review platforms.

Understood. So, the game must be of high quality to achieve good reviews and generate sufficient revenue to break even in 3 years. Could you provide the total costs involved in developing and marketing this game?

Yes, the development cost is approximately \$150 million, and marketing costs are around \$30 million, so total costs are \$180 million.

Thank you. Given that, they need to generate \$180 million in revenue within 3 years. Since they're exploring a subscription model, what is the expected monthly subscription fee for this single tier?

They're planning to charge \$15 per month.

Alright, to break even in 3 years, I need to calculate the number of subscribers required each month. Total revenue needed is \$180 million over 36 months, which is \$5,000,000 per month. With a \$15 monthly fee, that's  $\$5,000,000 / \$15 \approx 333,333$  subscribers per month on average over 3 years. But, subscriber numbers will likely grow over time, not remain constant. What is the expected growth rate for subscribers over the 3 years?

The company expects an overall growth rate of 20% per year in the number of subscribers.

Okay, so assuming annual growth of 20%, I can calculate the initial number of subscribers needed. Let's denote S as the number at the start of year 1. Year 1 revenue is  $S * 12 * \$15$ , year 2 is  $(S * 1.2) * 12 * \$15$ , and year 3 is  $(S * 1.2^2) * 12 * \$15$ . Total revenue is  $\{S * 12 * \$15\}(1 + 1.2 + 1.44) = \$1803.64 = \$180,000,000$ . Solving for S,  $S * 654.72 = \$180,000,000$ , so  $S \approx 274,725$  subscribers at the start of year 1. So, they need approximately 275,000 subscribers initially, growing at 20% annually, to break even.

That seems feasible for a renowned studio. Now, what should their development plan look like?

They ought to follow standard phases: pre-production, production, and post-production.

- In pre-production, they should hire a lead designer with a proven track record in RPGs to set the vision and assemble the team, ensuring quality for critical acclamation.
- During production, they must focus on creating an engaging world with deep storytelling, well-developed characters, dynamic AI, and a compelling combat system. High-quality sound design and a robust game engine are also essential.
- In post-production, they'll need thorough testing and bug fixing, alongside marketing efforts to build hype and attract subscribers before launch.
- For the marketing plan, they could release gameplay trailers, partner with popular gaming influencers, and run ads on prominent gaming websites. Beta testing can generate buzz, and launch events can boost sign-ups, ensuring they reach the target audience of RPG enthusiasts.

That's a comprehensive plan. What about after launch? How do they keep subscribers engaged?

For the post-launch content roadmap, they should plan monthly patches for bug fixes, quarterly seasonal events with unique rewards, and annual expansions adding new areas and storylines to keep the game fresh and reduce churn.

That seems promising. Let's wrap up there.



# Unconventional Case 2: Summary

**Prompt:** A renowned video game studio has hired you to help develop a game that is both commercially successful and critically acclaimed. They plan to use a subscription model and need to break even within three years while achieving strong reviews.

Case Facts

- ❖ **Background**  
The studio, based in San Francisco, is known for immersive RPGs and is developing an open-world RPG set in a dystopian future.
- ❖ **Objectives**  
Break even in three years with total costs of \$180 million and achieve critical acclamation
- ❖ **Revenue Strategy**  
Subscription model with a single tier at \$15/month. Requires ~275,000 initial subscribers, growing at 20% annually to break even
- ❖ **Marketing**  
Pre-launch teasers, influencer partnerships, beta testing, and targeted ads on gaming sites.
- ❖ **Challenges**  
Subscriber churn and the need for ongoing content development.

Feedback

- ❖ **What Went Well?**
  - Structured development plan with clear phases.
  - Accurate calculation of subscriber numbers needed for break-even.
  - Comprehensive marketing and post-launch strategies.
- ❖ **Could be better**
  - Did not fully explore risks like server costs or competitor impacts.
  - The financial breakdown focuses heavily on initial costs (development and marketing) but doesn't address ongoing expenses, such as server maintenance, staff salaries for updates, or additional content creation
  - Highlight that we are not accounting for time value of money

Approach

Video Game Development Strategy

Game Development (Critical Acclaim)

Pre-Production

Defining the vision, game design, and planning

Production

Building game mechanics, story, and technical quality

Post-Production

Testing, refining, and ensuring a polished final product

Revenue & Subscriber Strategy (Commercial Success)

Subscriber Acquisition

Marketing campaigns and launch plans to attract initial players

Revenue Generation

Marketing campaigns and launch plans to attract initial players

Subscriber Retention

Post-launch updates and engagement tactics to sustain the player base

Risk Management & Adjustments

Risk Assessment

Evaluating threats like subscriber churn or market competition

Monitoring & Adjustments

Tracking performance and adapting strategies as needed

Recommendations

- ❖ **Conclusion:** Success requires balancing game quality with subscriber growth through a strong development team, marketing, and continuous updates.
- ❖ **Short-Term Recommendations:**
  - Hire a lead designer with a proven track record.
  - Launch a targeted marketing campaign to secure 275,000 initial subscribers.
- ❖ **Long-Term Recommendations:**
  - Implement a content roadmap with regular updates to reduce churn.
  - Monitor subscriber feedback to iteratively improve the game.

Calculations

| Year 1 Revenue                                       | Year 2 Revenue                                           | Year 3 Revenue                                               |
|------------------------------------------------------|----------------------------------------------------------|--------------------------------------------------------------|
| 275,000 Users x 12 Months x \$15 (Subscription Cost) | 275,000*1.2 Users x 12 months x \$15 (Subscription Cost) | 275,000*1.2*1.2 Users x 12 Months x \$15 (Subscription Cost) |
| = <b>\$49.5M</b>                                     | = <b>\$59.4M</b>                                         | = <b>\$71.3M</b>                                             |



# Unconventional Case 3: Retention Rate

|          |               |
|----------|---------------|
| Industry | Chemical (HR) |
| Level    | Intermediate  |

**Prompt:** Your client is a manufacturer in a chemical industry and is facing low retention rate for junior level engineers at your organization for last 3 years. Can you please help your client to assess the root cause and provide some action plan.

Could you provide additional insights into the client's business?

The client is a key player in manufacturing, handling internal sales and distribution mainly in the B2B sector.

Is this issue related to only to our client's operations, or is it prevalent across the industry?

Issue is related only to our client.

Do we have any details of the organizational structure of the company?

The organizational structure comprises seven hierarchical levels, ranging from L1 to L7, with L1 denoting assistant managers.

Are there any specific levels experiencing elevated turnover rates?

Notably, turnover is prominent at L1 & L2 levels.

What is the current turnover rate?

Approximately 50%

Could you describe the work settings and schedules of departing employees?

Employees, particularly ground-level engineers at L1 & L2, operate in shift patterns

Where is the plant located?

The plant is located approximately 35 kms away from the city of Pune in the outskirts.

Are there competing facilities or opportunities in the vicinity influencing turnover?

Yes, there are nearby companies, but they don't rival our stature. However, some employees have opted to leave for these alternatives.

What employee benefits and amenities are extended by the company?

The company provides a healthy work environment, job security, and annual performance assessments, all in accordance with industry norms.

Are there residential options proximal to the company, and does the company facilitate transportation or lodging for its workforce?

No, the company does not offer transportation or lodging services. The nearest residential area is roughly 20 kms from the plant.

Do neighboring enterprises offer similar amenities?

Yes they do. However, our evaluation underscores the significance of these factors in employee's decision-making processes.

The absence of transportation and lodging amenities might be a hindrance, particularly for employees navigating shift work and commuting to a remote plant location.

Alright. Could you propose some actionable recommendations?

We could explore implementing transportation services and adopting a rewards and recognition framework, particularly targeted at L1 & L2 employees, to enhance engagement and retention.

Sounds good. We can close the case here.



# Unconventional Case 3: Summary

**Prompt:** Your client is a manufacturer in the chemical industry and is facing a low retention rate for junior-level engineers at your organization for the last 3 years. Can you please help your client to assess the root cause and provide some action plans?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>• <b>Problem Area:</b> Employee retention</li><li>• <b>Timeline:</b> Last 3 years</li><li>• <b>Affected by Internal/External factors:</b> Mainly Internal</li><li>• <b>Turnover Rate:</b> Approximately 50%</li><li>• <b>Organizational Structure:</b> Seven hierarchical levels (L1 to L7, with L1 being assistant managers)</li><li>• <b>Affected Levels:</b> Primarily L1 &amp; L2 (junior-level engineers)</li><li>• <b>Location:</b> 35 kms from Pune city, on the outskirts</li><li>• <b>Competing Facilities:</b> Nearby companies offering similar amenities</li><li>• <b>Employee Benefits:</b> Healthy work environment, job security, annual performance assessments</li><li>• <b>Residential Options:</b> 20 kms from the plant, no company-provided transportation or lodging services</li></ul> | <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>• Thorough understanding of the client's business and internal structure</li><li>• Identification of key factors influencing employee turnover, such as location and lack of amenities</li><li>• Providing practical recommendations focusing on employee engagement and retention</li></ul> <p><b>Common Mistakes</b></p> <ul style="list-style-type: none"><li>• Assuming external factors are the main cause without internal assessment</li><li>• Overlooking the impact of transportation and lodging amenities on employee satisfaction</li><li>• Neglecting the importance of targeted engagement strategies for junior-level employees</li></ul> | <p><b>Conclusion:</b> The primary issues contributing to the high turnover rate are the plant's remote location and the lack of transportation and lodging amenities. Addressing these factors can help improve employee retention, particularly at the L1 &amp; L2 levels</p> <p><b>Short Term Recommendation</b></p> <p><input type="checkbox"/> <b>Implement Transportation Services:</b></p> <ul style="list-style-type: none"><li>• Provide shuttle services for employees commuting from Pune and nearby areas</li><li>• Ensure the service is reliable and covers multiple shifts to accommodate all employees</li></ul> <p><input type="checkbox"/> <b>Lodging Facilities:</b></p> <ul style="list-style-type: none"><li>• Explore options for providing lodging or partnering with local accommodations to offer discounts for employees</li><li>• Consider building or leasing a residential facility closer to the plant</li></ul> <p><b>Long Term Recommendation</b></p> <p><input type="checkbox"/> <b>Employee Engagement and Rewards:</b></p> <ul style="list-style-type: none"><li>• Develop a rewards and recognition framework targeted at L1 &amp; L2 employees</li><li>• Conduct regular surveys to gather feedback and address concerns promptly</li><li>• Organize team-building activities and professional development programs to enhance employee satisfaction</li></ul> <p><input type="checkbox"/> <b>Competitive Analysis:</b></p> <ul style="list-style-type: none"><li>• Continuously monitor benefits and amenities offered by competing employers</li><li>• Ensure the company's offerings remain competitive to prevent employees from leaving for similar opportunities</li></ul> |



# Unconventional Case 4: New Facility Acquisition

|          |              |
|----------|--------------|
| Industry | F&B          |
| Level    | Intermediate |

**Prompt:** Your client is an F&B manufacturer, and they are acquiring a new manufacturing facility. From an IT perspective, how would you ensure a smooth acquisition?

I'd focus on IT infrastructure, ensuring the hardware like machines, laptops, and other devices are updated and optimized. We'd also look at software efficiency-whether the systems are cloud-based, how well they're integrated, and their overall performance compared to competitors.

Good. So, let's delve into it one by one.

Sure. First, I'd start by understanding the current IT infrastructure of the acquired facility. I'd check the physical hardware-like machines, laptops, and servers-to see if they're up to date and compatible with our systems. Ensuring connectivity and operational efficiency is crucial during this transition.

That's a good start. What else would you look at?

I'd focus on software integration next. We'd need to examine the current software systems they use for operations, supply chain management, and production. If they use different software from what we're accustomed to, we would either migrate their data into our systems or explore how to integrate the two efficiently. It's important to minimize downtime and ensure both systems are in sync to avoid operational bottlenecks.

What about cybersecurity?

Absolutely, cybersecurity is critical, especially during an acquisition when vulnerabilities are higher. I'd conduct a security audit to identify any potential risks in their system. We'd ensure firewalls, encryption standards, and other security protocols are robust, especially if they handle sensitive customer data. We'd also need to train staff at the new facility on cybersecurity best practices to prevent breaches.

That's comprehensive. What about optimization techniques for improving overall IT efficiency?

For optimization, I'd explore cloud solutions if they aren't already using them. Cloud-based systems would allow for better scalability and flexibility, which is particularly important if this acquisition leads to an expansion in production. We'd also evaluate their existing automation processes to see if they can be enhanced to reduce manual intervention, which would not only speed up operations but also improve accuracy.

Now that we have discussed integration at a technical level, let's talk about workforce integration. How would you ensure the IT teams from both companies work well together post-acquisition?

Workforce integration in IT is crucial. First, I'd assess the organizational structures of both teams to identify overlaps and gaps in skill sets. Then, we'd classify roles based on seniority: junior, mid-managerial, and leadership roles. This would help us determine if some positions need consolidation or restructuring.

That makes sense. How would you handle role redundancy in the IT workforce?

If redundancies exist, I'd conduct a fitment test to assess employee competencies in duplicate roles. This evaluation would be based on two sources: performance reviews and feedback from supervisors, as well as technical evaluations for specialized roles. Employees who do not fit into the required roles could be offered alternative positions within the organization, either at a lower level or in a different IT function.

What factors would you consider in assigning employees to new roles?

I would classify employees based on their skill sets: technical, interpersonal, and strategic. Junior roles require strong technical skills, mid-managerial roles need a balance of technical and interpersonal abilities, while senior leadership should possess conceptual and strategic skills. We need to ensure the right employees are assigned to the right roles based on these competencies.



# Unconventional Case 4: New Facility Acquisition

|          |              |
|----------|--------------|
| Industry | F&B          |
| Level    | Intermediate |

If redundancy elimination is required, how would you handle it?

If necessary, provisions should be made to offer employees alternative career paths within the company, re-skilling options, or severance packages with fair compensation. Employees should be given the option of taking on a different role at a lower level if necessary. However, if downsizing is inevitable, we should ensure redundancy packages are fair and align with industry standards.

How would you ensure cultural alignment between the IT teams post-acquisition?

Cultural alignment is key. We could initiate team-building activities, mentorship programs, and cross-team collaborations to foster a sense of unity. Knowledge-sharing sessions and workshops would help employees from both companies understand each other's workflows. Establishing a shared IT vision would help build alignment and reduce friction.

What policies or initiatives could help make the transition smoother?

Several policies could facilitate a smooth transition. We could implement: Standardized IT processes to ensure workflow consistency, performance-based retention incentives to retain key IT personnel, open communication channels to address employee concerns and training programs to help employees adapt to new systems and technologies.

How would you address resistance to change within the IT workforce?

Resistance to change is natural. Transparent communication is key. Employees should be informed of the integration process early and given opportunities to voice their concerns. Leadership should actively engage with employees, offer reassurance, and create a roadmap for the transition that highlights long-term benefits for both teams.

That sounds like a well-structured approach. I believe we have covered all aspects. We can close the case here.



# Unconventional Case 4: Summary

**Prompt:** Your client is an F&B manufacturer, and they are acquiring a new manufacturing facility. From an IT perspective, how would you ensure a smooth acquisition?

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |  | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Approach                                                                                                                                                                                                                    |  |  |  |  |  |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--|--|--|--|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area:</b><br/>IT integration during an acquisition</li><li>❖ <b>Timeline:</b><br/>Immediate post-acquisition phase (0-12 months)</li><li>❖ <b>IT Infrastructure Status:</b><br/>Requires assessment of hardware, software, and network systems</li><li>❖ <b>Software Systems:</b><br/>Potential incompatibilities between the acquirer's and target company's IT platforms</li><li>❖ <b>Cybersecurity Risks:</b><br/>Increased exposure due to data migration and system consolidation</li><li>❖ <b>Workforce &amp; Cultural Integration:</b><br/>Need for training, change management, and role alignment</li><li>❖ <b>Operational Downtime Risk:</b><br/>High, if integration is not managed efficiently</li></ul>                                                                                                                                                                              |  | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ Identified IT infrastructure gaps early to prevent bottlenecks</li><li>○ Recognized cybersecurity risks and suggested mitigation strategies</li><li>○ Considered both workforce retention and cultural alignment</li><li>○ Proposed a structured integration roadmap with minimal disruption</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>○ Overlooking employee training on new systems, leading to inefficiencies</li><li>○ Ignoring the need for phased IT integration, causing unexpected downtime</li><li>○ Underestimating compliance and data security challenges</li></ul></li></ul> | <div>Mergers and Acquisitions</div> <div><div>Pre-Merger</div><div>Post-Merger</div></div> <div><div>Software</div><div>Hardware</div><div>Cyber Security</div><div>Resources</div><div>People</div><div>System</div></div> |  |  |  |  |  |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                             |  |  |  |  |  |
| <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> The success of the acquisition depends on a structured IT integration plan, focusing on infrastructure compatibility, cybersecurity, workforce alignment, and operational efficiency.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Ensure critical IT systems (laptops, servers, industrial systems) are operational and meet baseline performance standards.</li><li>○ Initiate team integration touchpoints: joint meetings, informal bonding sessions.</li></ul></li><li>❖ <b>Long-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Establish common processes, systems, and KPIs across both legacy and acquired teams.</li><li>○ Upskill middle management to act as change agents and stabilizers.</li><li>○ Set up pulse surveys, open forums, and feedback loops to address post-integration friction.</li></ul></li></ul> |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                             |  |  |  |  |  |





# Unconventional Case 5: Digital Transformation

|          |              |
|----------|--------------|
| Industry | Pharma       |
| Level    | Intermediate |

**Prompt:** Your client is an Indian pharmaceutical company specializing in Over-the-Counter (OTC) and Prescription Drugs. They are looking to transform digitally, focusing on outbound logistics and sales & marketing.

Thank you for the problem statement. I'd like to begin by asking a few preliminary questions. What exactly do you mean by Pharma products? What is their product portfolio?

The company is a key player in the Indian and Asian pharmaceutical markets. They manufacture a range of products, including OTC medications such as pain relievers, cold & flu tablets, and vitamin supplements. Additionally, they offer prescription drugs in therapeutic segments like cardiology, neurology, and anti-infectives.

Alright! Which part of India do they operate from? Which regions do they serve?

The company has multiple manufacturing units across Maharashtra, Gujarat, and Himachal Pradesh. Their domestic market is spread across India, with strong distribution channels in metro cities and semi-urban areas. They also export to South-East Asia and parts of Africa.

Okay! What is the average cost of their products? Do they specialize in low-cost generics, or do they have a premium segment?

The company mainly operates in the affordable generics segment, with SKUs ranging from Rs. 50 for a strip of tablets to Rs. 500 for premium formulations.

Thanks for this information. I would like to know more about their current level of digitization and automation. Also, is there any particular functional area on which I should focus?

Yes, we would like to focus on Outbound Logistics and Sales & Marketing. The manufacturing process is already highly automated, but our distribution network and field sales operations still rely on traditional, paper-based tracking methods.

One final question. How much are they willing to spend on this digital transformation exercise? What is the time horizon they have in mind for the investment? This will help me evaluate my suggestions accordingly.

They are willing to spend roughly Rs. 30 Cr (~1% of their Annual Revenue) over a period of 24 months.

Sure, I would begin by analyzing the Value Chain of their operations. First, I would like to focus on the Outbound Logistics. Then, I would move to the subsequent stages such as Sales & Marketing, and Channel Management. Does this sound fine?

Yes, but we can skip the Manufacturing part since it is already automated.

Outbound logistics in pharma involve processing orders, maintaining cold chain compliance, and timely delivery to hospitals and pharmacies. Efficiency can improve with a real-time inventory tracking system linking distributors and pharmacies to the central database, enabling better stock allocation and reducing expiry-related waste.

Alright, please continue.

Apart from logistics, there's potential to digitally transform field sales operations by introducing a Salesforce Automation (SFA) system for medical representatives (MRs). This would cover AI-based route planning, real-time recording of doctor and pharmacy visits, and post-visit performance analysis. Such a system would help track prescription trends and ensure high-demand medicines remain consistently available. Would you like me to elaborate on it further?

No, this is good. Just one more point: Can you suggest additional revenue streams for them?

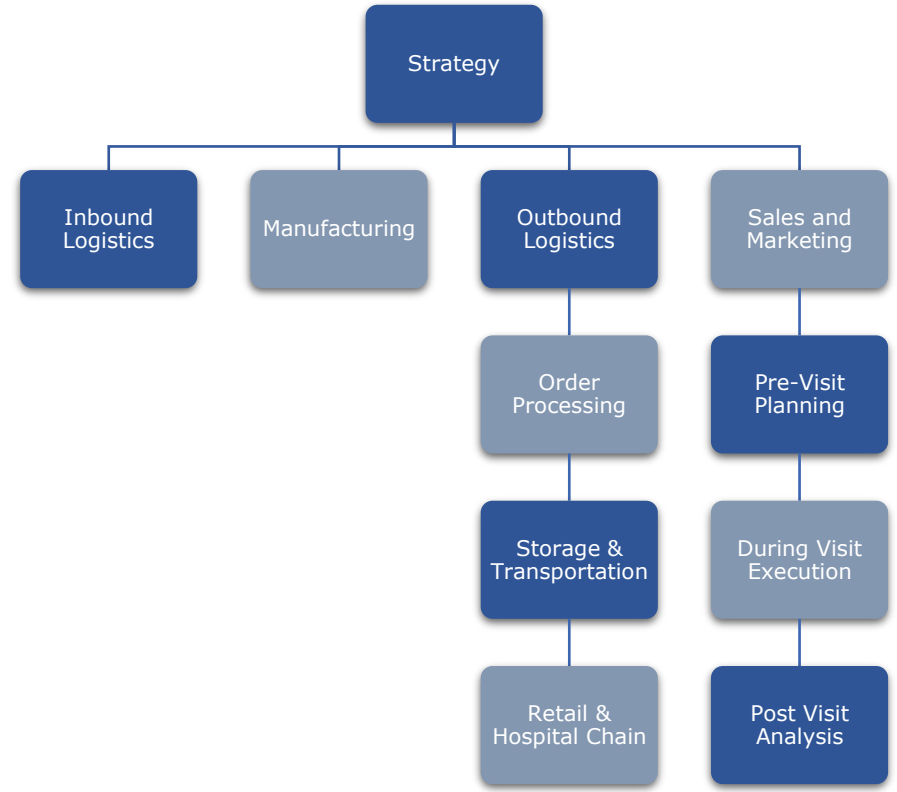
The client can pursue key digital initiatives to expand reach and streamline operations. These include launching a B2C e-commerce platform for OTC medicine sales, entering the hospital procurement space through a HoReCa-style model, and offering AI-driven telemedicine consultations to enhance accessibility and complement existing services.

Thanks a lot! We can end the case here!



# Unconventional Case 5: Summary

**Prompt:** Your client is an Indian pharmaceutical company specializing in Over-the-Counter (OTC) and Prescription Drugs. They are looking to transform digitally, focusing on outbound logistics and sales & marketing

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |  | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Approach                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| <ul style="list-style-type: none"><li>❖ <b>Objective:</b><br/>Digital transformation to improve efficiency in outbound logistics and sales.</li><li>❖ <b>Current Limitations:</b><ul style="list-style-type: none"><li>○ <b>Outbound Logistics:</b> Paper-based tracking, inefficient stock allocation, risk of expired medicine wastage.</li><li>○ <b>Sales &amp; Marketing:</b> No digital tools for Medical Representatives (MRs), leading to inefficiencies in doctor engagement.</li></ul></li><li>❖ <b>Product Portfolio:</b><ul style="list-style-type: none"><li>○ <b>OTC Medications:</b> Pain relievers, cold &amp; flu tablets, vitamin supplements.</li><li>○ <b>Prescription Drugs:</b> Cardiology, neurology, anti-infectives.</li><li>○ <b>Pricing Strategy:</b> Affordable generics with price ranges from Rs.50 to Rs.500.</li></ul></li></ul> |  | <ul style="list-style-type: none"><li>❖ <b>What Went Well?</b><ul style="list-style-type: none"><li>○ Understood key digital transformation areas (Outbound Logistics and Sales &amp; Marketing).</li><li>○ Proposed real-time inventory tracking to optimize stock allocation and reduce wastage.</li><li>○ Explored additional revenue streams beyond traditional distribution models</li></ul></li><li>❖ <b>Could be better</b><ul style="list-style-type: none"><li>○ More focus on regulatory compliance for digital tracking in pharma logistics.</li><li>○ Integration of logistics and sales data to improve demand forecasting.</li><li>○ Consideration of cold chain logistics for temperature-sensitive medicines</li></ul></li></ul> |  <pre>graph TD; Strategy[Strategy] --&gt; Inbound[Inbound Logistics]; Strategy --&gt; Manufacturing[Manufacturing]; Strategy --&gt; Outbound[Outbound Logistics]; Strategy --&gt; Sales[Sales and Marketing]; Outbound --&gt; Order[Order Processing]; Order --&gt; Storage[Storage &amp; Transportation]; Storage --&gt; Retail[Retail &amp; Hospital Chain]; Sales --&gt; Pre[Pre-Visit Planning]; Pre --&gt; During[During Visit Execution]; During --&gt; Post[Post Visit Analysis];</pre> |  |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  |
| <ul style="list-style-type: none"><li>❖ <b>Conclusion:</b> A well-executed digital transformation in logistics and sales will enhance supply chain efficiency, reduce wastage, and improve sales effectiveness.</li><li>❖ <b>Short-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Implement a Real-Time Inventory Management System</li><li>○ Deploy Salesforce Automation (SFA) for Medical Representatives</li></ul></li><li>❖ <b>Long-Term Recommendations:</b><ul style="list-style-type: none"><li>○ Establish contracts with large hospitals.</li><li>○ Ensure appropriate infrastructure for temperature-sensitive medicine</li></ul></li></ul>                                                                                                                                                                                        |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  |



# Unconventional Case 6: Manufacturing Plant

|          |               |
|----------|---------------|
| Industry | Manufacturing |
| Level    | Advanced      |

**Prompt:** Suppose your client is a manufacturing company, demand for a product has been increasing but you are at maximum capacity. You don't want to increase manpower or move towards automation, or put a new plant. Tell me how you will cater for the demand with the existing systems.

Sure. Just so I have understood the problem correctly, our client is a manufacturing company which wants to cater to increasing demand without setting up new plant or introducing automation.

Yes, that's correct.

Before I proceed, I need to understand the business and industry a bit better, so would like to ask few preliminary question for clarity.

Sure, Go ahead.

So for a better understanding, I will state the methods by which usually companies increase capacity.

1. Through CAPEX and putting up a new facility
2. By making the process more efficient through automation or manpower usage
3. By identifying bottlenecks and leveraging innovation to eliminate bottleneck and optimize process

You are correct but I would suggest you explore the problem statement from capacity point of view first.

Sure. So we can initially divide the capacity of the manufacturing plant into 2 parts-

1. No. of Machines
2. Productivity of each machine

Yes, that's correct. You can proceed ahead.

Sure. Since it was mentioned that no automation can be done and we don't want to put a new plant, I will explore the concept of productivity.

Yes, Go ahead.

So mainly productivity is defined in terms of Overall equipment efficiency, which is a multiplication of availability, performance and quality. Which area should I focus on?

Focus on availability, mainly on the batch cycle time and performance.

So Batch cycle time is mainly defined how much time is required to produce per ton of product. It can be high due to multiple factors such as low maintenance, utilities efficiency, working efficiencies of the machines, etc.

Yes, so how can we then cater demand by focusing on these aspects

We can achieve these aspects by focusing on operations management concepts.

Yes, give me some of the ways.

Sure, some the ways can be-

1. Identifying why the process is slow, bottleneck areas and working on them
2. Applying Kaizen and doing improvements projects.
3. Reducing downtime through Poka Yoke, type 1 and type 2 errors.
4. We can also introduce new technology or small system based changes such as introducing new packings in a distillation column so as to increase capacity.

Yes, you are correct.

Sure, should I summarize the case.

No, that should be fine. Can you closely relate this case to any of the traditional approaches and identify the equivalents?

I think this case is closely related to profitability framework. The revenue side was equivalent to New Plant and Cost side was equivalent to Capacity.

Good. We can close the case here. Thank you



# Unconventional Case 6: Summary

**Prompt:** Suppose your client is a manufacturing company. Demand for a product has been increasing, but you are at maximum capacity. You don't want to increase manpower or move towards automation or put in a new plant. Tell me how you will cater to the demand with the existing systems.

| Case Facts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Feedback                                                                                                                                                                                                                                                                                                                                                                                                                                             | Approach                                                                                                                                                                                                                                                      |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>❖ <b>Problem Area</b><br/>Capacity Management</li><li>❖ <b>Constraints</b><br/>No increase in manpower, no new plant, no automation</li><li>❖ <b>Affected by Internal/External factors</b><br/>Mainly Internal</li><li>❖ <b>Current Capacity</b><br/>At maximum</li><li>❖ <b>Focus</b><br/>Improving efficiency and reducing cycle time</li></ul>                                                                                                                                                                                                                                                                                                                                   | <p><b>What Went Well?</b></p> <ul style="list-style-type: none"><li>• Clear understanding of manufacturing processes and constraints</li><li>• Identified key factors impacting batch cycle time and performance</li></ul> <p><b>Common Mistakes</b></p> <ul style="list-style-type: none"><li>• Ignoring the impact of bottlenecks on overall productivity</li><li>• Not considering the importance of maintenance and utility efficiency</li></ul> | <pre>graph TD; CI[Capacity Improvement] --&gt; A[Availability]; CI --&gt; P[Performance]; CI --&gt; Q[Quality]; A --&gt; M[Maintenance]; A --&gt; U[Uptime]; P --&gt; CT[Cycle Time]; P --&gt; B[Bottleneck]; Q --&gt; E[Error]; Q --&gt; PY[Poka-Yoke]</pre> |
| Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                               |
| <p><b>Conclusion:</b> Focus on improving operational efficiency and reducing batch cycle time through better maintenance, addressing bottlenecks, and optimizing existing processes</p> <p><b>Short Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Conduct a thorough analysis to find slow processes and bottleneck areas</li><li>○ Strengthen preventive maintenance schedules to ensure maximum machine availability</li></ul> <p><b>Long Term Recommendation</b></p> <ul style="list-style-type: none"><li>○ Apply Kaizen and continuous improvement projects to gradually improve efficiency</li><li>○ Introduce new technologies or small system-based changes to improve efficiency</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                               |



# Unconventional Case 7: District Growth

|          |          |
|----------|----------|
| Industry | F&B      |
| Level    | Advanced |

**Prompt:** District by Eternal is struggling to expand into Tier-2 cities, with stagnant Monthly Active Users (MAUs) (200,000) and low retention (20%). 60% of users drop off after downloading without making a booking. Competitors offer better incentives and restaurant options. As a Growth Manager, how would you drive user acquisition, retention, and market expansion in Tier-2 cities?

Thank you for the opportunity! I would diagnose the problem by identifying potential root causes for the plateau in user growth and low retention.

Okay, go ahead. How would you begin your diagnosis?

I would analyze key areas to diagnose the issue: whether our user acquisition channels are too metro-focused and missing Tier-2 opportunities; if the app's user experience is intuitive and tailored to dining-out needs; how District's value proposition differentiates from Dineout or Nearbuy; what competitors are doing better in Tier-2 cities; and why repeat usage is only 20% based on retention metrics.

That's a good start. What data would you look at to dig deeper?

I'd pull data on acquisition funnel drop-off rates, such as app downloads versus sign-ups and first bookings; user feedback from surveys or app reviews to pinpoint the pain points in the app's UX, and competitor analysis to understand what Dineout and Nearbuy are doing better in Tier-2 markets.

Sounds good. Let's say we've done some digging. The data shows 60% of users drop off after downloading the app and never make a booking. Feedback highlights that users in Tier-2 cities feel the restaurant options are limited and not "trendy" enough compared to what they see on Instagram or hear from friends. Competitors are also offering cashback deals that we don't. What's your next step?

The 60% drop-off and feedback point to onboarding and relevance issues, while the cashback insight shows a competitive gap. I'd propose a growth strategy to address this.

What would be your objective with this strategy?

The objective would be to increase MAUs from 200,000 to 500,000 in 6 months and boost repeat usage from 20% to 40%.

Okay, how would you achieve that? Let's start with user acquisition in Tier-2 cities.

For user acquisition in Tier-2 cities, I'd focus on hyperlocal marketing by partnering with micro-influencers in cities like Jaipur to showcase District-listed spots on Reels or Stories; run geo-targeted ads on Facebook and Google with copy like "Discover Jaipur's Hottest Nightlife"; and launch a referral program offering new users a Rs. 200 discount on their first booking while giving referrers the same when their friends sign up and make a booking through District.

Good. Now, how would you address the onboarding and relevance issues?

To enhance onboarding and relevance, I'd add "Trending in [City]" sections using social media buzz like Instagram hashtags, simplify the UX by redesigning onboarding to prompt users to select their city and preferences and then show a personalized list of 5-10 spots, and expand partnerships by onboarding 50 new trendy restaurants per Tier-2 city in 3 months while offering a commission-free trial.

What about boosting retention and engagement?

For retention, I'd offer a 10% cashback on bookings, capped at Rs.500, for 3 months in Tier-2 cities with a Rs. 20,00,000 pilot budget, launch a loyalty program called "District Points" where users earn 10 points per booking redeemable for discounts, and send personalized push notifications like "New rooftop bar added in Lucknow!" to drive repeat bookings.

These are all a lot of new initiatives. How would you execute and measure this strategy?



# Unconventional Case 7: District Growth

|          |          |
|----------|----------|
| Industry | F&B      |
| Level    | Advanced |

I'd roll out marketing and UX changes in 1st month, partnerships in 2nd, and loyalty features in the 3rd, track KPIs like MAUs, cost-per-install, booking conversion rate, repeat usage rate, etc., and conduct A/B testing by comparing cashback versus points in two cities to determine what drives higher retention.

I like the mix of tactics, especially the hyperlocal angle. Let's zoom in on the cashback idea. How would you ensure it's sustainable, given Zomato's focus on profitability?

To ensure sustainability, I'd limit the pilot to a capped budget of Rs. 20,00,000 across Tier-2 cities for 3 months, offer a tiered cashback of 10% on the first 2 bookings before tapering to 5% or shifting to points, negotiate with restaurants to co-fund 50% of the cashback in exchange for higher visibility, and set a profitability guardrail targeting a 1:3 Customer Acquisition Cost to Customer Lifetime Value CAC-to-LTV ratio.

Alright, and how would you measure the success of the cashback program?

I'd measure success by comparing incremental bookings in cashback versus non-cashback cities; for example, a 20% lift would signal success. Next, I will check if retention impact increases repeat usage from 20% to 30% or more, calculating ROI by tracking cashback spend versus profit, and surveying users on whether cashback influenced their booking.

That's a thoughtful approach. One last curveball: A competitor like Dineout doubles down on exclusive events, like wine-tasting nights bookable only through them. How would District respond?

District could counter by launching exclusive "District Nights" events like "Secret Supper Clubs" or "DJ Nights" bookable only via District, leveraging Zomato's data to tie events to popular trends such as a sushi-making night, offering gamified access where tickets are earnable via District Points or a "Book 3 times, unlock an event" mechanic, and rapidly rolling out a pilot of 2 events per city in the 2nd month with a cap of 50 attendees each.

This was interesting! That wraps up the case. Do you have any final questions for me?

Thanks for the case. I had just one question: What's the biggest growth priority for District right now - user acquisition, retention, or something else?

Good question! Right now, it's a mix of both, but retention is edging out slightly - we want users to see District as their go-to for dining out. Thanks for your time today!



# Unconventional Case 7: Summary

**Prompt:** District by Zomato is struggling to expand into Tier-2 cities, with stagnant MAUs (200,000) and low retention (20%). 60% of users drop off after downloading without making a booking. Competitors offer better incentives and restaurant options. As a Growth Manager, how would you drive user acquisition, retention, and market expansion in Tier-2 cities?

## Case Facts

- ❖ **Objective:**  
Strengthen presence in Tier-2 cities like Jaipur, Chandigarh, and Lucknow. and compete effectively against Dineout and Nearbuy.
- ❖ **Market Size, Growth & Market Share:**
  - **Current MAUs:** 2,00,000
  - **Target MAUs:** 5,00,000
  - **Repeated Usage Rate:** 20% increase to 40%
- ❖ **Qualitative Analysis:**
  - **User acquisition barriers:** Lack of brand recall in Tier-2 cities, ineffective local marketing.
  - **Competitive threats:** Dineout and Nearbuy offer cashback and exclusive events.
  - **Engagement challenges:** Limited restaurant options, poor onboarding experience.

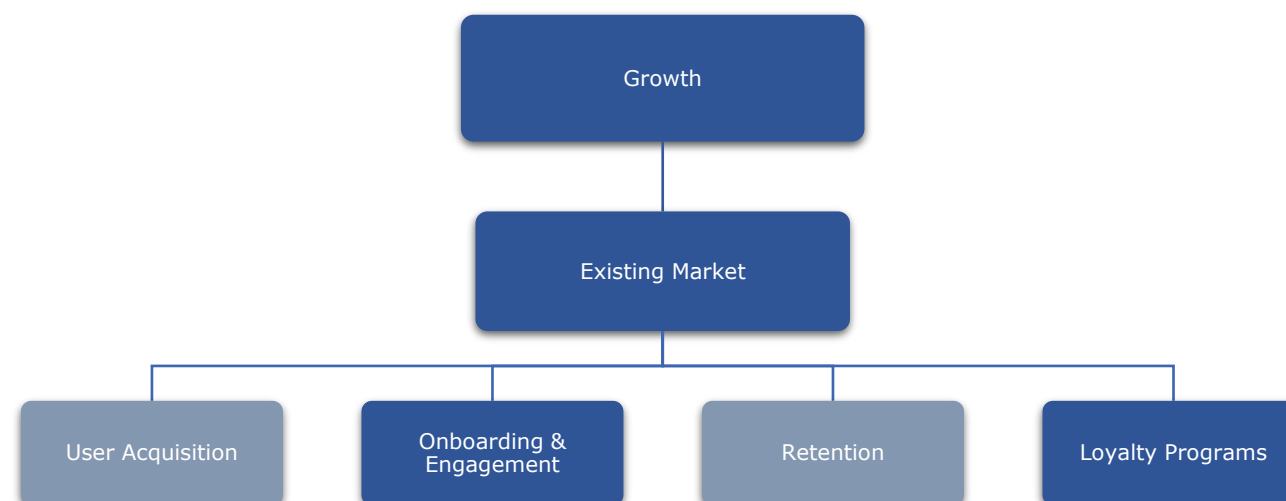
## Feedback

- ❖ **What Went Well?**
  - The response effectively identified key issues like high user drop-off, low retention, and strong competitor presence.
  - Proposed cashback incentives, influencer marketing, and exclusive events to counter competitors.
  - Focused not just on new user growth but also on improving repeat engagement.
- ❖ **Could be better**
  - The execution plan could include clearer milestones and success metrics.
  - Cashback and loyalty incentives need better cost analysis for long-term sustainability.

## Recommendations

- ❖ **Conclusion:** District should focus on retention alongside acquisition to maximize long-term engagement and enhance and relevance to reduce to drop off.
- ❖ **Short-Term Recommendations:**
  - Execute hyperlocal marketing and referral programs.
  - Enhance UX and restaurant curation to increase bookings.
- ❖ **Long-Term Recommendations:**
  - Expand exclusive event offerings to build brand differentiation
  - After successful growth in Tier-2 cities, explore expansion to Tier-3 cities.
  - Scale District Points for sustained engagement.

## Approach







01

**Consulting Primer**

02

**Business Concepts and Ideas**

03

**Frameworks and Cases**

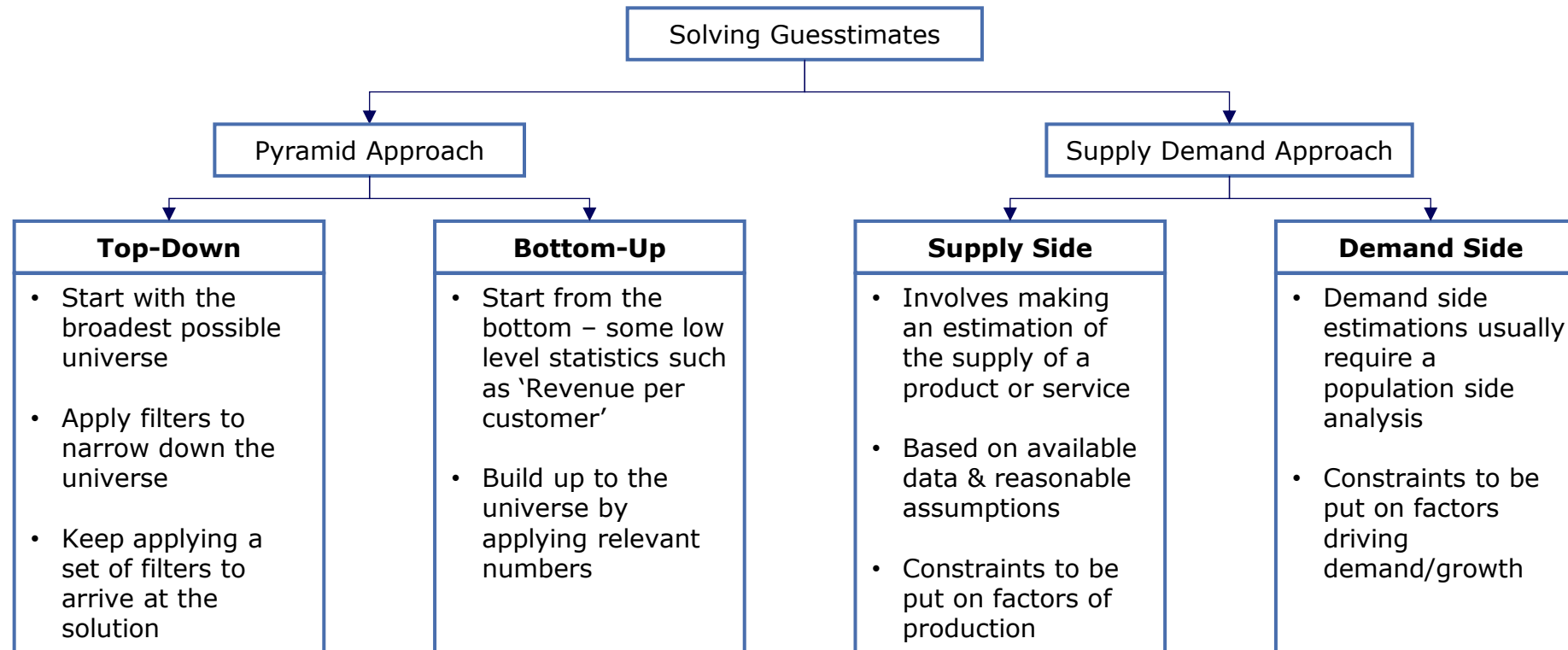
04

**Guesstimates**



# Approaching Guesstimates

The process of solving a guesstimate during an interview entails employing a **systematic approach** to arrive at the solution, making **logical assumptions**, conducting **rough calculations**, and **effectively communicating** the entire process.



These approaches are similar, choosing between them is based on **level of comfort**

As a rule of thumb, the **bottom up approach** can be used when consistent lower level metrics can be established.

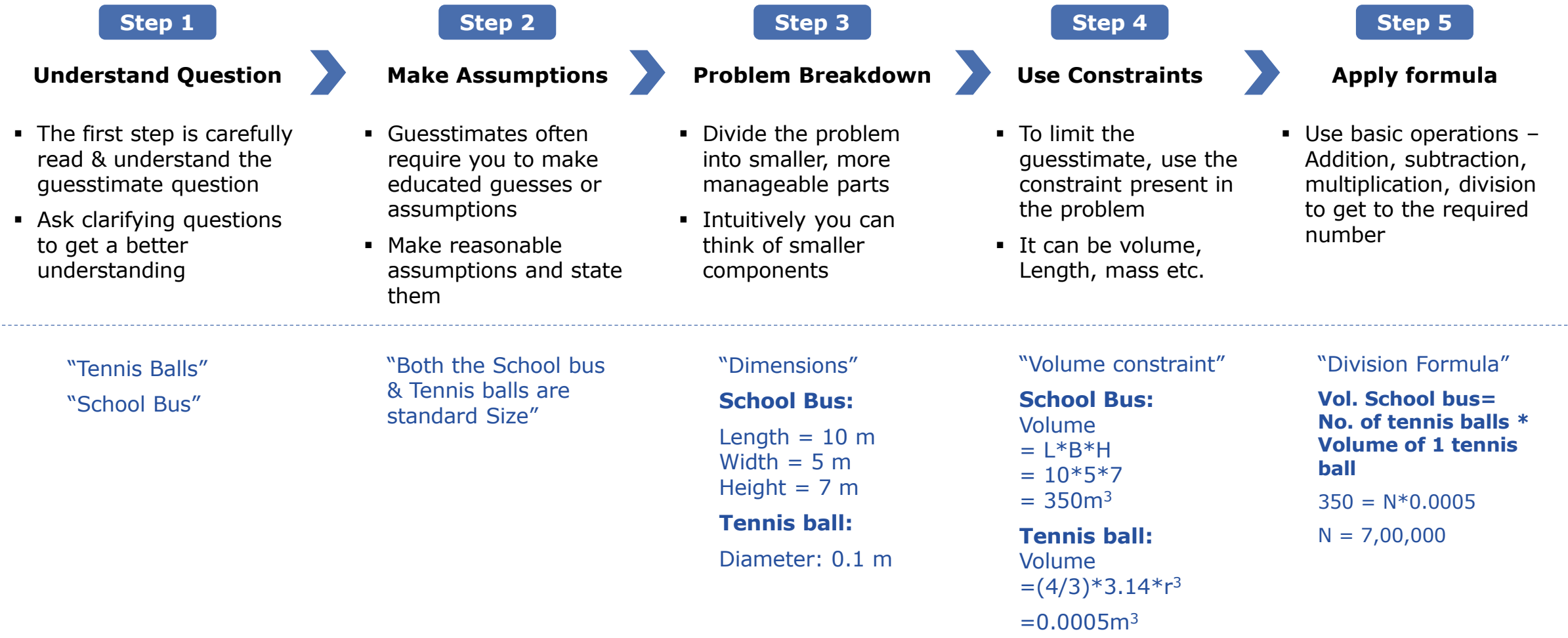
It is advisable not to depend exclusively on one method; **cultivating proficiency across multiple approaches proves beneficial**, particularly in the context of case interview preparation

**Tip:** Segmentation is an important part of guesstimates. Keep these types of segmentation handy in case needed.  
Demographics (Age, Sex, Income, Ethnicity etc.)  
Psychographics (Attitudes, Behaviours, Values)  
Geography (City/Country/Continent, Urban vs. Rural etc.)



# Let us solve a Basic Guesstimate!

**Prompt:** "How many tennis balls can fit inside a school bus?"

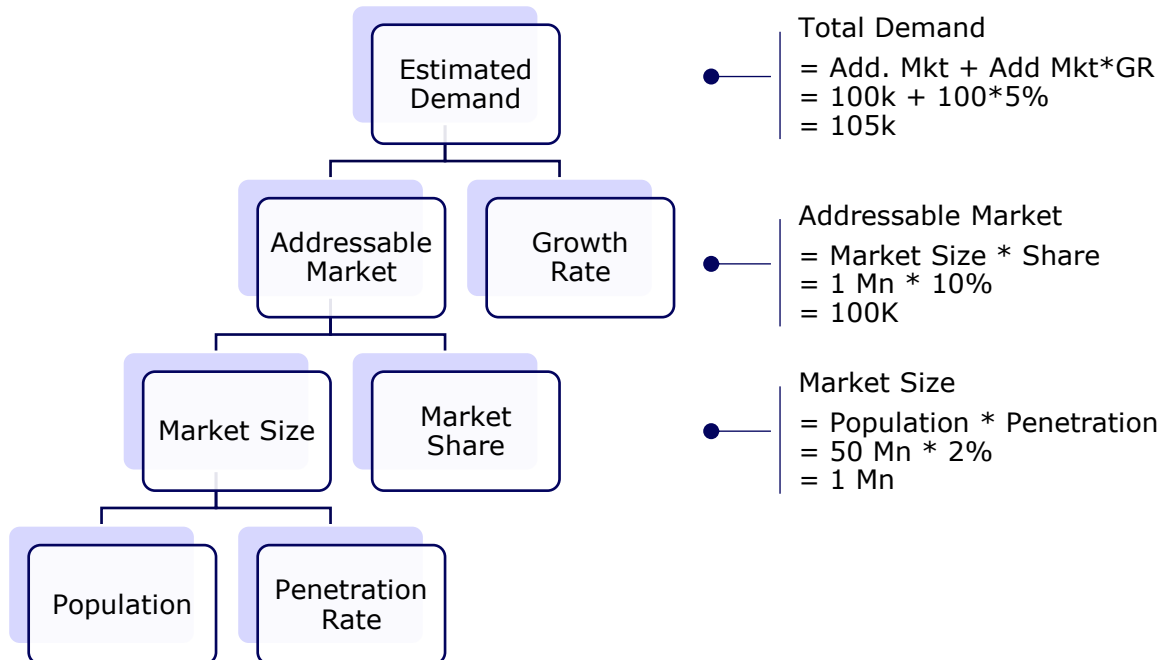




# Example for Supply & Demand Side

**Prompt:** "A car manufacturer is planning to launch a new electric vehicle in a country with a population of around 50 million people. The EV is targeted at the mid-range segment and offers competitive features at an affordable price. Estimate the potential demand and supply for the new electric vehicle in the target market."

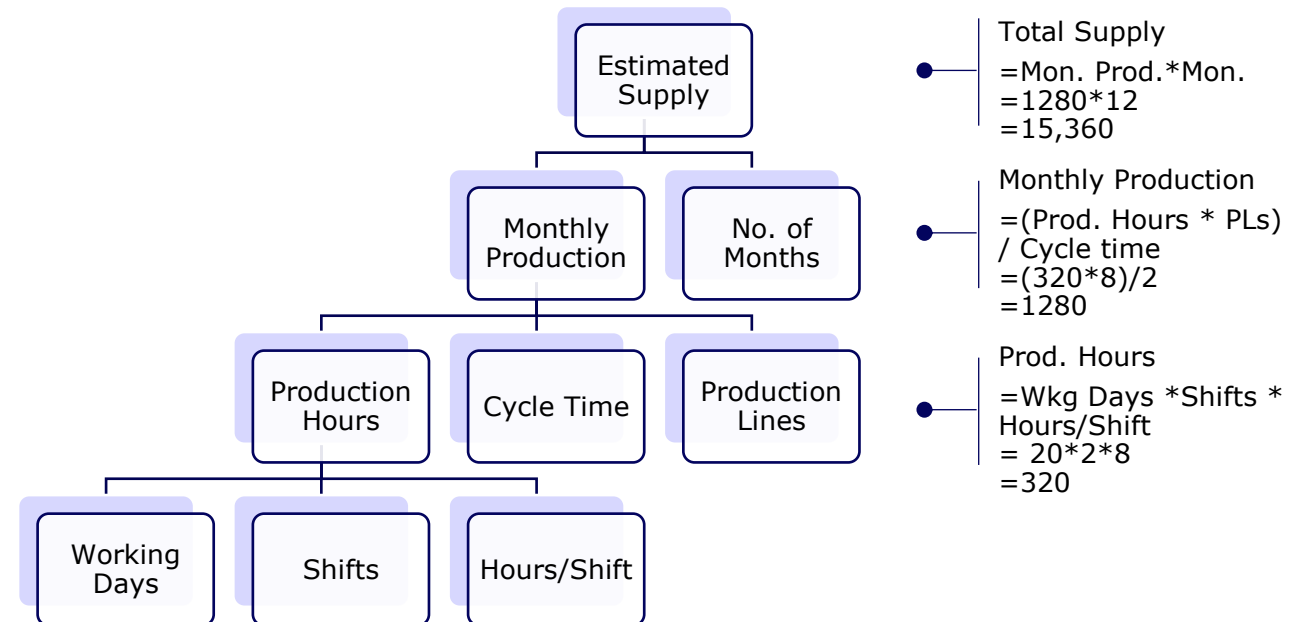
## Demand Side



### \*Assumptions (Give Reasons)

Penetration – 2%  
Market Share – 10% (First Year)  
Growth Rate – 5% (First Year)

## Supply Side



### \*Assumptions (Give Reasons)

Penetration – 2%  
Market Share – 10% (First Year)  
Growth Rate – 5% (First Year)



# Fact Sheet

● General Statistics ● ● Segmentation ● ● Geometry Formula ●

| Population (No.) |        |
|------------------|--------|
| Total            | 1.5 Bn |
| Delhi            | 15 Mn  |
| Mumbai           | 18 Mn  |
| Kolkata          | 14 Mn  |
| Bangalore        | 8.5 Mn |
| Lucknow          | 3.3 Mn |
| Chennai          | 5 Mn   |

| Area (in Km <sup>2</sup> ) |       |
|----------------------------|-------|
| Total ('000)               | 3,300 |
| Delhi                      | 1,500 |
| Mumbai                     | 600   |
| Kolkata                    | 200   |
| Bangalore                  | 700   |
| Lucknow                    | 600   |
| Chennai                    | 425   |

| Rural-Urban |     |
|-------------|-----|
| Rural       | 60% |
| Urban       | 40% |

| Age Groups |     |
|------------|-----|
| 0-14       | 30% |
| 15-24      | 20% |
| 25-34      | 15% |
| 35-44      | 10% |
| 45-54      | 10% |
| 55+        | 10% |

| Gender |     |
|--------|-----|
| Male   | 52% |
| Female | 48% |

| Area Distribution |     |
|-------------------|-----|
| Land              | 70% |
| Water             | 10% |
| Forest            | 20% |

| Internet Penetration |     |
|----------------------|-----|
| Urban                | 55% |
| Rural                | 45% |

| Marital Status |     |
|----------------|-----|
| Married        | 50% |
| Unmarried      | 50% |

| Income Distribution |     |
|---------------------|-----|
| High                | 1%  |
| Upper Middle        | 15% |
| Lower Middle        | 30% |
| Low                 | 25% |
| BPL                 | 29% |

| Perimeter |                    |
|-----------|--------------------|
| Square    | 4 * Side           |
| Rectangle | 2*(Length+Breadth) |
| Triangle  | Sum of Sides       |
| Circle    | 2 * 3.14 * Radius  |

| Area      |                            |
|-----------|----------------------------|
| Square    | Side <sup>2</sup>          |
| Rectangle | Length * Breadth           |
| Triangle  | (1/2)* Base* Height        |
| Circle    | 3.14 * Radius <sup>2</sup> |

| Volume   |                                    |
|----------|------------------------------------|
| Cube     | Side <sup>3</sup>                  |
| Sphere   | (4/3) * 3.14 * Radius <sup>3</sup> |
| Cylinder | 3.14* Radius <sup>2</sup> * Height |

| Misc.       |                                                  |
|-------------|--------------------------------------------------|
| Pythagoras  | a <sup>2</sup> + b <sup>2</sup> = c <sup>2</sup> |
| Rhombus (A) | ½ * D <sub>1</sub> * D <sub>2</sub>              |

● Miscellaneous Statistics (Overall India) ●

|                        |     |
|------------------------|-----|
| Internet Penetration   | 40% |
| Mobile Penetration     | 78% |
| Smartphone Penetration | 71% |
| 5G Adoption            | 40% |

|                          |       |
|--------------------------|-------|
| Median Age of Population | 25    |
| Population Growth Rate   | 1.25% |
| Life Expectancy          | 70    |
| Population Density       | 500   |

**Note:** The provided data is only for India.  
These data-points are approximate figures for the purpose of guestimates and are valid as of 2024.





# Guesstimate 1: Fuel Consumption

**Prompt:** Estimate the quantity of petrol used per day (in litre) for transportation in Delhi

**Approach**

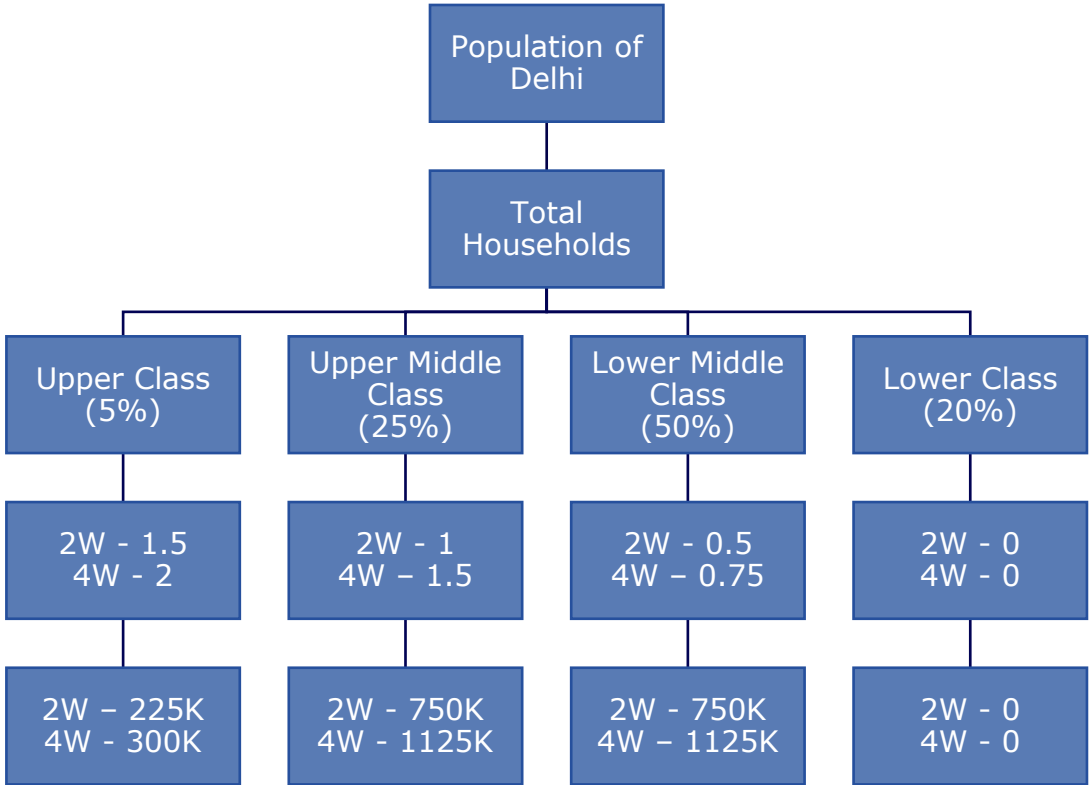
Demand Side

**Methodology**

- 1. Calculate the Number of households
- 2. Calculate Vehicles per household
- 3. Calculate the consumption by each vehicle
- 4. Scale up the consumption to the entire population

**Assumptions**

- Diesel and CNG are majorly used by public transport and commercial vehicle (buses, vans, and trucks)
- Average distance travelled by each vehicle (per day) **20 km**
- Mileage (in km/litre)  
2 Wheeler = **50**  
4 Wheeler = **10**



Distance by 2W =  $20 * (750K + 750K + 225k) = 34,500K$   
Litres used by 2W =  $34,500K / 50 = \mathbf{690K}$

Distance by 4W =  $20 * (1125K + 1125K + 300K) = 51,000K$   
Litres used by 4W =  $51,000K / 10 = \mathbf{5,100K}$

- Population of Delhi **15 Mn**  
(Average Household Size – 5)
- Household = Population/Avg Size  
 $= 15 \text{ Mn} / 5$   
 $= \mathbf{3 \text{ Mn}}$   
(Division Basis Income)
- Upper Class – **150K**  
Upper Middle Class – **750K**  
Lower Middle Class – **1500K**  
Lower Class – **600K**  
(Average No. of Vehicles/household)
- (Total No. of Vehicles)
- Total Fuel = 5,790K Litres  
(Assuming 20% is Diesel)

**Solution:** Total Petrol used = 4,632K Litres



# Guesstimate 2: Maruti Suzuki Cars

**Prompt:** Estimate the number of Maruti Suzuki Cars in India

**Approach**

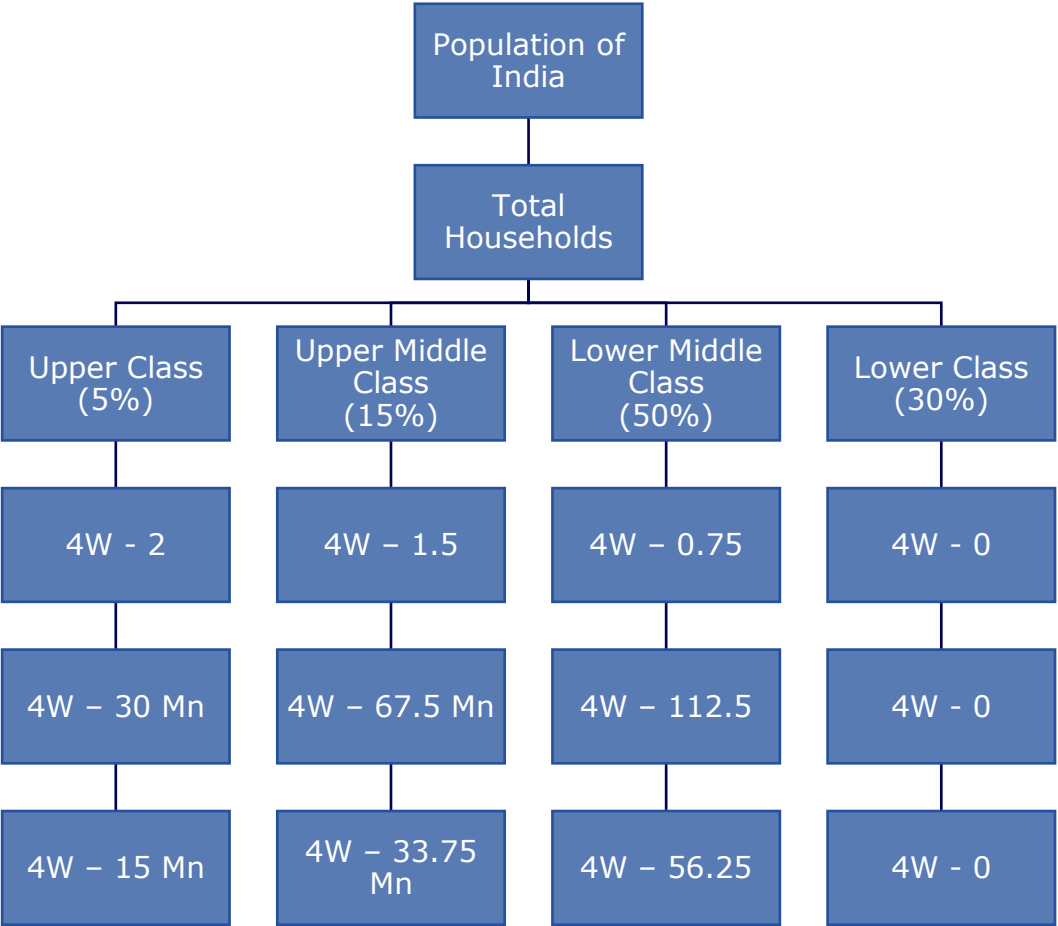
Top Down

**Methodology**

- 1. Calculate the Number of households
- 2. Segment the population on the basis of income
- 3. Calculate number of 4-wheelers per household
- 4. Calculate the total number of 4-wheelers.
- 5. Calculate the total number of Maruti cars

**Assumptions**

- Average household size in the country = **5**
- Maruti cars have a **50%** market share over the years
- Lower Class do not own any cars whereas some of the Lower middle class are starting to own cars
- Only passenger vehicles are considered



- Population of India **1500 Mn**  
(Average Household Size – 5)
- Household = Population/Avg Size  
= 1500 Mn/5  
= **300 Mn**  
(Division Basis Income)
- Upper Class – **15 Mn**  
Upper Middle Class – **45 Mn**  
Lower Middle Class – **150 Mn**  
Lower Class – **90 Mn**  
(Average No. of Vehicles/household)
- (Total No. of 4W Vehicles)
- Maruti Cars – 50% share

**Solution:** Maruti Cars = 105 Mn





# Guesstimate 3: Mobile recharge

**Prompt:** Estimate the mobile recharge market size in India

**Approach**

**Top Down**

**Methodology**

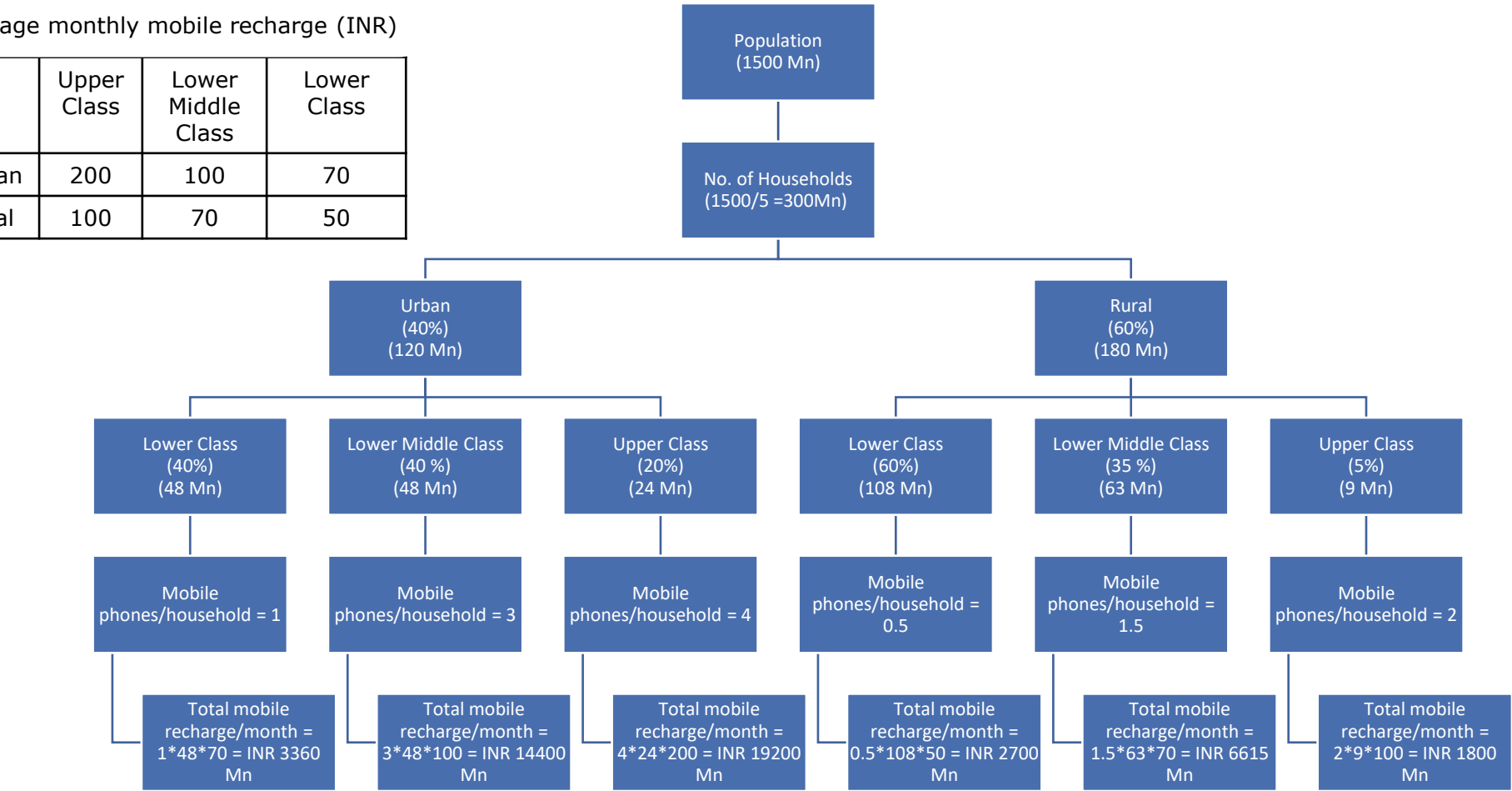
- 1. Calculation of total Mobile phones in India
- 2. Use economic split
- 3. Use average mobile recharge

**Assumptions**

- All mobile phones are active
- Average mobile phones/household
- All mobile phones have single sim

Average monthly mobile recharge (INR)

|       | Upper Class | Lower Middle Class | Lower Class |
|-------|-------------|--------------------|-------------|
| Urban | 200         | 100                | 70          |
| Rural | 100         | 70                 | 50          |



Total yearly mobile recharge market size =  
 $12 \times (3360 + 14400 + 19200 + 2700 + 6615 + 1800) = \mathbf{5,76,900 \text{ Mn}}$

**Solution:** Mobile recharge market size = INR 5,76,900 Mn



# Guesstimate 4: Cars on Mumbai Sea Link

**Prompt:** Estimate the number of cars using Bandra - Worli Sea Link in Bombay in a day

**Approach**

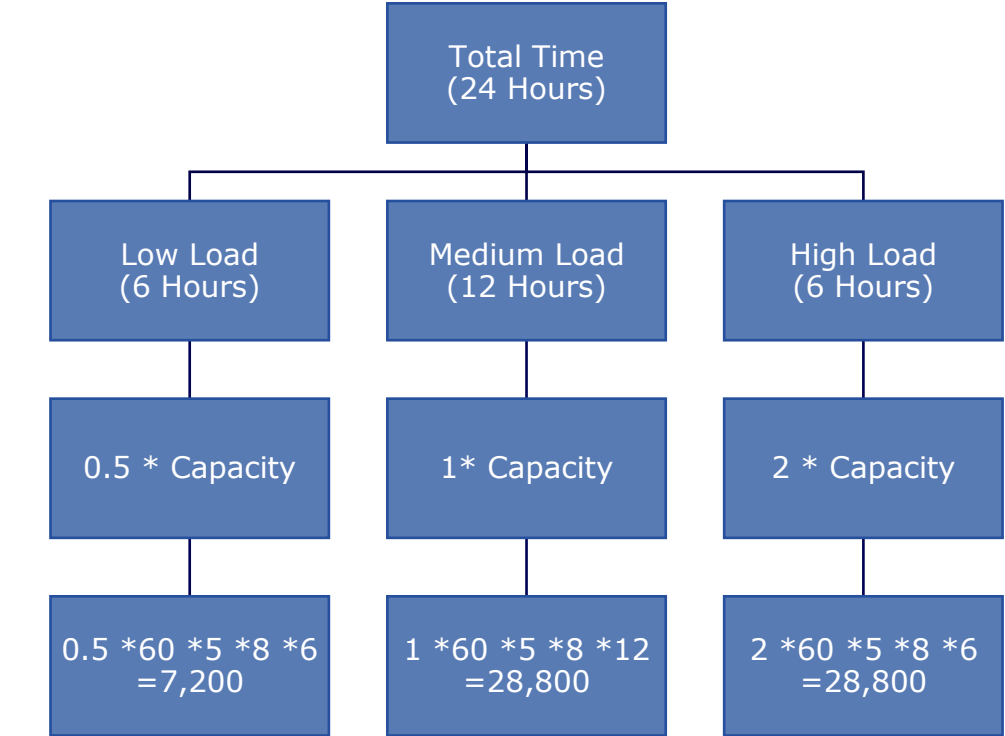
**Supply Side**

**Methodology**

- 1. Segment day hours by traffic load and identify a bottleneck in the system – toll booth in this case
- 2. Estimate the cars per unit time in that bottleneck
- 3. Bottom-Up calculation to arrive at total cars that has passed through the bottle neck – toll booth

**Assumptions**

- Number of toll lanes **8**
- Bottleneck **Toll Lanes**
- Average Toll Lane Capacity per minute: **5 cars**
- **12 hours** of medium traffic load
- **6 hours** each of high load and low load in a day



Total Cars in a day  
= 7,200 + 28,800 + 28,800  
= **64,800**

**Brownie Point**

The case can be made more interesting by assuming that there are 4 lanes for each side (to and fro). Hence, there will be some % of cars that will be using the Sea link again during the same day. Then the ~65,000 cars will be reduced.

- Toll Booth Usage
- Total Cars in each traffic load type **Hours\*Lanes\*Capacity/Hour\*Multi.**

**Solution:** No. of Cars = 64,800



# Guesstimate 5: Metro Ridership

**Prompt:** Estimate the number of people travelling in Metro in Delhi daily

**Approach**

**Bottom Up**

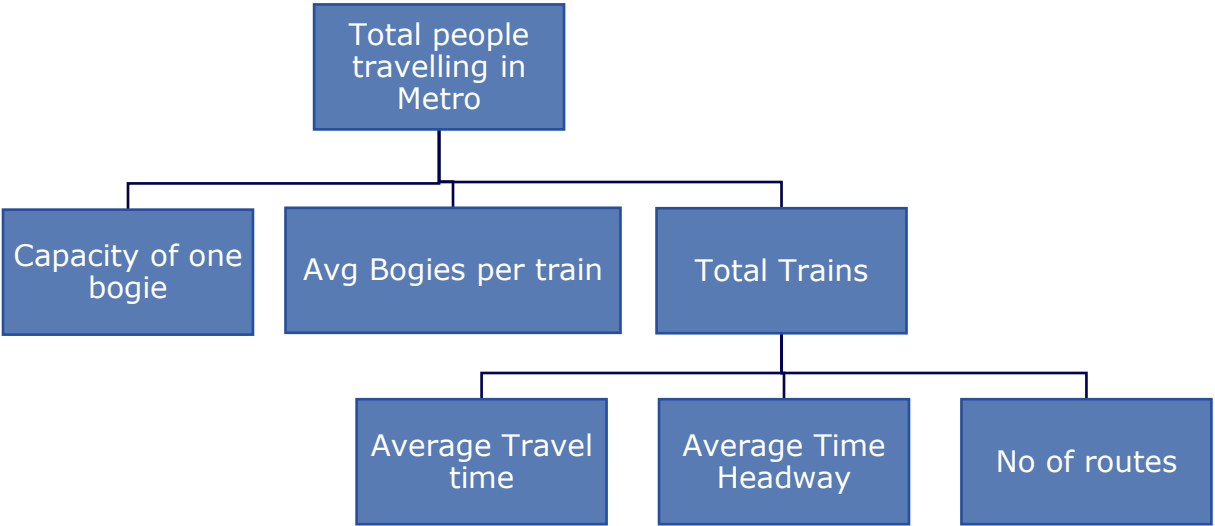
**Methodology**

- 1. Calculate the total travel time in a metro for end-to-end stations and average headway time
- 2. Segment occupancy of metro basis hours (rush/normal)
- 3. Adjust for occupancy

**Assumptions**

- Assumed yellow line only for calculation, Total travel time: 90 minutes
- Stations: **40** ; Max capacity: 150/train ; Avg Occupancy: 80%
- Average # of coaches/metro **8** and Operating Hours: **20**

|          | No of hours /day | 1 metro / n mins | Weighted average |
|----------|------------------|------------------|------------------|
| Rush     | 8                | 1 metro / 2 mins | 16               |
| Non rush | 12               | 1 metro / 5 mins | 60               |
| Total    | 20               |                  | 76/20 = 3.8      |



● Total Trains on one track  
= (Total Travel Time / Avg Time Headway) \* No of lanes  
= (90 minutes/3.8)\*2 = 47 trains

Daily Ridership = Total number of trains \* Max Capacity \* Avg Occupancy of Metro\* Avg Bogies per train  
= 47 \* 150 \* 80% \* 8  
= **45,120 people**

But the above is only for one line. Consider 10 lines of Delhi including Yellow line: 45,120 people \* 10 = 4,51,200 people

**Solution:** Daily Ridership = 4,51,200 people



# Guesstimate 6: Lakes in the World

**Prompt:** Estimate the number of fresh water lakes in the world

## Approach

Top down

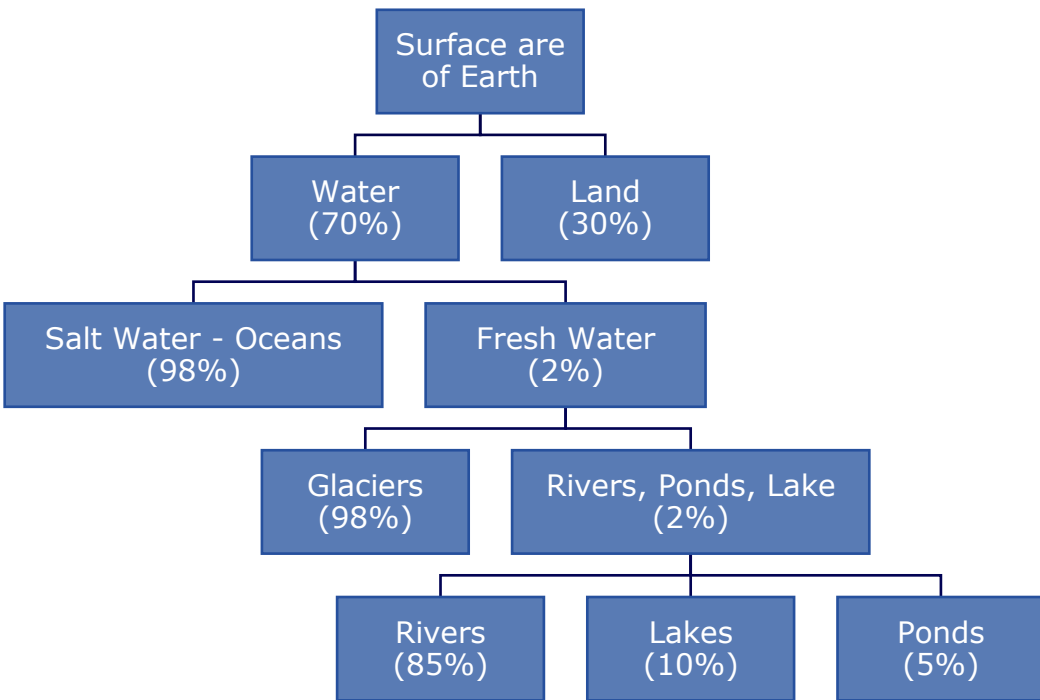
## Methodology

1. Calculate the surface area of earth
2. Divide the area into Water & Land
3. Separate fresh water from salt water
4. Remove glaciers from sources of fresh water
5. Divide by average size of lake

## Assumptions

- Assuming Earth to be a perfect sphere
- Average size of a lake is **100m \* 100m**
- Most fresh water is in terms of Glaciers

Radius of Earth = 6,400 Km =  $2^6 * 100$  Km  
Surface Area of Earth =  $4 * 3.14 * 2^6 * 100 * 2^6 * 100 = 510 \text{ Mn Km}^2$



- Water = **357.5 Mn Km<sup>2</sup>**
- Fresh Water = **7 Mn Km<sup>2</sup>**
- R, P, L = **0.14 Mn Km<sup>2</sup>**
- Lakes = **14,000 Km<sup>2</sup>**

Total No. of lakes = Area of Lakes / Size of 1 lake  
= **14,00,000 Lakes**

**Solution:** Total Lakes = 14 Lacs



# Guesstimate 7: AC working hours

**Prompt:** Estimate the average number of hours AC are run in Delhi over a year

**Approach**

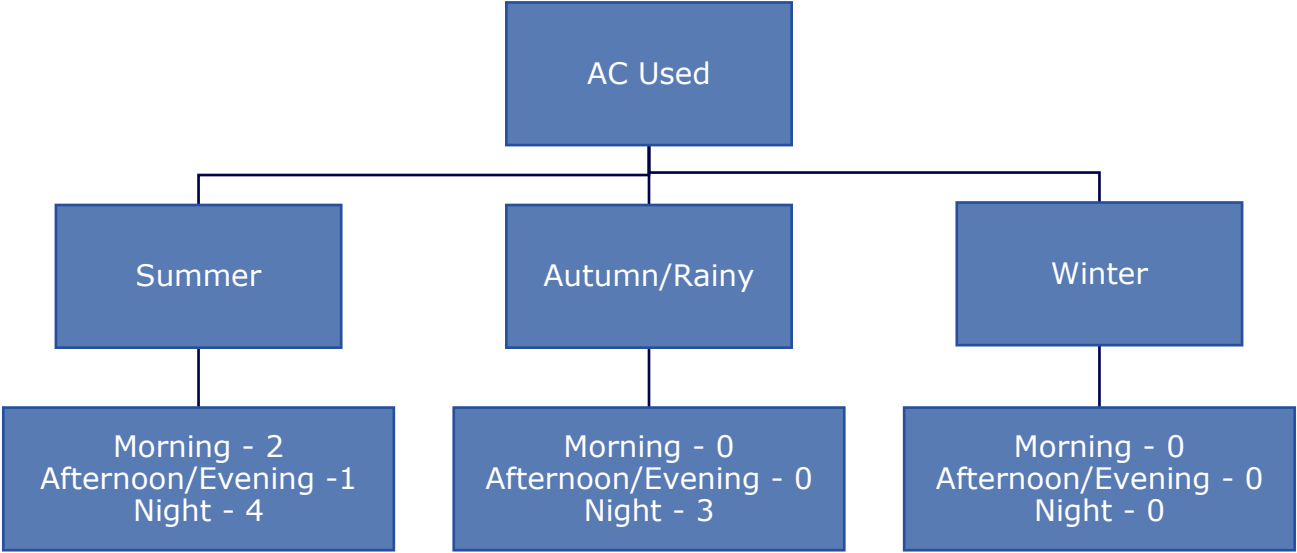
Demand Side

**Methodology**

- 1. Divide the months in terms of seasons
- 2. Average hours that the AC is working
- 3. Consolidate

**Assumptions**

- Consideration of a middle income household, hence limited to one AC per household
- Division of months done basis judgement
- Assuming family size of 5 in Delhi to calculate number of households
- AC Penetration rate in Delhi: 30%



- Summer Months : March - July  
**Total 153 days**
- Autumn Months : Aug – Oct  
**Total 91 days**
- Winter Months : Nov – Feb  
**Total 120 days**
- (Split by Average hours/day)
- Total hours per segment of day

Hours worked = No. of days \* Average Hours/day  
= 153 \* 7 + 91 \* 3 + 120 \* 0  
= **1,344 hours**

No of households in Delhi = Population of Delhi / Avg family size  
= 15 Mn / 5  
= 3 Mn households

Therefore number of ACs: 3 Mn \* AC Penetration rate  
= 3 Mn\* 30% = 0.9 Mn ACs

Average number of hours = Number of Acs in Delhi \* Avg hours in a year  
AC works in a household  
= 0.9 Mn \* 1,344 hours  
= **1,209 Mn hrs**

**Solution:** AC Working hour = 1,209 Mn hours



# Guesstimate 8: Length of roads in Delhi

**Prompt:** Estimate the total length of roads in Delhi

**Approach**

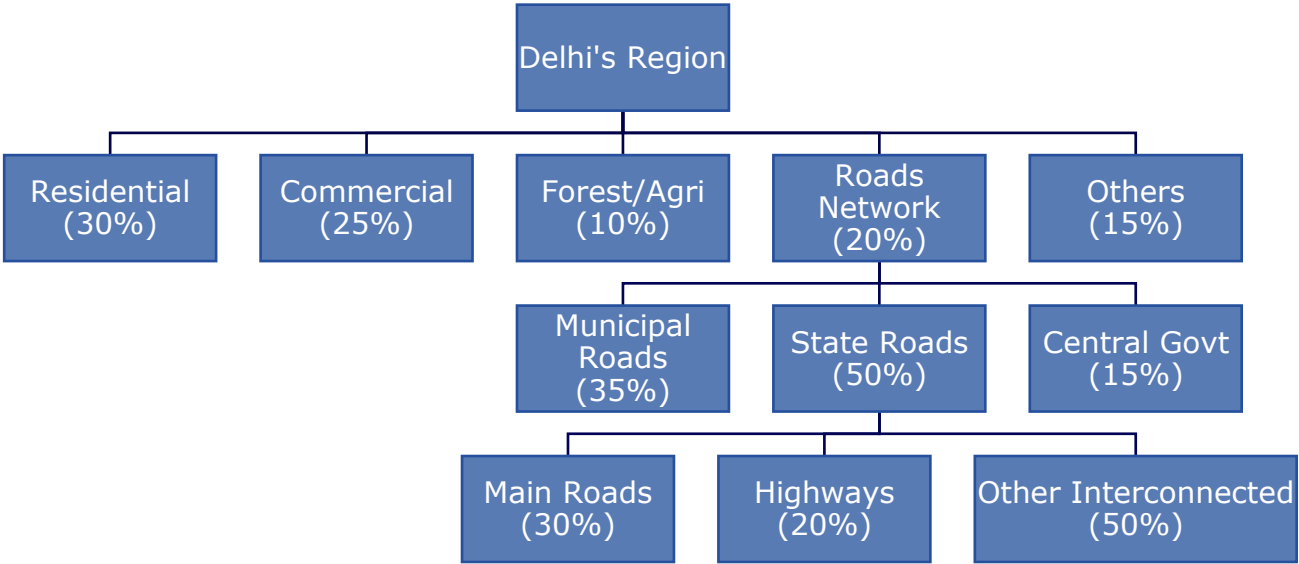
Top Down

**Methodology**

- 1. Calculate Area of Delhi
- 2. Divide the area basis its usage
- 3. Divide the roads then into usage
- 4. Assume approx. width of roads
- 5. Divide the two

**Assumptions**

- Area of Delhi –**1500 Km<sup>2</sup>**
- Width of road based on experience
  - Municipal – **5m**
  - Main roads - **15m**
  - Highways – **20m**
  - Other Ics – **10m**
  - Central Govt – **25m**



(Split by Road Maintenance)

Split based on experience

|              | Estimated Area                        | Avg. Width of Road | Total Length = (Est. Area/Width) |
|--------------|---------------------------------------|--------------------|----------------------------------|
| Municipal    | 105 Km <sup>2</sup> (1500 Km*20%*35%) | 5m = 0.005Km       | <b>21,000 Km</b>                 |
| Main         | 45 Km <sup>2</sup>                    | 15m                | <b>3,000 Km</b>                  |
| Highways     | 30 Km <sup>2</sup>                    | 20m                | <b>1,500 Km</b>                  |
| Other IC     | 75 Km <sup>2</sup>                    | 10m                | <b>7,500 Km</b>                  |
| Central Govt | 45 Km <sup>2</sup>                    | 25m                | <b>1,800 Km</b>                  |

**Solution:** Length of Roads = 34,800 Km



# Guesstimate 9: Cold Drink Consumption

**Prompt:** Estimate the consumption of cold drink in IPL season

**Approach**

Top Down

**Methodology**

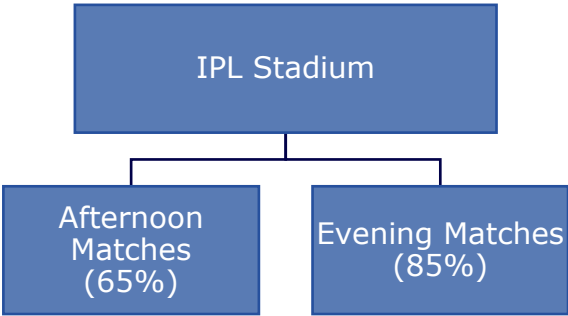
- 1. Find the no. of people attending IPL matches.
- 2. Segregate between afternoon and evening matches.
- 3. Based on average consumption/person, calculate the total consumption.

**Assumptions**

- 80% of people attending a match consume a cold drink
- Average Occupancy of Stadium
- Consumption of Cold drinks is increased during Afternoon

Average Capacity of IPL Stadium = **50,000**, No. Of Matches = **74**

**Total no. of people attending**



**Afternoon Matches**

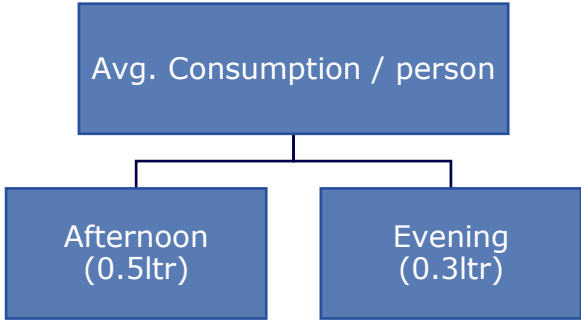
No. Of people = Occupancy Rate \* No of Matches \* Average Capacity \* 80%  
No of people =  $0.65 \times 18 \times 50000 \times 0.8 = \mathbf{4.68 \text{ lakhs}}$

**Evening Matches**

No. Of people = Occupancy Rate \* No of Matches \* Average Capacity \* 80%  
No of people =  $0.85 \times 56 \times 50000 \times 0.8 = \mathbf{19.04 \text{ lakhs}}$

**Total No. of People Attending** =  $4.68 + 19.04 = \mathbf{23.72 \text{ lakhs}}$

**Cold Drink Consumption**



**Total Consumption** = Consumption (Afternoon) + Consumption (Evening)  
= (Avg. Consumption/person \* No of people) + Avg. Consumption/person \* No of people  
=  $4.68 \text{ lakhs} \times 0.5 \text{ltr} + 19.04 \text{ lakhs} \times 0.3 \text{ltr} = \mathbf{8.052 \text{ lakh Ltrs.}}$

**Solution:** Total Cold Drink Consumption = **8.052 lakh Ltrs.**





# Guesstimate 10: T-shirts Sold on Amazon per Day

**Prompt:** How many t-shirts do you think Amazon is selling in India per day?

## Approach

Top down

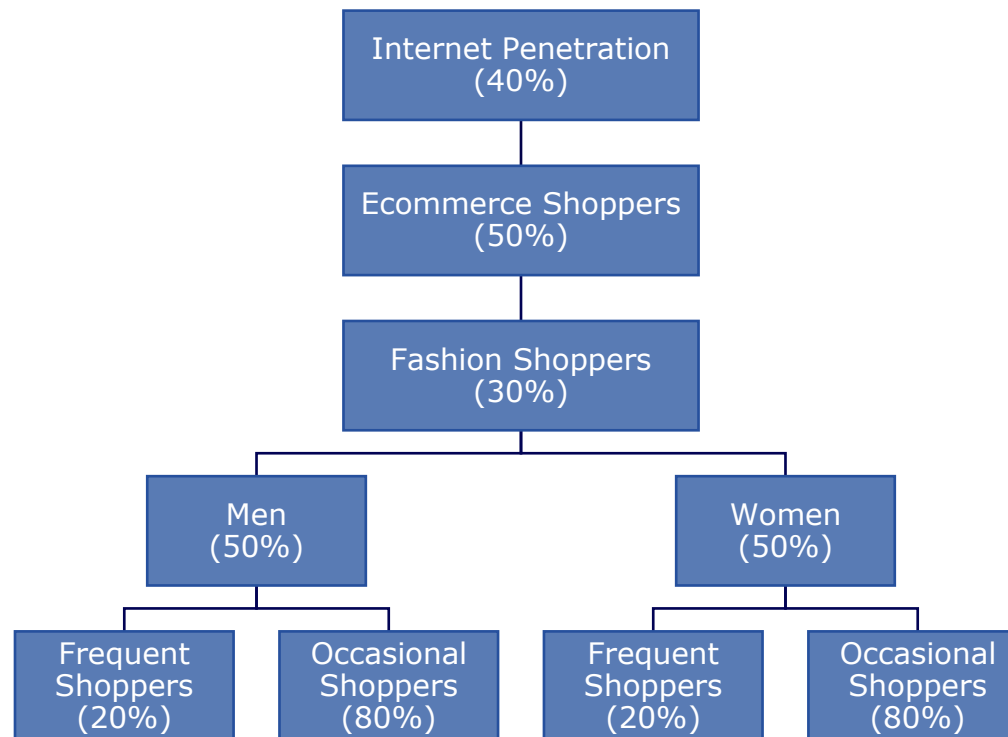
## Methodology

1. Segment by gender considering different demand
2. Further break down into frequent and occasional shoppers rate of t-shirt purchase per year
3. Bottom up estimation for total t-shirts sold in a year

## Assumptions

- E-commerce penetration = **50% of Internet Penetration**
- Fashion Shoppers on Ecommerce = **30%**
- Frequent M – **5 T-shirt**  
Frequent F – **7 T-shirt**
- Occasional M – **3 T-shirt**  
Occasional F – **4 T-shirt**

Population of India = **1500 Mn**



Total T-shirts = 45 + 108 + 63 + 144 = **360 Mn**

Amazon Market Share = 30%

Total Sales/Year = **108 Mn**

Total Sales/Day = 108 Mn / 365 = **295K**

•  $= 0.4 * 1500$   
**= 600 Mn**

•  $= 0.5 * 600$   
**= 300 Mn**

•  $= 0.3 * 300$   
**= 90 Mn**

•  $= 0.5 * 90$   
**= 45 Mn**

•  $M (FS) : 9 \text{ Mn} * 5 = 45 \text{ Mn}$   
 $M (OS) : 36 \text{ Mn} * 3 = 108 \text{ Mn}$   
 $F (FS) : 9 \text{ Mn} * 7 = 63 \text{ Mn}$   
 $F (OS) : 36 \text{ Mn} * 4 = 144 \text{ Mn}$

**Solution:** Total Sales/Day = **295K**



# Guesstimate 11: Size of Tyre Industry

**Prompt:** Estimate the size of the tyre industry, particularly SUV in India in 2025.

## Approach

### Demand Side

## Methodology

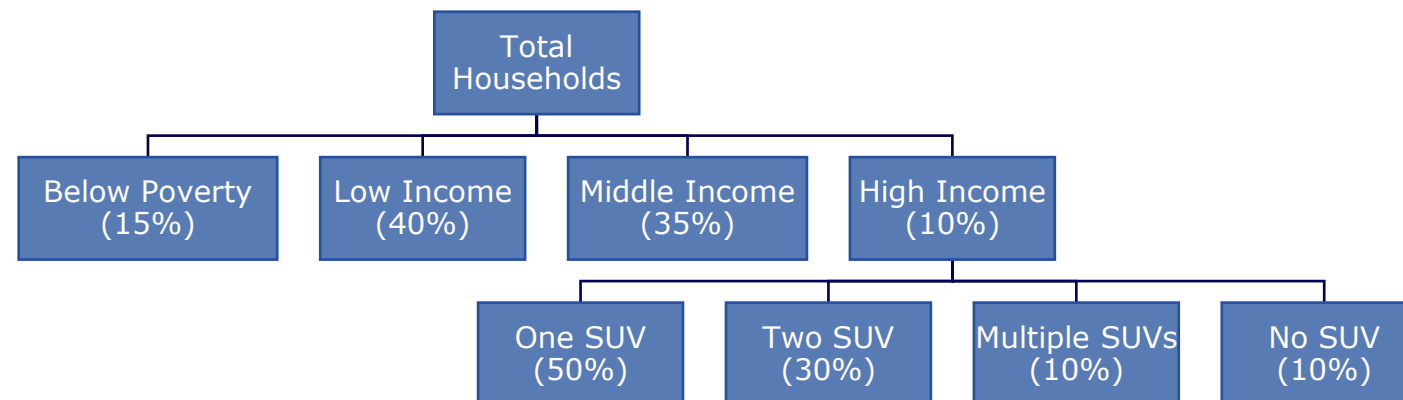
1. Divide households based on income stream
2. Within High income, divide basis the No. of SUVs in a household
3. Divide basis current on ground + New SUVs
4. Multiple by growth rate for future years
5. Divide by average number of tires per SUV

## Assumptions

- No replacement tyre being considered
- Average life of tyre is **5 years**
- Assume growth rate of SUV industry as **10%**
- Each SUV has 5 tyre

Population of India = **1500 Mn**

Average Household Family Size = **5**



$$\begin{aligned} &= 1500 \text{ Mn} / 5 \\ &= \mathbf{300 \text{ Mn}} \end{aligned}$$

$$\begin{aligned} &= 300 \text{ Mn} * 10\% \\ &= \mathbf{30 \text{ Mn}} \end{aligned}$$

*Based on above analysis –*

Total SUVs on ground =  $30 \text{ Mn} * (0.5*1 + 0.3*2 + 0.1*3) = \mathbf{42 \text{ Mn}}$

New SUVs = Total SUVs on ground/ Average Life =  $42 \text{ Mn}/15 = \mathbf{2.8 \text{ Mn}}$

As of 2024, 42 Mn SUVs & 2.8 Mn new SUVs = **44.8 Mn**

As of 2025, Total SUVs = **49.28 Mn** ( $44.8 * 1.1$ )

Each SUV has 5 tyres (4 tyres + extra)

Total =  $49.28 \text{ Mn} * 5 = \mathbf{246.4 \text{ Mn Tyres}}$

**Hence, market size of tyre industry:  $246.4 \text{ Mn}/5 \text{ years} = 49.28 \text{ Mn tyres}$**

**Solution:** Total No. of tyres = **49.28 Mn**



# Guesstimate 12: Sports Shoes Market

**Prompt:** Estimate the annual size of sports shoes in India

**Approach**

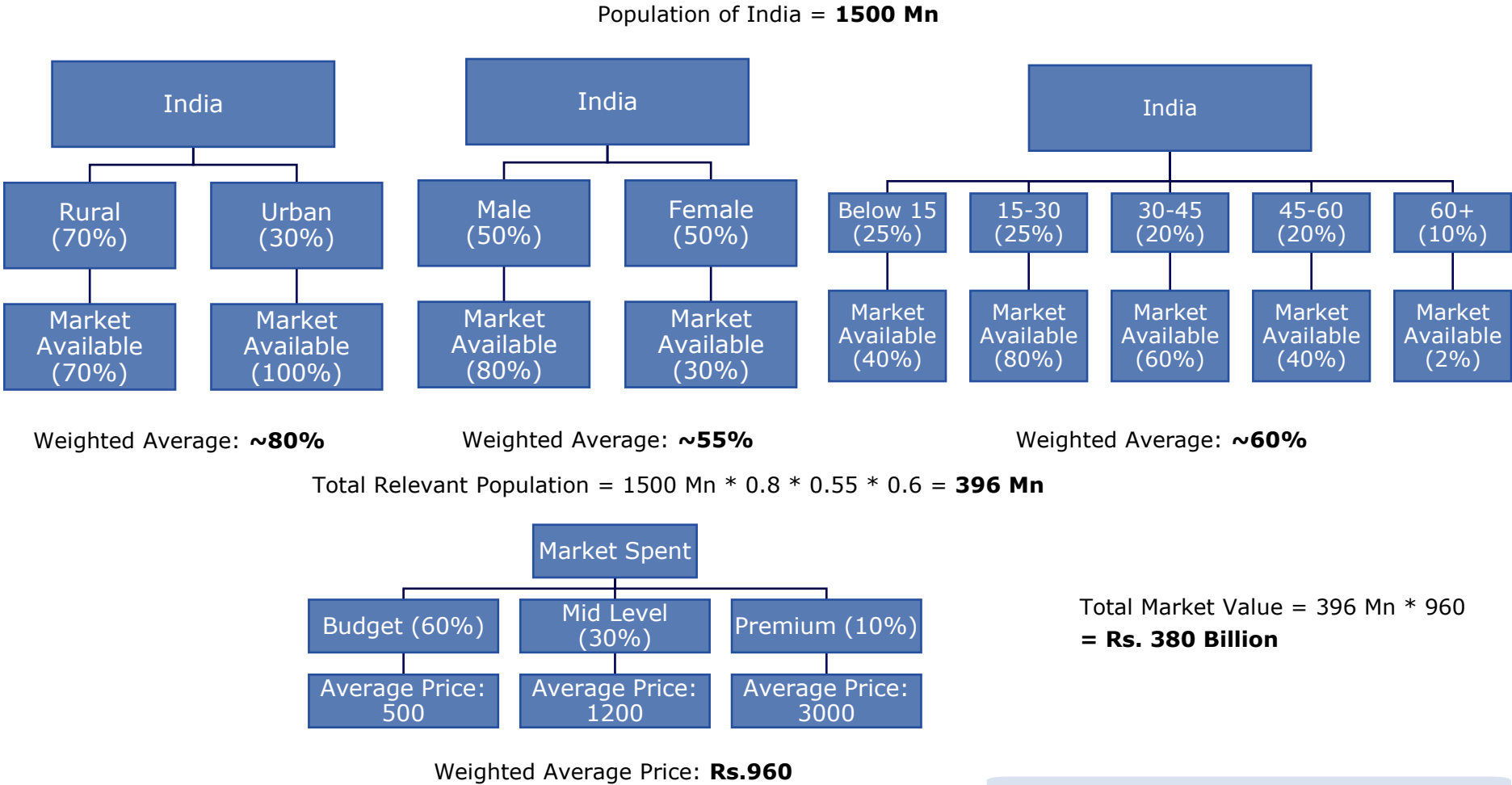
Demand Side

**Methodology**

- 1. Find relevant population by division in terms of urban/rural, gender & age
- 2. Use the weighted average method
- 3. Find weighted average price of a shoe by market variants
- 4. Divide the two

**Assumptions**

- Sports shoes are generally used by athletes and by citizen for going to a walk/job or day to day purpose
- Average prices of shoes in a segment



**Solution:** Total Market Size = Rs. 380 Bn



# Guesstimate 13: WhatsApp Messages

**Prompt:** Estimate the total number of WhatsApp messages sent in India per day

**Approach**

**Top Down**

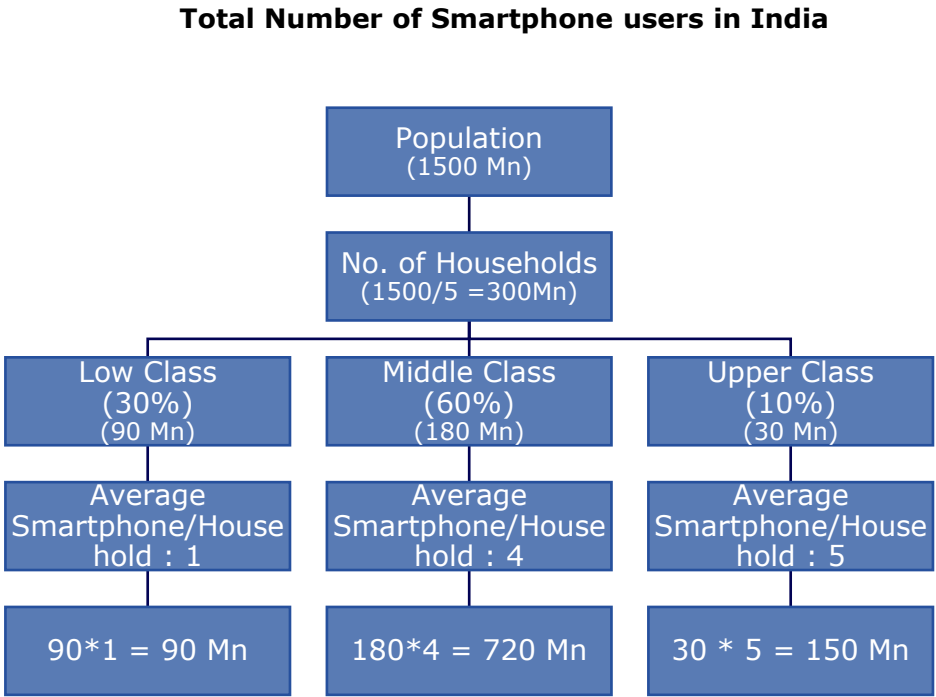
**Methodology**

- 1. Calculation of total smartphone users in India
- 2. Use economic split
- 3. Age split for smartphone user
- 4. Assume usage for each customer
- 5. Weighted average on number of messages

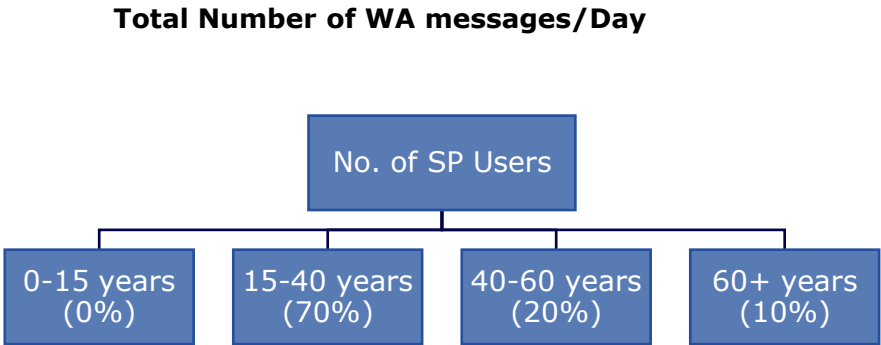
**Assumptions**

- All smartphone users are using WhatsApp
- Average Smartphone/Household
- Message usage of Whatsapp is as follows:

| Age / 'Message / day' | High user s | Med user s | Low users |
|-----------------------|-------------|------------|-----------|
| 15-40                 | 60          | 30         | 20        |
| 40-60                 | 30          | 20         | 10        |
| 60+                   | 25          | 15         | 5         |



Total = 90 + 720 + 150 = **960 Mn**



Split basis usage of WhatsApp

|       | High     | Med      | Low      |
|-------|----------|----------|----------|
| 15-40 | 60% (60) | 25% (30) | 15% (20) |
| 40-60 | 30% (30) | 40% (20) | 30% (10) |
| 60+   | 10% (25) | 30% (15) | 60% (5)  |

Total = 960 Mn \*  
(0.7 \* (0.6\*60+0.25\*30+0.15\*20) +  
(0.2 \* (0.3\*30+0.4\*20+0.3\*10) +  
(0.1 \* (0.1\*25+0.3\*15+0.60\*5))  
Total = **36,481 Mn**

**Solution:** WA messages/day = 36,481 Mn



# Guesstimate 14: People flying in/out from Delhi

**Prompt:** Estimate the number of people flying in/out from Delhi in a day

**Approach**

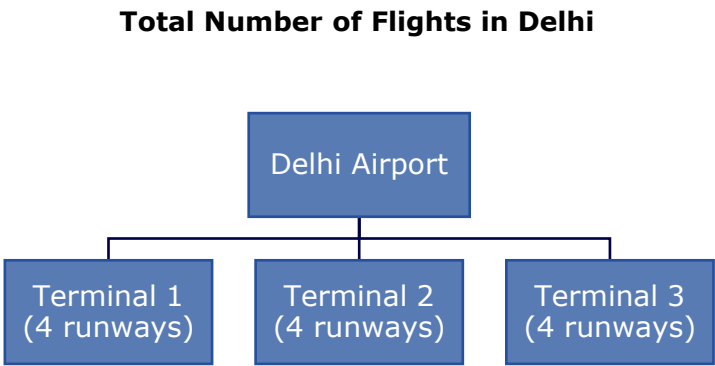
Top Down

**Methodology**

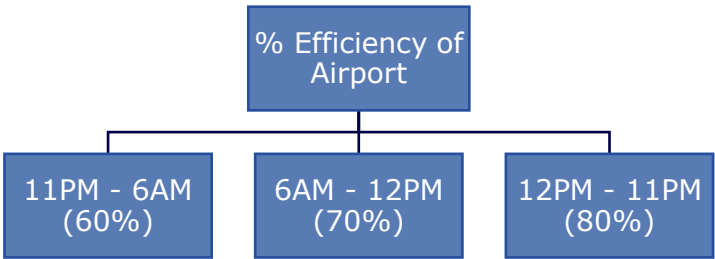
- 1. Calculate total number of flights in Delhi
- 2. Use efficiency & hour wise split to get to total number
- 3. Find average capacity by max capacity \* occupancy
- 4. Divide the two

**Assumptions**

- Number of runways in Delhi airport
- Average time – **4 mins**
- % efficiency split/hour
- Occupancy rate of plane = **80%**



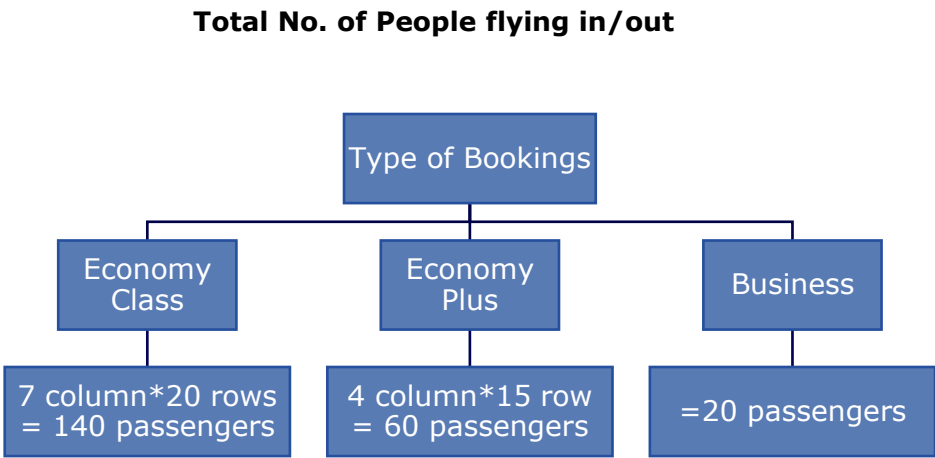
Average time for take off/landing = **4 mins**  
Total **15 Planes** can land or take off in an hour



Total = Hours \* % Efficiency \* Planes \* Runway

$$= 7*0.6*15*12 + 6*0.7*15*12 + 11*0.8*15*12$$

= **3,096 Flights**



Maximum Passengers/plane = 220  
Average occupancy of plane = 80%  
Total passengers/plane = 180

People flying in/out = Passengers/flight \* No. of Flights

$$= 180 * 3096 = \mathbf{0.56Mn}$$

**Solution:** People Flying in/out = 0.56 Mn



# Guesstimate 15: Sauces sold in Europe

**Prompt:** Estimate the total revenue generated from consumption of sauce in Europe

**Approach**

Top Down

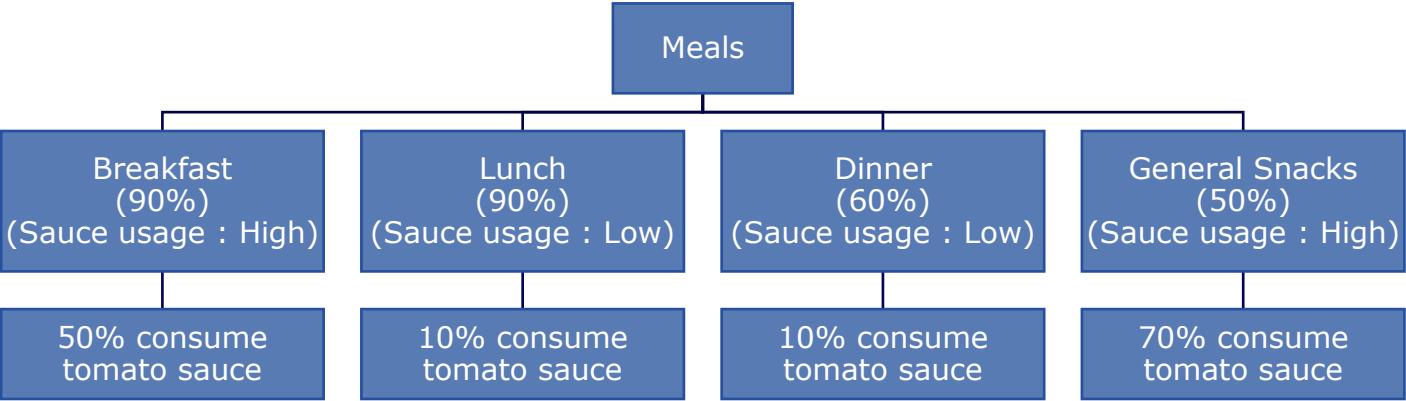
**Methodology**

- 1. Divide population basis eating routine of a day
- 2. Attach values of Sauce usage basis experience
- 3. Calculate servings using 1 kg of sauce
- 4. Consumption \* Average Price

**Assumptions**

- Considering on tomato sauce for the guesstimate
- Average price of sauce = **1.5 Euro/Kg**

Population of Europe – **750 Million**  
1 Kg of Tomato Sauce = **75 Servings**  
[1Kg of sauce can be used by a family of 5 for 15 servings (Assumption based on own experience)]



Based on above analysis –  
Total servings per day  
= 750 Mn \* (0.5\*0.9 + 0.1\*0.9 + 0.1\*0.6 + 0.7\*0.5) = 712.5 Mn servings / day

Amount of Ketchup consumed in Kg = (712.5 Mn servings/day)/75 Kg/day = **9.5 Mn Kg/Day**  
Consumption/month = 9.5 Mn Kg/day \* 30 = 285 Mn Kg/Month  
Annual Consumption = 3.42 Bn Kg/year

Annual Revenue = 3.42 Bn Kg/year \* 1.5 Euro/Kg = **5.43 Bn Euros**

**Solution:** Sauces Revenue = 5.43 Bn Euros

## **Team Strategist**

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### **All The Best!**

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Connect with us!

